

KRBL (KRBL)

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17 August 2022

The General Manager

Department of Corporate Services

BSE Limited

.j Floor 25, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai -400 001

Scrip Code: 530813

Dear Sir/Madam, National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G

Bandra-Kurla Complex

Sandra (E), Mumbai-400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Investor Conference Call held on Wednesday, 10 August 2022 on

Unaudited Financial Results of KRBL Limited for the First Quarter (Q1) ended 30 June

2022.

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation 2015, Please find enclosed herewith the Transcript of the Investor Conference Call of KRBL Limited held on Wednesday, 10 August, 2022, at 2:00 P.M. onwards on the Unaudited Financial Results for the First Quarter (Q1) ended 30 June 2022.

You are requested to kindly take the same on record.

Thanking you,

Yours Faithfully,

For KRBL Limited

~c

Raman Sapra

Company Secretary

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WORLD'S LARGEST RICE MILLERS & BASMATI RICE EXPORTERS

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KRBL Limited

Q1 FY23 Earnings Conference Call Transcript

August 10, 2022

Management: Mr. Anil Kumar Mittal – Chairman and Managing Director

Mr. Anoop Kumar Gupta – Joint Managing Director

Mr. Ayush Gupta – Head, Domestic Division

Mr. Ashish Jain – Chief Financial Officer

Moderator: Ladies and gentlemen, good day and welcome to the KRBL Limited's Q1 FY23 Earnings conference call. As a reminder, all participants' lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India.

Nishid Solanki: Welcome to KRBL Limited's Q1 FY23 Earnings conference call for analysts and investors. I am pleased to introduce to you the senior members of the management team on today's call. We have with us Mr. Anil Kumar Mittal – Chairman and Managing Director, Mr. Anoop Kumar Gupta – Joint Managing Director, Mr. Ayush Gupta – Head, Domestic Division, and Mr. Ashish Jain – Chief Financial Officer. We propose to begin with updates from Mr. Mittal with views on the industry, business, and broad strategy. It would then be followed by Mr. Ayush Gupta who would take us through the perspectives on domestic business. Thereafter, we shall have the financial

overview presented by Mr. Ashish Jain. After the opening remarks from the management, the forum will be open for an interactive question & answer session. A cautionary note: certain statements made on today's call could be forward-looking in nature and actual results could vary from these statements. A detailed statement in this regard is available in KRBL's investor presentation which is available on the stock exchange websites.

I would now like to invite our Chairman, Mr. Mittal, to share his views. Thank you and over to you, sir.

Anil Kumar Mittal: Good afternoon to everybody. When we talk about rice, we should keep in mind that there are two different commodities, i.e., basmati rice and non-basmati rice. There is no linkage whatsoever between the two as far as production, price and markets are concerned. In regard to non-basmati rice, we see that non-basmati rice could emerge as the next challenge for global food supply as shortage of rain in parts of India, which has caused planting area to shrink to the smallest in about 3 years. The threat to India's rice production comes at a time when countries are grappling with soaring food costs and rampant inflation. Total rice planted area has declined by 13% so far this season due to lack of rainfall in some areas including West Bengal, Odisha, Chhattisgarh, and Uttar Pradesh which account for a major area of India's rice output. There is still hope if weather gods shower their blessing in the next 25 days, then the above scenario can change. Let me add that the prices have already increased by 10% and the Government has increased the MSP to Rs. 20,400 per metric ton for the upcoming Kharif crop. Moreover, there is still good demand from overseas markets since India is still the cheapest among all exporting nations.

As regards basmati rice, the sowing is good and according to the field survey, the production of basmati rice will increase by 25% in crop year 2022-23. This is mainly due to high prices witnessed by the farmer last year. Recently, we witnessed that the early crop which comes in the month of July-August that is 1509 basmati rice fetched a price of Rs. 32,000 to 33,000 per metric tonnes giving the farmer a revenue of Rs. 70,000 per acre whereas non-basmati with the new MSP will fetch the farmer around 62,000 per acre, which certifies that the price of basmati paddy in spite of 25% hike in production will still remain firm and the export prices will also fetch good prices. Moreover, the export demand is good and there is also an alternate channel established to export basmati rice to Iran. As we all know, Middle East is the largest consumer of Indian basmati rice. It doesn't have much stock in hand. Besides, the Ramzan season will start in March this financial year which will put pressure on prices of basmati rice during the season. Basmati rice export witnessed 25.54% in the first 3 months of the financial year 2022-23 as its export increased from USD 922 million to USD 1,156 million between April to June 2022, whereas in volume terms, the growth was only 3.5% thereby confirming that the price realization was very good. During the last 2 years, we have really witnessed a panic situation on account of the poor availability of containers, labors, transportation, and warehousing which brought down the productivity by 50%. We are now starting to see the situation ease out with freight levels coming down and availability of containers, labors, transportation, and warehousing space are considerably improved. There is no impediment as far as logistics are concerned except that freight rates though they have come down but still are on the higher side. But it does not affect to the industry anymore since the freight charges are built up in the pricing.

The new mechanism introduced by RBI which enables exporters to export in Indian rupee was a welcome move by the exporting community of India. Unfortunately, it does not help much to the basmati rice industry since the major importing countries of basmati rice do not fall under rupee mechanism.

This is to confirm that during this Kharif Season, IARI has distributed seeds of 3 new varieties of basmati rice which possess inbuilt resistance to bacterial blight and blast disease, as I had mentioned you last year as well. IARI has supplied seeds to farmers of improved 1487, 1885, and 1886 rice varieties in which 2 genes have been inserted, which could withstand the attack of bacterial blight and blast disease

that adversely

impact the crop yield. Three varieties would gradually replace the existing basmati rice varieties of 1121, 1509, and 1401 which are cultivated in more than 90% of about 2 million hectares of aromatic and long-grain rice grown areas.

The above program of IARI will multiply the seeds this year which will result into a commercial crop during the crop year 2023-24. This will give a big leap to basmati

exports practically in the EU and the USA, including few countries in the Arab world. Though the restriction of pesticide residue is nothing but a non-tariff barrier, the challenge which was accepted by the Indian exporters and now we have come up with the new varieties to ensure that Indian basmati rice is fully compliant. We have an excellent order book and our first quarter results are already with you. Both domestic as well as exports sales are showing remarkable progress and this growth trajectory will continue in the times to come. One of the biggest setbacks, KRBL faced in the last couple of years was a loss of a 40-year-old distributor relationship in Saudi Arabia due to its financial crisis. We have now appointed a new distributor for the mainstream market and it is doing exceptionally well, the result of which are already seen in the first quarter and will improve in the subsequent period. We are yet to finalize another distributor for HoReCa and traditional trade which we hope to finalize by September or October 2022.

KRBL is doing exceptionally well throughout the globe except the EU region due to pesticide restriction. Let me add, it is not KRBL but the entire rice industry that is facing a hard time in EU. I would like to add that UK has signed an MoU for free trade with India whereby there will be a total exemption of duties on imports from India from 1st of October 2022.

The white rice presently attracts about EUR 175 metric tonnes duty which will go away. Hence, the scope of exporting blended white rice is ample since UK is the largest importing country in Europe, but it has a lot much implication in the economies of both the countries. Hence, it could be delayed for a few months.

I am happy to share that India Gate is now recognized as the world's No. 1 basmati rice brand which is the testimony to the quality and love for our brand.

With this, I thank you everybody once again and pass on the speaker to Ayush Gupta for the domestic scenario.

Ayush Gupta: Good afternoon ladies and gentlemen. I am pleased to share the results of Q1 FY23 for India market. Revenue grew by 47% year on year. Unity brand has grown by more than 100% to Rs. 150 crore in quarterly revenue. Consumer pack continues to grow in healthy double digits year over year in volume terms.

I will now share updates on our three-pronged strategy to transform the India market. First, densifying distribution reach. We are diligently expanding our direct distributor network to town class 1, town class 2, and rural markets of India. We are on track with our target to expand our distribution reach to 250 more towns by the end of this financial year.

Next, we have increased our investments in brand penetration initiatives such as trade marketing to accelerate the ongoing shift in consumption from unbranded to branded rice. We continue to expand our direct coverage to retail outlets by deploying more feet on street. This is not only helping us expand width and depth of distribution but making us a more agile organization as we move closer to the market.

With respect to the third lever of augmenting our product portfolio, we remain committed to deliver close to 10% revenue contribution from new products within the next two financial years. As we continue to evaluate the basmati landscape in India, we are constantly reminded of the immense headroom for growth. However, India is a vast country with diverse consumption habits across regions. KRBL is thus moving

to a regional appr

oach stemming from consumer insights. To this end, we have launched Project RICE where RICE stands for Regional Insight and Cluster-focused Execution. Through this exercise, we aim to converge the diverse brands into three broad clusters; a cluster where there is an overwhelming need to drive branded basmati penetration, second cluster where penetration exists but consumption needs to be increased. Just to mention, the average yearly basmati consumption per household in India currently stands at just 21 kg, and cluster 3 where KRBL market share needs to be increased.

The three-pronged strategy mentioned earlier will now be executed more sharply under the above framework. With that, I come to the end of my remarks and will hand over to Mr. Ashish Jain for financial overview during the period under review.

Ashish Jain: I will just give an overview of the quarter in terms of financials. All figures mentioned by me would refer to the consolidated financials of KRBL.

Total income for the quarter stood at Rs. 1,239 crore marking a growth of 20% over the corresponding quarter last year. Gross profit of the company increased by 24% and EBITDA and profit after tax by 17%. The Company recorded highest ever quarterly profit after tax of Rs. 164 crore and earning per share of Rs. 6.99

respectively during the quarter.

Revenue from operations grew by 21% led by domestic sales which excluding energy sales grew by 47% to Rs. 709 crore. Export sales at Rs. 485 crore were lower by 4% vis-a-vis Q1 FY22 but marked substantial growth over the preceding quarter. Overall, rice sales realization increased by 13% while volume increased by 7% over the Q1 FY22. Higher realization was recorded across both domestic and export segments. Gross margin improved to 32.5%, an improvement of 100 basis points over the corresponding quarter. EBITDA margin for the quarter was at 19.6% as against 20.2% on account of higher advertising cost, higher travel cost, mark-to-market loss on the equity portfolio, and some other expenses.

Freight expenses increased by Rs. 19.6 crore during the quarter, though the latter is largely recovered from the customer and therefore tends to be EBITDA neutral.

KRBL's finance cost declined to Rs. 2 crore as against Rs. 3.6 crore in the corresponding quarter as our reliance on borrowing continues to reduce. The Company's PBT margin was comparable at 17.9% as against 18%. PAT margin was at 13.3% as against 13.7%. The gap is on account of proportionately higher taxable income in Q1 FY23 as against that in Q1 FY22.

I will now share some key numbers on the inventory. Total inventory as of June 30th 2022 was Rs. 2,461 crore comprising Rs. 396 crore of paddy and Rs. 1,908 crore of rice. In volume terms, paddy stocks were at 116,000 tonnes and rice at 367,000 tonnes. The inventory is lower as compared to last year primarily due to lower paddy purchased in the last buying season.

Total cash and cash equivalents and investments excluding equity investments were at Rs. 938 crore, up by 130% over the same quarter last year. The Company's liquidity position remains strong and supports the Company's ability to invest both in inventory as well as in expansion in the forthcoming year.

With that, I come to an end of my prepared remarks and will request the moderator to begin with Q&A session.

Moderator: The first question is from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi: You did mention about jump in the exports, etc., but when we compare year on year, the numbers are not that kind of remarkable while sequentially there is a good growth.

Can you just comment on that as to because last year also, I believe that the new Saudi Arabia distributor was not in place. So, what is the gap?

Anil Kumar Mittal: As I mentioned even in the last speech and in my today's speech also that we had a very big setback as far as Saudi Arabia was concerned and that's why the numb

ers

were not very good in the past quarters, but since we have already appointed a new Saudi Arabia distributor, the results are before you, and by Q3, you will see an enormous good results from Saudi Arabia. We cannot change the numbers overnight, it requires some time, we have to give a gestation period to the new distributor as well.

Amit Doshi: As far as the domestic business is concerned, of course, your numbers have been really appreciable and a great effort clearly. This shift from unorganized to organized and that is probably driven by the Unity brand, what is the price gap between our brand versus the unorganized segment and what is driving the shift from there to Unity is just what I was trying to understand.

Ayush Gupta: Between a branded product such as India Gate which is clearly carrying a USP of an aged rice, that is clearly selling at a premium of about 20% to 25% compared to the unbranded loose variants in the market. With the Unity brand, our objective was to provide the non-aged steam versions to the consumer, which do not command such premiums. So, Unity brand generally commands a premium of about 10% to 12% over the unbranded loose variants. That becomes a much attractive ladder for an unbranded consumer to climb onto to get into the branded bandwagon. And that has been a clear strategy for us where we have been trying to drive more consumer penetration in our key markets and that is working well for us.

Amit Doshi: In the presentation slide14, the market share is mentioned as 32% for traditional trade and modern trade as 37%. Could you give figures of what it had been prior to say probably one year back or some comparable number just for the understanding purpose?

Ayush Gupta: I don't have the number, will share it separately.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments Managers. Please go ahead.

Pritesh Chheda: I have 3 questions; one pertaining to your slide 4. I couldn't understand these growth

numbers where your quarter growth number is 21% and you have mentioned some growth numbers for domestic business at 47% and export business at 73%. I could not understand these numbers. If you could help us clearly on YoY what is the situation?

My second question is somewhere in the presentation, it is mentioned that there is 25% increase in basmati price realization, but I don't see any impact on the gross margin side. So, what is the reason?

I have one more question. In the last quarter, we had given the bifurcation on the loss of business in Saudi Arabia and Iran; certain volume numbers, certain value numbers. And based on that, we had mentioned that half of that business will be recouped in FY23, which means about a increase of 20% or 25% top line growth for the company for FY23. Where are we on that journey in terms of growth for FY23?

Ashish Jain: I will address the first one the overall growth in revenue is at 21%. This comprises 47% growth which is against the first quarter of last financial year for domestic business while for Exports, the same number was a degrowth of 4% Y-o-Y, the 73% that we mentioned in the presentation is against the preceding quarter, and the idea there was to highlight the change in trend that is clearly observable in the export revenue.

Pritesh Chheda: Is it possible to share in this 20%, what is the volume decline number or the growth number?

Ashish Jain: Sorry, we don't give out that data separately. But we have shared separate growth numbers for the two segments in value terms.

Pritesh Chheda: Can you directionally at least mention if there is a volume decline or a growth?

Ashish Jain: When we look at rice business overall across the two segments, in the quarter we saw 13% increase in realization over the corresponding quarter last year and 7% increase in volume.

Pritesh Chheda: Price increase and Gross margin reflection is not there.

Ashish Jain: You would

have observed that the gross margin has gone up vis-a-vis the last quarter.

Pritesh Chheda: That is just about 100 basis points versus the price increase of 13%, right?

Ashish Jain: Yes, but you would also note that the paddy prices were higher in the season that we just closed, and because of that, there is also an increase in the input cost which is why the entire realization does not reflect in the gross margin.

Pritesh Chheda: We must be following first in, first out. (FIFO), so by that method, you would have paddy prices over the last season as well?

Ashish Jain: No, we don't follow FIFO. In our case, the fixed products are valued on a net realization basis while the raw material is at cost.

Pritesh Chheda: On that last quarter's bifurcation and our expectation of growth? The calculation seems to suggest a 20% growth for FY23. Where are we on that journey?

Ashish Jain: I would not comment on what we will achieve during the year, but I think you had earlier mentioned that we had indicated last quarter that the growth which is expected in Saudi Arabia. I think your question was that where are we on that journey?

Pritesh Chheda: And Iran, two places.

Anil Kumar Mittal: In Saudi Arabia, we are expecting with the current arrangement that our top line will increase by minimum Rs. 300 to 400 crore extra over the past performance. This Rs. 400 crore definitely will add up in the top line, besides we are yet to decide for another distributor for HoReCa segment and general trade, which we believe we would be finalizing somewhere within September-October and that will add, in this financial year, to about Rs. 300 crore. So, we are expecting Rs. 700 crore jump in the Saudi top line itself this year.

Pritesh Chheda: Rs. 300 crore via the first distributor arrangement and another Rs. 300 crore via the new arrangement, right?

Anil Kumar Mittal: Maybe Rs. 200 or Rs. 300 crore, the way we are looking at the numbers now with the present distributor; on the basis of that, I have discussed the numbers because we are doing exceptionally well with the new distributor.

Pritesh Chheda: Has the Q1 already started showing Saudi Arabia numbers? And if you could just share the quarterly run rate in Saudi Arabia now?

Anil Kumar Mittal: Saudi numbers are there, but there were certain payments which could not come. So, they are not reflecting. Otherwise, this number would have increased by another Rs. 70-80 crore.

Moderator: The next question is from the line of Jayant Mamania from Care PMS. Please go ahead.

Jayant Mamania: We have succeeded in sustaining the domestic sales at around Rs. 700 crore since the last 3 quarters. What is our internal target of growth for domestic sales?

Anil Kumar Mittal: We are expanding the domestic market and we are of the opinion that it would be around 50% of the revenue. If my revenue grows Rs. 5,000 crore or so, we are targeting around Rs. 2,500 crore to Rs. 3,000 crore.

Jayant Mamania: At the Rs. 700 crore run rate, it will be around Rs. 2,800 crore already this year.

Anil Kumar Mittal: So, maybe it will cross Rs. 3,000 crore. I don't know the figures, but we are on an uptrend.

Jayant Mamania: What would be the EBITDA margin in domestic sales?

Anil Kumar Mittal: As a Company policy, our EBITDA margin will always be in the range of 15% to 20%. That is a big number I have given. But I can't comment on what is the domestic EBITDA and what is the export EBITDA.

Jayant Mamania: You said this season, the non-basmati rice prices are expected to remain strong because of the lower production expected. So, what would be our strategy to stock this season considering the higher price of basmati?

Anil Kumar Mittal: Let me tell you when we talk about the higher price of basmati, it was in the mind that though the production is higher by 25%, even then due to shortage of non-basmati rice everywhere, the prices will remain firm.

Secondly, MSP has inc

reased to Rs. 20,400. It means a farmer will have an income from the Government minimum support price of paddy to about Rs. 62,000, whereas if the farmer gets, let us say, less than Rs. 32, he will have no interest in growing basmati rice. Therefore, the prices of basmati rice, I said, will remain firm because minimum we have to achieve anything between Rs. 65,000 to Rs. 70,000 for the farmer to have interest in growing basmati rice. That is why I have mentioned that the prices will remain firm this year in spite of 25% increase. Moreover, let me tell you, the demand has increased which you will witness in the next quarter. The demand has definitely increased, and this year, I expect that the figure of India should touch about 4.4 to 4.5 million tonnes as compared to 3.9 million tonnes last year. These are the two reasons where we feel that prices will remain firm.

Your question was on buying. Definitely, this year we will be buying more. Compared to the last 2 years, we will be buying more.

Jayant Mamania: We are not that good in the US market. And you said with new varieties, the pesticide residue level will be complied. So, what would be our strategy for the US market?

Anil Kumar Mittal: Definitely, not this year but next year, when the commercial crop comes of compliant rice, definitely our share will increase not only in America but in many other markets where there is an obstacle of being non-compliant. I am quite sure that we will do much better in these countries when the compliant rice is available in abundance.

Moderator: The next question is from the line of Nisarg Vakharia from Revanta Funds. Please go ahead.

Nisarg Vakharia: Since you mentioned that Unity as a brand has started contributing in a big way in this quarter, can you give us a rough indication as to what are the approximate gross margins in the domestic portfolio versus the export portfolio?

Ashish Jain: I think we just clarified that we will not be able to share segment-wise gross margins.

The overall number is already with you.

Nisarg Vakharia: Just asking this because Unity you said is not a very premium brand as compared to what we sell. So, I was trying to get an indicative sense from you guys. Anyways. We have appointed a new distributor in Saudi Arabia. Does it mean and it's safe to say that the last 2 quarters of performance is now behind us and this is a more or less steady state-run rate or base for us in terms of profitability?

Anil Kumar Mittal: You are right.

Nisarg Vakharia: Lastly, you gave a clear road map on the exports front. Can you also tell us how much can Iran contribute in terms of export revenue for us whenever that goes through, approximately, in FY23 or FY24?

Anil Kumar Mittal: In FY23, definitely we will have a respectable share in Iran because a good channel has been emerged and that channel is a legal channel to export to Iran. We are quite confident that our share in the next 3 quarters will be quite impressive as far as Iran shipments are concerned.

Moderator: The next question is from the line of Soumen Choudhury from Jet Age Securities Private Limited. Please go ahead.

Soumen Choudhury: I am referring to the presentation where you have talked about a 25% increase in

realization in the current quarter, YoY. Would it be like quarter on quarter? Would it also be a similar trend like 20% to 25% increase over Q4?

Ashish Jain: It is not 25% over the preceding quarter. In the India market, at least we are at about 10%.

Soumen Choudhury: 10% growth only?

Ashish Jain: Not growth. I think you were asking about realization.

Soumen Choudhury: Yes. 10% increase in realization quarter on quarter.

Ashish Jain: Yes, that's right.

Soumen Choudhury: But in the export market, it should be better than that I think.

Ashish Jain: The realizations tend to be higher in the export market as we have explained in earlier calls. But overall if we see the quarter-on-

quarter increase in realization, I think it is similar across both domestic and exports.

Soumen Choudhury: My sense was Q4 realizations were impacted because of the Saudi Arabia distributor issue. And this quarter, it seems a little bit better than that. Or it is still 10% only?

Ashish Jain: I will just clarify. I think your question was that how does the realization compare to the preceding quarter.

Soumen Choudhury: Yes, that's right.

Ashish Jain: Our response was that first the trend is similar in both domestic and exports, and the number across is about 10% improvement over the preceding quarter.

Moderator: The next question is from the line of Himanshu Upadhyay from O3 Capital. Please go ahead.

Himanshu Upadhyay: My first question was, despite this 25% increase in sowing for basmati, do you expect the basmati prices to be high this season?

Anil Kumar Mittal: The reason is that the Government of India has increased the MSP to Rs. 20,400. So, in comparison, it will impact the basmati pricing as well.

Secondly the basmati buffer stock with the Government is depleting because of giving free ration to 80 crore people. Moreover, this year, the crop is lesser by 13% overall because of the rain shortfall. These 2 things will also impact the basmati pricing and that is why the basmati prices, in spite of 25% higher crop, will increase. And let me clarify that if we take the crop of non-basmati as around 120 million less 13% whatever it is, basmati rice production is just 7 to 8 million which is 6% to 7% of the total crop. So, that 25% increase versus non-basmati rice has got no correlation, but the price impact will definitely come.

Himanshu Upadhyay: We had spoken about going into regional varieties of rice also for the last 1.5 years. Would we start buying those also? And what is the progress on the CAPEX we were to do for the regional basmati rice?

Anil Kumar Mittal: We are actually buying rice, and we are in the process of putting rice mills. In Karnataka, we have bought the land and it is under process. The construction will start in the next 60 to 90 days. I think we will be able to catch the production by FY24. But the regional rice we are buying locally and storing it and packing it in our brands, and we are marketing it. In Kandla, machines have started installing in the plants. I think within 6 months, the Kandla-Gandhidham unit will be operational.

Moderator: The next question is from the line of Avadhoot Joshi from New Berry Capitals. Please go ahead.

Avadhoot Joshi: Just one clarification. Last year, we had sent some non-basmati rice to China. Is that correct?

Anil Kumar Mittal: Yes, it is correct.

Avadhoot Joshi: Now, Bangladesh is also starting to import from us. The 3 or 4 major regions which produce rice are Bangladesh, China, and Vietnam, out of that, two are going to procure from India. If such an opportunity comes, whether we will be exporting rice to China and Bangladesh in this year also, taking the advantage of prices?

Anil Kumar Mittal: As far as Bangladesh is concerned, the problem with KRBL is that we don't entertain any business with an EBITDA of less than 10% or 11%. Otherwise, our bottom line goes haywire. So, we do not know about Bangladesh, but definitely, China, we get an opportunity because China gives a better profit or margin, so we will definitely do with China. It will be not correct for me to disclose. We are working with certain countries in non-basmati rice where our profit or margins will be above 10%, and we are quite hopeful that we will be able to conclude with those countries where the margins are above 10%.

Avadhoot Joshi: On the global scenario for non-basmati, the production is also decreasing, right? In India also, the production is decreasing, as you mentioned in the opening remarks. That will help us for export and realization also. Is that correct understanding?
Anil Kumar Mittal: India has an upper hand

and definitely the crops are less, no doubt, but not to that extent what is the situation in other countries.

Moderator: The next question is from the line of Jagpreet Singh from VA Capital. Please go ahead.

Jagpreet Singh: Anilji, you mentioned that there was a spillover of some Rs. 60-70 crore from Saudi Arabia to the next quarter. Any other spillovers in this quarter?

Anil Kumar Mittal: Yes, there is a spillover of other countries, which I'll not like to discuss, but there is a spillover. The total spillover may be up to the tune of Rs. 150 crore.

Jagpreet Singh: The CAPEX plans which you have, how much is the total CAPEX for this year?

Anoop Kumar Gupta: For this non-regional rice, we have a plan of about Rs. 150 crore this year.

Jagpreet Singh: That will be all the CAPEX which would be required, right?

Anoop Kumar Gupta: Yes, total CAPEX.

Jagpreet Singh: Which means we would have around Rs. 350 crore to Rs. 400 crore of extra capital to invest in inventory of rice?

Anoop Kumar Gupta: Yes, Jagpreet, this year we will be buying paddy. So, we need finances, even we are going to buy regional rice. Even our share in basmati purchase would be higher this year. I think all the money which is lying in the banks will be utilized.

Jagpreet Singh: Any color on the growth in the premium segment rice, like Classic and Super, is that segment growing as fast as, let us say, Unity presenting most of the additional numbers? Is your premium segment also growing?

Anoop Kumar Gupta: I can reply to you separately on this, the numbers of Classic and Super are growing. Otherwise, how could the realization be so good? The average realization is coming under Rs. 24 per kilo. You can understand, therefore, there is a growth in the premium segment. At least for domestic market, I had run some numbers. For India Gate Classic and Super, we have done exceptionally well in Q1, and we have recorded 60% volume growth in this particular segment. It is actually beating our overall performance and the premium segment has outperformed the overall performance.

Anil Kumar Mittal: Jagpreetji, when the bottom line improves, it means our premium segment sales are going up.

Moderator: The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Two questions. One is on the HoReCa segment in India. Are we back to pre-COVID level in terms of volumes or what is the sense you are getting? For HoReCa, we used to sell under the Unity brand. So, what percentage would be HoReCa and what percentage would be retail?

Ayush Gupta: On the HoReCa front, we were back to higher levels pre-COVID, at least 2 quarters back, I believe. And Q1, I don't have my numbers correct, but I would take a guess at about 40% increase from pre-COVID levels in the HoReCa segment. And when it comes to Unity brand, Unity brand has historically been primarily a HoReCa brand. More than 85% of revenues still come from the HoReCa segment for that brand. However, we are aggressively promoting the consumer pack range of Unity through our expanded distribution network. And we are hopeful to see much better growth in the consumer segment as well.

Anil Kumar Mittal: And I would like to add one thing due to the recent GST notification where the taxability on the branded and unbranded has become equal and we are now at a level playing field. We used to pay 5% tax while others chose not to pay. Now I have changed my packing from Unity 25 kg to 30 kg. As per Government notification, above 25 kg, there is no tax for everybody whether it is a registered brand or a non-registered brand. I hope, with this, our HoReCa sales will improve very much.

Nikhil: I think for the last two quarters, we had issues with meeting the demand in the modern trade and all. This quarter, when we say the export demand was very strong sequentially, is there some element of channel filling also? And as a result, this number can go down in future

quarters because there could be some one-time sales versus the normal sales which we would be doing?

Anil Kumar Mittal: This all sales which we have shown in Q1 and in future quarter is only channel sales. And the demand in channel sales is so much that none of the containers are going to the warehouses of the customer. They are going directly for supply to all the different channels. So, channel sales is very strong in Saudi Arabia, and that is the strength of

the brand.

Moderator: The next question is from the line of Aman from Augmenta Research Private Limited.

Please go ahead.

Aman Madrecha: Can you just throw some light about how the paddy prices have moved compared to quarter on quarter and YoY and also give some sense of understanding, like as we were just saying that the sowing area is low, around 13% to 14% lower compared to last year, can we expect that the paddy prices to remain high for the remaining year also?

Ashish Jain: I can give you the paddy numbers on how they have moved from quarter to quarter.

If you look at our average cost of paddy purchase, for basmati rice, that was at about Rs. 34,000 per metric tonnes as of Q1 FY23 as against about Rs. 28,000 in the last season. So, if you compare it to buying price, it was Rs. 28,000 increased to about Rs. 34,000 in the last buying season.

Aman Madrecha: Last buying season was during?

Ashish Jain: October to December quarter.

Aman Madrecha: Can we expect the prices to continue at this level for the paddy because of lower sowing this season

Anoop Kumar Gupta: Yes, paddy prices will be strong as Anilji has already told you. There are a lot of reasons. 1) The Government has increased MSP. 2) The area of non-basmati is less. So, there will be a pressure on basmati. 3) The demand in export is quite good. 4) There is no carryforward stocks with the rice millers and exporters. So, naturally in the new buying season, everybody would be a buyer. So, we are expecting the price to be very good. Last year, the crop started at Rs. 28 and finished at Rs. 35, 36. This year, we hope the crop will start at Rs. 32, 33 compared to Rs. 28. So, naturally, it is higher by 20% than last year.

Moderator: The next question is from the line of Jayesh Gandhi from Harshad Gandhi Securities.

Please go ahead.

Jayesh Gandhi: In one of the earlier callers' questions, you said that you don't follow FIFO method. What method you follow?

Anoop Kumar Gupta: It is, paddy prices are at cost. Whatever the cost is, that will go on cost, no FIFO. I mean, it is the average. If the average of everything is A, it will be A.

Jayesh Gandhi: For example, if we have a paddy stock of, say 6 months, 6 months' prior price will be there or it's the average of the 6 months price that we book?

Ashish Jain: I will add to what Anoopji said. From a calculation perspective, we use weighted average. It's not FIFO and in terms of how inventory is valued, like I had mentioned, for finished products, it is NRV which is net realizable value, and for cost and semi-processed stock, it is at cost.

Moderator: That was the last question for today. I would now like to hand the conference over to management for closing comments.

Anil Kumar Mittal: I am thankful to the investors for attending this conference call and I am quite confident that this quarter's results must have encouraged you that KRBL is back to the trajectory of growth, and we are going to follow this in the coming 3 quarters.

Our order book is very strong and we feel that in the coming 3 quarters, we are going to show very good results both on the top line as well as the bottom line. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

We do hereby confirm that no Unpublished Price Sensitive Informa

tion was shared or discussed during the Q1FY23 Earning Conference Call.

Call: Nov 2022

E:KRBL/BIBHU /STK_EX_2223/ 63

19 November 2022

The General Manager

Department of Corporate Services

BSE Limited

Floor 25, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai -400 001

Scrip Code: 530813

Dear Sir/Ma.dam, National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G

Bandra-Kurla Complex

Bandra (E), Mumbai-400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Monday, 14 November 2022, on the Unaudited Financial Results of KRBL Limited for the Second Quarter (Q2) and Half Year ended 30 September 2022.

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on Monday, 14 November 2022, at 04.00 P.M. onwards, on the Unaudited Financial Results of KRBL Limited for the Second Quarter (Q2) and Half Year ended 30 September 2022.

This is for your information and record.

Thanking you,

Yours Faithfully,

For KRBL Limited

Jyoti Verma

Company Secretary

Encl.: As Above.

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WORLD'S LARGEST RICE MILLERS & BASMATI RICE EXPORTERS

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KRBL Limited

Q2 FY 2023 Earnings Conference Call Transcript

November 14, 2022

Management: Mr. Anil Kumar Mittal – Chairman and Managing Director

Mr. Anoop Kumar Gupta – Joint Managing Director

Mr. Ayush Gupta – Head, Domestic Division

Mr. Ashish Jain – Chief Financial Officer

Moderator: Ladies and gentlemen, good day, and welcome to the KRBL Limited Q2

FY'23 Earnings Conference Call. As a reminder, all participant lines will be

in the listen only mode. And there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance

during the conference call please signal an operator by pressing '*' then '0'

on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India.

Thank you, and over to you, Siddharth.

Siddharth Rangnekar: Thank you, Rochelle. Welcome to KRBL Limited's Q2 and H1 FY'23

Earnings Conference Call for analysts and investors. I'm pleased to

introduce to you senior members of the management team on today's call.

We have with us Mr. Anil Kumar Mittal, Chairman and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director; Mr. Ayush Gupta, Head, Domestic Division; and Mr. Ashish Jain, Chief Financial Officer.

We propose to begin with updates from Mr. Mittal with views on the industry, the business and broad strategy. We shall then have Mr. Ayush Gupta, who will take us through the perspectives on domestic business. Thereafter, we shall have the financial overview presented by Mr. Ashish Jain. After the opening remarks from the management, the forum would be opened for interactive question-and-answer session.

A cautionary note that some of the statements made on today's call could be forward-looking in nature and actual results could vary from these statements. A detailed intimation in this regard is available in KRBL's investor presentation, which is available on the stock exchange websites.

I would now like to invite our Chairman, Mr. Mittal, to share his views. Over to you. Over to you, Anil ji.

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Anil Mittal: Good afternoon, investors. I would like to brief you on the production and consumption of Indian rice crop this year since there have been many changes due to deficient monsoons. However, as we've all witnessed, there were rains in the month of September and October, which slightly damaged basmati rice crop, but benefited non-basmati rice crop. When compared with the production of Kharif season 2021, which was 112 million metric tons, the production this year is lower by 6% at 105 million metric tons, out of which basmati is around 7.5 million metric tons.

In the last 10 years, India's rice production has grown at a CAGR of 2.4% per annum, whereas India's rice consumption has grown at a CAGR of 0.9% per annum. The production yield has grown much higher than the domestic consumption which has helped India to become the larger rice exporter in the world. Last year, India exported around 21.21 million tons of rice, out of which Basmati exports were 3.95 million tons. The government of India on 8th September 2022 imposed an export duty of 20% on non-basmati rice, exempting non-basmati parboiled rice and all varieties of basmati rice. These measures were taken since the government buffer stock was depleting and the government had to fulfill their obligation of free distribution of wheat and rice to the under-privileged, whereas 100% broken rice was completely banned for exports. There is a huge demand for broken rice for manufacturing ethanol other than feed and poultry industry. Hence, this decision of the government was a positive move to control inflation in the country. We would like to add that broken rice was primarily exported to China to the tune of 1.5 million metric tons.

This year, in the first half, India has exported around 2.2 million tonnes of basmati rice as compared to 1.95 million tonnes exported during the same period last year, showing an increase of 11% in volume terms, whereas the exports grew by almost 46% in value terms, amounting to INR17,896 crore as compared to INR12,295 crore last year. To further add, India exported around 60% of the total basmati rice to 4 countries such as Iran, 600,000 tonnes; Saudi, 407,000 tonnes; Iraq, 130,000 tonnes, UAE, 175,000 tonnes, confirming that majority of basmati export is to Middle East, including Persian Gulf.

Moving to the current basmati scenario, the crop was expected to be higher by around 15% to 16% over last year. With the delayed monsoon in the month of October, that basmati crops got slightly damaged, not only in yield but also the grain got damaged by additional 2% in some parts of the basmati growing areas. The overall crop, now after mapping and cross-field surveys, should be either higher by 5% to 7% or maybe equal to last year. The prices of new crop paddy have opened up slightly higher than expected levels. But still, the current crop prices, depending upon the varieties, are lower by 12% to 15% than the basmati rice price prevailing during April - August 2022.

Presently the demand is subdued and the buyer from Middle East, Far East, Europe and U.S.A. are working the market and are expected to start buying around first week or middle of December. But this buying trend has no importance to KRBL since we market mostly 1 to 2 year branded aged rice and the orders for which are received regularly on a monthly basis. We believe that prices will remain stable for at least 1 month till the time the correct assessment of the damage due to the late monsoon is clear.

Moreover, the mapping figures are also not correct, hence the trade up until now is in dilemma as to which way the paddy prices will move in next 45 days. The rice prices are directly correlated to the paddy prices, hence, we at KRBL are going to purchase good quantities at the prevailing prices.
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There were rumors that basmati prices will take a jump due to floods reported in Sindh area of

Pakistan. No doubt the basmati and non-basmati crop in Sindh area got badly damaged to the tune of 70%, but the production of basmati rice in Sindh area is very minimal compared to Punjab region of Pakistan, which is witnessing a good harvest.

Moreover, Sindh area grows a duplicate basmati rice which is used for mixing with their traditional varieties. Therefore, the effect of Pakistan flood on pricing will have no effect on international prices of basmati rice. The two irritants in exports were the ocean freight rates and the availability of containers - both the issues have been resolved. The freight rates have come down to 1/3, and they will further come down by another 10% to 15% compared with their peak about 9 to 12 months back. Still, the freight rates for USA and Australia have not come down compared with other destinations which are also expected to reduce in the coming months. The availability of container are in abundance and supplies are going to further increase since China is manufacturing around 30,000 containers per day against orders from various shipping lines world over.

KRBL is going to have enormous advantage with the imposition of GST on unbranded prepackaged rice. This has broad parity between private label and established brands. With the imposition of 5% GST, the demand for KRBL brands have improved significantly which would be witnessed in the third quarter, the details will be shared by Ayush, who heads the domestic department. KRBL has shown a robust performance in the second quarter of FY 2023. The total revenue of the company grew by 26.5% year-over-year and 8.12% quarter-over-quarter, whereas the export business grew by 106.05% year-over-year and 21.6% quarter-over-quarter. Besides, EBIDTA margins improved to 22.79% compared to 19.27% last year. The PAT was at 15.91% compared to 12.89% last year, giving an EPS of INR9.05.

The company is growing in the export market but has made a remarkable progress in Saudi Arabia with the new distributor. And those sales pertaining to modern trade is really showing a good progress, and we are happy with the performance. We have nearly captured back our lost market share, and it seems that the customer was waiting for the India Gate products to come back in the market. We have still to finalize the HoReCa segment for which our efforts are ongoing, and we expect that during Quarter 4 we will be able to finalize it. I have tried to convey most of the events, and if something is left, it could be discussed during the question-answer session. Thank you once again. Thanks.

Ayush Gupta: Thank you, sir, and good afternoon, ladies and gentlemen. I'm delighted to share that the domestic business recorded yet again a strong quarter performance, with revenue growing by 18% year-over-year. We have delivered best ever H1 performance, wherein revenue increased by 36%. Growth has been equally contributed by the general trade and modern trade e-com channels. It is notable that within the general trade channels, bulk pack segment has led the growth. The decision to charge 5% GST on prepackaged food nullifies the advantage local players had over established brands. We have been looking forward to this for the last 5 years. This

decision will formalize the sector and lead to healthy competition.

I will now share a progress update on our 3-pronged strategy that I've been talking about in our previous calls. On the distribution front, we are diligently expanding our direct distributor network to town Class 1, town Class 2 and rural markets of India. We have effectively appointed 167 new distributors in this financial year so far, and we are on track with our target to expand our
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distribution reach to 250 new towns by the end of this financial year. Our numeric distribution percentages had already increased by 370 basis points in quarter 2, but we'll be seeing the true results of this in the subsequent

quarters.

In the past year, our secondary sales coverage stood at 31%, which means the percentage of distributor sales being captured by our field sales team. In the first half of this financial year, we have been able to expand our secondary coverage to 38%, a growth of 700 basis points. This is in line with our strategy to drive the category through robust active retailing. Increase in secondary sales coverage has resulted in higher throughput at retail outlets, improved relationships with trade and better saliency of the brand. We will continue to drive this feature and are targeting to reach 60% secondary sales coverage by financial year 2025.

On the third strategy, on augmented product portfolio, while the non-basmati initiatives remain under the work, I'm happy to share that Unity brand has grown by over 40% in this financial year and is on track to reach the INR1,000 crore mark by the end of financial year 2025. We have developed a strong pipeline of new product introductions which span across the value-added rice segment as well as the health segment. We will see us launching few of these products in the next 2 quarters.

As the competitive scenario in our category becomes more dynamic, we are strategically taking on the role of category captaincy. As a category captain, our approach will be to focus on the long-term evolution of the category. We are continuously deepening our understanding of the shopper behavior and reviewing the category for variable insights. For the first time, we are taking a regional approach to marketing. We have divided the country into 3 market types based on basmati penetration, KRBL market share and other quantitative factors.

Firstly, there are states where the focus is to drive consumption from unbranded segment to packaged segment. Secondly, there are states where we need to drive category penetration and frequency of consumption. And thirdly, states where we have to take disruptive market share gains. We have devised a specific marketing mix for each of these market types, and you will see communication emerging from this approach launched in the market in the next few weeks.

The category captaincy mindset will ensure that we are not just fighting the short-term market share battles, but investing appropriately in building this category for the long-term gains. During times of inflation in FMCG industry, we see consumers down-trading or downsizing. In rice, we typically witness a downgrade into unbranded loose rice segment during such times.

To navigate this challenge, we have beefed up our assortment with a clear price laddering strategy to arise this so that the consumer has an offering within our portfolio even during inflationary scenarios. While the basmati penetration in India is at 42%, the packaged penetration hovers around 20%. We are constantly reminded of the immense headroom for growth in the segment of this business.

With that, I come to the end of my remarks, and I will now hand it over to Ashish, who will take us through the financial performance.

Ashish Jain: Thank you, Ayush. I will now take you through the performance for the quarter ended September 30, 2022. All figures mentioned by me would refer
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to the consolidated financials of KRBL Limited. Total income for the quarter stood at INR 1,340 crore, marking a growth of 26.5% over the corresponding quarter last year. Gross profit of the company increased by almost 50% and EBITDA and PAT increased by almost 50% and 56.4%, respectively.

The company recorded several highest-ever metrics, too. For example, the company recorded highest total income, highest EBITDA, highest PBT, highest PAT, highest total comprehensive income and highest quarterly earnings per share in the quarter. Revenue from operations grew by 25.2%, led by export sales which grew by 105% to INR 592 crore. Domestic sales, excluding power, were at INR 696 crore or

lower by 5%, but this is on account of higher bulk rice sale in the corresponding quarter last year. Excluding bulk rice, referring to branded sales, branded sales grew by 18%, as mentioned by Ayush.

Basmati rice sales realization increased by 42% over Q2 FY'22. Higher realization was recorded both in domestic and export segments. Gross margin improved to 34.5%, an improvement of 535 basis points over corresponding quarter. This was led by both improvement in sales mix as well as higher realization. EBITDA margin for the quarter was at 22.8% as against 19.3% on account of better gross margin, partially offset by following increases over corresponding quarter. Freight expenses increased by INR 28 crore, advertising expenses by INR 11 crore, other selling and distribution expenses by INR 4 crore besides increasing some other provisions. Freight expenses increased during the quarter, though the latter is largely recovered from the customers.

KRBL's finance costs declined to INR 1.5 crore as against INR 1.7 crore in the corresponding quarter. This is happening as our reliance and borrowing continues to reduce. The company's PBT margin also improved to 21.3% as against 17.3%, while PAT margin improved to 15.9% as against 12.9%.

Now I'll just summarize the H1 performance. For first half of this year, total income was at INR 2,579 crore, marking a growth of 23.4% as against H1 of last year. Gross profit increased by almost 37%, while EBITDA and PAT increased by 33% and 36.3%, respectively. Revenue from operations grew by 23.1%, led by both export and domestic sales, with Y-on-Y growth of 36% and 16%, respectively.

Cash generated from operations before tax is INR 169 crore higher than H1 of current year as against H1 of last year. I will now share some data with respect to inventory. Total inventory as of September 30, 2022, was at INR 2,054 crore, comprising INR 160 crore of paddy as against INR 177 crore in September 2021, while rice inventory was at INR 1,751 crore as against INR 1,700 crore at the same period last year. In volume terms, paddy stocks were at approximately 50,000 tonnes and rice at approximately 313,000 tonnes. These numbers were slightly higher at 62,000 tonnes and 365,000 tonnes, respectively, in September 2021.

Inventory, as you know, is lower primarily to lower paddy purchase since last time. The cash position of the company continues to be healthy. The total cash and bank balance, including investments, was at almost INR 1,600 crore, up 74% over the same period last year.

With that, I come to the end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I would just like to mention that as the ED matter sub-judice, we will not be in a position to respond to queries on this matter. So over to the moderator now.

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Moderator: Our first question is from the line of Pritesh Chheda from Lucky Investment

Managers Pvt. Ltd. Please go ahead.

Pritesh Chheda: I have a few questions. In the half year, 20-plus percent top line growth that we see, what will be the volume growth in this?

Ashish Jain: Overall volume, you're talking about half year?

Pritesh Chheda: Yes, half year because both quarter 2 and half year is about 25% and 23% top line growth, so.

Ashish Jain: Sure. So, half year basmati rice volume growth is at around 6%.

Pritesh Chheda: Okay. What explains the improvement in margins that we see in the first half now?

Ashish Jain: So, I think the improvement in margin is explained by 2 factors. One is there is improvement in product mix, which is higher share of higher realization SKUs and also the general increase in rice prices that we've seen over the last, I would say, now 3 quarters.

Pritesh Chheda: Okay. Looking at the current scenario, do we see the H1 performance sustaining in H2?

Anoop Gupta: Yes, definitely, our third quarter and fourth quarter is going to reflect H1 performance.

Pritesh Chheda: And my last question is, sir, I see the export business in the first half at about, let's say, INR1,077 crore. Looks a lot of improvement versus the last year's number, because last year full year number was about INR1,500 crore, INR1,600 crore, my guess. So now what is the progress on the Saudi and the Iran business for us to better understand this export business of INR1,077 crore that I see in the first half.

Anil Mittal: As I conveyed in my opening remarks, we are doing very well in Saudi. It seems that people have been waiting for more than two years for India Gate to arrive in the market. The demand has been very good but the product was not available in the market. So, the order flow is very impressive currently and our performance in the Saudi market has started looking up which is being reflected in our export data. As regards Iraq, we are not able to get a good distributor, but we have exported a small quantity. It's a negligible quantity. But we expect that we will get a good distributor.

Pritesh Chheda: The question was Saudi and Iran, not Iraq.

Anil Mittal: Yes, I'm talking of both here. Problem with both the countries is same. There are local traders who have captured the local markets. Like in Japan, they are into multi-faceted businesses, say, construction, automobiles and agriculture. Under agriculture, they trade in rice, particularly basmati rice.

So, competition is very tough especially when you have to fight with a local person. Under such circumstances, we still manage to be the market leaders in Saudi Arabia as far as the product and the pricing are concerned. However, we still have to capture the quantum business of Saudi Arabia which will be possible once we finalize on our HORECA distributor.

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As far as Iraq is concerned, the margin of profits are very less. We have met a few prospective people for our distributorship. It will be difficult to take an immediate decision, but I hope that we would be able to have a hold on the Iraqi market by the fourth quarter, i.e. Jan-March'23. However, considering that the profit margins are so low, we are a bit disturbed and are wondering whether we have to even work on those margins or not.

Pritesh Chheda: Okay. Sir, so I could understand, so the Saudi and the Iran business, which was, let's say, at the peak about INR1,100 crore and which fell down to

INR300 crore until last year, now where are we on those 2 businesses after what I see exports improving, too?

Anil Mittal: Let me correct you. It was only one country. INR1,100 crore pertained to only Saudi Arabia. We were never active in Iraq because of payment problems. There were payment problems. The problems are of course not comparable to those in Yemen or Sudan, but still the environment is not very conducive. And most of the business and the financial transactions are routed via Dubai. It is not a direct business and we have not been very active there since beginning. As regards the INR 1100 crore business of Saudi, I am quite positive that we will be able to do at least INR 550 – 600 crore this year, and another INR 500 crore in HORECA business once the distributor is finalized.

Pritesh Chheda: Okay. So, in this INR1,077 crore, we already had INR250 crore-type business in Saudi in the half year?

Anil Mittal: Should be. I don't have the correct number, but should be.

Moderator: Our next question is from the line of Anuj Sharma from M3 Investment Pvt. Ltd. Please go ahead.

Anuj Sharma: Yes, congratulations for good results. We've been hearing some positive news about the 3 new variety, which is 1185/86 and 47. Can you just highlight the productivity in these? And the price which could be different than the existing varieties. And third is, how much time the export market will take up to accept these varieties?

Anil Mittal: These varieties were given to us by Pusa Institute

for our feedback after testing them at our laboratory. We found them excellent and given our positive feedback about two years ago. The grain quality, texture, cooking results and everything were good. Based on that, we were given some seed quantities only this year for test sowing. So, this year we have distributed them for seed multiplication and hence we will be able to have a large scale commercial production only next year. However, whatever little quantities that are coming in the market of these 3 - 4 varieties are pest resistant. We are very happy that there are very minimal pesticide residues in these varieties, and they will meet the stringent pesticide residue norms of countries such as Europe, America, etc. Besides, there is no compromise on the production yield, price levels, grain quality, etc. The beauty is that their pesticide residue levels are very less.

Anuj Sharma: All right. And just in terms of productivity given the same acreage of plantations, do you expect the increase in productivity due to these new varieties?

Anil Mittal: No. There is no increment in productivity because the scientists have worked primarily on pesticide-free or pest-resistant quality.

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Anuj Sharma: All right. My second question is on the procurement strategy. You touched upon it on pricing remain the same, your procurement will be higher. But can you just highlight how do you see the procurement strategy for this year?

Anil Mittal: According to the data available with us, the prices are about 12% to 15% lower as compared to last year. However, there is a little dilemma. Actually, the crop size is 15% higher than the last year. So, it was initially thought that the prices will remain quite low since the crop size is 15% higher. However, due to heavy rains, there has been a crop damage to some extent, the quantum of which we are not able to guess right now. No one knows whether the crop damage is 5% or 10% or 15%. The entire trade is keeping its fingers crossed. We still believe that the quantities would be more than last year, and the prices would remain firm at the opening price levels. Under this scenario, we are definitely going to buy 20 – 25% more over last year.

Anuj Sharma: All right. And my last question is on the regional rice. Based on your

experience, you've been working on it for some bit of time. So what is the progress out there? And what is the consumer impact you're getting on the regional rice?

Anoop Gupta: Originally, we have planned for 3 varieties, one was gobindobhog, other was kolam and third was sona masoori. We have already started marketing sona masoori and kolam rice. And this calendar year, we'll be doing around INR 20 crore, INR 25 crore of these 2 varieties, which is basically we are doing the test marketing. And next calendar year, we are expecting a turnover of around INR 60 crore to INR 70 crore. But everything is in progress in Gujarat. Our plant has started. We have started installing plant and machinery. And by March '23, we think the Gujarat plant will be operational. And Gangavati, Karnataka, we have already purchased land. And it will take by March '24, it will be complete.

Till the time the plants will come, but our marketing will continue. What I told you exactly when the plants will come, our turnover would be around INR 400 crore to INR 500 crore. But in next 2 to 3 years, we will deal with the private millers or buying rice and marketing in our brand. By the time the plant comes in, we'll do a turnover of around 100 plus. So we are on track. Just for gobindobhog, it will take some more time. Otherwise, for both the varieties of kolam and sona masoori, we are on track.

Moderator: Our next question is from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Continuing on the previous participant has asked all my questions relating to that itself, continuing on that. Current

ly, we see the rice market at around 100 million metric tons, out of which 7 million metric tons approximately basmati. So that is the addressable market that the company was working with until now. So with these 3 varieties of rice, what will our addressable market expand to?

Ashish Jain: Yes. Nitin, I think what you are asking is that with the 3 varieties that Anoop ji has mentioned, what is the market size that we see? Is that your question?

Nitin Awasthi: Yes. Total market.
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Anoop Gupta: You were talking of the regional rice, we are looking at the top line of minimum INR 500 crore.

Nitin Awasthi: Yes, so these 3 varieties, out of the whole rice bucket, how much would it be in India?

Anoop Gupta: Nitin, you see these 3 varieties, it's a very, very big market, maybe in millions, but I am talking of a very aged and value-added products which is being sold to the consumer at around INR 80 to INR 100 a kilo. It is a 1-year, 1.5-year aged rice and marketed in 1 kilo pack or a 5-kilo pack. So the market for that is quite limited, and I'm looking to capture to that market around 20% of this market.

Nitin Awasthi: Understood, sir. So you won't be looking at the extensive reach of the whole market as such, you are saying, to convert it from non-branded to branded?

Anoop Gupta: Yes, that's right, Nitin, you're right.

Moderator: Our next question is from the line of Amit Doshi from Care Portfolio Managers Pvt. Ltd. Please go ahead.

Amit Doshi: Sir, you mentioned about freight costs reducing by 1/3 compared to the peak. But can you give us a guidance about what it had been sequentially? For example, what was in September quarter and what you are seeing now? Other expenses, it's not drastically changed.

Anil Mittal: September to now, it has not drastically come down. It started coming down from the month of April only. Let me give you an example. For Saudi Arabia Dammam, the container freight rate was \$2,200. And, it has been reducing at the rate of US\$ 100 every month. Today, we are paying only \$800. Earlier, we used to pay just \$300.

Amit Doshi: Okay. And you still expect further reduction from this \$800?

Anil Mittal: Yes. I feel it will come down to \$300 to \$400.

Amit Doshi: Okay. Got it. Sir, you mentioned about this export duty, this 20% on the rice other than the basmati and the parboiled exemption. So has there been any impact on the price of the basmati rice?

Anil Mittal: There was never any restriction on Basmati. It has always been open and the Government never touched basmati rice at all. And neither it is in the procurement program of the government. It has always remained a free trade as far as Basmati is concerned. But, yes, as regards non-basmati, the prices are reduced to that extent so that the price of the duty-paid rice remains the same as that of the original price without payment of duty. So rice prices have come down by 20%.

Amit Doshi: No, my question is, was there any indirect impact because of this export duty on our basmati rice prices?

Anil Mittal: No, not at all. There is no impact – direct or indirect, on Basmati prices.

Amit Doshi: Okay. Got it. Sir, you mentioned that your inventory, you plan to increase that 20%, 25% compared to last year. And considering the cash that we have of around INR1,500 crore, INR 1,600 crore, so do you believe we'll run into borrowing to reach that inventory level? Or we'll still go debt free, which had been for last 2, 3 years?

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Anoop Gupta: Yes, you see we are very comfortable as far as debt is concerned. But this year, since paddy, what Anil just said, 10%, 15% lesser, that is lesser of the closing price. If we look at the opening price of last year, we are higher by 10%, 15%. That is my cost of paddy this year compared to last year would be higher by 15% to 20%. And number two, I'll be buying more quantity by not even 25%, it can go up to 30%, 35% mo

re buying, because our demand in Saudi Arabia has gone up, our demand in domestic market and requirement of the branded rice has gone up. So because whatever paddy we buy today, we have to take it in mind for the next 2 years. So looking at our demand, we will be buying 30% to 35% extra. That means 15% prices more, 30%, paddy is more. So we'll be taking around INR1,000 crore, INR1,500 crore from the bank this year. And naturally, our ROCE will become better.

Amit Doshi: Yes, that was my question. So there will be borrowing because of that higher inventory.

Anoop Gupta: Naturally.

Amit Doshi: And sir, HoReCa growth segment, any idea how did it grow in last quarter? Overall what is the contribution of sales.

Anoop Gupta: We got a big benefit in HoReCa due to the abolition of 5% GST on a pack above 25 kg. Now our every pack which is of HoReCa is 30 kilos which is out of GST ambit. Number two, we are doing all our 30 kg sales in India Gate or Unity or our registered brands. Previous year, we used to pay 5% GST and our competitors were not paying any tax because they were not branding under their registered brand. So that was a big benefit, and we are getting this benefit in third quarter. You will see in quarter 3 our HoReCa sales, especially in the domestic market, will take a jump. And I should not say, but it will take a jump of nearly 50% more in quarter 3, what I am

expecting.

Amit Doshi: Okay. And last, this EBITDA margin of 20% to 23% that we have achieved in this quarter, would you believe that we should consider this as a one-off? And historically, 19%, 20% or 18%, 20% should be considered?

Anoop Gupta: I tell you, frankly, our EBITDA, in general, in the normal term is ranging from 16% to 19%. But 22%, it has come because of inventory gains. And KRBL, we carry too much of old stocks. So, there's always an inventory gain. So, 19% to 23% is the range what KRBL is working. If we have an inventory gain, it can go to 22%, 23%, otherwise 19% is always there.

Moderator: Our next question is from the line of Anand Venugopal from BMSPL Capital. Please go ahead.

Anand Venugopal: So, I have just a question, like could you help me understand what is the current state of basmati rice industry? And how are prices of basmati rice holding up? And what is the outlook for business? And what is the outlook for basmati rice prices going into 2023? And lastly, what are the demand and supply factors that are leading to this outlook?

Anil Mittal: Let me tell you, whether it is domestic or exports, basmati consumption has been increasing every year by 6% to 7%. This is the normal trend. However, there is a huge potential for domestic market to grow, because the current consumption level of basmati rice in domestic market is just 3% as compared to non-basmati rice.

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We consume around 95 million tonnes of non-basmati rice annually, whereas basmati rice consumption is just 2.5 million tonnes. So, as you can well imagine, there is a very big scope of growth for basmati trade as far as domestic market is concerned.

Now, talking about the industry, I must say the industry is indeed doing exceedingly well. New plants are coming up and new markets are opening. Saudi Arabia used to import only 700,000 tonnes. I can't understand what magic has happened in the last 2 – 3 years, their market size has grown to one million tonne plus. Same is the picture everywhere. Iran has always been a big buyer. Day by day, the demand of Iran is increasing. Let me tell you, if Iran doesn't have a payment problem or U.S. sanctions problem, Iran can import from India around 1.6 – 1.7 million tonnes. Their own production is depleting day by day because of urbanization & higher cost. Same is the case with Iraq. Iraq used to produce a lot of rice earlier, but their production is coming down day by day. Thus, they are becoming more dependent on basmati rice. Similarly, Amer

ica used to be a market of 60,000 - 70,000 tonnes. In just 6 months this year, they have imported 100,000 tonnes. It was a surprising news, and 100,000 tonnes is a very big quantity indeed.

The only drawback or setback to Indian Basmati is the European countries. And I believe that with the scientific research and the new type of pest-resistant varieties, we will have a good going in the European markets as well from next year onwards. So, rice industry is doing good, new plants are coming, plants are going for expansion and the industry has made money last year and it's running very well.

Anand Venugopal: Okay. Just in regards to prices, how is it going to go into 2023?

Anil Mittal: It is too early to talk about prices. Just imagine, if somebody asks what would be the dollar price after 2 months, can anyone answer with certainty? We expect price to go up. But we do not know whether they will rise or not. We don't work on speculation in KRBL. Our margins are good. I think Anoop wants to give reply to this. Okay.

Anoop Gupta: But he's right. We cannot say, but our expectation is looking at the crop and the demand. And the carryforward stock in the industry was practically zero

this year. So, everyone is taking rice, and we expect the prices to be higher.

Moderator: The next question is from the line of Mohit Khanna from Banyan Capital Advisors Pvt. Ltd. Please go ahead.

Mohit Khanna: Sir, congratulations on a good set of numbers here. I have one question, that if your cost of paddy this year, cost of procurement of paddy this year is higher by 15%, 20%, how do you decide or come up with the selling price 2 years out after maturing it? So is it something that we have to deal with that type of pricing? Or is there any pricing mechanism in between?

Anoop Gupta: You see, definitely, when today, I am buying paddy which is higher by 10% to 15% higher to the opening price of last year. If you look at the closing price, I am still lower by 10% to 15%. So, our pricing after 2 years is comfortable. I mean, after 2 years, my certain SKUs, even if I don't change my prices, my EBITDA is very good, there is no problem. But looking at the market, we can see after 2 years, even we have to increase 5%, 7% or 10%. But the question is there is even where we have to decrease the rice, looking at the present scenario. So we are comfortable as far as pricing is concerned because of our brand. It is fully shielded by our brand. Mr. Mittal will tell you.
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Anil Mittal: Yes, whenever we go to the ministry, we always compare basmati rice with whiskey and wines. Basmati is the only grain in the world where the older it is, the better. And, we have been working on this basis only, whether it is GI or it is pricing. But we found out that it is not commercially viable to age the rice for more than 2 years, because cost, interest and so many things are involved. That is why we have kept it at 2 years.

Last year we fell short by just few hundred tonnes of 2-year old stocks. We went to the market and were willing to pay even Rs.50 / kg extra for a 2-year old Basmati rice. Much to our astonishment, not a single kilo was available. I can confidently say, that in the whole of India nobody other than KRBL is having 2-year old Basmati stocks as of today. This is where our advantage comes into play. We stand a cut above others clearly in terms of pricing & quality.

Anoop Gupta: And I would like to add one thing in the last 30 years of KRBL history, KRBL has never done inventory devaluation. It is always lower than the market price, and that is the reason why we carry aged rice.

Moderator: Our next question is from the line of Amit Doshi from Care Portfolio Managers Pvt. Ltd. Please go ahead.

Amit Doshi: You mentioned that you plan to procure 30%, 35% more quantity. But production is concerned, you mentioned either it will be likely to be the same as last y

ear or it will be 5% to 7% higher. So how do we believe that we'll be able to procure such a higher quantity?

Anil Mittal: We have 40 years' experience of buying & milling Basmati paddy, and we understand the pulse of the market. Every year we have to assess which way the market would go, whether the prices will go up or down or would remain the same. We follow our instincts.

There are 3, 4 advantages with KRBL. Our carrying cost is lower compared to the industry. We always make cash payment to the farmer and others, and thus we get 3% to 4% cheaper paddy from the market compared to many. I will not say we are the only ones who work like this, but our payment to the farmer is so excellent that we always get a cheaper paddy. Thirdly is the brand, the premium on the brands.

Given these 3 points, we cannot afford at any cost to remain without the raw material. We cannot go to the market after 6 or 7 months in search of the right quality of paddy or rice. As I said earlier, we fell short by a very small quantity last year and we couldn't get any quantities even when we were ready to pay extra.

So, this year, we have decided to buy more quantities, looking to the price levels, inflation and all other costs. I was thinking of 25%, but Anoop said that we are going to buy 35% higher volumes over last year.

Amit Doshi: And sir, in this Europe market that the new variety with less residue of pesticide, what kind of market it would be like, for example, Saudi today is around INR1,000 crore plus so in future whatever 3-year, 5-year once this commercialization gets, what could be the size of Europe market which you believe?

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Anil Mittal: Total European Market for Indian basmati rice is 400,000 tonnes or so. 98% of this volume is in the form of brown rice because there is no duty on brown rice. And white rice has a duty of EURO 160 - 170 per tonne, which makes it commercially unviable for White rice to be exported to Europe. However, some brands like India Gate are being exported, but the quantities are very small. However, there is a good news. Out of the 400,000 plus market, 150,000 tonnes are being purchased by U.K. alone, and balance 250,000 tonnes by other EU countries.

There has been a very big pressure on both the governments to come on a free trade arrangement with each other. They want their whiskeys and wines to come without duty into India. And India wants its agriculture produce to go without duty over there. But since India is at a bigger loss, they are more interested and they are finding the mechanism where both countries are on a win-win situation.

If that happens, let me tell you, that 150,000 tonne market will straightaway come to India and it would be white rice. It will be like other Middle East countries. Otherwise, the total market is 400,000 tonnes, and out of which 250,000 tonnes are to other European countries, 150,000 is U.K. Whether it is white rice or whether it is brown rice, it has to be pesticide-compliant. Therefore, I think it will take 3 years. Next year, we will be able to do some quantities, maybe 100,000- 120,000. The next year, it will be 250,000 or 300,000. And in three years, about 70% of our entire basmati production would be pesticide-free.

Anoop Gupta: What is today share?

Anil Mittal: Today share in Europe is very little, may be 100,000.MT. And out of that, 75% is to U.K.

Moderator: Our next question is from the line of Manish Bhandari from Vallum Capital Advisors Pvt. Ltd. Please go ahead.

Manish Bhandari: Two questions. One, your observation related to the demand in U.S., which has surprised you as well as demand in Saudi Arabia. So, there is some inventory hoarding which is happening in any of these countries? Or the natural consumption has gone up? So one, I wanted to know from you on this.

Anil Mittal: Manish, as far as Saudi is concerned, it is not that this year they have impo

orted 1 million. Actually, if you look at the figures for last 4, 5 years, they used to import 600,000 tonnes 5 years back. . It increased to 700,000 tonnes, and then to 780,000 tonnes and this year it has been 1 million tonnes. They always stock big quantities. It is not something they have started doing today. They have been following this practice of stocking huge quantities for past more than 20 years. May be they are having a stock of 50,000 tonnes but it cannot be a stocking base of 1 million tonnes. It could be 40,000 - 50,000 tonnes. They might have purchased more rice this year, but I think for this year also, they are going to buy not less than 900,000 to 1 million tonnes.

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Manish Bhandari: Okay. And my second question was related to your guidance in Saudi. So,

FY'24 can be some INR600 crore plus number for Saudi exports of KRBL, which may include HoReCa or may not include HoReCa?

Anil Mittal: No, we are looking at the INR1,000 crore market by FY'24.

Manish Bhandari: Which includes HoReCa segment for Saudi.

Anil Mittal: Which includes HoReCa, definitely, which includes HoReCa.

Manish Bhandari: Okay. And my last question is related to this pesticide-free Europe, which may be something what you have to export to Europe. So, you would do the same thing in India also, pesticide-free?

Anil Mittal: No. Today, whatever we are able to buy pesticide-free, it is totally for exports because domestic market doesn't have those type of restrictions and bar. . Please understand that what is being stated by various governments is that the pesticide levels are on the basis of what is being followed in Japan. You will be surprised to know that the pesticide residue levels being followed by Japan are much higher than the norms fixed by Indian Government. This is nothing but a non-tariff barrier, and we have to fight it out. But, our scientists are intelligent and capable. They have already come out with a solution, and they have already come out with such a quality of seeds which are pest resistant and virtually no pesticides will be required to cultivate them.

Manish Bhandari: Sure. And sir, last, maybe one more question related to long back, you had a vision of having a portion of turnover in a non-rice and non-Basmati. So where are we? Is there any thoughts on that?

Anoop Gupta: Yes, we are working, but we will be on a value-added product where the margins and EBITDA is more than 40%, 50%. But we are looking at rice bran oil, which will take some time, but we are looking at it.

Moderator: Our next question is from the line of Amit Aggarwal from Leeway Investments Pvt. Ltd. Please go ahead.

Amit Aggarwal: Sir, I have two questions. One is last year, at the same time, you were talking about buying a food company. But after that, there has been no discussion on that. And the other question is, sir, some e-commerce companies are launching their private labels. So will it affect our market share, especially if the market has their own brand? So in future is this a competition for us?

Ashish Jain: So Amit, your voice was not very clear. So, I'll just confirm what you were asking. I think your first question was around what is the update on acquisition? And I think your second question was that the impact of private label launches in India on the domestic front.

Amit Aggarwal: I feel like that some market has their own brand, like BB Royal.

Anoop Gupta: Yes, let me answer the first question. The second will be answered by Ayush. We are still looking at any food company. We are open to it. You see, there are a lot of consultants come to our office and discuss. We are open to it. If any opportunity comes, cash is already there in the balance sheet. We don't have any issues.

Amit Aggarwal: But sir, last year, you said that you were almost buying some company by December 2021.

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Anoop Gupta: No, no, that was I mean, it never happened. It never materialized. We were looking at it. We were hopeful we'll get by December, but it never materialized.

Amit Aggarwal: Private label about e-commerce companies.

Ayush Gupta: Yes. On the private label e-com side of the business, I believe there aren't many e-commerce players right now doing private labeling, especially in the basmati rice segment, barring Big Basket, which is doing that. But even in Big Basket, we enjoy close to 45% category share. So, the private label scope is very limited at the moment, and it is mainly due to their margin expansion strategy. So on private label, they are able to garner a better margin compared to national brands. So, from that perspective, they have that in the portfolio. And private labeling is also more pertinent in the regional rice category rather than basmati rice. So, in the overall e-commerce space, it's a very small play at the moment, done by one player from a strategic perspective, as I said.

Amit Aggarwal: But in future, that can be a big risk to our brands because e-commerce is taking more and more share, more business-like of the whole market.

Ayush Gupta: We see e-commerce to be a very consumer-focused channel. So, consumer demand and brand strength continue to be the prominent drivers to sale. So private label player does not stand to gain a lot of penetration or market share from an e-commerce perspective because the consumers are more brand-conscious and less price conscious, I would say.

Moderator: We take that as the last question. I now hand the conference over to the management for closing comments.

Anil Mittal: Thank you. We are thankful to all the investors for their patient hearing, and there were insights for us also to learn from their questions, and I hope we will try to further provide and give them better results for all times to come, I can promise that also. And we are trying our level best to make you happy and to show that we are the real big rice company with a tradition of doing business. Thank you.

Moderator: Thank you very much, members of the management team. Ladies and gentlemen, on behalf of KRBL Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2023

E:KRBL/BIBHU/STK_EX_2223/ 85
10th February 2023

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Monday , 06th February 2023 on Unaudited Financial Results of KRBL Limited for the Third Quarter (Q 3) and Nine Months ended 31 December 2022.

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation 2015, Please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Monday, 06th February 2023, at 02:30 P.M onwards on the Unaudited Financial Results for the Third Quarter (Q 3) and Nine Months ended 31 December 2022.

The same is also available on the Website of the Company at <https://krblrice.com/schedule-of-investor-meet/> .

You are requested to kindly take the same on record.

Thanking you,

Yours Faithfully,
For KRBL Limited

Jyoti Verma
Company Secretary

Encl: As Above

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"KRBL Limited
Q3 FY 2023 Earnings Conference Call"
February 06 , 2023

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING

DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD, DOMESTIC BUSINESS –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

KRBL Limited
February 06 , 2023

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Moderator : Ladies and gentlemen, good day, and welcome to KRBL Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, sir.

Ashish Jain: Thank you, and welcome to KRBL Limited Q3 FY23 Earnings Conference Call for Analysts and Investors. Along with me on this call today, we have Mr. Anil Kumar Mittal, Chairman and Managing Director, Mr. Anoop Kumar Gupta, Joint Managing Director, and Ayush Gupta, Head of the Domestic business.

We will begin with updates from Mr. Mittal with his views on the industry, the business and broad strategy. We shall then have Mr. Ayush Gupta taking us through his perspectives on the domestic business. Thereafter, I will present the financial overview of the company for the quarter and nine months ended December 31, 2022. After the opening remarks from the management, the forum will be open for Q&A.

A cautionary note that some of the statements made on the call today could be forward-looking in nature and actual results could vary from these statements. A detailed information in this regard is available in KRBL's investor presentation, which is available on the stock exchange's website and also on the company's website.

I would now like to invite Anil ji to share his views. Over to you, sir.

Anil Kumar Mittal: Dear Investors, good afternoon. I will start with a brief on the overall current scenario of rice industry. The rice industry in India has been very bright in both basmati and non-basmati segments. During the period, April to November 2022, we have seen a total basmati exports of 2.73 million metric tons, valued at \$2.87 billion as compared to 2.39 million metric tons, valued at \$2.06 billion during the same period last year, thereby witnessing a growth of 14% in volume terms and 39% in value terms.

As far as non-basmati exports are concerned, a total quantity of 11.57 million metric tons were exported during the same period at the value of \$4.11 billion as compared to 10.95 million metric tons value at \$3.93 billion during last year, witnessing a 6% growth in volume terms and 5% growth in value terms.

As regard to non-basmati, the ban on export of broken rice continues, and there is a 20% duty on export of white rice. Even then, we have seen a remarkable growth in exports, both in value as well as in volume terms. After imposition of a 20% duty, Indian rice prices continue to remain most competitive as compared to global prices.

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At present, FCI has a stock of 11.54 million metric tons of rice and about 31.5 million metric tons are to be received from the millers out of the new crop. The quantity will be far more than the annual buffer requirement of 13.8 million metric tons that FCI is required to maintain. In the meanwhile, since the commencement of paddy procurement by FCI in the state agencies for the current kharif season 2022-23, the total purchase till now has been up by 2% on a year-over-year basis at 64 million metric tons. Higher grain procurement is expected to boost rice stocks held by FCI, which have been depleted by implementation of a free ration scheme that was implemented during April 2020 to December 2022.

FCI distributes around 40 million metric tons of rice and 18 million metric tons of wheat annually under the National Food Security Act, where 5 kg grain per head is distributed free of cost to 800 million beneficiaries. This scheme

has further been extended up to the year 2024.

Talking about Current scenario on basmati crop, we have never witnessed a year like this in our 50 years of experience in the Basmati trade. We have witnessed such an unprecedented rise in the basmati prices, both for paddy as well as rice. The prices were piling up continuously because

of the damage of the crop in terms of yield per acre as well as quantity due to the unexpected rains during September -October 2022 when the crop was just ready to be harvested. Nobody was able to gauge the exact quantum of damage, but the prices went higher by about 40% as compared to last year in the beginning of the season. For example, 1121 paddy started at the price of INR 37 -38 per kg and went up to INR 51 -52 per kg. Similarly, 1718 Paddy , which started arriving at INR 34 per kg went up to INR 48 per kg. Likewise, 1509 Paddy went up from INR 31- 32 per kg to INR 42 -43 per kg, and 1401 Paddy started at INR 36 per kg and went up to INR 54 per kg . This got reflected in the rice prices as well. For example, 1121 parboiled basmati rice started with price of INR 75 per kg and jumped up to INR 92 per kg. Similarly, 1718 Rice started at INR 65 per kg and went up to INR 82 per kg and 1509 Rice started from INR 62 per kg and went up to INR 82 per kg and so on.

I would like to add here that as per the original survey of all the seven states, including Madhya Pradesh and Rajasthan, it was aware that the total paddy output would be 12.54 million metric tons, equivalent to about 8.15 million metric tons of rice . Therefore, as per the original assessment, the production should have been sufficient to meet the demand, and there was no reason for such hike in the prices. However, the rice prices in the domestic market increased by around \$300 per metric tons, as mentioned above, which was expected by the importers worldwide.

A number of factors that have contributed to such a sharp rise in prices are the expectation of a lower crop size on account of unseasonal rain. It is believed that the yield per acre in certain areas were reduced by 10% -15% Secondly, limited carryover stock which got depleted before the commencement of the new crop. Thirdly, Historical high basmati prices in Pakistan due to floods in the Sindh region. For the first time in the history, Pakistan and Bangladesh was \$100

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higher over the Indian basmati , despite the fact that the rupee was devalued US dollar by about 65%.

There is a huge reduction in container freight over the last year. For example, container freight for Saudi Arabia have come down from \$2,200 during February -March 2022 to \$400. For Europe, the rates have come down from \$8,000 - \$9,000 to just \$1,150.

For US A, the rates have come down from \$11,000 to \$2,000; and Australia has come down from \$5,500 to \$1,000. The container availability has eased out and freight rates have become very attractive and equivalent to pre -pandemic levels. Indian rupee has also depreciated by around 9%. Last year, the exchange rate for the rupee was INR 75. 60 in the month of October -November 2022 , which now stands at INR 82.50.

One of the factor for rise in prices was high wheat prices in the international markets. Though wheat price in India are in the range of INR 25 - 28 per Kg, the wheat prices in USA and other global markets have just doubled at around INR 56 - 57 per kg. Wheat being a prime cereal commodity across the world has a psychological impact on rice prices and other cereals as well. All the above factors have resulted in sharp increase in basmati export prices and hence, this level will also be sustainable in the long run as well.

We would like to reiterate that there has been a complete turnaround in the logistics and transportation sector in terms of freight rates and availability of equipment. The availability

of

rail rates for movement of cargo to ports are now surplus. Same is the situation in warehouse space at the ports. More importantly, the turnaround time at the ports have become very fast because of availability of labor , both in the country as well as at the ports . Just eight months back, the load rate was just around 1,500 metric tons per day in break bulk vessel, which is now around 5,000 to 6,000 metric tons per day.

KRBL went ahead with its steady procurement for the current season at a remarkable pace and the procurement was completed in a record period. This was mainly because Basmati paddy arrivals in the market were at historically faster rates this year and got completed by mid of December itself , which normally goes up to middle of February. We procured 47% higher quantity because we have good orders in hand, both for domestic and exports. Beside there is an aging requirement and hence, our procurement this year has been so robust.

On export front, our numbers on a quarter -over-quarter basis are more or less the same for basmati rice, though there is a growth of 55% in value terms on a year -over-year basis. However, there is a reduction in export revenue in the current quarter due to ban on 100% broken non - basmati rice . In previous two quarters, we had exported good quantity of 100% broken and non-basmati rice to China.

Our Saudi business is going as per expectation, and our new distributor is performing well, but we are still unable to finalize a new distributor for the HoReCa segment , the effort for which are

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going on. Regarding Iran, the payment mechanism is a big question mark and still the shipments and payments are routed through Dubai. We feel that after Ramadan is over and the stocks lying at the ports are depleted, there would be a solution for the payment mechanism. Rest, our export to all other regions and destination throughout the world are performing as usual.

I have tried to portray a complete scenario on the production and export of basmati rice and would be happy to answer any questions in the following session. Thank you. I will now pass it to Ayush for the domestic market update.

Ayush Gupta : Thank you, sir, and good afternoon. I will now share an update on the performance of the India business. India business recorded a higher ever quarterly revenue of INR 998 crores during the quarter. This marked the growth of 32 % year-over-year. Growth in the quarter came on the back of both retail as well as HoReCa segments. The Consumer Pack segment grew by roughly 9% in volume terms year-over-year, with both the traditional trade and modern trade channels growing well.

In traditional trade, KRBL clocked volume market share of 32.4% with a gain of 70 basis points year-over-year. In modern trade, we clocked volume market share of 39.8% with a gain of 360 basis points year-over-year. Besides the strong demand, the growth in Retail segment is an outcome of the input measures that we are driving with rigor month-over-month.

One of the strategic pillars of the India business is to drive distribution. Here during the quarter, KRBL has expanded outlet penetration by 15% year-over-year to reach a numeric distribution of 39.2%. In the current financial year, we have expanded our distributor count by 40% to take the number to an upward of 700-plus dealers and distributors. Annual household penetration of India Gate brand as of September 2022 stood at around 10 million households, including 1.4 million new households in this past year.

As you would be aware, loose basmati currently contributes close to 65% of the total in-house consumption of basmati rice in India. This forms the foundation of our second strategic pillar that of increasing branded basmati rice penetration. We have been driving this agenda with our Unity brand as a budget-frie

ndly offering. Unity today, stands as a INR 600 crores brand in the KRBL portfolio. And we have been able to make good growth in particular geographies from a brand penetration point of view.

Starting Q3, we have added to this drive and are now also driving branded basmati penetration through India Gate brand. Our new advertising campaign featuring the popular Bollywood actor, Pankaj Tripathi is one of the many initiatives in this direction.

Moving on to HoReCa segment of the business, This segment has grown by 20% year-over-year and 88% sequentially in volume terms. It contributes roughly 40% of the domestic business revenue. KRBL plays very strategically in the segment, focusing only on top of the pyramid, which means customers who value quality and are willing to pay the price for it.

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With the revision in GST norms, which puts all sellers on a level playing field, the opportunity size for KRBL has significantly expanded. We are now targeting 20% -25% of this segment as against around 10% earlier and are looking at doubling our revenues in this segment in the next two years.

Coming now to the third pillar, that of augmenting portfolio across segments. Here, all three regional rice variances are focused. Sona Masoori, Gobindobhog and Kolam rice are now launched in the market. We have received positive feedback from our customers, and we are looking forward to this very exciting growth journey. Regional rice is deeply rooted in culture and traditions and consumers are very high emotional value attached to it. India Gate being a brand, which connects with consumers at an emotional level is extremely well positioned to take on this journey.

With that, I come to the end of my remarks, and I will now hand it over to Ashish, who will take us through the financial performance.

Ashish Jain : Thanks, Ayush. I will now take you through the performance for the quarter ended December 31, 2022. All figures mentioned by me would refer to the consolidated financials of KRBL Limited. Total income for the quarter stood at INR 1,554 crores, a growth of 33% over the corresponding quarter last year. Gross profit of the company increased by 82%, and EBITDA and profit after tax by 141% and 180%, respectively. The company recorded highest ever domestic revenue and total revenue during the quarter.

Revenue from operations grew by 33%, led by both domestic and export sales, which grew by

32% and 38% against Q3 FY22. Domestic sales, excluding power clocked INR 998 crores on account of higher retail volume , higher HoReCa volume post -GST rationalization on bulk tax and higher realization as Ayush just explained.

Basmati rice realization increased by 31% over Q3 FY '22. Higher realization was recorded across both domestic and export segments. Gross margin improved to 29.3%, an improvement of 800 basis points over corresponding quarter last year, led by improvement in realization, which was slightly offset by increase in input costs.

Gross margin, however, fell by 535 basis points from 34.6% in Q2 FY '23 on account of change in product sales mix and higher input costs. EBITDA margin for the quarter was at 19% as against almost 11% on account of better gross margin, partially offset again by increase in other costs. KRBL 's finance costs continue to decline. They were at INR 3.5 crores as against INR 4.2 crores in the corresponding quarter as our reliance on borrowings continues to reduce year -on-year. The company's PBT margin also improved to 17.7% as against 8.6%, while PAT margin was at 13.2% as against 6.3%.

Now I will discuss nine-month performance. Total income for the period stood at INR 4,083 crores, marking a growth of 27% against the same period last year. Gross profit of the company

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increased by almost 50% and EBITDA impacted by 58% and 66%,

respectively. Revenue from

operations grew by 27%, led by both export and domestic sales, which grew on a year -on-year basis by 37% and 22%, respectively.

I will now share some inventory highlights. Total inventory of the company as of December 31, 2022 was at INR 4,435 crores, comprising INR 2,252 crores of paddy and INR 2,018 crores of rice. These two numbers were at INR 1,359 crores and INR 1,660 crores, respectively, as of December 2021.

In volume terms, paddy stocks were at approximately 577,000 tons and rice at approximately 363,000 tons. These numbers were 398,000 tons and 340,000 tons, respectively, as of December 2021. Inventory, as Anil ji explained, is higher primarily on account of our expectation of higher demand and because of aging requirements.

That brings me to an end of my prepared remarks. I will now like to hand over to the moderator for opening the Q&A session. I would just like to mention that as the ED matter at sub judice , we will not be in a position to respond to queries on this matter. So over to the moderator now.

Moderator : The first question is from the line of Anand Venugopal from BMS PL Capital.

Anand Venugopal : I wanted to know that how much percentage of the global price production does Pakistan make up? And with the economic issues going on in Pakistan, have you seen any supply disruption occurring? If so, what will be the price impact on basmati rice as such?

Anil Kumar Mittal: The share of Pakistan in the global trade is just 600,000 tons whereas the total crop size is just 850,000 tons. 350,000 tons is consumed domestically and 500,000 tons -550,000 tons is the export demand . As far as these quantities are concerned, it got affected this year due to flood in Sindh area. A particular variety is grown in Sindh area like IRRI -6 and part of Super, which is used for mixing along with the basmati rice produced in Punjab area.

So that also is produced to the tune of about 250,000 -300,000 tons, which got totally damaged due to flood in Sindh area. As I told you in my remarks that this was the first year in the history of 40 -50 years with our competition with Pakistan that at their prices were \$100 higher over the Indian prices, and that was one of the reasons that the Indian prices also got quite high and the acceptability of the Indian rice was higher by \$200-\$300 in certain markets due to Pakistan offering at much higher prices.

Moderator : The next question is from the line of Himanshu Upadhyay from O3 Capital.

Himanshu Upadhyay : Congrats on good set of numbers. I have two questions. One is on the exports to Saudi Arabia . The issue with the distribution and we have been trying to search for this HoReCa distributor for quite some time , why is it taking so much time , because we already have a retail distributor cannot he be the same for HoReCa also, or what are the thoughts? Just some of your ideas if you can share with us ?

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Anil Kumar Mittal : Yes. See, as far as the current distributor is concerned, it took us almost nine months to one year to look at this distributor. The biggest problem in Saudi is that everybody wants credit . There is no culture in KRBL to provide credit. So till the time we get a distributor that agree to our terms and condition, it might take another 3-4 months , that is not important , but terms are more

important, and I hope it will take another 2-3 months . After Ramadan, I'm quite sure that we will be able to finalize. We have already shortlisted 2-3 and we are going to finalize one of them in a very short period.

Himanshu Upadhyay : The second question is, again, related to exports. Are we seeing people moving for lesser volumes and more orders , because the prices of rice have increased quite significantly? The incremental orders what we are getting , Are they of large volume only for export s? I think t

hat

people are trying to get lower volume orders also. Just some thoughts on that?

Anil Kumar Mittal : Let me tell you, normally, basmati rice, which is consumed in Middle East, especially is an aged rice. So what is happening, particularly in Saudi Arabia, most of the rice, is aged over there also by storing the rice for 7-9 months . So this year, there were stocks in Saudi Arabia which they were holding for the sale in Ramadan. People in the beginning has concluded some contracts over there when the prices were low in India , those shipments are going regularly and people are into trouble since the prices were low at that time, but all the new prices are quite high because although the old contracts have been finalized. Now the new contracts are higher by \$250 to \$300.

Himanshu Upadhyay : And one more thing. For last two years, the PUSA Institute is trying to give different varieties of basmati, which are more infection resistant or pest resistant so that low agrochemicals. How successful are those varieties? And how large is the cultivation in FY'23? And what are our expectations for the new season or, which will start happening from June-July of sowing of the seeds ?

Anil Kumar Mittal : Those all the three , four varieties are super excellent. It has been accepted by the trade. We had made a trial shipments also , trial milling also, everything went very well. And this year, so I can't say because FY23 crop will also have a very limited quantity, but FY24 crops will have sufficient of those varieties, which is known as pesticide -free resistance -free commodity . That will help us to capture the European market and American market , where the pesticide issue has been come in a big way. And normally, in every speech, we say, that it is nothing but a non - tariff barrier for which we accepted the challenges, and we are ready for that, but it will be in FY24.

Himanshu Upadhyay : And lastly, the capex on the three facilities of you were going to do for the besides the basmati , the Gujarat and all these three facilities. What have you done? And are we expecting the two facilities to start in FY 24?

Ashish Jain : Yes. So the total capex that we had indicated across the three plants was around INR 250 crores. Out of which one plant, which is in Gujarat, we are expecting production to begin in April 2024 .

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So you would find that number getting capitalized maybe by next quarter. For our second plant, which is in Karnataka, the land has been acquired, the various other formalities are currently underway. The third plant, which is in MP, we are looking for the right piece of land there. So overall, you can expect this capex to be spread between the next financial year and the following one.

Moderator : The next question is from the line of Amit Doshi from Care PMS.

Amit Doshi : I have questions regarding the procurement. You mentioned that you procured around 40% plus higher. And if I read it correctly, the prices of last paddy , this is higher by around 15%-20%. So I'm not able to tie up the figures, which is mentioned in the presentation of December 2021, which is around INR 3,100 crores and current inventory of around INR 4,400 crores. So can you please slightly clarify on that?

Anil Kumar Mittal : Yes. I think Ashish will tell you the numbers exactly . But if you take the average, we started buying the paddy rice from Mid-September and then the new crop started coming and they were at a quite low prices. If you take our average price of the whole season of several lakh tons, which we procure this year, we were at a very comfortable level at a very competitive price. As far as numbers are concerned, Ashish, you can tell that.

Ashish Jain : So the average price of basmati paddy procurement from last year is 15% higher.

Amit Doshi : So even if I count 15% higher, so this INR 3,100 crores of i

nventory, which is mentioned. So it

turns around, say, for example, if I have to compare on the volume term the price value comes around INR 3,600 crores. The current price, current inventory, you mentioned is INR 4,400 crores. And Anil ji mentioned in the opening remarks that we procured in terms of volume, some 40%-plus higher compared to last year. So if it has been 40% -plus on the higher on the volume front, then the figure for should have been far higher than INR 4,400 crores or I'm missing something? So that's what I wanted to understand.

Ashish Jain : I can share the numbers in terms of our purchases . So, in the last season, which is FY20 21-22,

we have procured about 5,20,000 tons of basmati paddy. As against that, we procured roughly 45% to 47% higher this season. So that combined with a 15% higher rate will give you the number.

Also, you would notice in our debt that our rice procurement is also higher this season and again, at a higher rate. So if you put the two things together, that should get you close to the overall inventory number that we've reported.

Amit Doshi : The second question is this excellent growth of the domestic sales. So is it anything related to you just typically in the Indian households. There is this new season rice, which comes up? So is there some sort of a seasonal factor attached to it pursuant to which there is higher domestic sales this year around apart from HoReCa growth, which you've already shared?

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Ayush Gupta : No. The Bharti that you're referring to happens only in Gujarat and the trend of this buying behavior has also diminished over the last decade. So it's a very small portion of the overall industry, I would say, that the trend of Bharti that you are referring to. But our sales is not a representation of that behavior.

Amit Doshi : And you mentioned domestic growth grew by 9% volume-wise. Is that correct?

Ayush Gupta : No. So consumer pack business grew by 9%, volume-wise.

Amit Doshi : So can you share overall volume growth?

Ashish Jain : So overall, branded volume growth in the quarter, which is on a year-on-year basis was 12%.

Amit Doshi : Okay. 12% volume growth. This represented overall, right, or only domestic?

Ashish Jain : Domestic branded basmati.

Amit Doshi : And export?

Ashish Jain : Export overall growth on a year-on-year basis in Branded basmati was 41%.

Amit Doshi : And this export figure, which has come significantly higher. What was the contribution by countries other than Middle East? So we believe, of course, Middle East or Saudi is one of our great contributors. But any specific or significant growth other than Middle East like that?

Anil Kumar Mittal : Actually, we are exporting to practically more than 50 destinations, and Africa definitely cannot be compared with the countries like USA, Europe, Australia or Middle East. African continent is comparatively a little weaker, but as far as other countries are concerned, because we are into branded sales, we don't make a single export in a private label. So our prices are more or less dependent on the freight and other expenses. They are the same throughout the world.

Amit Doshi : And sir, you mentioned that once the procurement season was over, broadly the data indicates, there is no significant loss because of the unseasonal rains etc. So now of-f-late after the procurement was completed, way ahead of time in Mid-December, which you mentioned. So post that, the paddy prices were down again, which had shot up to 40%-plus?

Anil Kumar Mittal : Look, paddy prices are not down, but definitely last one week-ten days, rice prices have little bit come down. But now this is going to remain like this like a roller coaster, because it will all depend upon the demand from the importer. It will all depend upon the demand from the importer, because everybody can

assess that the crop size is lesser, and there are various other regions that the prices are going high. That has been now in public domain and transparent that what is the actual position. So people, those who have purchased the quantities and are not able to sell. At many times, they are selling the cargo at desperate by losing INR 3-4 per kg. That is only the difference.

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Moderator : The next question is from the line of Soumen Choudhury from Jet Age Securities.

Soumen Choudhury : Sir, as you have mentioned that our basmati rice prices have increased significantly during the quarter. But if we compare the rough realizations quarter-on-quarter, we don't see too much of an increase. So would it be correct to say that the prices increased towards the end of the quarter and we will see a significant improvement in the current quarter?

Anil Kumar Mittal : Actually, the price started increasing from around 15th of September as arrivals of the new crop started. And it finished this time around 15th of December. So if we look at the graph this time, there was not a single day when the prices have reflected back or come back or dropped. The prices went on one side. Now any order, which is to be shipped in the month of October or November, it cannot be from the new crops. It is all to be from the old crop and all that -- that is why the reflection of the prices, quantity, every thing because of Ramadan, you will see in the fourth quarter.

Soumen Choudhury : So realization should be better in this quarter than what we have seen in the third quarter?

Anil Kumar Mittal : Definitely.

Soumen Choudhury: And sir, one more question, which I had was differential between the valuation of basmati, paddy and rice. This differential is almost 70% -80% currently, which used to be 35% -40% earlier. So I just wanted to know how is that happening? Is it because you are buying rice also at a higher price, or what exactly creates this difference? Because I understand that in the process of dehusking, we lose about 30% -35%. So ideally, the differential should have been about 35% -40% only.

Anil Mittal : On your question, could you repeat again?

Soumen Choudhury: If I look at, say, the second quarter inventory position, the volumes and valuation given, basmati paddy value was at INR 32, whereas basmati price value was INR 56. So which is almost 80%, the rice valuation was almost 80% higher than the paddy valuation, whereas we lose only about, say, 30% - 35% in the process of dehusking. So how does the value of rice go up so much from the paddy?

Anoop Kumar Gupta : Generally, out of 100 kg of paddy, we get 63 kg-64 kg of rice. And out of 64 kg of rice, 14 kg-20 kg is broken and rest is the head rice. So that is how it is valued. So if you divide the 32 kg by 64 kg...

Soumen Choudhury: It will be about 45, sir? It will be about 45.

Anoop Kumar Gupta : Yes. So that was the whole rice comes around 45 kg. But the rice mix might be different. The value is different. We are buying a lot of head rice also. We're just buying a lot of head rice from the market. It is at a different price.

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Soumen Choudhury : So currently, you are buying more of basmati rice also than what you used to do earlier?

Anoop Kumar Gupta : Yes, of course.

Moderator : The next question is from the line of Chetan Doshi from Tulsi Capital.

Chetan Doshi : Congratulations for the good set of numbers. I would like to know what is the sales value of the current inventory what we are carrying?

Anoop Kumar Gupta : You see, I will generally say, it is always at a cost and the market value of what has procured today. Market value has according to me is 15% to 20% higher. And what is our realizable value, it is a different thing. It's a branded product, I can't

comment on that. What is the realized value.

That is much higher.

Chetan Doshi: Can we consider that we are carrying our sales value products of more than INR 5,000 crores?

Anoop Kumar Gupta : Yes, of course, we have INR 4,400 crores inventory which has got a market value of around INR 5,000 crores.

Chetan Doshi: So another question is that ending this year with the record profits. So what are your plans to utilize that money from the cash flow that will be generating and how you're going to reward the shareholders?

Anoop Kumar Gupta : That we'll discuss in our Board meeting whether dividend to be paid or buy back to be done.

Chetan Doshi: In the past, last 2.5 years, it's the same answer, which we are getting from the management that see, your Board is not coming to some common platform as to how we should reward your shareholder.

Anoop Kumar Gupta : So we are giving a good dividend. Now we'll look in the Board meeting, how we can do, looking at the current year profits.

Anil Kumar Mittal : We are going to discuss in the Board meeting and see how our investors are happy and more satisfied. Don't worry.

Moderator : Thank you. Ladies and gentlemen, we take that as a last question. Thank you very much, members of the management team. Ladies and gentlemen, on behalf of KRBL Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 3FY23 Earning Conference Call.

Call: Jun 2023

Ref: KRBL/SE/2023- 24/23 0 6th June 2023

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Wednesday, 31st May 2023 on
Audited Financial Results of KRBL Limited for the Fourth Quarter (Q 4) and Financial
Year ended 31st March 2023

Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulation 2015, Please find
enclosed herewith the Transcript of the Earnings Conferenc e Call of KRBL Limited held on
Wednesday , 31
st May 2023, at 02:30 P.M onwards on the Audited Financial Results for the Fourth
Quarter (Q4) and Financial year ended 31st March 2023 .
The same is also available on the Website of the Company at
[https://krblrice.com/schedule -of-
investor -meet/](https://krblrice.com/schedule-of-investor-meet/) .

You are requested to kindly take the same on record.
Thanking you,
Yours Faithfully,
For KRBL Limited

Jyoti Verma
Company Secretary
FCS-7210

Encl: As Above

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"KRBL Limited
Q4 and FY20 23 Earnings Conference Call "
May 31, 202 3

MANAGEMENT : MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD, DOMESTIC BUSINESS –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

KRBL Limited
May 31, 2023

Moderator: Ladies and gentlemen, good day, and welcome to KRBL Limited Q4 and FY 2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited. Thank you and over to you, Mr. Jain.

Ashish Jain: Thank you, Michelle, and thank you, everyone, on the call for joining us. Welcome to the Q4 and FY 2023 earnings conference call for analysts and investors of KRBL Limited. Today, we have Mr. Anoop Kumar Gupta, Joint Managing Director; and Ayush Gupta, Head of Domestic Division. Mr. Anil Mittal, who usually joins us on the call is not available today. So his comments will be read by Mr. Anoop Kumar Gupta.

To kick off the call, Mr. Gupta will share the business, industry and overall strategy. Following that, Ayush will delve into the perspectives of our domestic business. Finally, I will present financial overview of the company for the fourth quarter and fiscal year 2023. Once the management has concluded their opening remarks, we will open the floor for an interactive Q&A session.

Please note that some of the statements made during the call may contain forward-looking information and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the stock exchange(s) website and our company's website.

Now I would like to invite Anoopji to share his views and the floor is yours.

Anoop Gupta: Yes. Dear investors, good afternoon. In my prepared remarks, I'll be giving you an overview of the global rice scenario and then focus on the Indian rice industry and will further focus on the basmati rice industry in India. Thereafter, I'll discuss about the KRBL specific developments and updates. The world rice production in the marketing year 2022-23 is now forecasted at 512.6 million tons, which is 2.4% below the 2021 all-time peak of 525.1 million tons. This shortfall of 12.5 million tons in global production is mainly due to lower production in China, Pakistan, Sri Lanka and Nigeria. The global rice trade, which has touched a high of 56 million tons in the year 2021-22, has come down to 53.6 million tons this year due to inclusive measures of countries such as India, who have banned the export of 100% non-basmati broken rice and implemented an export duty of 20% on non-basmati white rice.

Such measures have restricted exposure to African countries and China, who are the major importers of broken rice from India. Shifting focus on the Indian rice industry. India is expected to record rice production of 130.8 million metric ton in marketing year 2022-23, which includes 2022 kharif crop and 2023 rabi crop.

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The basmati production of marketing year 2022-23 is around 9.5 million tons, around 12% higher than last year. Despite the overall increase in rice production in India in both basmati and non-basmati segment, we have seen a general price increase this year during the crop cycle, which indicates growing demand for both basmati and non-basmati rice from India.

India's basmati export has grown 16% in volume terms and 46% in value terms in FY 2023 over FY 2022. Volume growth mainly comes from Saudi Arabia, UAE, Yemen, Oman, Qatar, USA, U.K., and Jordan. Whereas India's total rice exports grew by 6% to record volumes of 22.34 million tons and 24% in value terms to INR 89,689 crores, accounting for nearly 42% of the global rice trade.

The main reason for the increase in basmati rice prices were

expectation of lower crop on

account of unseasonal rains, limited carryover stocks were liquidated because of high prices, historically high export and domestic demand, historically high prices in Pakistan, perhaps because of Sind floods, reduction in freight rates, rupee's appreciation, high wheat prices.

The international container rate have come down to 1/3 of the level that was seen 2 years back.

The main reason has been simple availability of empty containers and vessels due to normalization and movement of goods across the world. Further, the delays and holdups at the various ports around the world due to lockdown measures have considerably eased up, leading to a faster turnaround time for the vessel and hence, an increase in supply of equipment. Many shipping lines have added a huge number of containers to their inventory and added new vessels to their fleet.

Talking about the future outlook of rice industry for the year 2024, as per the latest USDA

estimate, global rice production is expected to be around 520 million metric ton in crop marketing year 2023- 24. Global rice consumption is expected to reach 523 million metric tons in 2023-24 from 521 million metric tons in 2022-23. As per the latest USDA estimates, India's rice production of marketing year 2023 -24 may touch 133 million metric tons , while India's basmati rice production may touch 10 million metric tons.

The basmati production is expected to be higher in terms of rate base as basmati prices have been very buoyant consecutively for past 2 years and farmers have been very happy with the prices they have been getting for the produce. But the main factor, which has the highest impact on the production of rice is the weather. While IMD has forecasted a normal monsoon, climate estimates are below -average monsoon owing to El Nino.

Although all these estimates are very preliminary and they are subject to change as we come closer to the sowing period, but India faced El Nino in 2014 and 2018 and in both the years, the staple green production was unaffected. Hence, we feel that the impact of El Nino will be weak.

Now the KRBL financial performance. KRBL recorded highest ever annual consolidated performance. Total Income is of INR 5,456 crores. EBITDA is INR 1,031 crores. PAT is INR 701 crores. Our exports revenue of INR 331 crores in Q4 FY 2023 against INR 280 crores in Q4 FY2022. FY 20 23 export of INR 1,931 crores as against INR 1,451 crores in FY 20 22.

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Key export destination include INR 532 crores from UAE, which includes INR 375 crores unbranded, INR 414 crores from Saudi Arabia, INR 242 crores from China, INR 117 crores from Australia and other countries also. And there's an update on expansion. The Gujarat plant is expected to go live by June 2023 that is the next 15 -20 days. Karnataka, the land acquisition has been completed and the civil work has already been started. Madhya Pradesh, the land is identified, the token money has been given and due diligence is going on in process. With this, I hand over to Ayush Gupta for domestic overview .

Ayush Gupta: Thank you, and good afternoon. I will now share an update on the performance of the India business. India business clocked INR 932 crores revenue in Q4 FY20 23, which is a 38% increase in value year -over -year. With this, the India full year revenue grew at 26% in value to close at INR 3,335 crores.

The year marked a new high for KRBL with our portfolio crossing a household penetration of 1 crores households landmark with an 11.5% increase against the package basmati penetration growth rate of only 2.5%. This year also has been recognized as the world's number one basmati rice brand, which further reinforces our global leadership position in the category.

Further, maintaining its market leadership position in India across channels, KRBL clocks a volume share of 32.5% in tradit

ional trade in the exit quarter, while Modern Trade registered a higher server market share of 58% in the quarter. During the quarter, KRBL has expanded its numeric distribution by 75 basis points on sequential basis to 45.7% with availability in 3.3 lakh outlets.

We have also been driving our Unity brand as a value for money offering, which today stands at INR 750 crores + in the KRBL portfolio with a 50% growth over last year. This GST rationalization measure implemented from mid of the financial year has given the HoReCa business strong tailwind with a healthy 28% volume growth in the full year.

I will now touch upon some of the key focus areas for our growth journey ahead. In our earlier investor calls, I had outlined our source of growth as loose basmati rice which contributes close to 65% of the total consumption of basmati in India. This presents a huge headroom for growth for KRBL in the domestic business. And being the category captain, we are unlocking the growth opportunity through strategic interventions.

Consumer communication is one of the critical levers to drive the harbor change. And in this financial year, we have pivoted our communication and media strategy around this. Starting Q3 , our new advertising campaign, " Basmati rice se no compromise ", featuring the popular Bollywood actor Pankaj Tripathi has gone live with huge impact and partnerships on lead programs like Master Chef, Big Boss and Indian Idol.

Secondly, continued distribution expansion up to 50,000 plus population towns is going to be a critical driver for sustainable business growth. We are working in a focused manner to expand retail footprint through manpower investments, implementing FMCG best practices to enhance identity coverage and to have better controls in the market.

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The next important lever of growth is innovation and premiumization. One of the most important intervention from our table this year has been the launch of a diabetic -friendly low GI rice. India being the diabetic capital of the world with 77 million diabetics, we believe that this product offering we are solving a very important unmet need of the Indian rice consumer and this has huge potential to scale up in the coming few years.

In line with our premiumization agenda, we are also in a very focused manner looking to scale up our flagship variant “ India Gate Classic ” and building higher penetration at the retail and household front, especially on special occasions. Lastly, a key growth lever is the intervention of addressing our total addressable market from INR 15,000 crores to INR 35,000 crores with our foray into regional rices.

Anchored under our master brand India Gate - Sona Masoori, Govind Bhog and Kolam rice have been launched in the market and are garnering good response. We have already crossed the milestone mark of INR 100 crores in the financial year 2023 in the regional rice category.

One other important tailwind expected to come for our business is the introduction of the new basmati standards by FSSAI with effect from 1st August 2023. Over the years, due to mass commercialization, there is a significant amount of adulterated basmati available in trade, making the prime objective of this regulation to safeguard the integrity of the grain and maintain an authenticity of flavour and taste .

This resolution will have a number of positive impacts within domestic business scenario. First, increased literacy within the trade and subsequently consumer on basmati quality. Second, eradication of players indulging in unfair business as basmati adulteration practices, leading to consolidation of market share amongst top branded players.

And third, an accelerated shift from loose and unregulated basmati to packaged and regulated basmati. We see this as a watershed moment for the industry and expect this to be a significant growth driver in the coming

years. With this, I come to the end of my remarks, and I will now hand it over to Ashish, who will take us through the financial performance.

Ashish Jain: Thanks, Ayush. I will now take you all through performance for the quarter and year ended March 31

st, 2023. All figures mentioned by me would be for the consolidated financials of KRBL. Total income for the quarter stood at INR 1,323 crores, marking a growth of 33 % over the corresponding quarter last year. The revenue from operations grew by 30%, while other income in the quarter increased by more than five times on account of interest on income tax refund. Domestic revenue, as Ayush mentioned, increased by 38% over the corresponding quarter last year to INR 932 crores. Year -on-year Basmati sales increased by 43%, driven by 18% growth in volume and 22% growth in basmati realization.

On the export side, revenue increased by 18% over the corresponding quarter to INR 331 crores.

Branded basmati sales increased by 11%, though overall basmati sales were flattish in value terms owing to no bulk basmati sales during the quarter. Total basmati sales volume declined by 14% on a year -on-year basis, but was offset by 19% increase in realization.

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The decline, like I mentioned, in volume was also because there were no bulk basmati sales during the quarter. Total value of goods dispatched during the year, but their revenue yet to be recognized pending receipt of payment at the end of the quarter was at INR 441 crores. This is the number as of March 31, 2023 as against INR 216 crores as of March 2022.

A significant portion of this is expected to be recognized as revenue in Q1 FY 2024. Gross margin in the quarter was at 26.5% and was affected by a couple of factors. One of them is higher basmati unit costs and higher share of bulk non- basmati sale in exports. So bulk non-basmati sale was at 11% of rice sales in Q 4 as against 7% of rice sales in the same quarter last year.

For non-basmati sales, there was a contract which was cancelled by the customer and goods had to be diverted to another country, and therefore, resulted in lower realization. So these three factors, which is higher unit basmati cost as compared to same quarter last year, higher share of bulk non-basmati sale in exports and lower realization on a bulk non -basmati sale resulted in the gross margin.

EBITDA margin for the quarter was at 14% as against 17% in the corresponding quarter. The margin is lower primarily on account of trend in gross margin and INR 10 crores additional expense on the non- basmati deal, which I just mentioned.

Finance cost for the quarter was at INR 7.8 crores as against INR 3.9 crores on account of higher inventory -led working capital borrowing and higher interest rates. PAT for the quarter was at INR 118 crores or 8.9% PAT margin as against INR 109 crores or 11% in the corresponding quarter.

The number is lower on account of the factors that I mentioned and also because the effective tax rate in the quarter is higher as there was a MTM -related loss setoff, which is not eligible in the taxable income. So in short, our taxable income was higher than the reported PBT, which resulted in higher tax.

I will now share an analysis of Q4 FY 2023 versus the preceding quarter Q3 FY2023, Revenue from operations in Q4 was at INR 1,280 crores as against INR 1,536 crores. The lower revenue is on account of domestic sales, which were lower vis-a-vis the preceding quarter by INR 64 crores and export sales, which are lower by INR 194 crores.

Domestic basmati volume in Q4 was lower as compared to Q3, as Q3 is festive season, while export volume in Q4 was also lower because no bulk basmati export was done in Q4. Q4 gross margin is lower than that in Q3 on account of higher share of low-margin basmati sales as compared to the preceding quarter, higher share of non-basmati

sales, which was at 11% of total

rice sales in Q4 as against 3% in Q3, a 2.3% higher average basmati COGS as compared to Q3, while EBITDA margin was also affected by these factors besides INR 10 crores additional cost on the non-basmati deal that I mentioned. Overall, adjusting for these factors, the trend in branded basmati sales remain strong as Anoopji and Ayush have mentioned.

Now I will discuss FY 2023 performance. Total income for the period stood at a record INR 5,456 crores, marking a growth of 28% against FY 2022. Revenue from operations was at INR

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5,363 crores, a growth of 27%. Gross profit of the company increased by 40%, EBITDA by 46% and PAT by 53%, respectively. Domestic basmati sales volume, as Ayush had mentioned, grew by 6%, while realization improved by 26%.

On the export side, in FY 2023, basmati sales volume were marginally lower by 2% because of lower bulk exports, although the realization improved by 38%. In FY 2023, overall basmati sales volume for the company improved by 4%, while realization improved by 29%.

Moving on to the balance sheet highlights. Total inventory as of March 31, 2023 was at INR 4,186 crores, comprising INR 1,616 crores of paddy as against INR 869 crores of paddy in March 2022 and INR 2,396 crores of rice as against INR 1,800 crores of rice inventory in March 2022.

In volume terms, paddy stocks were approximately 407 thousand tons and rice at approximately 404 thousand tons. These numbers are 256 thousand tons and 382 thousand tons, respectively, in March 2022. Inventory is higher primarily to meet the higher expected demand.

Total bank debt as of March 31, 2023 was at INR 138 crores as against INR 6 crores as on March 31, 2022 due to higher inventory. Just had an update on the outcome of the Board meeting with respect to distribution of surplus to shareholders. The Board discussed various options to repatriate surplus funds and have sought professional opinion in this respect post which final decision will be taken. This is expected to be completed in the next 4 to 6 weeks.

With that, I come to an end of my prepared remarks. I will now hand over to the moderator for opening the Q&A session. I would just like to mention that the ED matter is sub judice. So we will not be in a position to respond to queries on that matter. So over to the moderator now.

Moderator: We have the first question from the line of Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay: Yes. So my first question was what we hear from various consumer companies is that consumer demand is low and upgrading is not happening, especially at the middle class and lower middle class level. We have a very large inventory at this point of time. In such a scenario, can you give some of your thoughts that the bullishness what we have is usually in domestic market or exports market? And are we able to get our gross margins in absolute value terms per unit increasing for basmati rice even in Q4 in the domestic market because non-basmati is also a bigger proportion

of our revenue and exports, it is difficult to really understand how successful we are on the branded side to transfer the pricing.

Ayush Gupta: Yes. Himanshu, thank you for the question. See, on the consumer front, the pressures and the inflationary pressures that you're talking about, for basmati rice I think these behaviours are quite muted because majority of basmati rice consumptions are happening in metros and Tier 1 towns of the country. And rural and Tier 2 towns are a very small portion of the overall basmati rice contribution.

So on the overall trade, the impact of this is quite minimal for a brand, branded we have firstly and then also for basmati rice as a category. Secondly, on the stock front, the stock position that we carry, that is for both export and domestic on, I would say, quite equally. So it's not that we have

a leverage or stock position for any particular...

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Anoop Kumar Gupta: And I would like to add that we are holding stock at a very comfortable position. I mean, the valuation, when you talk of the margins, given the stock valuation, what we are holding is very, very comfortable. So margins are not under pressure.

Himanshu Upadhyay: Okay. And secondly, again, the question was on HoReCa distributor in Saudi Arabia. Last call, we stated that we should be able to confirm the distribution agreement there. Are we done with it? And how did that market perform for us with the new distributors, then that to do what we were doing in the earlier days, but there is still some gap to fill in Saudi Arabia market?

Anoop Kumar Gupta: Yes. HoReCa is still not done, but the present distribution is not back to the same, but we are expecting that it will be done in the next 1 or 2 quarters.

Ashish Jain: So just to add to what Anoopji said, I think if you look at our value sales to Saudi, they are roughly 2x the number that we had in FY 20 22, right? So the distributor is performing on expected lines, but we expect the next year to be better.

Himanshu Upadhyay: One more thing, On 6th Slide of Investor Presentation, we have said that the margins were under pressure because of some contracts which got cancelled. But was it such a big contract because on nearly more than INR 1,000 crores of revenue for nearly INR 1,300 crores for the quarter, the margin got impacted you are saying?

Ashish Jain: No. So I'll explain. So that was one of the factors. I think you are referring to the reason why the margin is lower in Q4 as compared to the same quarter last year.

Himanshu Upadhyay: Yes.

Ashish Jain: Yes. So I think like I mentioned in my speech a couple of things happened. So if you look at year-on-year basis, when we look at our average cost of goods sold for basmati, on a year-on-year basis for the quarter, the basmati cost increased by 24%, while the realization increased for basmati by 17%. So to that extent, the cost increase has been higher.

This is also partly because the product mix of goods sold in Q4 comprise a higher share of lower-margin SKUs. So that is what is reflecting in the margin. Second, on the non-basmati deal that we had explained, so you are right, it was not a large contract. Yes, it was roughly the revenue size, the original revenue size was at INR 100 crores. However, the deal got cancelled and the goods have to be diverted to another country, which resulted in a lower realization.

Second, there were some additional expenses related to moving the goods from one country to the other and then storing them till the sale happened. So while not a large contract, but this is an additional cost that we incurred in the quarter, which is what is reflected in the margin.

Himanshu Upadhyay: Okay. Okay. I'll join back in the queue. One small thing about Quinoa, we are still doing or we have stopped that completely because we don't find any mention now.

Ayush Gupta: Quinoa is still available in the market. It's available and it's doing good. It's growing year-over-year.

Moderator: The next question is from the line of Siddhant from Goodwill.

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Siddhant: Yes. I think my first question regarding dividend was answered. Like, any reason why you have not declared it right now and 4 to 6 weeks later?

Ashish Jain: Yes. So I'll just explain. So at this time, the Board looked at various options that are available to repatriate surplus funds. We discussed various options, but the Board wanted a professional opinion to be taken. So we are in the process of taking that. We'll come back and present it to the Board and we are hoping that this entire exercise will be concluded in the next 4 to 6 weeks. So in short it's just evaluating various options, which is why it was not

declared this quarter.

Siddhant: Okay. So deciding between a buyback and the dividend essentially?

Ashish Jain: All options are on the table.

Siddhant: Okay. And my second question is relatively a follow-up, like debt to equity used to be around 1:1 towards -- in the last 5 years, we lowered it to 1 is to -- at a lower ratio. But now because we have essentially no debt, including barely any working capital loans, our ROEs are getting suppressed. So any sort of financial gearing or something that the company is looking at? Or are we staying away from debt?

Ashish Jain: No. So see, you are right. I mean, as we speak today, there is very minimal reliance on debt. In fact, where we are today, we have no debt on the company's balance sheet. So I think the question really is on what is the company's plan to utilize these funds. So one is, I think a couple of things that we need to keep in mind. One is we are in the process of setting up 3 new plants, which will then require additional inventory, for this funding will be required.

Second is that we constantly look at acquisitions. So while there's nothing in the finalization stage, there is some amount of funding that will be needed at all. And whatever is remaining

after that, I think that's what the Board is looking at in terms of what's the best way to return it to the shareholders.

Moderator: The next question is from the line of Amit Agrawal from Leeway Investments.

Amit Agrawal : My question is regarding broken rice. We have been exporting broken rice to China. So what is the total amount of broken rice that has been exported in this financial year? And the government ban, are these affecting our topline because of broken rice?

Ashish Jain: Amit, we don't generally share country -specific revenue numbers.

Anoop Kumar Gupta: INR 242 crores revenue from China.

Ashish Jain: Yes. But I think Anoopji has mentioned that total revenue from China was about INR240 crores in the year.

Amit Agrawal: Yes. So broken rice was exported to China only or some other country also?

Ashish Jain: Primarily to China.

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Amit Agrawal: And my second question is regarding the realization of the basmati rice in domestic market. Sir, the company has been saying that 17% is the -- more realization has been happened in the same particular year. But if you compare the retail tax pricing of basmati Classic or some other categories, the change has been 9% to 10% per annum. So how does the value coming to 17%?

Anoop Kumar Gupta: I think the question is that the change in Classic price -- 9%, while we are saying that the realization is 10%. So how has that happened?

Ashish Jain: Yes. See basmati -- India Gate Classic is a very small portion of our overall sales volume and portfolio mix. So while India Gate Classic price increase would have only been 9% to 10%, there are other products in the portfolio which have increased in high double -digits, maybe 20% - 25%. So the net average realization is 17% on the overall domestic business, certain product categories would have moved accordingly to consumer behaviour and other factors.

Amit Agrawal: So is there any more scope of raising the prices further? Or I think so stable at this point?

Ashish Jain: See, being a consumer -oriented retail product, we try to maintain prices as stable as possible. But looking at the commodity markets, we will keep evaluating our realization accordingly.

Amit Agrawal: And the last question regarding Income Tax Refund, is it still pending the government?

Ashish Jain: No, for those particular years, in that case, we've received all the funds back from the government.

Amit Agrawal: So there's no refund that needs to be accounted for?

Ashish Jain: On that particular matter, yes, there may be other refund pertaining to other financial years, but on that matter, we received all the refund.

Moderator

or: The next question is from the line of Soumen Choudhury from Jet Age Securities Pvt. Ltd.

Soumen Choudhury: Sir, this quarter, we saw a significant decline in export revenue from the last couple of quarters that we have seen, whereas one would have thought that one should have got the benefit of Ramadan also. So is there any particular reason why this has happened? And what is the outlook on this going forward?

Ashish Jain: Yes. So as I have explained in my speech, as of March 31, we had about INR 440 crores of exports that were dispatched, but the revenue is pending recognition. Now if you look at the same period last quarter, this number was around INR 220 crores. So as you are aware, we recognize revenue only once the payments are received. So this is additional revenue, most of this INR 440 crores will be recognized in Q 1.

So if you look at export sales across Q 4 and Q 1, you will find that the trend is being maintained.

So I think it's a timing difference that has happened in case of exports.

Soumen Choudhury: So are we looking at a decent increase over last year, say, if we look at for the year as a whole, are we looking at a significant improvement in volumes and revenue in terms of exports in this year?

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Ashish Jain: See, I mean, if you look at Q 1, you would recall that our exports in Q 3 were at roughly above INR 500 crores. So we are hoping that in Q 1, which is the current quarter, we will come back to that level.

Soumen Choudhury: Okay. And just one small thing on realizations. If we compare like -to-like, would realizations have been slightly higher in Q4 vis -a-vis Q3 in exports? As for basmati price as we say?

Ashish Jain: No, very similar levels. No significant increase vis -a-vis Q3.

Soumen Choudhury: Okay. And domestic also?

Ashish Jain: Yes.

Moderator: The next question is from the line of Kush Gangar from Care PMS.

Kush Gangar: My question was on exports. So for exports, as we have seen exports have been a pain-point since the last few years and have been quite lumpy. Even in this quarter, you mentioned that some of impact would be transferred to Q1. But then if INR 200 crores, which could have come in Q4 gets transferred to Q1, it means Q1 is already lower versus our current run rate. So can you just give us a clear sustainable growth or run rate for export for the next 1 or 2 years?

Ashish Jain: Yes. So I will just give a short-term view and then a slightly longer-term view. See, as you know, part of our exports also include bulk exports. That tends to be lumpy. So you may have quarters in which there is significant bulk exports and then you may have a quarter like Q4, where it doesn't happen. So first, on a quarter-on-quarter basis, that's primarily the reason why you will see export revenue moving.

However, from a long-term perspective, when we look at both elements of export, one is both branded as well as bulk, I think we see the outlook as bright, whereas as Anoopji has also mentioned, I think we're continuing to see strong basmati demand from countries, both for the package as well as non-basmati rice.

Kush Gangar: Right, okay. And what would be the mix of bulk in exports? Can you share that?

Ashish Jain: Yes. On an annual basis, we do about INR 800 - INR 900 crores of bulk exports. So although the current year revenue of, let's say, roughly INR 5,200 crores, about INR 800 - INR 900 crores is bulk.

Kush Gangar: Okay. Okay. As was mentioned earlier, I think Saudi, our initial -- before the business went down, our net was INR 1,000 crores plus, I think. And Anoopji -- Anilji has mentioned that in a year or two, we hope to reach that figure. So are we confident from current INR 400-something crores ...

Ashish Jain: Yes. Yes. So I'll just give a little bit of overview. See, I mentioned that if you look at our Saudi sales in FY 2023, they were 2x that of FY 2022

. However, you are right. I think we are yet to come back to the earlier revenue mark. And I think our estimate is that in FY 2024, we should get there. So it's in the right direction, but still not where it was earlier.

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Kush Gangar: And our earlier figure was INR 1,000 crores plus deferred?

Ashish Jain: That's right.

Kush Gangar: Okay. Okay. And the reason for other income being quite high?

Ashish Jain: Yes. So Q4, other income includes an interest on income tax refund to the tune of about INR 44 crores. That's why the number is high.

Kush Gangar: Okay. And this is the second quarter where we have seen a very strong domestic performance, considering all the points highlighted. So are we confident that this has become a base now and we should in spite of all the weakness in demand, et cetera, this has become the base now and we should say, came up quite significantly even from current higher level?

Ayush Gupta: Yes. Definitely, I think our domestic business, as I mentioned in my remarks also, has been seeing good tailwinds, both in the bulk pack segment as well as the consumer pack segment. Our communication strategies, our distribution strategies are all working well. Brand penetrations

are doing good, consumer demand as well. So what we have achieved in the last 2 quarters has now become the base for us and we'll be looking forward to build on it quarter-on-quarter.

Moderator: The next question is from the line of Varun Bang from Bryanston Investments.

Varun Bang: So first question is on Modern Trade. So this is the fastest-growing channel for us. So how is the profitability and pricing in the Modern Trade relative to traditional trade? And do we see any challenges in maintaining profitability in this channel given the dominance and purchasing power this segment has?

Ayush Gupta: Thank you, Varun, for the question. Our Modern Trade and e-commerce channel actually for us is more profitable if I compare the overall P&L account because expenses are quite less compared to general trade. So in general trade, we will have a lot of manpower and other expenses to cater to that wide spectrum of retailers, when Modern Trade because of the consolidation of supply chain and other effects, our cost tends to be lower. Also, Modern Trade and e-commerce, this category of staples is I would say crowd-pullers or footfall drivers really. So these channels also invest heavily on these particular categories. So the cost of doing business to sum it up is lower compared to general trade.

Varun Bang: Okay. And you've talked about densifying distribution reach. So can you quantify how many distributors and retail touch-points we have added during the year? And we said we've reached 3.31 lakh outlets in traditional trade. So basis of acceptability, affordability and the kind of stores that we target roughly, how many number of outlets we can keep and sell branded basmati rice in India?

Ayush Gupta: Yes. So this year, we've expanded our distribution network quite aggressively and to a number of 40% to reach a 750-plus distributor mark, dealers and distributors. So we have now 750-plus

distributors and dealers in the India market. And on the outlet front, the current penetration of package basmati in India is about 7 lakh outlets. And as a brand, we are available in about 3.3 lakh outlets.

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So our objective right now is to obviously reach to a 60% to 65% mark of retail penetration. But eventually, our objective would also be to push the 7 lakh number of the category to 1 million number in the next few years.

Varun Bang: Okay. Okay. And typically, what I've seen is in rice typically, there is a fixed per kg spread that we charge. Is it a similar way? Do we price our package basmati rice, or is it a fixed percentage that we mark up? So if you can just comment on how we

drive consumer packs and bulk packs, that would be helpful.

Ayush Gupta: You're talking about Modern Trade or are you talking about...

Varun Bang: Overall, in general. In general.

Ayush Gupta: So our pricing for the consumer packs and basmati in the segment is quite market-driven, I would say. Based on consumer affordability at various price points, we've got products right from India Gate Classic to India Gate Mini Mogra 2. So that spectrum of products cater to all types of consumer demand, needs and price points. And that becomes the basis of our product offering. But then compared to the blends and commodity prices, we keep on simulating this forward. ..

Anoop Gupta: Generally, we keep 20% margin for the retailer.

Ayush Gupta: Yes. On the MRP, retailer gets about a 20% margin on our products. So that's also a norm that we follow.

Varun Bang: Okay. So it's a fixed percentage markup, what we look at?

Ashish Jain: Yes. So Varun, just to add to what Ayush is saying, in the rice market for basmati, there is a clear ladder in terms of various price points. I mean, India Gate as a brand is present on all the price points. And this has a very wide range. I mean, you can have the retail price of INR 200 a kg for Classic and then going down to INR 40 or INR 60. From a pricing point of view, one is we make sure that we are available on all these price points, make sure that retailer gets a 20% margin. I think finally, your question is that what is the impact of commodity prices in this? So see any staples brand is never immune from the commodity price, but we try to maintain the price as much as possible so that there is stability for the consumer.

Varun Bang: No, that's not my question. I mean my question is do we look at a fixed trade that we charge on a per kg basis or is it a percentage per kg that we look at?

Ashish Jain: Percentage, not fixed.

Moderator: The next question is from the line of Anuj Sharma from M3 Investment.

Anuj Sharma: And just going back to this question on margin. See, what I understand is since we have been holding inventory and I think the pricing have been on an uptick and ignoring the other 2 factors, how does it work that in Q 3, we could have a high margin and the cost certainly becomes high in Q4? How does the calculation work? Just could you explain the model?

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Ashish Jain: Yes. So I mean, the answer really lies in 2 things. One is that the profile of our sales in Q 4. So if you look at the sales of higher-margin SKUs, in volume terms that was at 71% in Q 3, while in volume terms, it was up 54% in Q 4. So that will have its own consequent impact on the gross profit margin.

Second factor, which I've explained was that there are addition -- we had lower-than-usual realization on a non-basmati deal because goods had to be moved to another country and sold there. So that is the second factor affecting gross profit margin. The third is you would see that there are additional other expenses, which is also coming from the non-basmati that we have. So these 3 things together is what has really affected margin. These factors were not present in Q3, number one. Number two, the overall volume of sales, including exports was much higher in Q3. So these 2 things need to be looked at together.

Anuj Sharma: Okay. But just on an inventory, we follow first-in first-out model, is that correct?

Ashish Jain: Yes. Actually, I'd just like to give a different perspective on your question as well. So between our Q3 and Q 4, there is a part of sales that is what we call it aged rice or aged rice sale. So obviously, that inventory is what we carried from the year previous to that. And our inventory cost would be quite stagnant on that.

But there's a big portion of sales that happened in Q 3 and Q 4, which is new crop, which is the parboiled rice and the steam rice. For those -- because

it's new crop and as you know, the crop

season this year, the prices were quite high. So our input costs on the raw material was quite high. So that would be an effect between Q3 and Q4 that you see would be an impact on margins.

Anuj Sharma: Okay. So one last question. What is the visibility you have? Or it's a very volatile, you can have an 8% margin and then a 22% margin. So what is the visibility you have? And let's suppose you foresee that it will be a low margin quarter. Do you stop that, you only plan that we'll have only 20-plus per cent margin or it's an uncertain scenario as to how do it play out next quarter and next year? How much certainty do you have in this margin grade?

Ashish Jain: Yes. So I think, see, one is that just from a business principle point of view, we really don't engage in any trade or any product sales which gives less than 15% to 16% margin, right? So directionally, all business is planned with that benchmark as the minimum margin. Now you are right, from a quarter-on-quarter, there may be variance.

One of these factors that causes variance is the quantum of bulk sales, especially export sales, where we have limited predictability in terms of when that revenue will get recognized. However, overall, what we aim for is that during the year, we maintain the margin in the 17% to 18% trajectory.

Anuj Sharma: Okay. One last, in terms of pricing trends, can you just highlight how has been the pricing and what is the outlook on pricing going forward? This is the finished or maybe raw material, both could help?

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Anoop Kumar Gupta: No, we are expecting the new season in the month of October, November. Now the pricing are quite stagnant and in the new season, we think the prices will come down definitely.

Anuj Sharma: Okay. And despite that, we would want to have one of the highest ever inventory.

Anoop Kumar Gupta: In the aged rice, I have told many times that aged rice is a different thing than a new rice. Aged rice has its own premium.

Anuj Sharma: Answering the incremental inventory, I understand the aged rice, but we have built up inventory. And if we are expecting a price reduction...

Anoop Kumar Gupta: So that will all be aged rice. It will have a premium. There's no problem.

Moderator: The next question is from the line of Jigar Upadhyay from Amtico Consultants Private Limited.

Jigar Upadhyay: Congratulations to the management for good set of numbers. Sir, I have some very broad questions in terms of the overall volume, I mean, how it has played in terms of the India volumes and the export volume? And how do we look at the margin when one wants to model it? Do you track margins on a per ton basis? And if yes, what is the benchmark margin that you look?

Ashish Jain: Yes. So the EBITDA margin range that we look at is a minimum of 17% to 18%. So that's what we are looking to achieve through the year. Now like I explained in the previous answer, now quarter-to-quarter, this may vary because there is a lumpiness in the nature of bulk exports. But however, over the year, you can expect the 17% to 18% margin to be maintained.

Jigar Upadhyay: Right, right. And would the margin for the export business be higher than the domestic?

Ashish Jain: Not -- some work. However, the reason is that the realization tends to be higher, but then the product mix is also different, right? So typically, it may be around 5% higher than the domestic business.

Jigar Upadhyay: Understood, sir. And what would be the realization for domestic and exports broadly?

Ashish Jain: Basmati -- you're talking about Q4?

Jigar Upadhyay: I mean, even an overall picture for FY 2023 would be fine?

Ashish Jain: Yes, if you look at overall basmati realization in the domestic market, that was at around INR 74,000 per ton. This is basmati branded for the full financial year FY 2023. The same number for ba

smati branded in export was INR 1,30,000 per ton.

Jigar Upadhyay: And the export part is still branded?

Ashish Jain: Yes. So both numbers are for branded.

Jigar Upadhyay: Got it. And if I may ask lastly, I mean, what would be the overall scale in terms of the volumes for India and exports?

Ashish Jain: In terms of our volume sales?

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Jigar Upadhyay: Yes, in sales volume.

Ashish Jain: Yes, so domestic basmati branded sales last financial year was at about 3,70,000 tons and basmati branded export sale was at around 90,000 tons.

Jigar Upadhyay: Got it, sir. Is the traded or private label volume very high or we prefer to focus more on branded?

Ashish Jain: Yes, I've given that number that out of roughly INR 5,400 crores revenue, bulk export is to the tune of about INR 800 crores to INR 900 crores.

Moderator: The next question is from the line of Hariom Patwari from G SM Wealth Advisors.

Hariom Patwari : My question is, what is the split of business between basmati and non- basmati in volume terms?

Ashish Jain: Yes. So if we look at the domestic branded business, like I mentioned, domestic branded basmati volume was at 370,000 tons . The non- basmati branded was at about 21,000 tons . So 370,000 basmati branded in domestic, 21,000 tons non-basmati branded. In exports, basmati branded was at 88,000 tons while non -basmati was small at about 5,000 tons .

Moderator: Ladies and gentlemen, this would be the last question for today, which is from the line of Praveen from YES Securities.

Praveen : First of all, congratulations for a good result. So Mr. Ashish has said about something about some M2M. So I just want to understand what kind of M2M he was discussing. And he has just informed that there is an INR44 crores income of more interest on debt refund. So what kind of refund is this?

Ashish Jain: So the MTM loss that I was referring to is that as you know, we mark-to -market our investments.

So on that investment portfolio, there was a notional loss of INR 3 crores. So the PBT that we reported was after adjusting for that loss. However, in taxable income, that setoff is not available. So our taxable income was higher than the reported PBT, which is what resulted in our tax outgo. So when you take the tax outgo as a percentage of PBT, it appears to be higher than the previous quarter. So that is what I was trying to explain. The other income number you are referring to includes interest on income tax refund. So we have made disclosures on this case. But broadly, they were delayed refund from income tax authorities on which we were entitled to interest, which was received and it is recognized as other income.

Praveen: And your inventory is also at mark -to-market or it is as a normal level?

Ashish Jain: No, we report inventory as lower of cost or NRV, which is net realizable value.

Praveen: Okay. So is there any loss sitting in the inventory?

Ashish Jain: No. I mean, on the contrary, as Anoopji had mentioned, the market prices are far higher than our average inventory cost. No loss for it.

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Moderator: Ladies and gentlemen, as that was the last question for today, thank you very much, members of the management team. On behalf of KRBL Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 4FY23 Earning Conference Call.

Call: Aug 2023

Ref: KRBL/SE/2023- 24/46 19th August 2023

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Friday, 11th August 2023 on
Unaudited Financial Results of KRBL Limited for the First Quarter (Q1) ended 30th
June 2023

Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulation 2015, Please find
enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Friday,
11
th August 2023, at 02:30 P.M onwards on the Unaudited Financial Results for the First Quarter (Q1)
ended 30th June 2023.

The same is also available on the Website of the Company at
<https://krblrice.com/schedule-of-investor-meet/> .

You are requested to kindly take the same on record.

Thanking you,
Yours Faithfully,
For KRBL Limited

Jyoti Verma
Company Secretary
FCS-7210

Encl: As Above

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"KRBL Limited
Q1 FY'24 Earnings Conference Call "
August 11, 2023

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD OF DOMESTIC DIVISION –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to KRBL Limited Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited. Thank you and over to you, sir.

Ashish Jain: Thank you for joining us. Welcome to the Q1 FY24 Earnings Conference Call for Analysts and Investors of KRBL Limited. Today we have several key speakers on the call, Mr. Anil Kumar Mittal, Chairman and Managing Director, Mr. Anoop Kumar Gupta, Joint Managing Director and Mr. Ayush Gupta, Head of the Domestic Division.

To kick off the call, Mr. Mittal will provide updates on the business, industry and our overall strategy. Following that, Ayush will delve into the perspectives of our domestic business.

Finally, I will present the financial overview of the company for the first quarter of current financial year. Once the management has concluded their opening remarks, we will open the floor for an interactive Q&A session.

Please note that some of the statements made during the call may contain forward-looking information and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the Stock Exchange website and our company's website. Now I would like to invite Anil Ji to share his views. The floor is yours.

Anil Kumar Mittal : Good afternoon, investors. The world Rice production in marketing year 2022-23 is expected to be marginally lower at 512.5 million tons , lower by 0.2% over preceding marketing year. The shortage is mainly due to lower production in China and Pakistan. In Marketing Year 2023 -24, despite of El Nino conditions, world rice production is estimated at 520.8 million tons , which is higher by 1.6% against previous year.

India is expected to grow record rice production at 135.5 million metric tons in marketing year 2022- 23, which includes 2022 Kharif crop and 2023 Rabi crop. Further, the Indian government in its effort to support farmers' income has announced a 7% higher MSP for rice in the upcoming Kharif season at Rs. 2183 per quintal and Rs. 2203 per quintal for common grade and Grade A paddy respectively. We do not see any impact of the MSP on the Basmati prices as Basmati paddy prices have been trading at a much higher level as compared to the MSP

The Basmati production for marketing year 2022- 23 is around 9.5 million metric tons, about 12% higher than last year. Despite the overall increase in rice production in India in both Basmati and non-Basmati segments , we have seen a general price increase this year during the crop cycle

which indicates growing demand for both Basmati rice and non-Basmati rice from India. India's Basmati export has grown 16% in volume terms and 46% in value terms in FY23 over FY22.

Volume growth mainly came from Saudi Arabia, UAE, Yemen, Oman, Qatar, USA, UK and Jordan, whereas India's total rice export grew by 6% to record volume of 22.34 million metric ton and 24 % in value terms to IN R 89,689 crores, accounting for nearly 42% of the global rice trade.

The area under Basmati paddy expected to be higher in the new crop 2023 due to good prices realized by the farmer last year. As per latest information available, the sowing of Basmati paddy has increased in Punjab and Haryana, including western Uttar Pradesh, with a forecast of increase in production by 12% over last year. This does not include non-GI areas such as MP and Rajasthan. It is t

oo early to comment on the price structure of the new crop since it will depend upon final outcome of the crop and the government decision on whether they will continue with export ban of non- Basmati rice.

On the non-Basmati side, despite imposition of export duty on non-Basmati white rice of 20% from September 2022, India has exported a higher quantity of non-Basmati rice at 4.2 million tons during the period September 22 to March 23, as against 3.37 million tons in the same period of previous year. Therefore, the government decided to ban the export of this grade in order to control the prices in the domestic market. This decision has severely impacted the global rice prices as stocks in other exporting countries such as Thailand, Vietnam and Pakistan are also not abundant to take care of the shortfalls created by the ban. KRBL impact due to the right export ban is very minimal.

Our exports of specially premium grade of non-Basmati variant is affected. But we have represented our case to the government through the trade association and various chambers of commerce to carve out a proposal to allow export of premium variants of these do not have any effect on the food inflation and food security concerns of the government of India. As you have seen financial results for the quarter, our export revenue is Rs 540 crores in Q1 and FY24 against Rs 485 crores in Q1 FY23. With respect to the export business, Q1 has been a little slow. This is on account of two reasons, preponement of some sales to Q4 FY 2023 owing to early Ramadan and some distribution related changes in some key markets.

We are hoping to complete the distribution refresh soon. With that, the second half of this year should be set up in performance vis-a-vis Q1. Any details regarding the export performance on any particular market can be discussed during Q&A session. In regard to our expansion program, we would like to apprise you that Gujarat plant is functional and production is live. Presently, we are keeping our cargo in rented warehouses. Till the time we construct another warehouse of about 1 lakh square feet for which government approval is awaited.

In Karnataka, all formalities pertaining to the land acquisition are completed. Government permissions are in place and civil construction started in the month of June 2023. In MP, already the land has been purchased, government formalities to start construction is applied for. It will take time to get government clearances. Regarding buyback, I think so I will hand over to Ashish. He will give you the details of the buyback, and the final dividend for financial year 2022-23.

Thank you.

Ayush Gupta : Good afternoon, ladies and gentlemen, I am Ayush Gupta and I'll be covering the domestic business remarks for today. I am pleased to be here today to discuss KRBL's remarkable performance and strategic efforts in the domestic market during the first quarter of financial year 2024. Our commitment to growth and innovation has led us to achieve outstanding accomplishments across various dimensions of our business. In terms of our domestic sales

performance, I'm excited to share that our Q1 domestic sales, excluding power, reached an impressive INR 845 crores, reflecting a remarkable growth of 19% compared to the same period last year.

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This success is a testament to our relentless dedication to delivering quality products and meeting the evolving needs of our consumers. Our branded Basmati segment, a cornerstone of our success, has demonstrated strong momentum. The volume sales of both consumer pack and bulk pack has surged by 6% and 14% respectively, contributing to a 9% increase in overall branded Basmati volume over Q1 FY 2023.

We are thrilled to report that KRBL has continued to consolidate its leadership position in the domestic market with a 90 basis points gain in volume market share

reaching to 32.4% in general

trade and an impressive 510 basis points gain to reach 41.9% in modern trade. Underpinning our achievements are the three strategic pillars that drive our domestic business. The growth in branded basmati household penetration, outpacing the unbranded segment is a noteworthy feat. Our flagship brand, India Gate, has shown exemplary progress by growing penetration faster than the category itself. Moreover, I'm elated to announce that KRBL has crossed the marvelous milestone of one crore consuming households, reflecting the trust and loyalty of brand enjoys amongst consumers.

Distribution has been a key focus area for us, and I'm delighted to share that our efforts are paying off. We have meticulously evaluated our distribution potential across geographies and make substantial improvements to our distribution infrastructure, regarding a notable increase of 230 basis points in our numeric distribution over the previous quarter.

This enhancement empowers us to better serve our diverse consumers. Our commitment to innovation is evident in our category expansion agenda. We have embarked on a regional approach with India Gate South India marketing campaign. This campaign is aimed at expanding basmati consumption beyond the confines of biryani unlocking new avenues for growth and reaching untapped markets.

In addition to our branded basmati success, we have witnessed a remarkable growth in our non-basmati sales which surged by an impressive 60% to INR 30 crores in Q1 FY 2024, compared to the same period last year. Our regional rice business is progressing in line with our expectations, on track to achieve a 5% share of the overall domestic revenue by end of the financial year.

Addressing our Q1 FY 2024 performance, the 9.3% decline, compared to Q4 FY 2023 is a result of seasonal category dynamics. Bulk pack sales peaked from October to March due to festivals and weddings, followed by a natural decline. Hence, this is not a sales drop, but a pattern reflecting market behaviour.

In our Q 1 FY 2024 performance update, amidst our achievements of promising development has taken place. recent years have witnessed the rampant commercialization of basmati rice, raising concerns about authenticity due to reports of blending other grains, artificial fragrances and colors. However, a new ray of hope emerges as stringent regulations come to effect this August.

These regulations aim to restore consumer trust and ensure the true essence of basmati rice. The regulation imposed from 1

st August 2023 are poised to bring about a significant shift in the basmati rice landscape. Key parameters that consumers will now rightfully expect for the price they pay are exclusively outlined in these regulations.

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One notable change expected with the implementation of these regulations is the probable preference shift among consumers from loose basmati to packaged. The new found assurance of authenticity offered by package varieties, it's likely to resonate well with consumers seeking the genuine basmati experience. Looking ahead, these regulations are poised to have a favorable impact on domestic trade.

The presence of very defined standards will elevate the quality benchmark of basmati rice across markets. Moreover, the regulations will promote trade literacy and empower consumers with better education. This could signal the end of businesses that thrived on other under -graded basmati, ultimately, purifying the market for benefit of all consumers.

As we continue to uphold our commitment to excellence and authenticity, India Gate basmati rice proudly joined hands with Eat Right India under the esteemed aegis of FSSAI to embark on a nationwide basmati rice no compromise campaign.

This momentous collaboration underscores our dedication to promoting healthier eating habits, advocating balanced nutrition

and enhancing food safety awareness among consumers across

India. By spearheading this initiative, India Gate basmati rice assumes a pioneering role and raising widespread awareness about recently introduced FSSAI regulation on identity standards for basmati rice. With this concerted effort, we anticipate a positive transformation within the industry, fostering an environment of trust and quality.

With this, I come to an end of my remarks. Thank you for your unwavering support. And I assure you that KRBL remains committed to its growth trajectory, innovation and delivering value to our stakeholders. I will now hand it over to our CFO, Ashish Jain, for further updates.

Ashish Jain: Thanks, Ayush. I will now take you through the performance for the quarter ended 30 June 20 23, all figures mentioned by me would refer to the consolidated financials of KRBL Limited. Total income for the quarter was at INR 1,441 crores, marking a growth of 16% over the corresponding quarter last year. The revenue from operations grew by 15% while other income in the quarter increased by 144% on account of interest and income tax refund, gain on forex and market -to-market investments gains.

Domestic revenue, excluding power, increased by 19% over the corresponding quarter of last year to INR 845 crores. Year -on-year, basmati sales increased by 20%, driven by 14% growth in volume which was at 107,000 MT and 5% growth in basmati realization, which was at 68,500 per ton.

On the export side, revenue increased by 11% over the corresponding quarter to INR 540 crores. Out of the INR 441 crores unrecognized export revenue as of the end of Q 4 FY23, INR 423 crores revenue was recognized in Q1 FY 24. Outlook for this segment has already been covered in comments by Anil ji.

Gross margin in the quarter was at 28.8% and was affected by higher basmati unit cost on a Y -on-Y basis.

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EBITDA margin for the quarter was at 19.3% as against 19.6% in the corresponding quarter. EBITDA trend is affected by a lower gross margin but benefited from higher Other Income and lower proportionate Other Expenses , primarily freight and advertisement.

Finance cost for the quarter was at INR 1.5 crores as against INR 2 crores on account of lower notional interest on liabilities. PAT for quarter was at INR 195 crores or 13.3% as against INR 164 crores or 13% in the corresponding quarter. PAT margin improved on account of lower proportionate finance costs and lower effective tax rate.

I will now share an analysis of Q1 FY 24 versus Q4 FY 23. Revenue from operations in Q4, like

I mentioned, was at INR 1,414 crores, as against INR 1,280 crores in the preceding quarter. Domestic sales, as Ayush mentioned, were lower by INR 87 crores, while export sale at INR 540 crores was higher by INR 209 crores.

Domestic basmati volume was lower by around 10,000 MT due to seasonal factors, as Ayush explained, while Basmati volume was higher by around 35,000 MT, largely because of bulk basmati export recognized during the quarter. Quarter 1 Gross Margin is higher due to higher sale of high-margin basmati rice and 2% lower average basmati COGS. EBITDA Margin has improved by 518 points due to improved gross margin coupled with lower proportionate freight and advertisement expenses.

Moving on to balance sheet highlights. Total inventory as of June 30 '23, was up INR 3,278 crores, comprising INR 849 crores of paddy as against INR 396 crores in June '22 and INR 2,264 crores of rice as against INR 1,908 crores in June '22.

In volume terms, paddy stocks were at approximately 211,000 tons and rice at approximately 371,000 tons. These numbers were 116,000 tons and 367,000 tons, respectively, last year.

Inventory is higher primarily to meet higher expected demand. Total cash and cash balance, including all investments, but excluding debt and equity shares as of June 30 '23, was

as INR 930

crores against INR 936 crores as of June '22.

With respect to distribution of surplus to shareholders, as you would have noted, the Board has recommended 100% dividend, which would come to INR 1 per share and approved buyback of INR 325 crores, as also mentioned by our Chairman. With this, the total distribution to shareholders, including the tax payable on buyback would be around INR 400 crores and around INR 24 crores of dividend, leading to a total outflow of about INR 424 crores.

With that, I come to an end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I just want to mention that as the ED matter is sub-

judice, we will not be in a position to respond to queries from this matter. So over to the moderator now.

Moderator: Thank you very much, sir. First question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.

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Himanshu Upadhyay: My first question was on export side. We are hearing that the rice export ban is making global rice importers worried and people want early shipments. Are we seeing price rise in better terms of trade because of what has happened in the domestic market? And secondly, what percentage of our business in exports would be short-term business or single consignment or rupee consignment type of business? Can you elaborate on these two aspects?

Anil Kumar Mittal: There is no doubt there is panic abroad, because of the ban on non-basmati rice exports. But as far as non-basmati is concerned, it is a small business for KRBL, as we are primarily exporting basmati rice. And since we are into branded business, there is no roller coaster behaviour because the orders are with the distributors, and they have been ordering at a consistent level.

So if there is a demand abroad, it would be in private label, not in our segment of branded business. Hence our business is going on as usual. Exports have been going normally in their own way. However, during Ramadan, there were some early shipments which had an effect in Q1. But in Q2, we are doing our normal business, and there is no problem whatsoever.

Himanshu Upadhyay: Okay. And any update on Saudi market, especially on retail side and -- wholesale and retail, how is the new distributor and what is the progress there?

Anil Kumar Mittal: As regards distributor, there have been some changes, which have also affected the sales, which we are going to streamline by mid of August. So you will find the upgradation in export from middle of Q2 and Q3 & Q4 will show remarkable results.

Himanshu Upadhyay: Okay. And one last question, then I'll join back the queue. See, this year, we have paid both dividend and buyback and congrats or thanks for it. And it's a significant proportion of last year's profit. But in future, as our balance sheet is now net cash, is there a thought that we'll be paying this percentage of profits as, let's say, dividend or buyback or whatever it is and -- or in a range would you like to keep it? So any thoughts on that?

Ashish Jain: Yes. So thanks for the question. See, just in terms of policy terms, there is no change in our dividend policy, that continues as is. The way we looked at it this time was that we had surpluses beyond our requirement not for all the time to come, but at least for some time right now.

And therefore, we decided to continue with the dividend, but then add buyback to it because we find that that's a very good tool in terms of returning value to the shareholders. Long term, there is no decision yet on what the mix of dividend and buyback would be, but we'll just evaluate it as and when surplus funds are available.

Moderator: Next question is from the line of Karan Premchand Gupta from CA VI Capital.

Karan Premchand Gupta : Two questions from my side. One, can you discuss the capex and working capital requirements for the company for the next 2 to 3 years? And then secondly, on the International business, if I remember correctly, last quarter, there were some shipments that got delayed and were supposed to be booked in Q1. So excluding the effect of that, can you tell us what the revenues were in the current quarter for the export business?

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And my sense is there's been a significant drop. So if you could also just elaborate on that. And also, if I may squeeze in one more. Mr. Jain just discussed the dividend policy for the Company that stayed average, if you could just elaborate on what the current policy is that you expect to continue into the future for the time being?

Ashish Jain: Yes. So on capex, our maintenance capex is around INR 50 crores a year. In terms of the expansion that we are doing, the aggregate spend on that should be between INR 200 crores to INR 250 crores, all funded by internal accruals. This is going to be spread between FY'23 to FY'25. In terms of the requirement from working capital point of view, our principal working capital component, as you know, is inventory.

On an average, we maintain about 230 days of inventory. And therefore, as sales grow, that number will increase. That is primarily funded through internal accruals, and we borrow short term primarily during the paddy buying season. In terms of the investment part and dividend policy, so it is there on our website. But just to summarize, the effort there is to distribute around 15% of PAT.

And I think your other question was on export performance. So out of last quarter, which is the quarter ended March 31, '23, we had mentioned that around INR 441 crores was shipments that were dispatched, but the revenue was pending recognition. Out of that INR 441 crores, INR 423 crores have been recognized.

And so if you look at the export for the quarter, the total number is INR 540 crores. So excluding that revenue, this results in about INR 115 crores to INR 120 crores of export. Now that number on a year-on-year basis is lower. But as Anil ji explained, there are 2 reasons for that.

One is around INR 20 crores to INR 25 crores of export revenue got preponed in quarter 4 because Ramadan, this year, which is the principal festival in Middle East, got preponed and that's an occasion where a lot of consumption happens. So we have shipped orders to that effect in the earlier quarter.

And second, there is a distribution change there, which we are hoping to conclude by Q 2. So you should see a step-up on the Q 1 export performance in the second half of this year.

Karan Premchand Gupta : Okay. So this change in the distributor in the Middle East, this was something that we had undergone recently, right? So we are changing that distributor again and moving on to somebody else. And then on the inventory requirements for the new plants, what would the inventory --

Yes, if you could just elaborate on what are the expected sales from the new plants that are being set up so that we can get a sense of the working capital requirements for those?

Ashish Jain: Yes. So on the new plants, we see about INR 400 crores to INR 450 crores of additional revenue.

So the inventory with that should be around INR 200 crores to INR 300 crores additional over the current level. I think in terms of the distributor refresh -- yes, so one was done some time back. However, that has been revisited, but that should be completed by Q 2.

Moderator: Next question is from the line of Soumen Choudhury from Jet Age Securities Private Limited.

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Soumen Choudhury : Mr. Jain mentioned about the domestic volume and realization being 68,500. And I think in the last call, you had mentioned that the domestic realization was 74,000. So is there a drop of 7% - 8% over the previous quarter. And if you could give a similar

breakup for exports also in terms of volumes and realization, it would be quite helpful.

Ashish Jain: No, there's no drop per se, Soumen. There's a slight change in the product mix, but otherwise, overall realizations are in trend vis-a-vis last quarter. In fact, when we look at realizations, they've been fairly stable for the last 3 quarters. On the export number, the total basmati realization in Q 1, FY24 was around 98,000 per MT for basmati.

Soumen Choudhury : Okay. 98,000 tons? this is a realization?

Ashish Jain: That's right, yes.

Soumen Choudhury : Yes. And what would be the volume?

Ashish Jain: Yes. So volume, I don't have right now, I can share with you separately.

Soumen Choudhury : Okay. And what would be the outlook going forward, like for this quarter and next quarter? Are we again

seeing stable kind of realizations?

Ashish Jain: Yes. So I think -- Anil ji do you want to touch

Anil Kumar Mittal: No, realisation is going to increase, as you can see the market as on date is on fire. So, you will definitely see 5 % to 7% jump on the realisation in the second quarter.

Soumen Choudhury: Okay . And one more issue on the domestic crop, as you are saying that the sown area is better than last year, so are we expecting a better crop and then price drop in October, November when the new crop comes in?

Anil Kumar Mittal: It is still too early to ponder on this subject because sowing is still continuing . Especially in flood affected areas, the sowing is still going on and it will take another one week for the sowing to be completed. But this year the sowing is on a larger area of about 12 to 15% over last year . We expect the crop size to also increase by 12 % to 15 %, but to give you any guess work at the moment on that will be wrong on our part.

Soumen Choudhury: Okay, fine, that's it from my side. Thank you so much.

Moderator: Thank you. Next question is from the line of Jayant Mamania from Care Portfolio Managers Private. Limited . Please go ahead.

Jayant Mamania: Yeah, good afternoon. Sir, can you elaborate on the export of INR540 crores on geographic basis at least top three territories?

Ashish Jain: Jayant, we don't typically give market -wise details because that's sensitive from a competition point of view.

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Jayant Mamania: Okay, okay. The second question is India's total Basmati exports Middle East consist of 78 %.

So can you tell us the top three players after KRBL?

Ashish Jain: You mean who are the largest exporters?

Jayant Mamania: Yeah, to Middle East from India.

Ashish Jain: Exporters from India.

Anil Kumar Mittal: There are 2 - 3 companies exporting large volumes from India to Saudi Arabia , viz. Supple Tek & DD International . There are others too. I can't say that these two are the only other big players but normally all are private label players, and not into branding .

Ashish Jain: So, just to add that, I think what Anil Ji was saying that the names he mentioned, these are all bulk exporters. So, they tend to do very large volumes. However, as you know from a package branded point of view, KRBL is the largest exporter.

Jayant Mamania: Okay, okay. So can you tell us to what extent we could recover our lost market due to that change of agent?

Ashish Jain: Yeah, so it's already been explained I think that is a temporary go-to-market change. You should see a step up from the current levels of performance in the second half of this year.

Jayant Mamania: Okay, okay. So in case of domestic market our sales stabilize around INR 900 crores. So what kind of growth we expect and these FS SAI norms have come into place?

Ayush Gupta: Yeah, so we have been growing quarter over quarter at about 9 to 10%. And we'll be expecting to close the financial year in healthy double digits. So, I would say between 10% to

15%. Some

tailwinds we got last year was the GST and I believe FSSAI norms which have recently kicked in is also a very positive tailwind that should help consumers choose packaged over loose. So , the market size will definitely expand and our brand being the dominant brand in the category should stand to gain from this regulation.

Jayant Mamania: Post white rice ban, the parboiled rice are in great demand. So do we deal in parboiled rice?

Ayush Gupta: Parboiled non-Basmati rice you mean?

Jayant Mamania: Yes.

Ayush Gupta: No, our exposure in that space is very minimal, so we're not quite dealing into that category.

Jayant Mamania: Okay . Thanks a lot. All the best.

Moderator: Thank you. Next question is from the line of Mahesh Attal from Attal and Associates. Please go ahead.

Mahesh Attal: Thank you for taking my question. You have just informed us that you have changed the distributor in Saudi. So, is this new distributor going to take care of the HoReCa segment also

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which we were actually looking for and I think in the last quarter it was told that we are looking for that maybe in the next couple of quarters you will see something. So, is this distributor going to take care of that thing also?

And my second question would be, like I'm just trying to get on that inventory valuation. Mr.

Ashish has just told that the inventory levels of rice, last year quantity wise was 3,67,000 and

this year it is 3,71,000. But the value wise it is going, I am not able to understand, can you please elaborate on this please? These are my two queries ?

Anil Kumar Mittal: Yes, I updated you on the Saudi front. We have already finalized with a very big and good distributor in Saudi. Already the agreement has been sent to them. We are expecting to get back the agreement duly signed by Mid of August. And simultaneously the shipment will start. This time we have made a common distributor for both retail, HoReCa and modern stores. And regarding your query on inventory, I will ask Ashish to reply.

Ashish Jain: Sorry, I didn't get your question on inventory. Can you repeat?

Mahesh Attal: Yeah, Mr. Ashish, if you can just see the rice levels, I mean, quantity-wise, you have just told us it is 3,71,000 compared to 3,67,000 vis-a-vis. But valuation wise there is a big gap. So, I am not able to understand how we are valuing this particular thing?

Ashish Jain: So the value of rice inventory as of June 22 was at INR 1,908 crores. That same number now is INR 2,264 crores. So, if we look at the per ton value it was around 52,000 as of June 22 and the number now is 61,000.

Mahesh Attal: Okay, and one more thing sir, so with this distributor, are we very sure that we will be reaching our earlier levels like in 2018-19, I mean whatever we used to do earlier in the Saudi market like that was around 1000 plus crores, are we still expecting it in this particular financial year, for the part of the year?

Anil Kumar Mittal: We appoint a distributor after evaluating all the minus and plus points he has. This time it took us about another 6 months as we took last time and we are quite confident that within next one year we will reach to our old numbers which we used to have in FY 2018 to FY2020. I see no problem in that.

Mahesh Attal: And sir, what is the conservative way, I mean what is the idea behind having so much cash in books sir? I mean I am just able to understand that the maximum requirement is something around INR 500 crores including the maintenance and the capex that you are going to do. So, just wanted to know that why there is an additional cash of INR 300 to INR 500 crores because it will somehow reduce the ROCE, right?

Ashish Jain: I think you will have to consider our inventory requirement. So, we stock up Paddy which is our basic raw material in October to December, and that is

when the fund requirement is there. So,

you have to consider that along with the capex when you look at our overall fund requirement.

Mahesh Attal: So, also, I mean, will this buyback and giving back to shareholder thing will be a regular normal thing? Can we expect another buyback or what's the plan on the like let's say if you are having

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additional cash and there is no inventory that you want to pile up for the next season maybe you may take a decision for that in the next season, but still is this on the card and this will be a regular thing or it is one time thing which you have done in the five years period?

Anoop Kumar Gupta : No, we find this buyback to be a tax friendly in the hands of the shareholder and the investor and we can think of it to be a not a regular, but a very frequent feature.

Mahesh Attal: All right sir, all right. Thank you sir and all the best.

Moderator: Thank you. Next question is from the line of Saurabh Jain from Vencus. Please go ahead.

Saurabh Jain: What is the allocation between domestic and export volumes in Basmati and non-basmati rice?

Ashish Jain: Yeah, so in my speech I had given out the volume sales of both businesses. We can give you the data after the call unless you have some other question.

Saurabh Jain: Yeah, and the other question is what would be the impact of FSSAI the new law on your COGS, cost of goods sold, is there will be any hit on the GP going forward?

Ayush Gupta : See as far as branded business for KRBL goes, we have been always compliant to FSSAI in terms of purity of Basmati. So, as a brand we have always sold 100% pure Basmati rice in our packets. So, this rule does not have any impact as such on the cost for KRBL for compliance.

However, we see competition prices going up because a lot of loose as well as branded players had a significant amount of blending in their packets. So, we see a much more fair competition in the market with regard to this regulation.

Saurabh Jain: Yeah, and with regards to NBR, there is a INR 30 crores sold in terms of business. So what would be the output volume in that domestic NBR?

Ayush Gupta : Yeah, so the volume is about 5,300 tons.

Saurabh Jain: Okay, and I think domestic Basmati you have done, you have already told us, 1,07,000 metric tons, So what are the plans on the NBR space, so what would be the realization in terms of NBR?

Okay, I got it INR 30 crores on 5,300 will be the realization and future plans on NBR because you said INR 400 crores is the revenue you would be getting on the new plants. So, it will be from the NBR only or a mix of NBR and Basmati?

Ashish Jain: No, it's a mix of NBR and Basmati.

Saurabh Jain: And 450 in next year or couple of years?

Ashish Jain: No, when all the plants will be come fully operational . It's not for the next one year.
Saurabh Jain: Maybe by FY25 or 26. So what would be the allocation in NBR and Basmati in INR 400 crores ?
Ashish Jain: So see, the plants are still under construc tion. So, I think it's a little too early for that question, but broadly it will be a mix of the two.
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Saurabh Jain: Okay, mix of the two. So, in terms of export, what would be the overall tonnage, if you can...
Ashish Jain: Sorry, I mean, that is a very granular question, not, don't see the relevance right now, but we can touch offline if you like.
Saurabh Jain: Okay, fine. Thank you, and congratulations. Thank you.
Moderator: Thank you. Next question is from the line of Nikhil Upadhyay from Securities Investment Managers Private Limited. Please go ahead.
Nikhil Upadhyay: Yeah, hi, good afternoon. Thanks for the opportunity and thanks for the buyback. Two questions, one is, can you talk on the performance of Unity brand where we were trying to move from the smaller or the unorganized Basmati to

a relatively low price Basmati, so how's the brand doing
and with this FSSAI regulation, if you have to consider the cost of the price differential which adulterated people were able to sell a Basmati rice versus now on a normalized, what kind of a price differential will it bring us to? So if it was INR 100, what is our brand, how much of that reduction will happen now?

Ayush Gupta : See, our non-basmati mixture in basmati rice varies from grains from INR 40 a kg up to INR 60, INR65 a kg. And blending varies from anywhere between 10%, 15% to almost up to 50%, 60%. So it's quite a wide range of blending that happens across markets. If I have to talk about the numbers, it can vary from INR 5 a kg up to INR 25, INR30 a kg in terms of blending variance. So across markets , the effect will be different across market, the effect will be different for this relation to come in place. However, we see a positive outlook for our brands across. Unity, obviously being a pure basmati rice and more affordable basmati rice being the seam range compared to India Gate will definitely get better acceptance because the overall pricing in the market for our other basmati will increase. So Unity should get more competitive in terms of that. And we see a positive outlook for that brand.

Nikhil Upadhyay : Okay. And what would the price differential of Unity versus currently adulterated basmati rice?

Ayush Gupta : As I told you, the current adulterated basmati rice across market -- but the Unity would be at least a 10% to 15% premium compared to current adulterated basmati rice.

Nikhil Upadhyay : Okay. And another on the Saudi distributor. Now if we go back to 2021, we took almost 1.5 years , 2 years to appoint new distributor. And I think he started operating last year around Q1 itself. And within one year, we are again looking at a new distributor. So just trying to understand what are the factors on which we appoint the distributors? And what were the key things where you believe the lapses are happening that you wanted to reappoint a new distributor. So just want if you can spend some time here.

Anil Mittal: Yes, I'll try to explain to you. Q1 '22 and Q2, they did a phenomenal job and we got orders worth about more than 22,000 tons, 23,000 tons within two months. And we thought that within one year, we'll reach to our goal number of more than 100,000 tons a year. However, all of a sudden, after those first two months , we saw a shift in his functioning. He started asking for more discounts. He started asking for credits. There were so many such problems he tried to create.

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And as a matter of principle, when we sign a contract , it is for one year - minimum one year, and we cannot give both the things, i.e. more discounts as well as credit. It is our standard norm at KRBL that we don't entertain credits normally. So we had to tell him that if he wanted to work with us, we could not entertain his such claims. And that is why we had to go for a new distributor .

And this time, we were quite sure and it has been clearly agreed between KRBL & the new distributor that credit is not required and at least for minimum one year, we will work on the discounts. So I feel that this time things will work great, when he will get the real taste of India Gate. Now that old distributor is trying to come back to us, but we are not interested to work with him. So as a brand, it's a strong brand, but I don't know why he wanted to exploit in between the agreement. Any way we are now working with the new distributor.

Nikhil Upadhyay : Okay. And just one last question, sir. When these agreements we have with the distributor, is there a volume clause which we put in this year as much kind of a volume we have to get so to get a higher incentive? Or how the incentive and the discount structure worked around with the distributor?

Anil Mitt

al: See, first of all, we have distribution contracts for more than 50 - 60 countries, but quantity or definition of commitment of quantity is not present in any contract. No distributor will guarantee you the quantity in the distribution agreement. Incentives are there, if you will sell above a certain quantity, then we'll give 1% or 1.5% more, but normally, there are very few distributors who qualify for those incentives. And they are all old distributors, like in Australia. There are a few in America. They are doing well. And even in Middle East, Doha, Qatar, Dubai, they are doing very well. We had issues only in one or two distributed channels. One is in Kuwait, and other is in Saudi Arabia. Otherwise, everywhere things are fine.

Moderator: Thank you. Next question is from the line of Navid Virani from Bastion Research. Please go ahead.

Navid Virani: So firstly, sir, in the opening remarks, you mentioned that there has been a remarkable growth in the non-basmati rice. So can you please quantify the contribution of non-basmati rice to our total sales? And how should one see this going forward if you can look to that as well?

Ayush Gupta: So yes, I mentioned those numbers. Non-basmati currently contributes to INR 30 crores over our INR 845 crores domestic revenue. And that's roughly about just sub of 5%. Our target also for this year for the financial year is for the non-basmati to be salient at about 5% to the overall revenue for the year.

Navid Virani: Okay. And secondly, can you also let us know the contribution of bulk or non-branded rice to total revenue?

Ayush Gupta: Bulk or non-branded?

Navid Virani: Yes. Bulk right. Yes, the non-branded product that I wanted to know.

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Ashish Jain: Yes. So I think useful to look at that number for the last financial year. So the total bulk was at around 15% of our total revenue in the last financial year.

Moderator: Thank you. Next question is from the line of Syed Faiz Ahmad from MIF Investment and Financial Services Private Limited. Please go ahead.

Syed Faiz Ahmad: I am your investor and also a consumer. the quality of the product I buy has changed a lot. If I buy India Gate and Shree Maharaja, the difference is in the brand. As an investor, if I invest money, I need growth in wealth. There is a block deal on 12th February 2018 by Pabrai Investment Fund. In which they have 3,20,000 quantity and purchase price is 594. So sir, how will you release this investor? In 2018 only, they did a block deal. And buyback price is 500. And from 2018, 2023. How will you release this investor? And by which price?

Anil Kumar Mittal: Sir, please repeat it again. Your voice is not clear.

Syed Faiz Ahmed: Sir, you must have understood my first question related to price variance and quality variance. The second question is, you have an investor who has a block deal. In the February 2018 investment fund has a price range of 594. Sir, this block deal is in place till 2018 but it is going on till 2023. So how do you release this investor when you are buying at INR 500? And as an investor I don't think that these buyback prices are standard prices where you are exporting and selling domestically and there is a boom in the rice market. Sir, please clarify this.

Ashish Jain: Yes, I will answer your questions. I think your challenge was that you have a difference in quality between earlier and now. So you can call on our customer care number. I think it will be easier for you to respond there. Rest, Ayush here who looks at domestic business, you can also reach him directly. That is my suggestion on the first one. The second one, see that deal must have been done between two shareholders. There is no company's role in it. So it will be difficult for us to comment on that.

Syed Faiz Ahmed: Sir, who is the second shareholder? The block deal is happening, this is a simple thing. The

company has information, right? This block deal is happening, 3,20,000 rupees are being purchased at a price of INR 594. You are releasing Abdullah, and an investor is being included?

Anoop Kumar Gupta: The company has not sold it. The company has not sold it at INR 594. So, the block deal is between the two shareholders. What can the company do with it? This is purely market driven. What can the company do with brokers?

Syed Faiz Ahmed: Is there no information in the company about block deals, price pay, and whether an investor has to be released?

Ashish Jain: As far as I know, we don't have the information but we can still check. Thank you.

Moderator: We will take that as the last question. Thank you very much, members of the management team.

Ladies and gentlemen, on behalf of KRBL Ltd, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited

for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 1 FY24 Earning Conference Call.

Call: Nov 2023

Ref: KRBL/SE/2023- 24/76 17 November 2023
The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Thursday, 09 November 2023 on
Unaudited Financial Results of KRBL Limited for the Second Quarter (Q 2) and Half
Year ended 30 September 2023

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation 2015, Please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Thursday, 09 November 2023, at 04:30 P.M onwards on the Unaudited Financial Results for the Second Quarter (Q2) and Half Year ended 30 September 2023.

The same is also available on the Website of the Company at
<https://krblrice.com/schedule-of-investor-meet/> .

You are requested to kindly take the same on record.

Thanking you,

Yours Faithfully,

For KRBL Limited

Jyoti Verma
Company Secretary
FCS-7210

Encl: As Above

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"KRBL Limited
Q2 FY'24 Earnings Conference Call "
November 09, 2023

MANAGEMENT : MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD OF DOMESTIC DIVISION –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to KRBL Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call,

please signal an operator by pressing '*' then '0' on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, sir.

Ashish Jain: Hello, everyone. Thank you for joining us. Welcome to the Q2 FY '24 Earnings Conference Call for Analysts and Investors of KRBL Limited. Today, we have Mr. Anoop Kumar Gupta, Joint

Managing Director; and Mr. Ayush Gupta, Head of Domestic Division, as key speakers on the call. To kick off the call, Mr. Anoop Kumar Gupta will provide updates on the business, industry and an overall strategy on behalf of Chairman and Managing Director, Anil Kumar Mittal.

Following that, Ayush will delve into the perspectives of our domestic business. Finally, I will present the financial overview of the company for the second quarter Q2 and H1 of FY '23-24.

Once the management has concluded their opening remarks, we will open the floor for an interactive question-and-answer session. Please note that some of the statements made during

the call may contain forward-looking information and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the stock exchange website and our company website. Now I would like to invite Anoopji to share his views.

Anoop Kumar Gupta: Thank you, Ashish. Dear investors, good afternoon. The world rice production in marketing year FY'23-'24, despite El Nino condition is estimated at 518.14 million tons, which is higher by

0.87% against previous year. In spite of higher production, global rice prices continue to be high on account of El Nino threat. The situation is further escalated by geopolitical conditions around the world, which have raised food security concern for many rice importing countries.

Furthermore, the policy responses by many of the exporting countries, especially India, have not been favorable to the global scenario, which has led to further panic and uncertainty into the global trade. According to the latest FAO Rice Price Update report, the FAO rice price index averaged 138.9 points in October '23, which is higher by 24% than its level a year ago.

Just to give perspective, Thailand's 5% local rice is today quoted at above \$560 per ton, which is up by about \$149 per ton from year ago. The Government of India has extended its restriction on rice exports as part of its effort to prevent an increase in inflation. India banned the export of non-basmati white rice in July this year amid concerns of a decline in production as well as to lower domestic prices.

It is not known as to when the restriction will be eased out. According to some report, for the first time in 8 years, India's rice production is expected to fall this year. That is July '23 to June '24 by about 8% despite an increase in the area planted mainly due to uneven monsoon. India's rice production in the crop year '2022-'23 is at around 135.75 million tons. The 20 '23-'24 rice production is estimated to drop by 7% to 8% from the previous year.

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The Government of India estimated that '2023 kharif rice production -- declined by about 4% to 106.3 million tons. The total production estimate will be released in February '2024. Basmati production for the year '2023-'24 is expected to be around 14.5 million tons of paddy as per the final satellite mapping report, which is about 8% to 9% higher than over

to last year.

Despite the overall increase in rice production in the basmati segment, we have seen a general price increase of about 10% this year, which indicates growing demand of basmati globally, including in India. The government has imposed MEP on basmati rice at USD1200 pmt on 25th August, '2023 and later revised it down to the USD 950 PMT FOB effective 26th October '2023 before the start of the new crop sales.

The current level of USD 950 is appropriate for export of basmati rice. KRBL continues to be unaffected by these developments as we are working with our own brands and our price realizations are much higher than the MEP levels discussed. Before the arrival of the new crop, we were of the firm belief that the prices will remain almost the same as that of last year due to higher production and lower exports to Iran due to payment issues.

The new crop prices were 10% higher and there was a buying demand from the millers, including exporters. The reason behind it was the sentiments that there is a global shortage of cereals due to El Nino and prices of all commodities will remain soft. It is still too difficult to predict the pricing behavior of the balance 60% crop, which is still to come, whether the price will go down or they will further firm up. KRBL has taken a position to divide this total purchase into 90 days and accordingly, our purchase department procures paddy on a day-to-day basis to avoid any shock of price increase or decrease.

To update you on Saudi Arabia, we are in the process of normalizing the distribution in Saudi. As I had mentioned in earlier calls, Saudi market is a INR 1,000 crores opportunity, of which we hope to attain up to INR 700 crores in the first year once both the retail and HoReCa distribution

is stabilized. Our Iran business was impacted by the restriction on that country. We are trying to find solution and we are confident that we will be able to resolve this issue.

Iran is a big market and we cannot neglect this country. In the last 3 months, we were working quite hard to finalize a distributor in Iraq as well. But in the coming year, we should see some positive developments in export to that country. Regarding our new expansion program, we have already acquired land in Karnataka and civil work has already started. We have already purchased land in Madhya Pradesh and other formalities are underway for us to start the civil construction.

As we have shared earlier, Kandla project has already been commissioned and started. For any other clarification or information, we will be happy to discuss and elaborate during the Q&A session. Thank you. Ayush, over to you now.

Ayush Gupta: Good afternoon, ladies and gentlemen. It is with great pleasure that I present to you the results of our India business for the second quarter of the fiscal year 2024. Our unwavering commitment to excellence and our strategic acumen have borne fruit, propelling us to new heights in the market.

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Let us commence with the highlights of our Q 2 FY '24 performance, where our revenue, excluding power increased to INR 940 crores. This represents a growth of 35% compared to the same period last year, underscoring the strength of our financial performance.

In the core facets of our operations, the basmati business registered a strong 26% growth in volume, under which the consumer pack business and bulk pack business experienced noteworthy growth rates of 13% and 52%, respectively. These double-digit growth figures affirm the robust expansion of our brand's retail presence across geographies.

Our market share in the traditional trade sector increased to 34.5%, a significant increase of 310 basis points compared to the previous year. Particularly noteworthy is our achievement of highest ever monthly market share of 35.9% in the month of September, giving us the confidence to aim higher and

soon breach the 40% mark.

Modern trade continues to demonstrate robust performance, maintaining a strong position with a 33.5% market share in September 2023. Our moving annual total for September 2023 stands at a dominant 41.7%, reflecting a remarkable growth of 190 basis points. Our success can be attributed to the synergy of our 3 strategic pillars, each contributing significantly to our performance.

Household penetration levels of the India Gate brand are experiencing unprecedented growth with an 11% increase over MAT September '23, now reaching 11 million households. Our media outreach program operating at a dominant 57% share of voice, coupled with a strategic brand communication are key drivers behind this enhanced penetration.

Numeric distribution, a crucial element of our strategy, has reached an industry-leading 54.4%, marking a substantial growth of 650 basis points compared to the same period last year. Our carefully planned distribution expansion measures continue to strengthen our brand's foundation. Simultaneously, as we expand our retail footprint and household penetration, we are diversifying our product portfolio. Our venture into regional rice products has been enthusiastically received by both retailers and consumers alike, resulting in a remarkable 105% increase in sales, reaching revenues of INR 55 crores in the quarter. While year-on-year growth appears high because of our small base in non-basmati, we believe we are merely scratching the surface with significant growth potential in this segment.

In conclusion, our India business demonstrates outstanding performance quarter after quarter, underscoring the effectiveness of our well-executed strategy. Our strategic pillars are guiding us towards a promising future and we eagerly anticipate the journey ahead. We thank you for your continued trust in our company and we look forward to yet another quarter of sustained growth.

I will now hand over to our CFO, Ashish Jain for further updates.

Ashish Jain: Thank you, Ayush. I will now take you through the performance of the quarter and H1 ended 30th September '23. All figures mentioned by me will refer consolidated financials of KRBL

Limited. Total income for the quarter stood at INR 1,246 crores, lower by 7% over the

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corresponding quarter last year. Other income in the quarter increased by 61% on account of mark -to-market investment gains and higher yield on investments.

Domestic revenue, excluding power, increased by 35% over the corresponding quarter last year to INR940 crores. Year -on-year basmati sales increased by 35% in the domestic segment, driven by 26% growth in volume, which was at 117,000 MT and 7% growth in basmati realization which was at INR 71,400 per ton. On the export side, Q2 revenue of INR 235 crores which includes some one -offs declined by 60% over the corresponding quarter. Outlook for this segment has already been covered in comment s of Anoop ji.

Gross margin in the quarter was 29% and was affected by higher basmati unit costs and changes in product mix, primarily lower exports. EBITDA margin for the quarter was at 18.3% as against 22.8% in the corresponding quarter. EBITDA margin was marginally lower, primarily on account of trend in gross margin but partially benefited from lower freight on sales. Finance cost for the quarter was at INR 0.83 crores as against INR 1.5 crores on account of lower notional interest on lease liabilities .

PAT (Profit after tax) for the quarter was at INR 153 crores or 12.3% as against INR 213 crores or 15.9% in the corresponding quarter for the reasons that I have just explained. I will now share an analysis of Q2 versus Q1 of this year. Revenue from operations in Q2, as I mentioned, are at INR1,213 crores as against INR 1,414 crores in the preceding quarter with domestic sales higher by around 11%, while export sales declined b

y 56%.

Domestic basmati volume is higher, vis -a-vis, the preceding quarter by around 10,000 MT due to higher bulk pack sales as well as consumer pack sales, while expo rt basmati volume was lower by around 39,000 tons , largely because of no bulk basmati export in Q2. Q2 gross margin is steady at 29%. EBITDA margin declined by 107 basis points due to higher proportionate fixed costs. Now I will discuss H1 ' FY24 performanc e. Total income for the period stood at INR 2,687 crores, marking a growth of 4% against H1 FY22. Gross profit of the company stood at 28.9%, while EBITDA and PAT margins stood at 18.8% and 12.9%, respectively. Margin dropped mainly due to higher input cost s. Revenue from operations grew by 3%, led by domestic sales with year - on-year growth of 26%.

Moving onto balance sheet highlights. Total inventory as of September 30, 2023 was INR 2,703 crores, comprising INR 439 crores of paddy as against INR 160 crores in September 2022 and INR 2,110 crores of rice as against approximately INR 1,751 crores in September ' 2022. In volume tons, paddy stocks were at approximately 114,000 tons and rice at approximately 332,000 tons.

Inventory is higher primarily to meet higher expected demand. Total cash and bank balance, including all investments but excluding equity shares as of 30

th September ' 2023 was at INR

1,268 crores as against INR 1,596 crores as of the same period last year, lower primarily due to buyback of INR 325 crores concluded in Q 2 FY24.

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With that, I come to an end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I would just like to mention that as the ED matter which is sub -judice, we will not be in a position to respond to queries on this matter. So over to the moderator now.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Karan Premchand Gupta from CAVI Capital .

Karan Gupta: The domestic performance has been very impressive and congratulations to your team on that. I just wanted to focus a little bit on the export side. I know there were some remarks initially but if you could just delve a little bit deeper. Specifically in the last quarter's call, we discussed that a new distributor has been appointed in Saudi Arabia. So if you could just shed some light on how that relationship is going. Particularly, I noticed that there's a recent announcement on the stock exchange regarding some litigation from the distributor who had been appointed prior to that.

And then secondly, if you could just talk about the brand strength in Saudi Arabia, we've been out of the market or not as prevalent in the market as we had been earlier. So what are the expectations and once the distributor has been streamlined, whether we'll be able to regain our market share and how you think about that.

Ashish Jain: Yes, sure. So just to clarify, I think we had mentioned on the last call that we are in the process of identifying the new distributor. So having said that, as we mentioned in earlier calls, so from our point of view, Saudi on the branded side is roughly INR 1,000 crores opportunity. And we currently have a distributor there. However, we are in touch with the existing distributor . There

were performance issues with the existing distributor, we were also prospecting for a new distributor. So that process is currently on. And like you mentioned, the existing distributor has filed some litigation, so I will not be able to go into more details considering the matter is sub judice. But we are hoping that we will conclude this swiftly.

Anoop Kumar Gupta: I'll tell you, as far as the brand is concerned, India Gate brand and Bab Al Hind in Saudi Arabia is a very great brand. Even after 3-6 months we go into the market, to achieve INR 700 -800 crores will be a cakewalk

for us. It is only a question of time. I mean the brand is in the consumer mind is at the top level.

Karan Gupta: Right, sir. I appreciate that. Just a little bit more granular as to what is the current status exactly. Like with this litigation, are sales still happening in Saudi Arabia, is that at a standstill till this matter solved, whether it's the existing distributor or a new one or however you may proceed.

Ashish Jain: Yes. So we currently have a live agreement with the existing distributor. However, there has not been any offtake by the distributor in recent times. Subsequently, there has been a litigation that has been filed very recently. So that is the current status. As and when there is an update, we will get back to you.

Karan Gupta: Okay. And just one last thing. Was there a presentation that was uploaded for this quarter? I didn't see anything on the stock exchange. So just wanted to clarify.

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Ashish Jain: Yes, I think it should have happened. Let me just check or must be in the process. But I think it's in the process of upload.

Moderator: The next question is from the line of Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay: The 60% fall in exports, is it only because of Saudi Arabia or other geographies also did not do pretty well for us?

Ashish Jain: Yes. I think 2 points. One is, it's not just because of Saudi. There were some exports in the same quarter last year. There were bulk exports to China of non-basmati rice. So as you know, that non-basmati export is not possible currently. So there are dual impacts. One is of the Saudi market and the second major impact is of non-basmati bulk exports, which happened last year.

Himanshu Upadhyay: Okay. And I think the time government first export ban was at USD 1250 and then they reduced it. It led to some price volatility, so earlier the price of basmati for procurement was low and then it increased. Did you benefit out of it? Or did we buy more inventory at that point of time or did not do anything?

Anoop Kumar Gupta: Yes. When government announced USD 1,250 exporters boycotted the mandis and farmers and exporters were on the strike. And for 8-10 days, the prices were down. And when government announced USD 950, the prices shoot up. And today, they are 12% -13% higher to the last year. And prices are higher and it is expected that it will go further 2 %-3% higher. I think market will close around 20% higher to last year. If you talk to December end, we are anticipating that market should close around 20% higher to last year.

Himanshu Upadhyay: Okay. But when the prices were down, we did not buy much quantities?

Anoop Kumar Gupta: No, at that time, we all exporters said we should not buy. We have to say to the government, we will not buy if you don't reduce the MEP. So no one has bought in the market.

Himanshu Upadhyay: Okay. And one more thing. We had bought inventory and when we are seeing the price increase so significantly further, why our margins have gone down? And last year, what we exported to China was not basmati, that was the non-basmati where the margins are generally lower. So our expectation was that in gross profit terms, at least the margins should have improved in Q2 FY'24 because whatever we are selling is all basmati and the price of basmati has increased quite significantly. So I could not understand that even when the proportion of basmati is higher, the gross profits are reduced by nearly 5% in the quarter. Can you explain that?

Ashish Jain: Yes, I'll just explain. So I think 2 things have happened. One is, you are right, in the same quarter last year, there was bulk exports of non-basmati. However, I think the key difference this time is that lower export branded sales, which tend to be the higher margin. So with overall export revenue lower than last year, that is one major impact on the margins and the

second aspect also

especially to Saudi Arabia. And the second aspect also is that post last season, which is the purchases that were made in October to December '2022, the average basmati input cost is also higher. So both these factors have affected the margin in the current quarter.

Himanshu Upadhyay: Okay. But generally, the prices are now higher. So would not the margins increase.

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Ashish Jain: You're right. See the prices as compared to last year are higher but the key thing is that for volume sales to happen, especially on the branded export side, that's been muted this quarter.

Himanshu Upadhyay: Okay. And see, one more thing you stated in the starting commentary that this year the production for basmati maybe 10% to 12% higher than last year, okay? The prices are also higher but can it happen that after 3 months, 6 months, the paddy prices may fall. And in that scenario, what will be our strategy if that happens? You said that you'd like to buy complete in the next 3 months. Beyond 3 months, if farmers start hoarding because this is what we saw in cotton. The farmers were hoarding and post season, the price of cotton fell.

Anoop Kumar Gupta: No. See we have directed our purchase department to divide the purchase into 90 days. Generally, 90% - 95% of the crop comes in 90 days. So we have divided into 90 days and we will cover the stocks in 90 days, whatever our requirement is. So we'll average out everything. And what your question is the crop is more. So overall, the consumption overall in India and globally is increasing.

And due to the El Nino factor and other security factor, every importing country wants to import more rice for their security reasons, especially Middle East region, they want to import more of basmati rice. So our estimated rice export figures will go up by 7% to 8% and even domestic consumption will go up by minimum 10% to 12%. The most important thing is carry forward stock of basmati rice was practically zero this year. So going forward, if the carry forward stock is also there, 7% - 9%, there is no problem. So I don't see any fall in the prices.

Himanshu Upadhyay: Okay. And you are not seeing farmers hoarding the rice because you yourself are saying the price may increase for paddy?

Anoop Kumar Gupta: At these levels, farmer partner will never hold the paddy. You see the speed, the way the farmers are getting paddy in the mandis. They are getting a very good price. They are getting about INR 1 lakh per acre. They will never hold as they are getting a good price.

Himanshu Upadhyay: Okay. I'll join back in queue for further queries.

Moderator: The next question is from the line of Subhankar Ojha from SKS Capital and Research Private Limited.

Subhankar Ojha: Sir, so I wanted to understand for exports for the second half of the financial year, I mean, first half, we had a sharp fall in the overall sales. What is the outlook for exports for the H2?

Ashish Jain: Yes. So I think what Anoop ji had mentioned in his speech is that, the key factor that has affected the export side is the Saudi distribution. So I think once that is normalized, we are looking at gradually building up to a INR 700 crores revenue line. Now in terms of timing, we are hoping that we are able to conclude all the existing discussions by the end of this quarter. And therefore, see a ramp-up back in Q4. We'll be able to give you more updates on this as the discussion progresses.

Subhankar Ojha: Okay. And secondly, with respect to this non-basmati piece of the revenue, we had a INR 55 crores for the domestic market. Do you have an internal target for some sales figure?

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Ayush Gupta: Yes. So we've taken up a target of 5% of the overall domestic revenue for the first financial year, which is this FY '24. And we are quite on track to achieve that.

So till H1, we achieved about

4.8% of the overall domestic revenue, with our regional rice revenue. And we are seeing very good response from the market of certain varieties, especially India Gate wada kolam, India Gate jeera rice and gobindo bhog. So we continue to promote that, open new distribution networks and expand our retail footprint with these products in the market.

As I said in my speech also that we are at a very small base compared to the overall size of the market. So we see a huge headroom for growth. So maybe INR 200 crores this year is our targeted top line. I would say in the near short term, which is 3 to 5 years, midterm, I would say we are targeting at least INR 1,000 crores with regional rice as a revenue stream.

Subhankar Ojha: Okay. Great. And finally, I missed out the inventory breakup in terms of the value, paddy you said 140,000 tons and rice 330,000 tons. And what is the value of this?

Ashish Jain: Yes. The value of paddy inventory is INR 439 crores and the value of rice inventory is INR 2,110 crores.

Moderator: The next question is from the line of Koushik Sekhar from Vermilion Value Advisors.

Koushik Sekhar: My question is regarding your export sales. Actually, if you see in the last quarter of this year, you had mentioned that there was INR 441 crores of sales, it moved out to the first quarter of this year. So if you remove that, then the export drop seems to be further. Now you have explained as far as the Chinese the bulk sales and the Saudi go. But if you remove this on the other markets, how are we doing?

Removing these one -off factors on the other markets where there is no discontinuity, what has been the trend in volume as far as exports is concerned ?

Ashish Jain: Yes. So I think the other markets continue to perform well. We are not seeing any challenges there. In fact, the demand continues to be strong even in some of the other Middle East markets. So not seeing any challenges on other countries.

Koushik Sekhar: And any indication what the growth in those markets would be in the first half of the year versus last year?

Ashish Jain: So it's difficult to give market -wise numbers. We generally don't share.

Moderator: The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management.

Abhishek Maheshwari I have only one question with respect to risk mitigation. I went through the BSE announcement for intimation of the initiation of a case against the company. So I just wanted to know, does it help us to have exclusive distributors? For particular geographies, market is big enough. Why not have multiple distributors to capture the market, just wanted an understanding on that.

Anoop Kumar Gupta: Any good and a big distributor wants exclusivity. That's a prime thing, if you want to have a very big distributor who is already doing \$1 - \$2 billion business, he wants to be a exclusive dealing with with KRBL.

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Ashish Jain: Yes. And just to add to that, it's not that we have a policy of having exclusive distributors. In fact, there are markets in which there are multiple distributors in the HoReCa side, right? So it really depends upon the distribution landscape of that country.

Abhishek Maheshwari Okay. So there clearly is not much of a choice when it comes to Saudi, you have to go with a big exclusive relationship.

Anoop Kumar Gupta: And it was only a retail distributor. We always diversify retail in HoReCa. It's always through different distribution channels. .

Abhishek Maheshwari Any chances of settlement with the existing distributor or too soon to comment?

Anoop Kumar Gupta: No, there is no question of settlement. He has put a very bogus claim. There is no question, we will have to appoint a new distributor. There's no question of any settlement. Now he has gone to the court. There is no question of going to the same p

arty. We have to appoint a new distributor.

Moderator: The next question is from the line of Sahej Grewal from Dabar India.

Sahej Grewal: Just had a question regarding the litigation that the company is undergoing from AQM which the party which we had appointed. So is AQM the party which we have appointed last year ?

And what is our current existing relationship with the distributor that we have appointed this year? And are we selling to them right now or those things are also not happening right now?

Ashish Jain: Yes. AQM was appointed in January 2022. So we continue to have a live agreement with them. However, there is no offtake by them for the last several months. So that's really the update.

Sahej Grewal: Okay. AQM was the retail distributor, right? Have we appointed a sep arate HoReCa distributor then?

Ashish Jain: No, not yet. So that, I think search process is currently on.

Sahej Grewal: Right. Any expected time lines on that?

Ashish Jain: Yes. So I think that we are in close discussions with several parties . and I think pretty close to finalization for the HoReCa side.

Moderator: The next question is from the line of Jaspreet Singh from VE Capital.

Jaspreet Singh: Sir, as far as I recall, in last call, you had mentioned that by 15th of August, this HoReCa distributor would be appointed and it seems that still the HoReCa distributor is not there. Any particular reason for that?

Ashish Jain: Yes. Jaspreet, I think what we are looking for is to identify a long -term partner. So we met with several parties but I think we don't want to rush on this decision. So that's really the status of that particular side. L ike I had mentioned, some parties have been shortlisted. We are hoping to conclude this quickly.

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Jaspreet Singh: Ashish, it seems that your Saudi is totally decimated righ t now. Nothing is being sold there. And Do you think you should have made a disclosure on the exchange regarding on appointment of HoReCa or litigation with the retail guy?

Ashish Jain: No. So I think we have made an announcement on the litigation with the retail distributor. I think that that's been done. On the HoReCa, the status is really the same as what we had explained on the last call. So no significant update.

Jaspreet Singh: And can you not bypass this litigation, can you not still send your material through somebody else?

Ashish Jain: Yes, as Anoop ji had explained, the AQM, who is the party which has filed a litigation, there was an exclusive relationship, right? So that matter has now become subjudice. So we'll be in breach of conditions if we bypass.

Moderator: Ladies and gentlemen, we will take that as the last question for today. Thank you very much, the members of the management team. On behalf of KRBL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 2FY24 Earning Conference Call.

Call: Feb 2024

Ref: KRBL/SE/2023 -24/94 February 21 , 2024

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Thursday, February 15, 2024 on
Unaudited Financial Results of KRBL Limited for t he Third Quarter (Q3) and Nine
Months ended Dec ember 31, 2023

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 r ead with Para A of Schedule III of Securities Exchange
Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find
enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on
Thursday, February 15, 2024 at 12:00 Noon onwards on the Unaudited Financial Results for the
Third Quarter (Q3) and Nine months ended December 31, 2023.

The same is also available on the Website of the Company at [https://krblrice.com/schedule -of-
investor -meet/](https://krblrice.com/schedule-of-investor-meet/)

This is for your kind information and record.
Thanking you,
Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: ACS 21328

Encl: As above

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Q3 FY'2 4 Earnings Conference Call "
February 15 , 202 4

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD OF DOMESTIC DIVISION –

KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KRBL Limited Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, Mr. Jain.

Ashish Jain: Thank you for joining us. Welcome to the Q3 FY'24 Earnings Conference Call for analysts and investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal, Chairman and Managing Director; and Mr. Ayush Gupta, Head of the Domestic Division as key speakers on the call. To kick off the call, Mr. Mittal will provide updates on the business, industry and our overall strategy besides the export business. Following that, Ayush will delve into the perspectives of our domestic business. Finally, I will present the financial overview of the company for the third quarter and 9 months of current financial year. Once the management has concluded their opening remarks, we will open the floor for an interactive question-and-answer session. Please note that some of the statements made during this call may contain forward-looking information, and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the stock exchange's website and our company website.

Now I would like to invite Anil Ji to share his views. The floor is yours, sir.

Anil Kumar Mittal: Good morning to everyone. Esteemed investors and analysts. Today, I'm here to share our performance for the third quarter of the financial year 2024 and provide insights into the broader rice industry both globally and within India. We find ourselves in a period of remarkable resilience and adaptation.

Despite the challenges posed by El Nino conditions, global rice production has remained stable at 513.5 million ton, mirroring the output of the previous marketing year. This stability, however, has not insulated us from elevated rice prices fuelled by geopolitical tensions, policy responses from major rice producing nations and concentration of rice production and exports.

Turning our attention to India, Our primary market, we observed a slight contraction in kharif rice production, which is estimated at 106.31 million metric tons, a decrease of 3.4% from the previous year. This had inevitably impacted the rice industry landscape in India, including both basmati and non-basmati segments.

Despite these challenges, India's Basmati exports have seen an 11% increase in volume in April to December 2023, reflecting the sustained high demand in international market. Conversely, the non-basmati sector faced hurdles, notably the ban on white rice exports and the imposition of 20% export duty on parboiled rice, resulting in a 37% decrease in export volumes.

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The geopolitical situation affecting the Red Sea route has raised concerns about potential freight increases, order delays or cancellations. I want to assure you that we are closely monitoring these developments and have implemented strategic measures to mitigate their impact on our operation and ensure timely deliveries to our global customers.

Furthermore, as you already know, the adjustment in the minimum export price for basmati rice has not deterred our export performance as demonstrated by our average realization rate, which comfortably exceeds the revised MEP threshold.

On the paddy purchase front, our paddy purchase reflects a strategic approach to managing our supply chain amidst fluctuating prices

and quality variations, despite a 12.3% increase in paddy prices compared to the previous season, our agile procurement strategies have allowed us to maintain a steady supply of high-quality rice, underscoring our commitment to excellence.

Owing to strong demand, we see the rice prices sustaining in the aforesaid period.

I will now update you on our export business. KRBL export revenue was at INR 278 crores in Q3 of 2024 and INR 1,053 crores in 9 months period ending December 2023, a decline of 4.7% and 34%, respectively. Performance is affected by two broad factors vis-a-vis sharp drop in sales

to Saudi Arabia and fewer opportunities in the bulk rice exports. With respect to former, the suit filed by our erstwhile distributor partner in Delhi High Court has been disposed of and the matter is in arbitration.

The contract with the erstwhile distributor stand terminated, and we are in the process of identifying, appointing new distributors, one each for retail, online and HoReCa. I am, however, happy to report that sales to markets other than Saudi are performing well, showing a growth of around 75% over the preceding quarter. Bulk rice sale in the current year have been affected by regulatory factors, I mentioned earlier on the non-basmati side, the lack of attractive opportunities on the basmati side. However, we are continuously prospecting and should see some bulk basmati exports in Q4 FY24 or the first quarter of the next financial year. Looking ahead, we are excited about the progress on our expansion project in Karnataka and Madhya Pradesh. These ventures are not just about increasing our production capacity, but also about announcing our operational efficiency and market reach.

In conclusion, while we navigate through these challenging times, our unwavering focus remains on delivering value to our customers and shareholders. We are committed to leveraging, embracing opportunities for growth and addressing the challenges, as on which resilience and strategic foresight. Thank you for your continued trust and support. I now welcome any questions you may have. And I pass it on to Ayush, Head of the Domestic Business.

Ayush Gupta: Thank you. Good afternoon, ladies and gentlemen. I'm delighted to stand before you today to share the exceptional performance of KRBL Limited in our domestic business for the third quarter of fiscal year 2023-24. In Q3 FY'24, our India market sales soar to an unprecedented INR 1,143 crores, marking the highest ever quarterly revenue for our India business and a remarkable 14% growth.

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For the first time, KRBL's domestic branded business surpassed the INR 1,000 crores revenue mark in a single quarter, showcasing the strength and resilience of our operations. One of the key highlights of this quarter is the achievement of our highest ever general trade market share in the packaged basmati segment. We secured a 35.9% market share in general trade, witnessing a substantial 350 basis points gain over the same period last year.

Additionally, in Modern Trade, we reached a commendable 40.9% market share, reflecting a 100 basis points gain over the previous year. This success is not isolated but part of a consistent growth strength in our domestic business. Over the last few quarters, we have been witnessing steady progress with Q3 FY'24 emerging as a highest ever quarter.

Notably, our 9-month volume growth of 13% surpasses the FMCG industry's average growth of 5% to 7%. This achievement is a testament to our unwavering focus on brand building, guided by consumer insights and sustained media investments. Our commitment to excellence extends to our supply chain capabilities, and I'm proud to announce that significant improvements in this area have empowered us to achieve our highest ever quarterly revenue. Our numeric distribution in the Indian market experienced an impressive gain

of 1,190 basis points exiting December 2023 over the same period last year.

This underscores our efforts to expand distribution channels, not only fuelling growth in our existing business, but also laying a robust foundation for a multi-category and multi-brand revenue stream in the near future. The performance of our recently introduced regional rice offerings, Sona Masoori, Kolam and Gobindobhog have been outstanding.

This segment contributed to 6.95% to our overall India revenue in Q3 amounting to INR 79 crores, reflecting a remarkable 158% growth over the previous year. The branded regional rice business has clocked a 9-month revenue of INR 165 crores, and we are well on target to reach our estimate of INR 200 crores for the fiscal year. Our ambition is to achieve INR 1,000 crores revenue from this segment within the next 5 years.

Our foray into the masala segment with the launch of ready-to-cook India Gate Classic Biryani Masala range has been met with strong traction, available in modern trade source and e-commerce platforms. These products promise an authentic biryani experience at home with 3 enticing variants: Hyderabad, Lucknow and Kolkata Biryani Masala. While this is an ancillary product launch whose core objective is to fulfil a brand promise through an elevated cooking and consumption experience, it most definitely allows us to enter the rapidly growing INR 4,000 crores ready-to-cook market as well as the INR 30,000 crores branded spices market. As we revel in our current success, we remain forward-looking, actively exploring opportunities to expand into new categories in the upcoming fiscal year. We are poised to continue our trajectory of growth and innovation. With that, I hand over to Ashish for his commentary on the financial overview.

Ashish Jain: Thank you, Ayush. I will now present financial performance for the quarter and 9 months period

ending December 31, 2023. All financial figures discussed are on a consolidated basis. For the quarter, our total income stood at INR 1,465 crores, a decrease of 6% from the corresponding
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quarter last year. Our income saw a significant increase of 57% bolstered by mark-to-market investment gains and favorable foreign exchange gains.

In our domestic market, excluding power, revenue climbed by 14% to INR 1,143 crores. This rise is attributable to a 13% year-over-year increase in basmati sales underpinned by both volume and realization growth. Specifically domestic basmati volume reached 1,33,000 MT with a realization of INR 76,000 per ton.

Turning to exports. There was a decrease in Q3, where the revenue was at INR 278 crores, 47% lower than last year's corresponding quarter. Q3 FY 24 includes INR 22 crores from bulk rice sales in contrast to INR 222 crores in the same period last year, partly explaining the significant movement. This reduction, as Anil Ji had mentioned, in bulk sales is due to limited opportunities in the current fiscal year. Branded rice export in the quarter was at INR 252 crores as against INR 295 crores in the corresponding quarter.

Moving to the margins. Our gross margin for the quarter was at 25%, primarily affected due to increased basmati unit cost and lower exports. EBITDA margin also experienced a decline to 14.1% from 19.1% largely as a result of higher basmati input costs and additional provisions despite some offset from lower freight on sales. Finance costs for the quarter increased to INR 7.48 crores from INR 3.46 crores, reflecting higher bank borrowings during the quarter and also higher rates of interest.

PAT was at INR 134 crores or 9.1% in margin terms compared to INR 205 crores or 13.2% in the same quarter last year.

Comparing Q3 to Q2 of this year, our revenue from operations increased to INR 1,437 crores from INR 1,213 crores. This increase is mar

ked by a robust increase in both domestic and export sales, which increased by 22% and 18%, respectively.

Q2 FY'24 included a one-off write-back of provision, adjusting for this, underlying gross margins between the two quarters are comparable and stable. For the 9-month period of FY '24, total income edged up by 0.5% to INR 4,152 crores compared to 9 months FY '23. Gross profit stood at 27%, while EBITDA and PAT were at 17% and 12%, respectively.

The margin contraction is primarily attributed to elevated input cost and reduced export volumes. Nevertheless, overall revenue remained stable, underscoring a strengthening domestic market amidst international market fluctuations. On the balance sheet, as of December 31, 2023, total inventory was valued at INR 4,868 crores, consisting of INR 2,156 crores in paddy and INR 2,554 crores in rice. This represents an increase from the previous year, mainly due to higher per unit costs.

Net bank borrowing also rose to INR 901 crores from INR 502 crores, correlating with the augmenting closing inventory. I conclude my prepared remarks here and would like to transition to the Q&A session. Please note that we will not address questions concerning the ongoing ED matters as it is subjudice. I now hand over to the moderator to begin the Q&A. Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Karan Gupta from CAVI Capital.

Karan Gupta: Thank you for the opportunity and very good performance in the domestic side, at least the market share is very happening to see. I have three overall questions. Number one, can you discuss the volume growth on the domestic business vis-a-vis realization and product mix? If we could just get some more details on that?

Secondly, given the high-priced inventory that we are carrying now, what are your expectations for gross margins going forward over the next 2 to 3 quarters as well as a couple of years? And then thirdly, if Anil Ji could just talk about a little bit more about the time line for resolution of the Saudi Arabia distribution business, that would be very helpful?

Ashish Jain: Yes. So overall, talking about the volume growth in the domestic business. So total basmati volume growth on the branded side is 6% during the quarter and on a 9-month basis, it stands at around 13%. I'm talking about branded rice in the domestic market.

I think your second question was on the impact of high cost inventory and how it plays out over the couple of quarters. So I think as Anil Ji had mentioned, we see the rice price continuing and to some extent, the realization even in Q3 has already been adjusted to the higher cost of both

paddy and rice and we see this sustaining. So not particularly concerned about the increase in paddy cost over the last season. Now over to Anil Ji for exports.

Anil Kumar Mittal: As far as branded business is concerned, overall in other markets, we are doing good, but we have to understand that distribution channel is an asset for any company. It is not just a buyer - seller relationship. Hence, if there is any disturbance in this channel in any specific country, then it takes time for things to come back to their original position, rectification or to their normal business.

There are many factors that need to be considered when setting up a new distributor line in any of the countries, especially Saudi Arabia. They have to understand the brand reputation and the image of the brand. They also have to understand and build relationship with the company management and get aligned with their thinking and business expectations, not just market dynamics of prices and payment as we do in private trade business, private label business, other factors play a big role in having a strong and settled distribution network.

I would like

to also add that most of the countries have their own label system, like in Saudi Arabia where 80% of the distributors have got their own brands. India Gate was the only one brand from India which was competing and was giving a hard competition to local distributors having their own label in Saudi Arabia.

Now it is taking time. I do realize that I made a wrong commitment last time by confirming that things had been finalised in Saudi Arabia. Things fell apart as the agreement could not be signed at the last moment.

In countries like Saudi Arabia, we do not want to repeat the mistake as we have done last time where we had ended up in legal complications. As I have told in my presentation, we are very

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cautious. We do not want to repeat such mistakes which may damage our brand image. We want to ensure that the distributorship is finalized proficiently so that the business starts flowing smoothly and reaches our previous levels.

Moderator: The next question is from the line of Amit Aggarwal from Leeway Investments .

Amit Aggarwal: Yes. I just wanted to know of the price rise -- have you taken any price rise lately...

Moderator: I'm sorry to disrupt you, your voice is coming muffled. Can you please speak through the handset?

Ashish Jain: Yes, Amit, it's okay. Let me just repeat your question. I think your question was that whether we have taken any price hikes, right?

Amit Aggarwal: Yes, yes.

Ayush Gupta: Yes. So looking at the domestic business realizations, quarter-over-quarter we've taken a price hike of about 9% to 10%, which is in line with the price hike of cost of goods sold over in the company.

Moderator: The next question is from the line of Himanshu Upadhyay from Buglerock Capital.

Himanshu Upadhyay: Good performance on the domestic market. I have a question on our thoughts on store sourcing, okay? You have always stated that the increase of basmati paddy can be transferred to the customers and profitability or profits can be maintained even if the prices rise because we are doing aged rice, and that is a scarce commodity, okay?

But if we see this quarter's number, we have stated that we were not able to raise the prices of end product and hence, the profitability, and not just profitability, the absolute profit also fell because of the higher price of the raw material. And what we understand is, even in FY '24, the price of paddy is even higher than last year.

What gives us confidence that we'll be able to transfer these higher prices of paddy to the end customer? Or you think it can lead to further erosion in profits for FY '25? So some thoughts on that and because we again have increased the value of inventory, what we are owning.

Ayush Gupta: Okay. So I'll divide your question into 2 parts. Thank you for the question. So as I mentioned earlier, we have taken price increases quarter-on-quarter basis, the commodity prices and in the domestic market, at least, the corrections or increases are in the tune of 9% to 10%. However, when we say gross margins have taken a hit because of cost of goods sold, the accounting procedures that we follow is an average of the overall stock that we have in the books.

So because our inventory this year has been built up on a higher price, the average cost of goods sold have increased. So overall, hence, gross margins have reduced. But within domestic and international markets, there are different categories of products that we sell. But cost of goods sold are depleted on an average price itself.

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Himanshu Upadhyay: No. See, I understand that the percentage reduction can be higher because of the higher raw material prices and again, the higher revenues. But what we are seeing is absolute reduction of 20%, in the gross profit from INR 455 crores to INR 363 crores and even PAT of INR

205 crores

to INR 134 crores. So it shows that we have been not able to transfer the prices and what we have also written in the note, so that is the question, okay?

Ashish Jain: Yes, Himanshu, I'll try and answer your question. So you're right, there's been an absolute decrease when you look at gross profit or EBITDA, etc., while that has less to do with our ability to pass on the price increase, which, like Ayush explained, we've already done. I think that has more to do with the fact that the overall export sales on a quarter-by-quarter basis and even on a 9-month basis are lower. So as the export sales get normalized, it will have an impact in terms of increasing both absolute as well as the margin, on both gross margin as well as EBITDA. I hope that explains your question.

Himanshu Upadhyay: And are you worried about FY '25? Because we are seeing that inflation is leading to lower growth for many of the consumer up-trading companies, can you be worried that a higher price of inventory may be difficult to put on the customers in near future? And how are you planning to take the price hikes? Or what is consumer behavior you are seeing?

Anil Kumar Mittal: Let me answer your question. Due to the upcoming elections, there is a huge pressure from the Government on the traders to keep down the prices so as to contain the rate of inflation. You may not believe this, but for almost a month now, traders are getting pressurised by the Ministry of Commerce, the Ministry of Food & Agriculture and also the Ministry of Finance to bring down the rice prices, including that of Basmati. We all know that Basmati is a free-trade commodity with no MSP regulations. The only restriction is that the Minimum Export Price should be US\$ 950 PMT. Thus, the prices at the time of arrival of crop were around 10 – 13% higher as compared to last year.

So, till the elections, i.e. for the next couple of months, say, March & April, the prices are going to remain subdued. However, looking at the stock levels and the demand, we are quite sure that the prices are not going to remain same after the elections in April.

Moreover, export quantum has jumped from 4.5 Million Metric Tonnes to 4.9 Million Metric Tonnes. Similarly, domestic consumption has also gone up from 3 Million Metric Tonnes to 3.8 Million Metric Tonnes. Thus, the consumption is increasing and the demand will automatically increase.

It is a psychological pressure on the traders that if the government takes a strict action and comes out with stock limitations as they have been doing in the past, it may lead to lot of problems. Therefore, people are really cautious and worried as far as domestic trade is concerned. As regards exports, the next two months are little difficult. But I'm sure that after April, the prices will increase because they are correlated with the domestic prices.

Himanshu Upadhyay: Okay. And the second question was, you have faced the challenges in Saudi market for last many years. But the Saudi market is 20% of the total exports of Indian basmati, And the rest, 80% is Iraq, U.S, Yemen, UAE. we would have rolled out in those markets? And how have those

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markets done for us, means, because the 20% market is strong, but the 80% is still open for us, And we are still facing challenges, for growth in export markets. And this is not first year. This is, say, 3 - 4 years we are seeing this challenge happening. So, my question is, how have we done outside Saudi Arabia? Because Saudi is 20% market, the 80% market is outside Saudi for basmati exports.

Anil Kumar Mittal: The weaker numbers in exports are primarily due to two reasons. Firstly, there is a very big drop in bulk exports as our bulk exports to Europe have come down to almost zero, since Pakistan prices are lower by US\$ 100 PMT, besides, there is no pesticide residue problem in Pakistan

Secondly, Iran & Iraq business has suffered a huge setback due to persisting payment problems. Further the entire region being caught in war zone, business with Iran & Iraq is not safe and has become risky.

I would like to add that there are many exporters whose payments are stuck up in Iran. It is not good to discuss these matters in public domain, but reality is that payment is a big issue with both Iran & Iraq.

I would like to inform you that last year we had concluded breakbulk business to the tune of about 100,000 MT. This has given us a setback of Rs.800 – 900 crores in the current fiscal. However, we are doing exceptionally well in all other countries and our brands are well established.

Regular orders are coming from all the markets. The main deficiency in our export turnover is

primarily due to breakbulk and Saudi business . As I have already briefed you, we are making our earnest efforts to finalize the distributor for Saudi Arabia and redeem our market position. As you are aware, this is our third year we have not been able to finalize the distributor for Saudi Arabia, which is one of the crucial markets for Indian Basmati. We had appointed a distributor in FY 2022, but the results were not very good. Luckily we had won the legal battle in the High Court based on our sound & binding contract. We are now into Arbitration, but we do not want to land into same kind of problem again.

Himanshu Upadhyay: Okay. And one last question. This regional rice has grown pretty well for us. And it is now more than 5% of the revenue. How are the margins and what proportion of inventory today is non-basmati when we show the inventory value of INR 4,800 crores?

Ayush Gupta : Yes. So on the regional rice, as was planned and agreed, we had done a INR 200 crores target for this fiscal year. And we're right on target, and we'll probably surpass that number. As far as margins are concerned, we don't have separate margin numbers at the moment for regional rice.

But let me tell you that we are operating only in the premium regional rice market.

So all the products that we have in the market on regional rice are aged product, similar in terms of basmati. And they garner a premium of over 5% to 10% compared to the normal varieties.

there is also a brand premium there. So we are able to sustain our basmati margins in the regional space. I don't have the exact numbers.

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But there is no compromise on the margins when we are operating in the regional rice space. In terms of stock , non-basmati inventory, the total value in INR 4,800 crores of non- basmati INR 110 crores.

Moderator: The next question is from the line Anuj Sharma from M3 Investments.

Anuj Sharma: I'm using a long -term data. If you look at our revenues in the past 5 years, it has increased by 32% and operating profit is flat. And if I look at pure export is down 24% absolute in the last 5 years. If you look at our export -focused competitors, their revenue is up between 75% to 100% and operating profit is up by 2 to 2.5x.

The question is this loss in export market share seems sticky and why should we are losing the shelf space? Because once you have lost the shelf space, how do you think you can win it back?

That's question number one.

Anil Kumar Mittal: As far as the shelf space is concerned, the brand is very strong and when we appointed a new distributor in 2022, he gave us commitment to import about 65,000 - 70,000 tons of rice . He then gave us an order for about 17,000 – 18,000 MT in the first quarter of 2022-23 and we were quite happy. We were sure that we would soon recapture our previous market share.

But what happened subsequently was not expected. It was easy for him to place the product easily because of the strength of the brand. But due to his own deficiency and lack of knowledge about the commodity, he was not able to

perform. At one given point, the orders came down to negligible quantities such as 2000 – 3000 tonnes. Ultimately, we landed in litigation.

In Saudi Arabia, India Gate brand is still very much in demand and the brand image is intact. We have been receiving lot of enquiries from various distributors. Especially during January & February there is a huge surge in demand for rice due to Ramadan which is commencing from 3rd of March. Our only requirement now is a distributor with a good understanding as I had mentioned in my presentation.

Anuj Sharma: Yes. The next question is if you look at our margins despite us holding inventory being a branded player and excluding to premium markets like Middle East, margins over the years have been declining. And if we compare the 9-month FY24 margins, our margins are very close to commodity players, right, who buy in spot and sell to private label. Why have we lost this margin advantage?.

Ashish Jain: Anuj, sorry, I'm not sure if you're referring to the correct data. On a 9-month basis, our EBITDA margin is at 17%, and the PAT margin is also healthy at 12% So , I think the commodity player profile is very different from this. I think there's probably low single digits is what at least I see in their balance sheets.

Anuj Sharma: I'm not saying they have closed in, but the gap has significantly reduced. They are touching 12%, and we are closer to -- if I remove the other income. So the gap which used to be 700 to 900 basis points is now merely 200 basis points. And that's for a player like us, I'm talking about 9 months data and over the years, the margin gap has really come down.

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Anil Kumar Mittal: The profit margin has come down because the export turnover has come down. The profit margins in exports are much higher than in domestic sales. Besides, export market is 100% Head Rice, whereas in domestic market we have about 40% Broken & 60% Head Rice or 50:50 ratio of Broken & Head Rice. Broken rice does not command the same premium as head rice. So, our PAT and EBITDA are coming down. The day our exports pick up by even just 200 – 300 crores, the scenario will change.

And, being the Chairman of the company, I do not want to make any statement for which I may have to feel embarrassed later on. But, one thing I am sure of, that you will see a remarkable

growth in exports in the 4th quarter. We are more worried than the investors, since we have worked really very hard to reach these levels. We are trying our level best to come out with impressive results.

Anuj Sharma: All right and lastly, the Saudi sales will remain 0 until we appoint your distributor, right? So you are expecting the other regions to do well to compensate? Or you think Saudi sales will come back via a different arrangement in next quarter?

Anil Kumar Mittal: I do not want to discuss on a specific country or a buyer. No doubt, we are very much concerned about the Saudi market, because it accounts for about 20% of the total exports. I assure you that

4th quarter will be much better than all the first 3 quarters of FY 23-24. As we had mentioned earlier, we are indeed showing remarkable progress in all other markets, and we will definitely be doing 25 – 30% more business in the 4th quarter over the 3rd quarter on export front.

Moderator: The next question is from the line of Nikhil from SIMPL.

Nikhil: I have 2 questions. One is on the market share. We talked about our market share increasing both in the GT channel and the modern trade. If you can just help me understand whom are we gaining market share from? Because if you look at the other listed large players, they are also talking about market share gains. So is it like we are gaining more from private labels or regional brands? Just some sense on both GT and modern trade, our market share gaining, through which channels or which

players?

Ayush Gupta: See, if you look at the domestic landscape, there are broadly just 2 players who hold a significant market share in the market. Rest of the players, all fall under the 5% market share slab. It's rightly portrayed by you that both the players are gaining market share. So a lot of it is coming from regional local players in the market.

But also one thing to note is the speed at which one is gaining market share over the other. So that is, I would say, something which is more notable that at what speed we are gaining market share over the competition because the market is fragmented by only 2 players and both are putting efforts in terms of distribution and other spaces.

There is immense area for expansion. But on what basis market share gains are coming? Is it back of distribution, is it back of brand equity or is it back of pricing? That is something that quality of gain of market share is something to be evaluated I think to get a correct picture there.

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Nikhil: And when you talk about market share, this is a value share, right? Can you talk about what would be your volume share gain?

Ayush Gupta: Actually, I don't have that number at the moment with me, but we will be able to share that later after the call.

Nikhil: Okay. Second question if we talk about the shift in the industry and staples, there is this change from loose to branded and from regional brands to larger pan-India brands. If you have to understand over the last 5 years, how has the industry shape changed from loose to branded basmati or from regional to branded? And what would be our gain versus regional brands and loose? Can you just talk about like 5- 10 minutes, how the shape of things have changed over the last 5 years?

Ayush Gupta: Yes. So I'll explain you over the last 5 years, the India's growth in terms of overall basmati penetration has increased significantly. And I would say it will be between 6% to 8% year-over-year that India's overall basmati consumption is increasing. Mostly, this consumption gain is coming on back of 2 reasons: one, if I talk about past 5 years, almost 60% of India's basmati consumption comprised of metro cities. Metro cities, mainly 40 lakh population plus towns. 60% of basmati business came from there.

However, in the last 5 years, we have seen a drastic shift now. And now only 40% of business comes from these towns. So what has happened in the last 5 years, a lot of penetration of basmati has gone down to Tier 1, Tier 2 population towns and that's where consumption increase has been substantial.

Because of that, we also see a lot of our distribution efforts being ramped up in Tier 1, Tier 2 and maybe some rural towns of North and West region where basmati is highly penetrated. So

that's one part of what has happened and on the loose to packaged bit, yes, packaged basmati is also leading this growth: one, because of newcomers, because a lot of modern trade and e-commerce channels have started contributing significantly to the basmati rice industry and these channels are advocates of packaged commodity. So these are catalyzing that shift from loose to packaged.

Another notable change which has recently happened is the ruling from FSSAI on 1st of August

on purity of basmati rice, right? So a lot of basmati rice, which is unbranded or loose is unpure, and government has now put strict rules on adulteration. So I think that is another area which is propelling this change from loose to packaged.

Nikhil: See, the tailwind for the industry for loose to packaged, I think this -- before this FSSAI, there was also the GST ruling because of the rate change and where we were like the price differential between loose and branded will decrease and we should gain and it's almost like 1 - 1.5 years for that.

But if we look at our volume trajectory and we are just along the lines of what the

industry is growing. So are these actually helping us to become, like, takeaway share? Or is it just because the larger shift is from loose to branded and we being the larger player we are gaining? So are these tailwinds which we talk about, do really change the things in the near term?

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Or is it more of a structural 4 - 5 year things where you believe it will happen? That is one. And last question is, can you talk about how is the mix for us changed between mass, premium and economy segment in last 5 years? What it was 5 years back and what it would be today?

Ayush Gupta: Okay. See, as far as your earlier question goes on the shift in loose to packaged. Being the category leader and a dominant market share for almost a decade now, I think it is a normal course of action that if the category moves from loose to packaged, brands like us will be preferred in an organic manner.

Also, if you see our communication strategy for the last 1, 1.5 years, we are at the forefront of leading this change from loose to packaged. And this is done strategically to ensure that consumers get into the packaged basmati rice category. And we inherently feel that because our brand equities are so strong, we will be the chosen brand in the market. So definitely, market size growth is a good sign for all of us. And yes, we are riding the wave.

But I would say that we are not growing at the category pace. We are growing much faster than the category because you see, very aggressive market share gains happening in this last 9 months.

350 basis points in 9 months is a huge market share gain for any brand in the consumer space.

In terms of the sub-segment channel mix, I think that's a bit of a sensitive information for us, and we won't be able to share it.

Moderator: Next question is from the line of Amit Doshi from Care PMS.

Amit Doshi: Congrats and great set of domestic business numbers. With this respect to our export market, we were, of course, a very strong player in Saudi, and it's been quite some time that we are not in the market. So who would be filling our space? And second, you mentioned that the distributors themselves, 80% of the distributors have their own brands.

So obviously, they could be selling probably more. So if we have not been able to settle with any other distributor for quite some time. So do you think it would make more sense to go direct?

Or is there a possibility of that sort?

Anil Kumar Mittal: It is not possible to fill in the gap in the Saudi market, since it accounts for 20% of total basmati exports from India. Saudi will remain a very prominent destination for KRBL, more so, since we have remained the market leaders there for 20 years. And, we are really not able to evaluate what happened to our original distributor, or, where they went wrong.

Another important market is Iran which has got a 30% share. but it is 100% private label. There is no Indian brand available in Iran. The purchases are either made by the Government or by private players, besides payment has become a big problem.

We need to resolve both the above problems. Though KRBL is doing good business in other Middle East countries, USA, Japan, Singapore, Hong Kong, African continent as well as Europe, we cannot ignore Saudi Arabia & Iran. We need to solidify our position in these two markets if we have to regain our position in top line & bottom line. We assure you we are making our earnest efforts to ensure that we become the leaders of these two markets.

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Amit Doshi: Yes. Okay. So is there a possibility of going direct rather than without a distributor in Saudi

market? Is there a possibility?

Anil Kumar Mittal: It will be better for me to discuss on this topic after the 4th quarter. The 4th quarter will become a real mirror to show whether we are going the right way or not.

ot.

Amit Doshi: Okay. Sir, now that court has dismissed this matter and it is back to this arbitration. So can you just explain the process of arbitration in terms of timelines, how things work really now that the matter is with arbitration?

Anil Kumar Mittal: We have not got big experience of arbitration. According to our lawyers, it will take 3 - 4 years or even more. There are two arbitrators – one from their side & one from our side from India.

And the third neutral arbitrator is from Singapore.

Normally, sometimes lawyers misguide their clients because they stand to make good money till the time of award of the settlement.

Amit Doshi: Okay, But that doesn't stop our appointment of another distributor in Saudi in the meantime.

Anil Kumar Mittal: No, it doesn't. We have already terminated the previous distributor. The High Court has given a clear verdict in our favour. Our agreement is terminated and we are free to appoint a distributor both for HoReCa as well as retail outlets.

Amit Doshi: Okay. With respect to our domestic business, which is growing very strong as a company, KRBL. So now that obviously because of lower export, lower Saudi market, etc., do you think we should start working on KRBL numbers with lower operating margins owing to more domestic sales, at least until our Saudi business is restored? Would that be a fair thinking?

Ayush Gupta: You mean lower number, meaning lower operating margins?

Amit Doshi: Operating margin numbers, yes, percentage terms.

Ayush Gupta: I mean, I think that's not KRBL's DNA and if that had to be done with KRBL, we would have been doing turnovers of, I would say, more than \$2 billion. But we are purely in the business of branded staples and our main effort and investments go into creating healthy bottom lines. It's not about delivering top line. It's about creating healthy bottom line.

And I think that's the challenge any company would face in the staples space and I think we are doing the right investments. We are putting efforts in the right direction when it comes to distribution and other GTM strategies to be able to create that equity in the market. So our DNA will always be about getting healthy bottom lines and not compromise that to deliver top line.

Amit Doshi: On the slide five, there is a mention of some additional provision. Can you clarify what provision is that? And there is also mentioned that there is a lower freight cost. So I'm presuming that's because of low sales to the Saudi market, just confirming that.

Ashish Jain: Yes. So I'll answer that question. That provision is part of a policy where once the aging of certain receivables exceed a number of days, we provide for that in the books of account. So it's

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a standard as per policy. Yes. So you are right. The lower freight on sales is on both: one is that there is lower volume of export. And second is that even on the existing volume in export, the freight rates have come down as compared to last year.

Moderator: Next question is from the line of Varun Bang from Bryanston Investments.

Varun Bang: Congratulations for good performance in the domestic market. So first question is on the domestic market. So as a part of our portfolio expansion strategy, we had talked about flax seeds, chia seeds, idli rava, and rice flour, etc.. So we had aggressive plans there. So where do we stand on those initiatives? And because we've not shared that in our PPT, so is there a change in the strategy?

Ayush Gupta: Yes. See, those products continue to be in our portfolio. But given India's eating habits and given India's buying capacity, some of these products or most of these products are not mass and given that we do almost INR 3,500 crores of annual turnover in the domestic business, they are not sizable to the overall scale of business. While we continue to operate there, but

they are not

sizable to the overall scale of business.

Hence, our product expansion strategies will differ going forward. And as mentioned, that we are taking some steps in that direction as our basmati business now is on a growth and upward trend, our product expansion plans are in place, and we will be updating you guys as and when we have concrete information on that front or plan on that front.

Varun Bang: Okay. And in the modern trade, we have seen a lot of variation in our market share. So what is the reason for the same? I think in Q4 2023, it was 58%, which then fell to 29% in the last quarter. And now again, it is up to 41%. So is it due to our marketing initiatives?

Ayush Gupta: See, the -- if you look at the data for the last couple of years, you'll see that it's a cyclical kind of a nature. That's also because the Indian modern trade ecosystem is highly fragmented with Reliance and DMart in the ecosystem. Both of them currently contribute to 90% of overall

modern trade sales, point number one. Point number two, DMart doesn't share data to A.C. Nielsen. So whatever DMart sales is actually a projection of Reliance's stores in that area, and they kind of extrapolate it from there. So Reliance performance, henceforth becomes an ultimate projection to the market share data, right? And Reliance, currently the way of working is that they have quarterly engagements with brands and which shows was a very erratic trend in the market share.

Varun Bang: Okay. Got it. And second question is on the distributor in the export market. So once any distributor is appointed, how do you manage these relationships? And what is the employee hierarchy in the export business? So I think Ms. Priyanka, who is heading the division. So how is the hierarchy below her? And any changes that we have made in the hierarchy in the recent past? Or any changes that we think we need to make?

Anil Kumar Mittal: There is no change. In the last two years, she has appointed 1 or 2 sales promoters from our side considering the size of business in the respective countries, for giving us the correct feedback on the functioning of the distributors. Such feedbacks help us communicate with distributors

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accordingly. She continues to head the export division and we have a GM sitting in Dubai who looks after the whole of Middle East.

Moderator: Next follow-up question is from the line of Anuj Sharma from M3 Investments.

Anuj Sharma: Yes. I'm saying if you look at markets like North America and EU, the recent volumes and realizations have been better than Middle East and are becoming sizable. Historically, we have not given significant emphasis to these markets. So any thoughts out there to these markets?

Anil Kumar Mittal: Yes. North America in the last couple of years has shown a remarkable growth. And one of our competitors has got a major share of it. I would say, 60% of that market has gone to our competitors because they have their own huge setup over there.

As far as Europe is concerned, I think exports to Europe will increase because of the FTAs which are going to be signed in the next 5-6 months. That will give a boost to export of packed White Rice from India to Europe instead of Brown Rice.

Once the FTAs are signed, the custom duty or the custom abatement which is presently going on in Europe between white and brown rice will vanish. Presently, on brown rice it is almost zero duty, whereas on white basmati rice it is EUR 175 per ton. So once the duty is done away with, Indian White Basmati Rice exports to Europe will become very competitive, & Europe will become a huge market for India.

Moreover, Pakistan has taken away 65% market of brown basmati rice from India this year because of the 100 dollar price advantage. Once the FTA comes in place, we will definitely be able to overcome the disadvantage we have suffered

this year at the hands of Pakistan.

Anuj Sharma: All right. And 1 more question. I'm sorry, I'm digging into the distribution relationship because that's, I think, the key for us. And I remember, we have been very, very careful in selecting a distributor, right, for Saudi also but the HoReCa option is still open. We have not selected for the past 3 years. So my question is, where is the challenge?

Are we not aware of the key distributors? Or the agreement or the terms we are not able to set?

What is the real challenge in finding a distributor? And HoReCa was never subject to any, but we still haven't been able to set a HoReCa distributor there. So what is the challenge? And we

deal in multiple countries, it's not a single country, but we have got it right in multiple countries.

But in Saudi, we still find it challenging.

Anil Kumar Mittal: There are certain things which cannot be articulated in the public domain. You are welcome to my office any time, where we can discuss these things. We will explain to you about the challenges & problems being faced by the rice industry.

Moderator: The next follow-up question is from the line of Karan Gupta from CAVI Capital Advisors.

Karan Gupta: Anil Ji's point is very well taken regarding top line versus actually collections of receivables. It's quite evident if you look at the international receivables for some of the other players. But what I wanted to ask actually was, just longer term on the pricing ones, if the cost of the raw material

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goes down over a period of time, given that a lot of our sales are branded, do you foresee reducing prices going forward also if raw materials were to come down? Or once price increases are taken sticky for our customers?

Ashish Jain: Yes. I'll answer that. See, generally, what happens in a branded space is brands show utmost resilience when markets go down. So when prices go up, we are able to take price increments

very comfortably. But when prices go down, generally, brands show resilience. So if markets go down by 8% to 10%, brands generally put down prices by 2% - 3%. So generally, it's a positive scenario for us while that trend is going on.

Moderator: Thank you very much, ladies and gentlemen, thank you very much for members of the management and on behalf of KRBL Limited, we conclude the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 3 FY24 Earning Conference Call.

Call: May 2024

Ref: KRBL/SE/2024- 25/16 May 31, 2024

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Friday, May 24, 2024 on Audited Financial Results of KRBL Limited for the Fourth Quarter (Q4) and Financial Year ended March 31, 2024

Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Friday, May 24, 2024 at 12:00 Noon onwards on the Audited Financial Results for the Fourth Quarter (Q4) and Financial Year ended March 31, 2024.
The same is also available on the Website of the Company at <https://krblrice.com/schedule-of-investor-meet/>

This is for your kind information and record.
Thanking you,
Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: ACS 21328

Encl: As above

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"KRBL Limited
Q4 & FY24 Earnings Conference Call"

May 24, 2024

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN & MANAGING DIRECTOR

MR. ANOOP KUMAR GUPTA – JOINT MANAGING DIRECTOR

MR. AYUSH GUPTA – HEAD -DOMESTIC DIVISION

MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER

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May 24, 2024

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Moderator: Ladies and gentlemen, good day and welcome to KRBL Limited Q4 and FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you.

Ashish Jain: Thank you to all participants for joining us. Welcome to the Q4 and FY 24 Earnings Conference Call for Analysts and Investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal, Chairman and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director and Mr. Ayush Gupta, Head of the Domestic Division as key speakers on the call.

To kick off the call, Mr. Mittal will provide updates on the business, industry and our overall strategy. Following that, Ayush will delve into the perspectives of our domestic business.

Finally, I will present the “Financial Overview” of the Company for the 4th Quarter and Fiscal Year ‘24.

Once the Management has concluded their “Opening Remarks”, we will open the floor for an interactive Q&A session. Please note that some of the statements made during this call may contain forward-looking information, and actual results may differ from these statements. For more details, you can refer to KRBL's “Investor Presentation”, which is available on the stock exchange(s) website and our Company website.

Now, I would like to invite Anilji to share his views. The floor is yours, sir.

Anil Kumar Mittal: Good afternoon, everyone. I am pleased to welcome you to our quarterly investors call for KRBL Limited.

Today, I want to share with you some insights into our Company's “Performance” and the “Outlook” for the future.

Firstly, let's examine the global rice landscape. According to the latest forecasts by the USDA, global rice production in the marketing year ‘2023 -24, is expected to reach around 517.3 million metric tonnes, showcasing a slight increase from the preceding year. However, it's crucial to note that rice consumption has also seen a rise, reaching 521.6 million metric tonnes in the same period. This uptick in consumption has resulted in a deficit surpassing production in the previous marketing year thereby impacting global rice prices.

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Looking ahead, the projections for the upcoming year are optimistic. Global rice production is forecasted to surge by 10.3 million tonnes, reaching a new record of 527.6 million metric tonnes. This increase is primarily attributed to significant growth in key producing countries like India and China, which collectively contribute more than half of the global rice production. Additionally, major producers such as Indonesia, Burma, Pakistan and Bangladesh are also expected to witness larger crops.

On the consumption front, USDA anticipates a further increase in global rice consumption for the year 24 -25, reaching a record high of 526.4 million metric tonnes. Notably, India is projected to lead this surge with consumption hitting a record high of 120 million tonnes driven by government initiative and public distribution programs. However, China the large rice consuming country is expected to experience a decline in consumption for the third consecutive year, due to reduced utilization of rice as a substitute for coarse grains and feed. Now, let's shift our focus to rice exports, India is positive to maintain its position as the largest rice exporter in 2025, with its exports projected at 18 million tonnes, up by 1.5 million tonnes from the previous year. This significant

growth is fueled by a larger crop and ample stocks.

However, it's essential to keep an eye on the policy stance adopted by the Government of India as it could influence export dynamics.

Moving on to India's rice outlook, The marketing year '2023- 24, India's rice production is estimated at 135 million metric tonnes, slightly lower than the previous year figures of 135.8 million metric tonnes. However, I am sure many of you are curious about the outlook for basmati production in the upcoming year. While specific figures are not available at this time, expectations are cautiously optimistic considering the historical significance and global demand for this premium variety of rice.

Turning our attention to basmati export, India witnessed a remarkable year in terms of basmati rice exports from April 2023 to February 2024, basmati exports size to 4.67 million metric tonnes, marking a notable increase of 22% compared to the previous period. However, the story was different for non- basmati export which were affected by the state policy, resulting in a decrease from 16 million metric tonnes to 10 million metric tonnes during the same timeframe. The recent Red Sea crisis has undoubtedly raised concerns globally, the crisis has disturbed one of the world's busiest maritime trade routes, impacting the flow of goods between Europe, Asia and Africa as shipping routes are de-routing to avoid conflict area, or increased security measures are implemented shipping cost have risen and transit times have increased, considerably impacting the logistics part of the business.

Despite challenges the demand for both basmati and non -basmati rice remains strong, and it is reflected in high prices. In the period from April 2023 to February 2024 the average export realization for basmati rice was 10% higher than the previous year, while non -basmati rice saw

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a 17% increase. However, it's worth noting that export realization has been declining month-on-month since third quarter of 2024. The main reason that can be attributed to this decline in realization are the geopolitical concerns in the Middle East region.

The recent clash in Israel and Gaza, eroded regional stability and raised economic uncertainty deterring confidence within the business community and thereby hampering business growth. Further the payment situation from key markets such as Iran is still not streamlined. And there is still tightness of funds leading to constricted business volumes with the negatively impacted local prices in the Indian market.

I will now update you about KRBL's export performance, KRBL export revenue stood at Rs.292 crore in Q4 2024 and Rs.1345 crore for the entire financial year '2023- 24. As previously communicated, our export performance has been impacted by various factors. The Government's restricted policy decision regarding export of rice impacted all our non -basmati export to the tune of about 300 crores. Geopolitical concern and heightened tension in the Middle East region has substantially delayed the payment cycle from markets such as Iran and Iraq, which contributes to nearly 40% of the total basmati export from India.

We are very conservative in our approach when working with these markets and do not intend to take on unnecessary payment and transaction risks, which might lead to compliance issues at a later date. Hence representing fewer opportunities for us in the bulk line segments having an impact of Rs. 600 crore to our export revenue. The restructuring of our distribution network in some major markets has led to a temporary decline in our export number which we believe will be reclaimed in the next one or two quarters.

We are already seeing an increasing trend in shipments and repeat orders in the se market and hope to reach our expected volume soon, which will additionally add 600 crore - 700 crore to our

topline. If all the above factors are in line, we automatically see a jump of Rs. 1400 crore - Rs.1600 crore in our export revenue. Nevertheless, in order to reduce our dependence on a few markets, we are aggressively working on creating and developing our presence in newer markets in order to diversify from our geographic concentration.

Nevertheless, we have secured bulk orders for approximately between 200 crore to 250 crore which we anticipate shipping over the current and the new quarter. Despite challenges in our export segment KRBL total income reached Rs.5482 crores mainly driven by robust performance of our domestic business. We witnessed an impressive 18% increase in domestic revenue during FY2024, our Company reported an EBITDA of Rs.899 crore with a PAT of almost Rs.600 crore.

Looking ahead to FY 2025, we are confident in our ability to accelerate our export business while maintaining our growth trajectory in the domestic market. Thank you.

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Ashish Jain: Thank you, sir. I will now hand over to Ayush for his comments.

Ayush Gupta: Ladies and gentlemen, it is an honor to address you today and share the Outstanding Performance of KRBL Limited in our domestic market for the fourth consecutive quarter of Fiscal Year ' 2023-24. In Q4 FY '24 our India market sales once again surpassed the Rs.1000 crore revenues threshold, achieving Rs. 1009 crores and marking an impressive 8% year-over - year growth. This consistent quarterly performance has propelled us to a significant milestone, with annual domestic revenue almost touching the Rs. 4000 crore mark, reflecting an 18% year-over -year growth.

Our success is a testament to meticulous strategic planning and diligent execution. Our market share metric speaks volumes . In the general trade business, we expanded our market share to an unprecedented 36.9% in Q4 FY '24. A gain of 440 basis points over the same period last year. We concluded the year with a 35% volume market share marking a substantial 300 basis points increase. Additionally, in modern t rade we achieved a commendable market share of 55.4% in Q4 FY'24 and 41.7% on an annual basis.

In the e -commerce business, we almost doubled our business to report a 400-basis points market share increase to 39%. While these output metrics are impressive, they are the direct results of our unwavering commitment to input measures. The India market is driven by robust operational metrics. And we believe that sustained progress on this front will ensure long term sustainable growth. Our strategy to diversify distribution has been phenomenally successful. We added over 150 new distributors and expanded our retail footprint by more than 44,000 outlets in the exit quarter of the past fiscal year. This achievement required not only upgrading and up-skilling our wo rkforce, but also enhancing our analytical capabilities t o make high yielding decisions.

Our commitment to excellence extends to our supply chain capabilities. By setting up a robust CNF infrastructure . KRBL has improved its supply chain efficiency, ensuring quicker and more reliable delivery of products to various market segments. This strategic move not only bolstered our ability to meet customer demands promptly, but also help the penetration of new markets , thus expanding our overall distribution network.

The enhanced logistical support provided by the CNF expansion has been instrumental in strengthening KRBLs market presence and operational efficiency .

Our second strategy , to increase branded basmati penet ration has brought 1 million new households under our branded umbrella this fiscal year alone. The overall branded basmati category welcome 2 million new households . India Gate reach ed an impressive 11 million households in India 's further strengthening our position as the world's number one branded basmati rice player. Our marketing c

ampaign commanded a dominant 60% + share of falls in the category . And a regional approach to marketing communication, strengthen the brand
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showed by a 200 basis points increas e in brand equity and 1000 basis points increas e in trial ratio for the brand.

Our third strategy of diversifying our product portfolio has made notable progress. We launched two new categories last year, and our entry into the regional rice category was met with positive reception, generating a remarkable revenue of Rs. 212 crore and 89% increase over the past year. We exceeded our target of this segment contributing 5% to our overall Indi a revenue in FY '24.

Furthermore, our new launch India Gate Classic Biryani Masalas has seen tremendous success adding innovation to our legacy brand India Gate. This high margin category holds great promise and we believe that this category will scale up significantly on modern trade and e - commerce platforms. Within the first three months of launch, we have been able to garner 10%+ market share within the Biryani Masala category in modern trade, which consists of established legacy masalas brands.

As the India b usiness achieved unprecedented growth, our focus extends beyond expansion to evolution. We are committed to building functional capabilities, advancing technological competencies and upgrading our talent pool. In conclusion, KRBL Limited stands at the threshold of a new era of growth and innovation. Our achievements over the past year are a testament to our collective effort, strategic foresight and unwavering commitment to excellence. We are poised to further strengthen our market position and drive sustainable growth. Our vision for the future is clear , to be a leader in the industry through relentless innovation, operational excellence and a deep understanding of our consumers evolving needs. We will continue to invest in our people, technology and processes to ensure that we still are at the forefront of the market.

Thank you for your continued support and confidence in KRBL Limited . Together we will achieve new heights and create a lasting impact on the industry. The future is bright, and we are ready to seize the opportunities that lie ahead. Thank y ou. I will now hand over to Ashish

for his comments on the financial statement.

Ashish Jain: Thank you Ayush. I will now take you through the performance for the Quarter and the year ended March 31, '2024. All figures mentioned by me would refer to the consolidated financials of KRBL Limited.

Total revenue from operations for the quarters stood at Rs. 1318 crores marking a growth of 3% over the corresponding previous quarter. Total income increased by 0.3%, lower than the increase in total revenue from operations primarily because of lower other income as a corresponding quarter last year had an income tax refund of around Rs. 40 crores. Domestic revenue excluding power increased by 8% over the corresponding quarter last year to Rs. 1009 crores. KRBL Limited
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crores, year-on-year basmati sales in the India market increased by 6% driven largely by volume growth.

On the export side, revenue declined by 12% over the corresponding quarter to Rs. 292 crores because of lower non-basmati sales which were at Rs. 3 crores during the quarter as against Rs. 90 crores in the corresponding quarter last year. This decline in non-basmati sales is largely on account of ongoing policy restrictions. Basmati sales on the export side actually increased by 8% during the quarter. Gross margin in the quarter was at 25.7% as against 26.6% in the same quarter last year and was affected largely by higher basmati unit cost. EBITDA margin for the quarter was at 14.1%, the same as that in the corresponding quarter. Finance cost for the quarter was at Rs. 14.3 crores as against Rs. 7.8 crores on account of higher inventory lead worki

ng capital borrowing. The PAT for the quarter was Rs. 114 crores or 8.6% in margin terms as against Rs. 118 crores or 8.9% in the corresponding quarter on account of the factors that I mentioned.

I will now share an Analysis of Q4 versus Q3, Revenue from operations in Q4 was at Rs. 1318 crores like I mentioned as against Rs. 1438 crores in the preceding quarter. This is on account of domestic sales which were lower by around Rs. 135 crores vis-à-vis the preceding quarter, while export sales were actually higher by Rs. 14 crores. Domestic basmati volume sales were lower as compared to Q3 as Q3 was a festive season while export sales actually saw an increase in realization in Q4. Q4 gross margin is higher on account of higher export realization and higher revenue from byproducts as well as power. While average basmati COGS remained at Q3 levels in Q4. The EBITDA margin remained at Q3 levels primarily on account of higher proportionate employee cost.

Now, I will discuss 2024 Performance, Total income for the period stood at around Rs. 5482 crores marking a growth of 0.4% against FY 23. The revenue from operations was at Rs. 5385 crores marking a similar growth over FY 23. The gross profit margin of the Company was 27%, lower on account of lower export sales and increase in paddy and rice cost during the year. EBITDA margin was at 16.4% on account of other factors but benefited from lower export freight on sales. The PAT of the Company was a Rs. 596 crores on account of above factors besides higher finance cost.

Now, just to share the segment wise sales performance for the full year, Domestic basmati sales volume for FY 24 grew by 10% and realization by 6%. This, coupled with almost doubling of non-basmati sales resulted in a 18% year-on-year growth in domestic revenue to Rs. 3936 crores. On the export side in FY 24 basmati sales volume declined by 20% because of lower branded sales, basmati realization increased by around 5% to 9% for both branded and bulk segments individually, but overall basmati realization was flat on account of higher share of bulk in overall export revenue. This coupled with policy restrictions mentioned by Anilji on the non-basmati side resulted in an export revenue of Rs. 1345 crores.

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Moving on to balance sheet highlights, Total inventory as of March 31st, 2024, was at Rs. 4451 crores, comprising Rs. 1334 crores of paddy, as against Rs. 1616 crores in March 2023 and Rs. 2955 crores of rice as against Rs. 2396 crores in March 2023. In volume terms, paddy stock was at approximately 3,06,000 tonnes and rice at 444,000 tonnes. These numbers were 407,000 tonnes and 404,000 tonnes respectively in March 2023. Total bank debt as of March 31st, 2024, was at Rs. 460 crores, as against Rs. 138 crores as on 31st March 2023. With that, I come to an end of my prepared remarks, I would now like to hand over to the moderator for opening the Q&A session.

I would just like to mention that the ED matter is sub-judice so we will not be in a position to respond to queries on this matter. So, over to the moderator now.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our

first question from the line of Himanshu Upadhyay from Buglerock PMS . Please go ahead.

Himanshu Upadhyay: My first question was, we have been doing CAPEX for the non-basmati side also or domestic brand, where are we in that CAPEX cycle. And how much of revenue contribution of that has been there in the FY24 and also in FY25 and some focus areas for us ?

Ashish Jain: Himanshu so, in terms of our CAPEX cycle, with respect to our plant expansion in Karnataka, and in MP , the land has been acquired various formalities post acquisition of land are going on and the construction work has commenced. So, that is going as per plan, in terms of overall non-basmati revenue

now Ayush mentioned, so on the branded side we did about Rs. 212 crores in last financial year .

Himanshu Upadhyay: How many varieties would be there or this would be one or two varieties only , there is Rs. 212 crores?

Ayush Gupta : This Rs.212 crores comprises of about five to six different varieties of regional rice comprising from pan India. So, there are certain varieties which sell in the East region, some varieties in the south region, some are contributed from the North and West. So, as we spoke earlier also our regional rice strategy is to focus on the premium varieties in regional rice, which have the potential to give us healthy gross margins. So, we have chosen those varieties within the India Gate brand and we are growing them alongside .

Himanshu Upadhyay: Would we like to continue with these 5 -6 varieties or do you think that over a period of time, we would like to focus on two or three, which you think can be maximum potential and how do you select those 5-6 varieties, some of your thoughts and which are those six varieties where you are focused on currently ?

Ayush Gupta : We were started with 5-6 varieties, we might want to add more varieties as we deep dive into a particular market and get more market Intel. It might be a situation that we resort back to a
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couple of varieties as our focus varieties in terms of growth . So, down South, Wada Kolam and Sona Masoori raw old is giving us great results. So, our focus and growth there is much greater than we probably other varieties that we have started focusing on. So, it is going to be a journey , there might be new varieties added as the market demands and expects and there would be certain varieties that will be curtailed out because, maybe consumer trends are not favoring or product quality or gross margins are not as per our strategic alignments.

Himanshu Upadhyay: Okay . And what are the top three priorities for this year on domestic side can you give that, and I am not talking about financial numbers , revenue or profitability, but in terms of goals you have set to achieve on the other aspects or operational aspects of the business besides financial?

Ayush Gupta : The broadly the three -pronged strategy that we mentioned in the past year will continue there would be refinements on that front. But densifying distribution reach is definitely an agenda going forward. As basmati rice currently is sold only in 7 lakh outlets and we see other staples category selling in more than 15 lakhs and certain of the categories are upwards 30 lakh outlets , our objective is to expand basmati penetration or branded basmati penetration to that extent. So, a lot of our effort may come from marketing , maybe from distribution is to expand the overall industry and the category and not just ourselves. And being the leader, we believe that if we are able to do an expansion for the category we will benefit the most. So , that is definitely an area of focus alongside we are augmenting our product portfolio. Regional rice growth remains as a focus, but we are also evaluating and going to be venturing out into newer categories apart from rice. Ready -to-cook Biryani Masala, as I mentioned has given us a bright spot and we will focus on more of these and launches which relate to the brand “ India Gate” and add to the innovation agenda to that but , other than ready -to-cook Masalas we are evaluating other food products or categories, and we will be doing some launches and announcements soon as we have something firmed up.

Himanshu Upadhyay: Okay. And on the export side, we said that we want to diversify from Middle East but, can you give what would be our strategy and are we focusing on large markets or even small markets, we are fine to go for exports business ?

Anil Kumar Mittal: We look at the opportunities wherever they are , whether the markets are small or big. We

don't want to lose any opportunity which is in front of us. But prior to going into diversification or finding new markets, we want to stabilize ourselves where we were already established . It is a fact that our business has distorted in the last 2 – 3 years because of certain reasons, which we would like to overcome first and then look at newer markets . We are not going to leave any opportunity which is going to come in our way.

Moderator: Thank you. We will take our next question from the line of Chetan Doshi from Tulsi Capital. Please go ahead.

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Chetan Doshi: As you showed the roadmap for Indian market, there is nothing about the export market. You don't speak at all in the investors presentation nor in this presentation also made by all three of you. So, we would like to know because in last three years the sales is getting stagnated around Rs.4500 crores or say around Rs.5000 crores. Last three years, I have been attending your concall wherein it was told that in next year we want to become a 8000 crore Company. And when the market is lucrative when prices are at all-time high, you are not able to penetrate the export market the way it should be as a market leader. So, can you just highlight something on this?

Anil Kumar Mittal: Your question is correct that in last 2-3 years we have not shown much growth in exports. The main reason is the payment problem with Iran & Iraq, which are huge markets for Basmati imports. We do not have any arrangement via Dubai to regulate that business. Besides, we do not want to enter into any such business which may lead to controversies later on. So we are not concentrating much on these markets and are waiting for the payment problems to get resolved. Yes, I do agree that we are facing a serious setback in Saudi which used to give us a topline of about 600 to 700 crores. We are desperately trying to recapture that market. I hope, God willing we will be able to overcome this problem in the third quarter of the present fiscal.

Chetan Doshi: Let's hope so, but a lot of attention needs to be given to this subject because, it is affecting your bottom line in a big way.

Anil Kumar Mittal: Absolutely correct, I do agree, you being an investor and we being a company, we are trying our utmost to ensure that my investors are happy.

Chetan Doshi: Can we expect by September you have things in line?

Anil Kumar Mittal: Definitely, we are also planning that by September quarter we will be able to do something much better than what we have done in FY 2023-24.

Moderator: Thank you. We will take our next question from the line of Mahesh Atal from Atal Investment. Please go ahead.

Mahesh Atal: Sir, I have one question. Please let us know about the Saudi Arabia because that is one thing because Iraq and Iran are already close, I understand there are some payment issues that we can see. We can see everybody's money is stuck like you mentioned in last concall. But the business of Saudi Arabia as we used to do 800 to 1000 crore but currently it's zero so what is happening and what's the progress on that because last distributor did what he had to and that was a year back so what are we doing now there?

Anil Kumar Mittal: In Saudi Arabia, India Gate was the highest selling brand from India. Otherwise most of the brands belongs to local companies, and we call them export of private labels. Now, 80% market is captured by these 7-8 local brands and they too are more than 30 year old brands like

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India Gate. Those who had our brand and worked with us for more than 30 years had some financial issues. However, it should be understood that since 1988 to 2015 they were doing a phenomenal job and we were so proud of the Saudi market since every year we were registering a minimum growth of 1

0%. So, we were confident that by FY2025 we would have reached a figure of about 1500 crores, but on the contrary we had to lose our business which we were continuing up to 2020. After that we started searching for a new distributor. We never wanted a distributor whom we appoint today and in few years we start facing the commitment and financial problems. So, after seeing the financial strength, we decided on a distributor, but as ill-luck would be, within a span of six months his performance level fell down. We tried a lot and appointed him for the next financial year too. But he could not achieve the targets neither in FY 2022-23 nor in FY 2023-24, and rather sued us. The High Court order was in our favour, and we cancelled his agreement. Now he has gone into arbitration. Considering the unnecessary legal expenses which may run into crores of rupees and the time involved, we tried to settle the issue with him amicably, but he doesn't want that, and hence we had to agree for arbitration. Before any judgement of arbitration comes, he is spreading bad rumours about us in Saudi Arabia. Therefore we are having a difficult time in appointing a new distributor.

Mahesh Atal: Okay, I understood your point. Can't we directly penetrate into the market because our competitors have a channel in other countries so can't we create our own channel there?

Anil Kumar Mittal: For last three months within our Board and our professionals, we talk on these topics only that if in next 2-3 months nothing comes up then we start our own channel. If it could have been Dubai it was very easy to open our own office because it is similar to India. But in Saudi Arabia we do have language barrier, manpower issue and other challenges which we have to

overcome. If the decision is not in our favor then by September we will open our own office in Saudi.

Mahesh Atal: Sir just an advise, I think you should start your own channel because the rumors will always keep spreading, but our channel will perform better.

Moderator: Thank you. We will take our next question from the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: Sir we used to be the largest basmati rice Company till FY2020. Then the second largest player overtook us in 2021 by revenue. And last year, they even overtook us in EBITDA. Now sir, our net worth is 50% more than them. So, with 50% more net worth we are generating less EBITDA than them and losing market share. And sir if we listen to the management commentary, we don't see there is any problem, it feels it is self-congratulatory, everything is going fine, we are gaining market in India in low margin market and in high margin market we are losing market share. And sir we understand your problem in Saudi so, sir why can't we

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divert the Saudi exports to the rest of the world, because otherwise what's the point in having so much of inventory?

Anil Kumar Mittal: If it's about inventory, let me tell you from my long experience, that basmati prices have always remained higher than what normally they are during the start of the season. So, on that experience we do our purchases according to our financial strength, and try to liquidate the stocks according to their purchase price levels before end of the season. So, we are able to maintain cost levels as well.

As regards diversification, please do understand we are trying our best. KRBL being the leader in Basmati generic segment, we are making our earnest efforts to diversify, but the issue is of payment. It is not that easy to develop new markets of same volume. Iran & Saudi will always remain major basmati markets. Saudi Arabia has started importing around 900 to a million tonnes, and Iran is importing around 1.2- 1.3 million tonnes. Iran imports are mostly via Dubai. Both these markets are importing around 2.2 million

tonnes together, which is practically

45% of our total export. We can't ignore these markets. We have to finally catch hold of these markets. We can easily sell around 100,000 tonnes in Saudi alone, either by establishing our own office there or through a Saudi distributor. We do not want to lose our title of being the leader of Basmati exports. Therefore, we have to be present in Iran and in Saudi.

Keshav Garg: Sir our exports basically have reduced from around 2100 crore four years back in FY20 to 1350 crores last year, whereas sir if we see then, India Basmati export revenue has increased by 35% over past four years and 22% last year, sir our Basmati revenues have fallen by 35% in the past four years.

Anil Kumar Mittal: The shortfall is coming from only from these two major markets, Iran & Saudi Arabia, which were accounting for a turnover of about 700 – 800 crores each. If we add these figures, the numbers would come to the level what you are expecting. As I have been repeatedly saying, these two are the major markets, and we are making our utmost efforts to gain back our foothold in both the markets.

Keshav Garg: Sir, total basmati export was 48,400 crore India last year, in this if you remove the 1400 crore then also we have 47000 crore market so I am not able to understand is basmati is the commodity and our aged rice is a special commodity. Why cannot we divert it, it is not as a Saudi Arabia is 80% of the export market. It is something like 15 %, 17%. So, even if we lost market share in Saudi why could we not diversify exports to the rest of the world?

Ashish Jain: The numbers quoted by you are correct. Anilji has already responded to your question and then to your comment. Your point has been noted in terms of the effort that are being made in terms of restoring export to be accelerated. And he has got back and said that, if the indirect distribution we are not able to align a partner, then by September, as far as Saudi is concerned,

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we will setup our own operation. Do you have any other comments or questions other than that?

Moderator: Thank you. We will take our next question from the line of Amit Agarwal. an Individual Investor. Please go ahead.

Amit Agarwal: My first question is regarding rice bran oil. So, last 7-8 years back we were talking about to launch of this product in the country. Where are we in this particular product at this stage? And my second question is regarding, in your presentation you are showing that your turnover has double turnover in the last 10 years. How much is this because of volume increase, and how much of this is because of price increase?

Ayush Gupta: So, on the rice bran oil project we have made significant progress. And we are planning a launch in this financial year. However, it's not going to be a rice bran oil launch specifically,

it's going to be a healthy edible oil launch. And we are looking at a very high gross margin profile as a product within the oil category.

Ashish Jain: Amit what you were asking for is , that over the last 10 years, what has been the increase in value versus volume right?

Amit Agarwal: Yes.

Ashish Jain: So, I don't have 10 year old data with me right now but I will get back to you separately.

Amit Agarwal: Okay. And regarding this oil market how much are we expecting from this new product launch?

Ayush Gupta : We have made some projections and calculations and by year three of launch we are expecting about 200 to 250 crore revenue.

Amit Agarwal: Sir are you setting up the plant in Punjab?

Ayush Gupta : Yes, we are going to be setting up a plant in Punjab.

Moderator: Thank you. We will take our next question from the line of Ketan R Chheda, Retail Investor. Please go ahead.

Ketan R Chheda: I am coming back to the export market topic. I understand that Iran, Iraq, Saudi are big market

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and we cannot ignore them. I would like to understand what is your view about the markets of US, Europe, Australia and all these markets because I understand that these markets also could be bigger. We don't want to focus on the top three markets that you mentioned, but at the

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same time, how are we progressing on the other markets , where they maybe big in potential but right now the revenues from these markets is very less for us.

Anil Kumar Mittal: Except the markets of Saudi, Iran & Iraq, our exports to the rest of the world is 50% which includes Far East , Middle East , West & East Africa, USA and Europe. We are doing extremely fine in Australia. We are also doing extremely well in the Middle East except Saudi Arabia. We are doing fairly well in US, but the major share of the U.S. market is with our competitor. Leaving America as far as polished rice is concerned we are really doing fine in the rest of the world as discussed above.

Ketan R Chheda: Okay . So, just again in terms of the UK , is UK a big market for us ?

Anil Kumar Mittal: As far as Europe, including UK is concerned, it is still a market of Brown Basmati . However , after FTA comes into force, polished rice expansion would be phenomenal. As of date, we export a round 4 -5 containers to every country of Europe and we are doing fine and are satisfied. My nephew Akshay is looking after the European business who recently visited Europe, made good contacts and booked good orders . We are only worried about the Saudi business including Iraq.

Ketan R Chheda: Okay . And last question from my side. I understood from your comments that the last distributor that we had in Saudi, we have appointed him for maybe a year or so and the engagement was not for a longer period. So, correct me if I am wrong and linked to that is , what I want to ask us now or whatever the new distributor that we are evaluating or looking to appoint. Again, our engagement will be for a shorter period to start with, this is my question.

Anil Kumar Mittal: All our distributors worldwide are appointed for a period of one year or a maximum of two years. We revise the agreement after every two years. So, our last Saudi distributor was also engaged for two years, but he could not achieve the target in the first year. Still, we gave him an opportunity to perform in the second year. He couldn't achieve the target in the second year also, and hence we had no other alternative than to cancel his agreement. We are trying with other people, but have not been successful till now.

Moderator: Thank you. We will take our next question from the line of Nisarg Vakharia from Nv Alpha Fund Management LLP . Please go ahead.

Nisarg Vakharia: Two questions. The first is that you just recently mentioned that the distributor was not able to perform. Can you help us understand what does that mean, because over the last 4 -5 years as you said that the local private brands have sort of taken shelf space versus you. So, who are they sourcing basmati rice from and where are they sourcing rice from and how easy is it to displace the local brands and again come back into the shelf space?

Anil Kumar Mittal: You are talking of the distributor whom we have discontinued?

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Nisarg Vakharia: Yes, sir.

Anil Kumar Mittal: When we appointed the last distributor in Saudi we had an agreement to sell 58,000 tonnes in the year 2021- 22, but he could hardly sell 23,000 – 24000 tonnes only. However, rather than cancelling the agreement as per the terms of the contract, we gave him another opportunity next year to sell 48,000 tonnes. But, he couldn't do even 10,000 tonnes in the second year.

This was the reason we had to discontinue with him.

Nisarg Vakharia: That I understood, but I sort of asked you a deeper question that there is no shelf space

somebody else has replaced you. So, how easy is it to displace those guys back and then get your space again, because four years is a reasonably long time now to lose market share is my point.

Anil Kumar Mittal: You are absolutely correct, this time either we are going to do ourselves or reappoint some experienced distributor. I do agree that competitors have occupied our shelf space and we have to face a hard time to recapture the same. But, looking to the reputation of India Gate, it should not be difficult for us to recapture them. We may have to pay more to get back the shelf space for six months or one year & reduce our profit.

Nisarg Vakharia: In context to that sir, the private label brands that exist versus India Gate in Saudi Arabia and these markets, they are sourcing basmati rice from which country Pakistan or India?

Anil Kumar Mittal: India's share in the global basmati export market is 85% & Pakistan accounts for 15% share. As regards the Saudi market, the market ratio of India & Pakistan is 90 : 10.

Nisarg Vakharia: Okay. Second question sir for domestic, you have done a very good job. If you see your volume growth from 2014 to 2019 the CAGR from 2020 to 24 is almost double of that, which is quite nice after COVID. I am saying specifically, and we have done almost 15% CAGR this data I have so I have seen this data. Can you please help us understand what has led to the dramatic increase in volumes in domestic operations post COVID and can this run rate continue, because out of the 15% CAGR growth, 6% is price growth?

Ayush Gupta : Thank you for that question. Post COVID broadly a couple of things happened. One is definitely the HoReCa business resumed back. The tailwind on the HoReCa business was normalization of GST across India. Earlier there was a GST charge only on branded products while unbranded products were exempted of GST. So, that created a lot of baggage on branded products to compete in the market. But after 2019, when the GST regime got normalized, a big push was received by us especially because we were in the quality branded space in the HoReCa business. And obviously, HoReCa overall has seen a very, I would say stupendous growth in terms of outdoor eating, in terms of travels and in terms of spending otherwise, so HoReCa business has grown for us considerably over the past five years. Another tailwind that we have seen in the India market is consumption patterns increasing. So, kind of mentioned in

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earlier speeches as well, that India used to be purely a metro phenomenon when it came to basmati rice consumption, almost 60%, 65% of basmati rice was consumed only in the metro cities. Over the past five to seven years, this trend has changed. Now, about 60%- 65% consumption of basmati rice, branded basmati rice happens in the tier one and tier two cities. So, that tells you about the expansion of basmati rice consumption within the India market. And we have kind of ridden that wave of growth. But we have also outperformed the category growth in a lot of ways that is showcased through our gain in market share. Just last year, we gained about 300 basis points market share to finish the year at 35% in general trade. So, we have done distribution expansions, we have entered new retail outlets, we have done a lot of work on the household penetration in terms of effective communication and marketing strategies. So, it's a mixture of a lot of things across the spectrum. Even supply chain capabilities have been enhanced over the past couple of years to be able to fulfill to this evolving consumer needs.

Nisarg Vakharia: Just in context to this, see the addressable opportunity from unbranded to branded is infinite. We can't even put those numbers on paper. So, when you say 35% market share, what does it mean?

Ayush Gupta : That's part of the packaged

branded segment.

Nisarg Vakharia: Package brand, okay. And can we not have like 10% to 12% volume growth considering that now we have Blinkit, Swiggy, at least in the urban cities I don't think many people go and buy loose rice, from the general provision store, everybody orders on these platforms. So, can the volume growth not be higher than what we are doing today?

Ayush Gupta : That's our aspiration, we are planning at least a 15% to 18% volume growth on consumer packs. And about 8% to 10% volume growth on bulk packs year-over-year and 15% to 18% in consumer pack is on the back of e-commerce and modern trade which are growing even higher, but modern trade and e-commerce still as a percentage of sales is about 20% to 25%, 70%-75% is contributed by general trade. So, that's the reality of Indian retail ecosystem. And it's quite a good tailwind and a good story for us unfolding going forward as well.

Nisarg Vakharia: Thank you for patiently answering my questions. One small question, if I can squeeze in, just wanted to understand if we open our office in Saudi Arabia. See, there are two forms of

distribution networks one is India, where you have to go to every general provision store and grab bag or you have like US, where the distribution network is very consolidating. So, you can easily achieve scale so Saudi Arabia falls in which bracket?

Anil Kumar Mittal: No, as far as Saudi is concerned, it is a mixed bag of Europe, America & India. Most of the business is done in a professional manner. 90% consumption in Saudi market is of Indian Rice. Modern trade is very well organized whereas HoReCa business is just like Indian market.

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Moderator: Thank you. We will take our next question from the line of Anuj Sharma from M 3 Investment . Please go ahead.

Anuj Sharma: Just one quick question related to the previous one, what is the economics of setting up our own channel in Saudi?

Anil Kumar Mittal: Still we have not worked out . We are still working on concluding a good distributor . But if we are not able to get any good distributor in next three months, then we will make a visit and see how we can establish our own office .

Anuj Sharma: Okay, but if let's suppose we come down to Plan B. I am just trying to understand what are the negatives or downside of setting up our own channel, is it the breakeven or is it the possibility of success or failure?

Ayush Gupta : See, from an economic standpoint, it will definitely be a much better deal because we will be surpassing all the middlemen margins and working directly. However, there will definitely be a question of credit exposure in the market that we will be exposed to. But , broadly the question that needs to be answered is the capabilities front. Having a distribution , having our own distribution in the foreign market requires a lot of network , requires a lot of local know how and capabilities, being a manufacturer being a brand Company , that's not what our core capability lies, which is setting up our own distribution network. Having said that, if the need arises, and if that's what we want to do, we will put all our energies towards developing that capability. So, there's more at risk on the software side of things rather than economic , economics definitely would favor the decision but it's more about the capabilities that need to be able to enter the market.

Moderator: Thank you. We will take our next question from the line of Yash Dantewadia from Dante Equity . Please go ahead.

Yash Dantewadia: Hi, can you just shed some light on the distribution dynamics in domestic versus foreign exports , basically cash and carry percentage if there is any, how much is it in the Indian distribution versus export distribution , I don't know anything about exports, I don't know anything about your domestic business in terms of the payment terms,

can you shed some light

on that because like the previous participant said, even if you penetrate the Saudi market by yourself, you will have a hard time collecting payments in understanding the credit dynamics there. So, how is that different right now ?

Ayush Gupta : See the domestic market, while there is a significant credit requirement in the market from the retailers, but having a strong brand for India Gate, our credit exposure to our distributors is very limited , distributors mostly pay us on advance payments and avail the cash discount that

we offer them and hence our credit exposure in the domestic markets are quite limited . When it comes to channel dispersion 75% to 80% of the business is contributed by the general trade

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while 20 % to 25% business contributed by the modern trade and e-commerce platforms. And we have distributors across cities and states in India and that number is closing about to 750 distributors now . In the export markets, it's quite a diversified portfolio depending on the market requirements there are certain markets like America which will be more dependent on organized retail and ethnic markets and so every market has a very nuanced distribution network depending on the product because basmati rice is also a niche product and an ethnic product. So, depending on the spread of the market, depending on the penetration of the product in that market, the distribution network varies. However, our strategy currently is that for every country, we have one authorized distributor who services various segments of the market in certain countries we have also had a separate distributor for consumer packs and we have a separate distributor for HoReCa

Yash Dantewadia: Right . In Saudi with our previous distributor did he pay cash or credit , what was your payment term?

Anil Kumar Mittal: As far as basmati is concerned, the Government of India came out with a notification that basmati can be exported either against CAD or against the letter of credit or under E CGC guarantee payment. So, these are the three modes. So, there is no question of giving any credit .

Yash Dantewadia: No, but if you go and set up your own domestic office in those countries, then that guarantee won't be valid right ?

Anil Kumar Mittal: ECGC will not be valid if we open our own office in any part of the world. But the main problem in opening our office is to monitor the credit lines, especially with the HoReCa business.

Yash Dantewadia: Last question regarding the margins, for example in your domestic market in the last three years, how much have you grown in e-commerce question number one and within that question, how does your margins differ . Now, if you go through a distributor and e-commerce if you are selling directly, can you just explain if your margins are going to work if the e-commerce penetration goes up , higher margin is going to go higher or no. And if yes, by how much and how much you are expecting e-commerce to grow in India, because I see a lot of Big basket, Jio Mart, et cetera, and obviously, that penetration is going to grow a lot in the next 3 -5 years. So, are your margins going to be supported by that growth and how much are you expecting that portion to grow , these are the two questions.

Ayush Gupta : All right. In the past three years, I would say the e-commerce business has quadrupled for us. So, we were at about a 50-crore revenue and we just closed a 200 crore revenue on e-commerce and we see that number, we have also had forecast this year of upwards of 33. 5% in terms of growth rate on this front. So, e-commerce business because of the penetration, that digitization is happening across India. And because of the convenience from a quick commerce perspective, this channel is seeing a lot of penetration and acceptance from the consumers. So, KRBL Limited
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we are very positive on the e-commerce front in terms of margins definitely it's a direct serve channel from our end to the retailers. However, there are a lot of cost of doing business with such retailers because it's a consumer facing business. So, there is a need a lot of promotions , there is a need of a lot of advertising on the platforms. And there's a heavy investment on that front. If I compare it to general trade, I would say it will be just slightly better in terms of overall cost of doing business. So, we are maintaining healthy margins as we are doing in general trade while working with e-commerce.

Yash Dantewadia: Also, can you just share US market share please?

Anil Kumar Mittal: We have 6 % of the total share of the US market .

Yash Dantewadia: In the last three years or has it gone down?

Anil Kumar Mittal: It is almost the same, neither it has increased, nor it has gone down.

Moderator: Thank you. We take that as the last question for today. Thank you very much members of the management team. Ladies and gentlemen on behalf of KRBL Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines .

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 4 & FY24 Earning Conference Call.

Call: Nov 2024

Ref: KRBL/SE/2024 -25/52 November 21 , 2024

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Thursday , November 14 , 2024 on
Unaudited Financial Results of KRBL Limited for the Second Quarter (Q 2) and Half Year
ended September 30, 2024

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Thursday , November 14 , 2024 at 12: 30 P.M. onwards on the Unaudited Financial Results for the Second Quarter (Q 2) and Half Year ended September 30 , 2024.

The same is also available on the Website of the Company at [https://krblrice.com/investor - relations/financial -information/](https://krblrice.com/investor-relations/financial-information/)

This is for your kind information and record.

Thanking you,

Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: ACS 21328

Encl: As above

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"KRBL Limited
Q2 FY'25 Earnings Conference Call "
November 14, 2024

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIR PERSON AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP GUPTA – JOINT MANAGING DIRECTOR –
KRBL LIMITED
MR. AYUSH GUPTA – HEAD OF DOMESTIC DIVISION –
KRBL LIMITED

MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KRBL Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal an operator by pressing * and then "0" on your touch -tone telephone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, Mr. Ashish.

Ashish Jain: Thank you, and thank you to all the participants for joining us. Welcome to the Q2 FY '25 earnings conference call for analysts and investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal, Chairman and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director; and Mr. Ayush Gupta, Head of Domestic Division, as key speakers on the call. To kick off the call, Mr. Mittal will provide updates on the industry, our overall strategy and the exports business. Following that, Ayush will delve into the domestic business. Finally, I will present the financial overview of the company for the second quarter and half year ended September 30, 2024. Once the management has concluded their opening remarks, we will open the floor for an interactive Q&A session.

Please note that some of the statements made during the call may contain forward -looking information, and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the stock exchange websites and our company's website.

Now I would like to invite Anil Ji to share his views.

Anil Kumar Mittal: Good afternoon, everyone. Wish you all a belated happy and prosperous Deepavali. Thank you for joining us today for KRBL Limited's Q2 investor call. I'm pleased to provide an overview of our recent performance and share insights into our future outlook.

Let's begin the review of the global rice market landscape. The USDA's latest forecast for the 2024-25 marketing year projects global rice production at 530 million metric tons, making an increase from last year. Global rice consumption is also expected to rise to 528 million metric tons. This year, global rice production will exceed consumption, reversing the deficit observed in 2022 and 2022 -23.

Turning to India's outlook. Production for 2024-25 marketing year is estimated to reach a record 142 million metric tons up from 138 million metric tons last year. Basmati rice production is also anticipated to hit an all -time high with 16 million tons of paddy harvested across the GI region across all varieties, reflecting an estimated 10% increase over the previous year. The above production estimates are reflected on the prices. We are witnessing the paddy prices to be lower by 15% over last year. Almost 15% of the crop has already arrived.

If we take the total basket of basmati rice, out of it the arrival alone of 1509 variety, is estimated to be around 85%. The crop is healthy and the arrivals are going to remain up to December end. KRBL is already there in the market, and we are buying at a good pace as we decided during the

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beginning of the season. To be more precise, the price of 1509 remained at INR 28,000 to INR 29,000 whereas 1121 is between INR 40,000 to INR 42,000. 1718 is between INR 37,000 to INR 38,000 and 1401 is between INR 33,000 to INR 34,000.

Normally, there are 6 varieties popular in basmati family vis -a-vis traditional 1121, 1718, 1509, 1401 and Pusa Basmati No.1 . We are witnessing arrivals of pest resistance varieties such as Pusa 1885 alternate of 1121, 1847 alternate of 1509, 1886 alternate of 1401 and 1637 alternate of Pusa 1. The crop size o

f these pest resistance varieties is expected to be in a good quantity, but exact numbers will be established after the season is over.

Now focusing on India rice export. India is expected to retain its position as world's largest rice exporter in 2025 with export projected between 18 million to 20 million tons, including basmati rice. This growth is supported by a robust harvest, ample stock and the government open policy stands for all non-basmati rice exports except for 100% broken rice, which remains restricted. India's basmati rice export in the first half of 2025 reached 2.7 million metric tons, an 18% increase from 2.3 million metric tons in the same period last year despite a high comparative base from the record 5.2 million metric tons exported in FY 2024. In September 2024, the government removed the minimum export price of USD 950 per metric ton on basmati export, which is expected to further drive export volumes. Given the current paddy prices, we anticipate basmati prices in export market to be highly competitive further enhancing export potential. Now moving to KRBL's performance in export segment. Our export revenue reached to INR 252 crores in Q2 2025 compared to INR 235 crores in Q2 2024, a growth of 7%, whereas the total revenue of KRBL stood at INR 1,270 crores with domestic revenue at INR 1,018 crores, witnessing a growth of 5% in Q2 FY 2025. The company reported an EBITDA of INR 150 crores, a PAT of INR 101 crores.

The above export turnover is subdued due to the lower export to Europe of brown rice. Pakistan was more competitive and there are no problem whatsoever on pesticide residues. This year, we expect good business from Europe which will start from December 2024 onwards. We have already made some bulk shipments via Dubai, for which the revenue will be reflected in Q3-Q4. In case of Iran by imports, were banned from 20th July up to 20th November. The licenses to import rice will be available in the month of December.

As far as Saudi is concerned, I had gone myself to Dammam and Riyadh to evaluate the opening of our own office. It is a little bit time consuming, but we expect that by March end, we should be able to complete all formalities. Since India Gate is still a very strong brand name in Saudi, we have appointed two wholesale distributors to ensure that the visibility of the brand is maintained and shipments have already commenced. Looking ahead of FY 2025, we remain confident in our ability to accelerate growth in our export business while sustaining our positive momentum in the domestic market. If anyone have any further questions, I would be happy to answer them during the Q&A session.

I here now pass on to Ayush for domestic update. Thank you once again.

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Ayush Gupta: Thank you. Ladies and gentlemen, I'm honoured to address you today and share the outstanding achievements of KRBL Limited in the India market for the second quarter of the fiscal year 2024-25. Our continued success in India reflects our unwavering commitment to a long-term growth strategy, focused on sustainable expansion and excellence in execution.

In Q2 FY '25, our India market recorded a revenue of INR 984 crores, a growth of approximately 5% compared to Q2 FY'24 and our H1 FY '25 revenue stands at INR 1,909 crores, reflecting a strong 7% growth over H1 FY '24. In the generally slowing FMCG market, with urban growth volumes of around 2.5% in H1, we delivered an impressive 10% volume growth in the branded basmati segment, supported by solid performance across both consumer and bulk rice segments. This success is further evidenced by our growing market share across multiple channels. Our flagship brand, India Gate now reaches over 1.1 crores households, reaffirming our market leadership. In general trade, we secured a 38% market share, marking an increase of 435 basis points over last

year, thanks to our strategic focus on expanding distribution and deepening brand loyalty.

In modern trade, despite a slowdown due to the rise of quick commerce, we hold a strong position with a 36.2% market share, an increase of 428 basis points year-over-year. Our e-commerce investments the fastest-growing channel have also yielded exceptional results with our market share rising 40%, a gain of 133 basis points compared to last year. This growth validates our digital strategy and commitment to meeting evolving consumer expectations. Looking ahead, we are confident that our strategic initiatives will continue driving sustainable growth and reinforcing our leadership in the India market. To propel our India business to new heights, I'm pleased to introduce our 4-pillar growth strategy, designed to build on the foundations laid by earlier 3-pronged approach.

The first pillar, democratizing our distribution network, addresses the rapid changes in India's channel dynamics. We see 3 emerging trends. First, basmati growth will accelerate in Tier 1 and Tier 2 towns, where we aim to enhance our distribution quality. Second, in metros, where we already have an approximately 85% weighted distribution, we will focus on increasing the range of availability and strengthening market execution to boost share amongst existing handlers. Third, with the advent of quick commerce transforming shopping habits, convenience has

become paramount. We are committed to increasing our visibility and fostering strong brand preference in this channel.

The second pillar, remodelling our supply chain, is a response to the shifting channel landscape. We are moving closer to the market to improve service levels and efficiency. In general trade, this involves expanding our distribution network with CNS and super stockist to reach account of 1,000 + dealers and distributors, a target that will make supply chain capabilities essential. Additionally, transitioning to an FOR model will enhance governance of our go-to-market strategy. In organized trade, these steps will improve not only service quality but also cost efficiency, enabling us to reinvest in brand reference and visibility.

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Our third growth pillar is investing in the brand, celebrating 25 years in India, India Gate has become the world's No. 1 basmati rice brand, with industry-leading brand equity and top of mind recall. We remain deeply committed to investing in India Gate, strengthening the brand's identity and consistently maintaining our category defining share of rice at 67% +.

Finally, our fourth pillar, foraying into new products and categories, reflects our ambition to diversify and enhance our offerings for Indian consumers. We are already exploring adjacent categories and the successful launch of India Gate Classic Biryani Masala in modern trade and e-commerce has shown the potential for expansion. Encouraged by the positive response, we will now introduce this product in general trade in top metros.

As we advance, these 4 pillars will guide our efforts to reach more consumers, expand our presence and remain agile and responsive to India's dynamic market. Each initiative reflects our commitment to delivering the highest quality products deepening our consumer relationships and ensuring that KRBL remains synonymous with trust, quality and innovation.

In closing, I would like to express my gratitude to our entire KRBL team whose dedication and hard work make these achievements possible and to our consumers, partners and shareholders for their continued trust and support. Together, we are shaping a bright future for KRBL in India, and I'm excited for the journey ahead. Thank you.

I will now hand it over to Ashish Jain for further remarks.

Ashish Jain: Yes. Thank you, Ayush. I'll walk you through the performance highlights for the quarter and first half ended

September 30, 2024. Unless otherwise stated, all figures are consolidated for KRBL Limited.

For the quarter, total income for the quarter was at INR 1,306 crores, a 5% increase over the same quarter last year, excluding power rose 5% year-on-year to INR 984 crores, driven by a 10% growth in branded basmati volume and stable realizations. In exports, revenue increased by 7% to INR 252 crores, with growth fuelled both by volume and pricing gains. The outlook for exports has been covered in Anil Ji's earlier comments.

Coming to the margins. Our gross margin for the quarter was at 23.7%, impacted by a 7% year-on-year increase in basmati unit costs as paddy prices were higher in the last season, while average sales realization in the period rose by 3%. The comparative base in Q2 FY '24, which is the corresponding quarter last year also benefited from a onetime provision reversal.

EBITDA margin for the quarter stood at 12.1% compared to 18.2% corresponding quarter last year, primarily reflecting the impact on gross margin as well as higher employee costs, provision for doubtful debt and other expenses. Increase in employee cost is primarily driven by additions to our team that are a part of a long-term plan to strengthen our capabilities to deliver on growth initiatives. Finance costs remained stable at INR 0.83 crores, and PAT was at INR 103 crores or 7.9% of total income compared to INR 153 crores or 12.3% in the corresponding quarter last year and this reflects the trend basis factors outlined above.

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Coming to the half year performance. Total income for first half of FY 2025 was INR 2,527 crores, reflecting a 6% decline from H1 2024. Domestic revenue saw 7% growth in H1 2025, while exports declined by 36%, primarily due to a reduction in bulk sales. Bulk sales in the current H1 are at INR 104 crores, while in the corresponding period last year, they were at INR 450 crores.

Notably, however, branded export in H1 increased by 43% as compared to the same period last year. Gross profit margin stood at 23% with EBITDA and PAT margin at 12% and 7.5%, respectively, reflecting the impact of higher input costs I have mentioned earlier, proportionate employee cost, slight increase in trade on sales and provision adjustments that I've already

mentioned.

Coming to balance sheet, as of September 30, 2024, total inventory stood at INR 3,013 crores comprising INR 215 crores of paddy and INR 2,647 crores of rice. This reflects a strategic inventory position to meet anticipated demand. In terms of volume, we carried inventory around 60,000 tons of paddy and 376,000 tons of rice compared to 114,000 tons of paddy and 332,000 tons of rice last year. Our cash and bank balance, including all investments, but excluding equity shares was at INR 1,283 crores compared to INR 1,268 crores a year earlier.

With this, I conclude my remarks and will now hand over to the moderator for the Q&A session.

Please note that as the ED matter is sub-judice, we won't be able to address queries on that issue, though we share an update on these matters in our notes to results every quarter. Over to the moderator.

Moderator: The first question is from the line of Amit Agarwal from Leeway Investments.

Amit Agarwal: My first question with regards Saudi Arabia market. Sir, you mentioned that two wholesale and distributors have been appointed. Can you throw some more light on that? How soon we can think of export shipping our first shipment? And is it regarding retail market? Or are these distributors related to HoReCa segment?

Anil Kumar Mittal: It is related to retail and HoReCa, but in general trade, when I say retail, it is retail, not modern retail, but it is to the general trade.

Amit Agarwal: And how soon should we expect the first shipment to Saudi Arabia?

Anil Kumar Mittal: The shipments have started in the second quarter.

Amit Agarwal: Okay. So now I think the watch is over for the Saudi Arabian market. Is this okay to assume that?

Anil Kumar Mittal: No. Let us see the actual momentum will come when we'll open our own office, because it will take time because we have to take government position in India, then we have to apply to the Saudi government. I think so it will take another 3-4 months' time till the time we are ready to open the office.

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Amit Agarwal: At least we have started shipping to Saudi Arabia. At least the last 2 quarters, it was no export to Saudi Arabia, if I'm not wrong, right?

Ashish Jain: Yes, you're right. So you're right. So the shipments to Saudi Arabia have commenced, but, as Anil Ji mentioned, they have commenced but through the wholesaler route.

Amit Agarwal: That's a private label that means? Or is it our own brand?

Ashish Jain: No, no. It is not private label. I'll explain. See, we are shipping India Gate, which is our own brand. But as a channel, I think these shipments are currently being routed through wholesalers based in Saudi, right? So that's the route. Now the other channels that we traditionally use are distributors for retail and HoReCa. Now that is work in progress. But through the wholesale channel, the shipments have started.

Amit Agarwal: And my next question is regarding energy sector. Sir, for the last 2 years, the energy sector turned over as well as the results are stagnant. But we initially have thought that energy sector gives us 18% return on our capital employed. So they should increase every year am I wrong to assume or there's something wrong in my reading? Because earlier the results of INR 48 crores for September half yearly, 2 years back, now it's INR 38 crores. It has reduced INR 10 crores.

Ashish Jain: Yes. So I'll explain. See, we have about 147 -megawatt of electricity. Bulk of this is in power. So where the overall unit generation is dependent upon wind patterns. So what has happened in the current quarter, also in the first quarter, is that wind patterns have not been what they were last year because of which we've seen lower generation.

Amit Agarwal: And what about the price increase every year? Or is this price stagnant?

Ashish Jain: We operate by selling power to state electricity boards through long-term contracts where the price is fixed. So there is no provision of year-on-year increase in power tariffs.

Amit Agarwal: So that means in the long run, the results would be static similar to this what has been shown in the last 2 years, right?

Ashish Jain: Yes. Yes, I would say stable, not static. So they should continue to be stable.

Amit Agarwal: And my last question is regarding edible oil, sir, is that a launch of the edible oil in progress or has been delayed, what is the expected month of launch in the domestic market?

Ayush Gupta: We are almost ready with all our things with the launch, and we'll be launching the product at the end of Q3 or first week of Q4.

Amit Agarwal: And how much turnover should we expect in first 2 years or something like this? Is this a small launch? How big is the market we're expecting to capture?

Ayush Gupta: We are looking at a market share of about 3% to 5% in the first year, leading up to about 15% by year 3, and we are expecting a turnover of starting with INR 70 – INR 75 crores in year 1 and reaching up to INR 300 crores by year 3.

Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: My question was on inventories and what is our thought process now? I mean we are seeing the price of basmati paddy is lower by 15%, as you stated. So would we like to increase our inventory materially from what we bought last year? Or we think as inventory remains higher than last year, we'd like to buy less or what

What is your thought process on that? Can you give some of your thoughts?

Anoop Kumar Gupta: Looking at the market, we are thinking of increasing the quantity. We are buying, the pace is quite high, but it depends upon the market. If the market remains the same, we think will go a little higher than last year.

Himanshu Upadhyay: Okay. Okay. And second thing, Ayush. We also had started focusing on other rice like Sona Masoori and others, okay? What is the progress there? Is it a really scalable business? Or you think it again is a niche business only for us in the future?

Anoop Kumar Gupta: Yes, it is scalable. We are increasing by 10% to 15% every quarter. And you see we are doing only specialty rices and that to wherein the value addition is there. And the rice has to be aged minimum 1 year and 1.5 years. So we have now put up a small processing plant in Karnataka also. We are putting up a plant in Gangavati also, we have already put up a plant at Kandla Port also. From all the 3 plants, we are doing processing of these materials after keeping it for aging for 1 year. So we are expecting this pace to be continued.

Himanshu Upadhyay: What would be the size of business besides basmati, let's say, in Q2?

Ayush Gupta: So last year, we did a INR 200 crores of revenue in the regional rice business, and we're expecting it to be close to about INR 275 crores and INR 300 crores in this financial year.

Himanshu Upadhyay: Okay. And we seem very optimistic on the European business, okay? So have we decided to have a distributor? Or do we be doing it on our own or what is the thought process in that market?

Anil Kumar Mittal: See, as far as Europe is concerned, one thing is definitely in favor of India this time is that we have plenty of stocks which are compliant. Last year, we had a major problem. And hence, Pakistan took away our market. This year our prices are much lower over Pakistan, and we are expecting a phenomenal business from Europe and the RPMs will come into the market around 15th of December to conclude the businesses.

Himanshu Upadhyay: Okay. And when you decided about Saudi Arabia, it will have our own office, how many people would it be required and the marketing and everything will be done by ourselves and even tying up with various retail channel and everything.

Anil Kumar Mittal: No, no. We will be operating it professionally and it would be fully controlled by us and staff and everything we are going to have after opening the office. We have already gone and seen even the HR people who are #1 HR people to get the good people. See, initial challenges will always be there. But we will overcome all those challenges because we have a 35 year experience of that market.

Moderator: The next question is from the line of Yash Dantewadia from Dante Equities.

Yash Dantewadia: Yes. So I just wanted to understand something on the inventory side and the margin side, right? From what I have understood is that we carried over higher cost inventories from last year, because the prices of basmati are much higher last financial year, right? So hence, our margins are down. But as we move into the next financial year, maybe post 2 to 3 quarters, right, that the high cost inventory is sort of sold out.

Can we look at the margins going back to sort of the 14 %-15% levels? And whatever I said, does it make sense to you? Does it work that way? Because I do know that you do increase distributor discounts when the price is sort of become very competitive as they are now?

Anoop Kumar Gupta: You see we are carrying high -cost inventory. So margins will be under pressure for another 2 quarters. That is maximum. Another 2 quarters, we will be operating under 15% only, but first quarter of next financial which should come to the same glory of 15% plus.

Yash Dantewadia: Yes. I'm talking about the domestic business.

Yes. I'll leave the export business aside for now. Can you tell me what will the margins look like in the -- and also the MRP does not change, right, regardless of the pricing of basmati rice in the sort of wholesale and distributor level or the process level that you are buying it and processing it, the MRPs change vis -a-vis the pricing or the MRPs remain the same? Like versus last year and this year, the prices of basmati are much

higher last year, did the MRP change?

Ayush Gupta: Yes. Varun, to answer your question, see, what has happened in the last financial year, we have seen consistent decline in pricing of commodity over the six months, starting from Q4 end up to September end, we see a consistent decline in prices of the commodity. So what we did in Q3, starting, we revised our MRPs and we started pricing a fresh in terms of rebalancing because we are giving a lot of schemes in the market.

So MRPs have now been revised. And given the commodity position now, we only see an upward trend going forward. So MRPs again and pricing will keep on rising month-over-month, quarter-over-quarter as we feel comfortable. Margins, we are working on very healthy margins now, Q3 onwards. And we see ourselves resuming back to the 15% -plus gross EBITDA margins by Q1 end.

Yash Dantewadia: Yes. So that we are talking about the domestic business, right? Can you clarify that?

Ayush Gupta: Steadily rise back up as markets will allow.

Yash Dantewadia: Understood. But yes the 15% number that you just shared, is this for a domestic business because I'm asking purely on the basis of domestic business right now?

Ayush Gupta: We don't really do a segmentation of a domestic versus an export in terms of EBITDA. But at the joint level, we are certain that a 15% plus EBITDA will be delivered in Q1.

Yash Dantewadia: So that 15% EBITDA level that you just said, is it keeping in mind that the export and the domestic sales mix stays at the same level, is my question?

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Ayush Gupta: I would say if export remains at this level that is currently going on, we will achieve 15% plus EBITDA. If exports increase, we will be in a much higher and a better position.

Yash Dantewadia: Exactly. That was the answer I was looking for. Also one more question on the land bank side.

Are we going to see any sort of land bank monetization going forward to strengthen the balance sheet or anything on that front? Because I do know that we have a lot of land bank.

Anoop Kumar Gupta: We have a lot of land bank, but we don't want to sell anything. It is all in use. So we use all the land in storing our paddy and we have got about 5 million square foot of warehouses and our open land is used for storage of paddy and we are buying more land rather than selling. There's no question.

Moderator: The next question is from the line of Rishab Bothra from Anand Rathi Shares.

Rishab Bothra: I wanted to understand the revenue mix with respect to our retail network, institutional clients like HoReCa, quick commerce and online?

Ayush Gupta: Online actually, they are very involved. There are very different categories. What we can kind of give you is that our consumer pack business, almost 30% saliency comes from the modern trade e-commerce business and 70% comes from the general trade business, the consumer pack business. The bulk pack business is mainly from general trade.

Rishab Bothra: Okay. Got it. And sir, I understand we are almost 100 plus old entity, Khushi Ram Beharilal is what I understand I covered the top 2006 to 2010 has started looking at again. What would be the basmati rice market in India and non-basmati rice market in India? Plus, I guess we are the top player in the listed space, what is our ranking in unlisted space in basmati? So two questions. One is our ranking in listed and unlisted space and another is what is the market size

of basmati

rice and non-basmati rice in India?

Anoop Kumar Gupta: You see basmati rice according to our estimate is about 2.8 million tons. This includes the sale of broken rice also. And out of 2.8 million tons, the branded segment is only about 0.75 million tons. Out of 0.75 million tons, 40% share is held by KRBL Limited. If you talk of the loose rice, which is about 2 million tons, there's no data who is the king. And that is a very open and loose market.

You don't know who is the king. And non-basmati, this 80 million tons market. We don't know.

And I am in a market of which I am competing because I'm in to specialty, aged rice about INR70-INR 80 a kilo, which is above 5 million tons. I'm in a wholesale of 5 million tons instead of 100 million.

Rishab Bothra: Because what I said is the market, everyone's wallets, I mean, pocket size like they can spend and migrate from non-basmati to basmati, but when I look at companies, there are a handful of companies in the listed space, and the growth rate is not that encouraging which it should have been. I mean, why can't we grow at a faster pace? I understand that aging of rice is required, but a lot of people are investing in a lot of companies. And I don't think there could be any shortage of funds for us to avail either from the debt market or from the equity market. So that is what I wanted to understand. And in terms of growth path, how can we scale up the growth?

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Ashish Jain: I'll just confirm what you're asking. I think your question is that with rising incomes, the people would generally want to upgrade to basmati or switch to basmati. If that is the case, why isn't the growth higher? Is that your question?

Rishab Bothra: Correct, sir. Correct.

Ayush Gupta: See, actually, Rishab what we have seen in the India market regional rice is a preference, it's a food preference. It's not easy to convert a regional rice consumer to a basmati rice consumer.

Down south, basmati rice means biryani, only when they want to consume biryani, they use basmati rice. For the everyday rice requirement, they use the Sona Masoori, Wada Kolam and other varieties that have grown there. And as such, India has more than 8,000 to 10,000 varieties of rice. And every region would love to consume the rice that is grown in that region.

Basmati, yes, the crowns well in terms of the overall rice fraternity, but it was a very special position in terms of special dishes. In North and West, basmati is used for every day consumption, but north and west the consumption is a broken basmati rice, not of full grain. South and East, basmati is consumed mostly in the full grain. But again, it is used for special dishes and festive occasions, right? So rice in India is, I would say, staple and regional rice holds its own position. So it's really not a question of income and affordability, it's a preference of tastes. People who prefer regional rice, continue to eat regional rice.

However, as a brand, India Gate, we're leading from the front. We are communicating with our consumers and we are pursuing them to switch to basmati rice in certain markets. Our South campaign, regional campaign is actually a step in that direction, where we are telling consumers to cook lemon rice, tamarind rice, eat sambar rice with basmati, which could elevate the dishes. But that's a long-term effort, something that ITC would have also done in the past 5-10 years with Atta in South market. So we know we are now coming up with those efforts where we see saturation has come with our high market share, especially in the south market.

Rishab Bothra: But what I understand, I mean, I am always trying to look at companies well, they can multiply their growth. They have companies which have gone bust in the rice space. There are new entrants who are on the unlisted space. I mean, Adani Wilmar, I think all major re-

tailers are

packing products. My only sense is in the last 10 years, our revenues have doubled, whereas Aries Agro gone bust. So who has taken the market share of Aries Agro, LT Foods have grown at a faster pace than us. So my only worry is why we aren't able to grow?

In commodity, it happens that every 2-3 years, people start building up capacity. Our capacity at Dhuri remain at 160 tons or lower, near about that range. So I wanted to get a sense what are we doing directionally that we are not reaching that scale? Also, is there a strategy in distribution pushing the dealers or distributors in a different manner wherein growth can come at a faster pace I mean explanation was complete bang on in terms of different geographies. But if you could just highlight current figures.

Anil Kumar Mittal: Actually, we are evolving on this question time and again for the last 3-4 quarters. First of all, let me clarify that we have the largest manufacturing capacity. The number of players in the last 5 years have just doubled. If there were, let us say, 40 players about 20 years back, there are

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more 150 players -200 players at the moment playing in basmati rice. Bulk business have definitely increased.

As far as branded business is concerned, we are concentrating on that business because the margins are better, EBITDA is better. We don't want to go on to the business, which have 4%, 3%, 2%. There is still plenty of business which has been concluded under private label at 3%, 4% or maximum you can say 5%. And that's also not a very good business, we call it a dirty business. We don't want to enter that type of businesses where mixings are there, blends are there. So we are into neat and clean business.

So as far as basmati is concerned, definitely we have to take acceleration on export, I do agree. But as far as domestic is concerned, it is a phenomenal growth. I don't think so the growth what KRBL is doing, anybody can even dream for that.

Ayush Gupta: I would say we would have almost doubled our turnover in the India market. Our market share positions have increased from 32% up to 38%, 39% in the last month, actually. So I think there's some bit of misunderstanding in how we are doing in the India market vis-a-vis competition in the category.

Moderator: The next question is from the line of Naitik from NV Alpha Fund.

Naitik: Can you please give us the realizations in both export and domestic market?

Ashish Jain: Yes. In the domestic market, the branded basmati realization was around INR 77,000 per ton, while in export, it was around INR 145,000.

Naitik : Okay. My second question, sir, what kind of investments would be required in the S audi Arabia office that they are going to set up and envisage?

Anil Mittal: It is too early, first the permission comes. We are working. It is very recently about a month back only I went there. We are working on each and every aspect of it. Investments wo uld not be that big a problem to us. But the most important is the p ermission.

Naitik: Right. And on the realization front, sir, what was the realization same quarter last year? I want to see the movement in realization domestic and export both last year s ame quarter.

Ashish Jain: Yes. In domestic, it is flattish over last year. And on the export side, we've seen an increase about 10% over the same quarter last year.

Naitik: But sir, we have seen volume growth of 10%, but the domestic total revenues increas ed by only 5%. We are saying the realizations are flat, so it's not adding up.

Ashish Jain: Yes, I think the -- see, when we report domestic revenue, it comprises branded as well as the unbranded side. So on the unbranded side, this time, we've seen smalle r revenue, which is why the aggregate is 5%.

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Naitik: Right. Sir so my next question is the kind of gr

oss margin decline that we have seen is higher than some of your listed peers. So I just wanted to understand that a little better, what is leading to the higher decline in gross margins?

Ashish Jain: Yes. I'll explain that. So see, if you look at H1 last year, our gross margin was at 29%. This included around 1.7% benefit of a one -off reversal that we had done. So that will get you to about 27.3%. From 27.3 %, we reported 24%, so which is about 3.3%. Now this is largely because of the facts that I had mentioned, which is we've seen a 7% increase in paddy cost, while the realization actually, in H1, we see an 8% increase in paddy cost, while the realization is only 2%. So these are the 2 main reasons.

Naitik: Okay. And sir, my last question, you also mentioned that amount of provisions taken has increased. So you could give that amount, how much it has increased and why is that increased?

Ashish Jain: Yes, the provision has increased. I mean just out of prudence, we provided for some receivables. That's the only increase. So the total provision that we created on that account in H1 is about INR 17 crores.

Ashish Jain: INR17 crores as it is INR 11 crores in H1 la st year.

Moderator: The next question is from the line of Anuj from M3 Investment.

Anuj Sharma: Sir, based on if you see inventory of Q2 FY '25, both paddy and rice, it was very similar to last year, just maybe a 10 million ton difference. Based on current prices, what is the sensitivity to how much inventory we can build given the lower prices? Any range how do you basically determine inventory level?

Ashish Jain: So you're saying that our current inventory level is very similar to that last year based on what's going on in the market, how much more can we build?

Anoop Gupta: last year, we had a very heavy inventory, but we'll be buying something plus than last year.

Anuj Sharma: Okay. All right. See in exports, are we now certain that we will have to go th rough our own setup? Or is it still contingent if you get some distributors in the next 3 - 6 months?

Anil Kumar Mittal: No, we are trying both because many a times, we have been deceived by distributor, but we are trying both, because I have been to Saudi and I find a good potential. So I'm not going to leave that option . We will definitely have that option of opening an office, but simultaneously, we are watching for good distributors as well because we have time of 3 -4 months.

Anuj Sharma: Okay a nd this a plies to HoReCa as well. We will go through our own setup in HoReCa or HoReCa is clearly marked for distributors .

Anil Kumar Mittal: No, no, definitely, HoReCa. Let me tell you. The Saudi market is 45% is general trade, 25% in HoReCa and 25% is modern retail the segment is like this.

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Anuj Sharma: Okay. Okay. But we will - if we set up our own - if we have our own setup in Saudi, let's suppose if that is positive, HoReCa, we will keep searching for distributors or we will pass it through our own channel als o?

Anil Kumar Mittal: See, it all depends upon the results. W e cannot enter everything in one go. We are going to wait and watch. We will see how much capability or how much resources we have to get the market slowly. It will not be overnight that we are g oing to capture the whole market, we will start in modern trade and a little bit of general trade and slowly, as the results will be in our favor, we are going to take control of the total business.

Anuj Sharma: Okay. Got it. And Anil, one more point on this. So you said it is a matter of approvals. So these are procedural in nature or there is more to it in terms of permission for Saudi setup? I mean everyone has to go through it, and it is just a matter of time? Or it could be that some get and some don't get?

Ashish Jain: Anuj, authorities do review it thoroughly. So it is not just a matter of procedure. They review it thoroughly and then approve or otherwise.

Anuj Sharma: All right. And these would be the Saudi authorities?

Ashish Jain: Both - I mean, more in India, less in Saudi, but both authorities review it.

Anuj Sharma: Okay. And my last question again on export. You talked about some professionalization. So are you expecting some spending of management bandwidth in India as well for the export market? Or it will be just that particular setup, which you will see professionalization?

Anil Kumar Mittal: No, that professionalization, we are discussing in Saudi Arabia here to whatever setup we have, I think it is more than sufficient to regulate that business, we are going to control from here. And rather now we travel once in 6 months, then we will be traveling every month to look into the own process and the results.

Moderator: The next question is from the line of Mohammed Patel from Care Portfolio Managers.

Mohammed Patel: I have one question. So how is the kind of exports for the month of October and November?

Anil Kumar Mittal: We don't have numbers at the moment, but we are doing good.

Mohammed Patel: Much better than the first half?

Anil Kumar Mittal: Yes, much better than the previous quarter. Yes, definitely much better and you will find better numbers every quarter.

Moderator: The next question is from the line of Rohan Patel from Turtle Capital.

Rohan Patel: My question is regarding that as you mentioned that we have brought two wholesalers in Saudi Arabia market for retail. So considering that this distribution will take some time as you are also setting up your office. So with the current two wholesaler, like how much business we can

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generate till the time you appoint a distributor for, say, general trade and modern trade, if you can help us understand?

Anil Kumar Mittal: Let me tell you, Ramadan is coming in March. January, February and March is going to be a lead season. It's just difficult to predict that how much quantities they are going to lift or they're going to order, because we are into branded business. It is not a private label. It is all India Gate brand basmati rice. But I expect good orders will come. We expect good orders will come. The real numbers, see, I don't want to give numbers which if we sit some time in February for the third quarter and you say, okay, the numbers are not as per the expectations. See, giving numbers at this stage will not be appropriate for me.

Rohan Patel: Okay. I get that point, considering that our tone was a little bit pessimistic in previous quarters when something like topic came regarding Saudi Arabia. So now the actions that you are taking, so now can we say the worst is behind and now things are progressing and it will carry on from over here into much more positive and better territory for us?

Anil Kumar Mittal: Yes, yes. If we have our own office, everything being cleared by the government of India and Saudi government, I expect even a 5 days visit this time, we see that it should not be any problem in getting our glory back what we used to have few years back.

Rohan Patel: Okay. And other thing in regarding Europe, like you have said you made some bulk exports to Europe via Dubai, that too. Sir, as per annual report, like you mentioned that like Europe is somewhere around 11% of exports, which somewhere comes to INR 145 crores - INR150 crores. Now considering that pesticide residue issue is behind us. So how much can you scale up? Like I'm not asking for a specific number, but I'm asking that going here on what are your plans? How are you - how bigger you want to take it to, like, if you can provide any qualitative insight for us?

Anil Kumar Mittal: Let me tell you, I don't know if I've done some mistake, the business rooted through Dubai is for Iran, it's not for Europe. And Europe will start from 15th December, and see

it is not a branded

market for us as far as brown bulk export to Europe is concerned. But we have very good close contact with the rice millers in various parts of Europe. And we expect we should do minimum of about 50,000 tons business.

I should not accelerate 50,000 of bulk business other than we do a little bit of - we are doing good business in our own brand white rice business, which is also growing, but the numbers are not big, that's why I never discuss with you. But brown basmati business is definitely a big number, and we expect this year to conclude around 50,000 tons.

Rohan Patel: Okay. And just you've made a correction that the bulk export was to Iran. So considering that

Iran was more of an on and off market for us due to political issues. So how is the Iran and Iraq market right now? Like are they the bulk export that you make, - can it be more stable? And can we expect that to be more of a quarterly event for us now?

Anil Kumar Mittal: No. It could be like this one quarter is 0, but the other quarter is just double than the previous quarter. It is not a consistent business that every month we are being exporting. But even then, let me tell you rather than zero exports to Iran via Dubai, it will be a good number this year.

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Moderator: The next question is from the line of Aditya Yadav from Transient Capital.

Aditya Yadav: Sir, till 2 years back also, we used to be around INR 1,500 crores - INR 1,600 crores or kind of turnover is to have in the export markets. And so definitely, we have discussed in detail how Saudi has been a troublesome area for us regarding the distributors and everything and we've had troubles mailing a distributor, a proper distributor for past 7, 8 quarters.

But the entire delta, if we had to get back to the original levels of, let's say, INR 1,500 crores, kind of INR 1,700 crores of sales, so the entire data will come from Saudi or how does that work? And let's suppose I mean Saudi situation normalizes in, say, a year from now, can we expect further growth? Like how the domestic sales have been growing well?

Anil Mittal: See, as far as consistency in business is concerned, Saudi is definitely a very good market. And it can give us a very good revenue as we used to get about 7, 8 years back, no doubt about it.

But this year alone, when I said this year, it means not the financial year alone, it could be starting from the second quarter up to the second quarter of 2026, we are expecting a good turnover from Saudi Arabia, expecting definitely good turnover.

But let me tell you apart from Saudi Arabia, Iran and Europe are also good markets. These 2 markets are good markets. So all the markets together, reaching to a INR 1,500 crores or INR 2,000 crores, INR 1,500 crores should not be difficult, but we are quite positive this year. Let me tell you, looking to the prices in India looking to the quality and compliant material available in India we are confident that KRBL will be able to do good business in export as well.

Aditya Yadav: Sir, my next question is a 2-part question. So as we've struggled in the export market, so our competitors - our #1 competitor also has done very well and other people have also done well. and it's been a long while. It's been a long while. So I remember the remarks you've made previously that we feel very confident that in Saudi also India Gate is a very strong brand, and you should be able to recruit the sales once you have the supply chain part figured out. But don't we feel that it's been too long now and then it will definitely have - definitely, you have some struggles where just to gain back the market share, it may take a bit longer of the branding sizes and everything. It might be a bit of struggle. It might not be an easy walk to just regain the loss because it's been a very, very long while. That's like my question.

A

Anil Kumar Mittal: In my opening remarks, I've already mentioned why we have made two wholesale distributor just to confirm that our brand is not out of the shelf, the presence of the brand in the shelves.

And that is one of the reasons we made these two wholesalers. See, one thing was good that wholesaler was also amazed when they imported the stock, it never took much time for them to liquidate the stocks. And we have got now fresh orders more than 3,000 tons from Saudi, which we have to export up by end of December. .

Aditya Yadav: Sir, if I could squeeze in one question more?

Ayush Gupta: Yes, go ahead please.

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Aditya Yadav: Sir, I mean the company overall is on a strong financial footing. And so basmati definitely has its own cycles where the raw material price and your paddy procurement rice and everything it varies according to the season and the supply and everything. But overall, what we saw in the last 5 - 7 years, the management of the company over the cycle has been very nice.

So the margin compression, even when we were carrying high price inventory, was not so much. Whereas this year, it's been a little bit on the higher side. So any comments on that? Whereas like previously, we've managed very well through the cycles of maintaining our quantities and everything and maintaining the margins through the cycles?

Anoop Kumar Gupta: Yes, you'll see we are carrying high value stocks. Yes, we were not never under pressure. This year, there was a little bit of pressure because of a little bit of export pressure. The whole stocks were there because they could not liquidate because of exports. The delay in liquidation will take place. That's all. But this delay will go up to 31st March of this year -- March of this, the financial year.

Next financial year the stocks will get liquidated and everything will be right. And the thing we should buy more this year. And next year, we are expecting the crop, because basmati is a cycle. If one year, the prices are less, the next year, prices are more. This has been the last 20 years, we are seeing. This year, our stock inventory should be higher than last year. So our inventory position in the next September ' 2025 should be the highest ever.

Anil Kumar Mittal: If you look our communication everywhere , we mentioned that we have a 2 year aged rice. Now when you have to have a 2 -year aging rice, it means you have to keep rice for 2 seasons. It means we are still having rice, which is part ' 2022 and part ' 2023 also. And if you go in the market and you say, I want to pay INR 200 a kilo, give me 2 -year-old, rice, there is nobody who can offer you except KRBL. So we are having such brands which get us a very good premium. That's number one.

And number two, as Anoop Ji rightly said , because of our estimation of wrong export quantum's , little bit quantities have been left over, but we had to keep those quantities for the aging purpose. If let us say tomorrow a demand comes for 5,000 -10,000 tons of 1-year-old rice, then it is difficult for us to supply or make shipment accordingly. So that risk, we have always taken and that risk has always paid us also.

Moderator: Thank you. We take that as the last question. Thank you very much, members of the management team. Ladies and gentlemen, on behalf of KRBL Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 2 FY25 Earning Conference Call.

Call: Feb 2025

Ref: KRBL/SE/2024- 25/77 February 14 , 2025

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Friday, February 07, 2025 on
Unaudited Financial Results of KRBL Limited for the Third Quarter (Q 3) and Nine
Months ended December 31 , 2024

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Friday, February 07, 2025 at 12: 00 Noon onwards on the Unaudited Financial Results for the Third Quarter (Q 3) and Nine Months ended December 31 , 2024.

The same is also available on the Website of the Company at

[https://krblrice.com/investor -
relations/financial- information/](https://krblrice.com/investor-relations/financial-information/)

This is for your kind information and record.

Thanking you,

Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: A 21328

Encl: As above

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"KRBL Limited
Q3 FY'2 5 Earnings Conference Call "
February 07, 202 5

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIR PERSON AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD OF DOMESTIC DIVISION –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER – KRBL
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KRBL Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer, KRBL Limited. Thank you, and over to you, Mr. Jain.

Ashish Jain: Good afternoon, all participants. Welcome to the earnings call of KRBL Limited. We have 4 speakers today. First, Mr. Anil Kumar Mittal, our Chairman and Managing Director, will give you an update on the industry trend, our strategy and the export segment. After that, Mr. Ayush Gupta, our Business Head for the Domestic Business, will give you an update on the domestic business and I will present a update on the financials of the company. We also have Mr. Anoop Kumar Gupta, Joint Managing Director, on the call with us.

Please note that some of the statements made during the call may contain forward-looking information, and actual results may differ from these statements. For more details, you can refer to KRBL's investor presentation, which is available on the stock exchange websites and our company's website.

I would now hand over to our Chairman, Mr. Anil Kumar Mittal, for his comments.

Anil Kumar Mittal: Good afternoon, everyone. Wish you all a belated happy and prosperous New Year. Thank you for joining us today for KRBL's Limited Q3 FY2025 Investors Call. I'm pleased to provide an update on our recent performance and share insights into our future outlook.

To begin, let's review the global rice market landscape. The USDA's latest forecast for the '2024-'25 marketing year projects global rice production at 534 million metric tons, a considerable increase from 522 million metric tons in the preceding year.

Subsequently, global rice consumption is also expected to rise to 530 million metric tons in '2024-'25 compared to 522 million metric tons in '2023-'24. This year, again, global rice production will exceed consumption, reversing the deficit observed in '2021-'22 and '2022-'23. This is a positive sign for global supply stability and trade.

Turning to India's rice outlook. Rice production is estimated to reach a record 145 million metric tons in '2024-'25, up from 138 million metric tons last year. Basmati rice production has also hit an all-time high, exceeding 16 million tons of paddy harvested across the GI region and all varieties. This is a 10% increase over last year's production data on the back of expansion in cultivated area, strong yields and introduction of new seeds and varieties. These varieties have shown higher resistance to pest and diseases, improving productivity and reducing dependence on chemical pesticides. The crop size of these new varieties is still small, but they are expected to be significant in the coming years as adoption by farmer increase year-over-year.

This season, basmati paddy prices have seen a 20% decline compared to last year. Driven by strong production and a stable supply-demand balance, KRBL has procured paddy as per our requirement for the year and still continuing to procure since we were slow due to the quantum jump in production as compared to last year.

The company has been proactively purchasing paddy at competitive prices to maintain quality and ensure cost efficiency. We expect paddy arrival to continue until the end of February, ensuring a steady supply for processing and exports.

ports.

Now focusing on India's exports. India continues to maintain its position as the world's largest rice exporter in 2025, with export projected between 20 million to 21 million tons, including basmati rice. This growth is supported by a robust harvest, ample stocks and government's open policy stand for all non-basmati rice exports except for 100% broken rice, which remains restricted.

Basmati rice export for the first 8 months of FY '2025 stood at 3.6 million metric tons, making a 22% decrease from 3 million metric tons in the same period last year. This growth is notable as it comes on the back of a record basmati exports of 5.2 million metric tons in FY '2024.

However, basmati export realizations have declined by 7%, reflecting price pressure in the international market.

In September 2024, the Government of India removed the minimum export price of \$950 per metric ton for basmati rice exports. This move has boosted export volumes as Indian basmati rice is now more competitively priced in global markets. However, India lost some market share to Pakistan during the period

of export curbs. We are confident that lost market share will be recovered through strong brand positioning and competitive pricing. Basmati rice prices in export market have remained stable to slightly lower, making India n rice highly competitive. As per APEDA data, demand for the Middle East, European and the U.S. remains strong and we expect steady volume growth in exports in the coming months. But in terms of realizations, we have seen a continuous pressure on price realization since February 2023. From the peak of INR 93,000 per metric ton in February 2023, the average price realization has come down to INR 79,500 per metric ton in November 2024, which is nearly a 15% decline over a period of 18 to 20 months. This pricing pressure is mainly due to increased supply outlook, trade policy and geopolitical factors.

Now moving to KRBL's performance. I'm happy to share that the company recorded the highest ever quarterly revenue. In export segment, KRBL's export revenue in Q3 FY 2025 stood at INR 567 crores compared to INR 275 crores in Q3 FY ' 2024, reflecting 104% growth year -over -year. The company's total revenue for Q3 FY2025 was INR 1,682 crores, primarily driven by the strong export performance. We expect that company is going to improve the export performance further in Q4. The company reported an EBITDA of INR 203 crores and a PAT of INR 133 crores.

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I know that our investors are more interested to know about Saudi. In particular, we have started exporting to Saudi and we hope to reach a good level of business in coming quarters, including Q4.

Looking ahead to 2025, we remain confident in our ability to accelerate growth in our export business while sustaining our positive momentum in the domestic market. If anybody has any further questions, I would be happy to answer them during the Q&A session.

I hereby now pass on to Ayush for the domestic update. Thank you, everybody.

Ayush Gupta: Thank you, and good afternoon, ladies and gentlemen. It is an honor to address you today and share the key highlights of the third quarter of fiscal year 2024, -25 for our India business. At the outset, I want to reaffirm KRBL's unwavering commitment to its long -term growth strategy in the India market. This quarter marked the launch of several strategic initiatives that align with our vision of transforming KRBL into a multi -brand multi -category FMCG player.

For the first 9 months of FY ' 2024-'25, our revenue in the India market stands at INR 3,009 crores, reflecting a 3% value growth compared to the same period last year. However, orderers posted a challenging market environment, resulting in a 4% decline in revenue to INR 1,100 crores. The decline in revenue is primarily driven by 2 factors. First, regional rice portfolio optimization. The regional rice segment saw a decline in value this quarter. Over the past 2 years, KRBL has tested the market with multiple regional rice varieties.

After a thorough evaluation of market potential, value addition capabilities, competitive intensity and gross margin viability, we have strategically consolidated our portfolio to focus on select high -potential varieties. While we continue our growth journey in these chosen varieties, we remain committed to exploring and scaling new varieties selectively.

Our goal remains to achieve 1 lakh metric ton in regional sales within the next 3 years, while ensuring this segment delivers equal or better gross margin compared to our basmati business.

Moving on to the second factor, branded basmati performance. Our branded basmati segment demonstrated resilience in a dynamic market environment. While we saw a modest 6% decline, this was largely driven by a temporary softness in bulk pack realizations.

Importantly, our consumer pack realization continued to rise, reflecting sustained consumer trust in our premium offerings. The broader commodity market has faced significant headwinds with basmati rice prices seeing a 15% to 20% correction over the past crop year from November ' 2023 to October ' 2024. This trend has extended into the post -harvest period with prices adjusting by another 7% between November ' 2024 to January ' 2025.

Despite these industry -wide pressures, KRBL has outperformed the market with our branded basmati realization holding strong. This reinforces our strategic pricing approach, brand equity and strength of our consumer loyalty.

While internal KPIs reflect stability, KRBL has outperformed expectations in terms of market share growth across all key channels. In general trade, we have gained 360 basis points to reach a 38.2% market share.

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In modern trade, our market share grew by 140 basis points to reach 42.3% levels. And in e -

commerce, we gained a dominant 470 basis points to achieve 42.8%. Additionally, our household penetration in India has increased by 400 basis points compared to the same quarter last year, further cementing our leadership in the market.

Progressing on our 4-pillar growth strategy. The first pillar, democratizing our distribution network. Our retail reach has now expanded to an all-time high of 4.15 lakh outlets, reflecting a net increase of 40,000 stores over last year.

Our distribution expansion, coupled with the 15% increase in direct reach has resulted in a 570 basis points improvement in weighted distribution, a key driver behind our strong market share gains. In e-commerce, our focus on enhancing share of voice, driving meaningful brand presence and forging deeper partnerships with platforms continues to yield results. We have gained 280 basis points in market share even on a sequential quarter-on-quarter basis.

The second pillar, remodeling of supply chain. Our supply chain transformation is progressing well as we move closer to key markets to enhance service levels and sales velocity. We are also investing in a technology-enabled ecosystem, paving the way for improved service quality and cost efficiencies.

Our third growth pillar is investing in the brand. This quarter marked a historic milestone for India Gate as we unveiled its new packaging, the first revamp in nearly 2 decades. This transformation developed over 2 years in collaboration with Landor is not just a design change, but a game changer in how consumers interact with the category.

The new packaging simplifies the buying experience and redefines basmati rice category codes in India. However, this is not just a one-time event, but the beginning of an exciting new journey for India Gate.

In our relentless drive to accelerate the shift from loose to packaged rice, we have onboarded the legendary Mr. Amitabh Bachchan as our brand

ambassador. His values deeply resonate with

India Gate's legacy and trust and we believe his association will play a pivotal role in strengthening consumer loyalty and driving category conversation.

Finally, our fourth pillar, foraying into new products and categories. Our ready-to-cook Biryani Masala launch has been met with overwhelming consumer appreciation. Following its success in modern trade and e-commerce platforms, we are expanding distribution in general trade while developing new innovations within the spices category.

A landmark development this quarter has been the launch of our new health-focused brand, Uplife. Uplife embodies the philosophy of Live Life Unbound and serves as our entry into the rapidly growing health and wellness space.

Our first foray is into the healthy edible oils category launched in 2 variants: Uplife Lite for weight management and Uplife Gut Pro for gut health. These products have a shared brand architecture with India Gate, reinforcing their credibility in the market.

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Healthy edible oil market size is around INR 1,800 crores per annum and is growing at more than 20% year-over-year. We are targeting INR 300 crores revenue milestone in this segment, while simultaneously working on expanding Uplife into a comprehensive health and wellness platform over the next 3 to 5 years.

While this quarter post challenges, our performance underscores KRBL's resilience, adaptability and unwavering focus on long-term value creation. The steps we are taking today, optimizing our portfolio, strengthening distribution, investing in our brand, transforming our supply chain and expanding into new categories will serve as the foundation for sustainable growth in years to come.

As we look ahead, our focus remains on deepening our consumer connections, driving innovation and setting new benchmarks in the industry. I'm confident that with our strategic clarity, execution excellence and strong leadership, KRBL will emerge as the future leader of packaged food in India.

Thank you. I'll now hand over to Ashish for comments on the financial segment.

Ashish Jain: Thank you, Ayush. I will now take you through the performance for the quarter and 9 months ended 31st December 2024. All figures mentioned by me would refer to consolidated financials of KRBL Limited. First, we are pleased to report our highest ever quarterly revenue from operations, a testament to our brand strength and market leadership.

Coming to the quarter's numbers, total income for the quarter stood at INR 1,690 crores, higher by 15% over the corresponding quarter last year. Export revenue grew by 104% on account of growth in branded and private label business, while domestic revenue declined by 4% against the corresponding quarter due to the factors mentioned by Ayush.

Despite the short-term headwinds highlighted by Anil ji and Ayush, our strong operational efficiency and disciplined cost management have enabled us to maintain stable margins. Our

gross margin for the quarter stood at 24% compared to 24.8% in Q3 FY 20 24, with the decline primarily attributed to lower other income.

Excluding other income, our core gross margin actually improved, rising to 23.6% from 23.3% in Q3 FY ' 2024. This demonstrates our ability to sustain profitability despite external pressures. EBITDA margin for the quarter was 12% versus 14.1% in the same period last year, impacted primarily by the gross margin trend and a higher proportion of freight on sales, which had a 2% EBITDA margin impact.

Freight on sale was higher on account of higher export volume, higher freight rates and higher share of CIF sale on the domestic side. That said, we continue to optimize cost structures and enhance operational efficiencies to strengthen margins moving forward.

Finance cost for the quarter was lower at INR 1.2 crores as against INR 7.5 cr

ores due to lower

borrowings. PAT for the quarter was at INR 133 crores or 7.8% as against INR 134 crores or 9.1% in the corresponding quarter.

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Let me now share a comparative analysis of Q3 versus Q2. We delivered a strong sequential performance with revenue from operations rising 32% quarter -on-quarter, driven by 12% increase in domestic sales and 125% increase in export sales. The growth in domestic revenue was fueled by higher branded rice volumes, while exports saw a robust expansion in both branded and private label categories.

Importantly, when excluding other income, our core gross and EBITDA margins improved by around 200 basis points quarter -on-quarter, highlighting our disciplined approach even amidst market fluctuations.

Turning to 9-month FY ' 2025 performance. We delivered a steady growth trajectory with total income reaching INR 4,218 crores, up 2% year -on-year. This was driven by a 3% growth in domestic revenue and 1% growth in export revenue, reflecting sustained demand and market resilience. Our gross margin stood at 24%, while EBITDA and PAT margins were at 12% and 8% respectively. Margin moderation was primarily due to higher input basmati costs, lower other income and increased freight and employee costs.

Moving on to balance sheet highlights. Our total inventory as of December 31, 2024, stood at INR 4,278 crores, reflecting an optimization of stock levels. This included INR 1,241 crores of paddy inventory, which was at INR 2,156 crores in December ' 2023 and INR 2,877 crores in rice inventory, which was at INR 2,554 crores in December ' 2023.

On a volume basis, as of December 31, 2024, paddy and rice inventory stood at 341,000 tons and 458,000 tons, respectively, compared to 491,000 tons of paddy and 395,000 tons of rice in December ' 2023. Lower inventory is primarily due to lower per unit cost, reflecting the industry -wide price trend mentioned by Anil ji and Ayush.

One of the standard highlights in the quarter is a sharp reduction in net debt, which now stands at INR 92 crores as of December 31 , '2024, down from INR 901 crores last year. As we look ahead, we remain focused on driving sustainable growth, enhancing operational efficiencies and delivering long -term value creation.

With that, I come to an end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I would just like to mention that the ED matter is sub judice, so we will not be in a position to respond to queries on that matter.

So over to the moderator now.

Moderator: Thank you very much. The first question is from the line of Amit Aggarwal from Leeway Investments. Please go ahead.

Amit Aggarwal: My question is regarding Saudi Arabia market. Sir, it's good that we have started exports to Saudi Arabia. But just wanted to know whether it's through our own channel or we are doing it through distributor or wholesaler? And what is the situation of our own office being open there in Saudi Arabia?

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Anil Kumar Mittal: See as far as our own office is concerned, it will take a little more time, maybe another month or 2 months because certain permissions are awaited and we are waiting for their positive answer so that we proceed. As our exports are concerned, it is through distributing channels. And we are doing good in those channels which we have recently signed and started making our export.

Amit Aggarwal: Just wanted to be more clear about it. Is these consignments temporary or these consignment are supposed to grow and will be still there in the coming quarters?

Anil Kumar Mittal: Yes, yes. It will come in the coming quarters also. It is not a one-time business. It will be coming and it will be continuing also, but it is mostly to the wholesalers.

Amit Aggarwal: And are we not in the position to

still appoint distributors exclusively or something like this?

Anil Kumar Mittal: Distributors will take a little more time as far as the modern trade distributors are concerned. But as far as wholesale is concerned, we are doing exceptionally very good.

Amit Aggarwal: Okay. And my last question is regarding the gross margins. Though our gross margin increased compared to last quarter, but if you see 4-5 years, then our gross margin is still very low. Any particular reason? Is it because the basmati prices are low worldwide? Or is there some other reason? And how do you expect our gross margins to do next 1 year?

Anil Kumar Mittal: See, the gross margins are low due to the paddy prices were low this year in the opening during the month of October and that has reflected in the price. That is why the gross margins are low, but they are going to improve in the first quarter of '2025-'26.

Amit Aggarwal: And sir, my last question is regarding the turnover. So the prices are low. So do you expect the turnover to be flat in the coming quarters or the turnover will be higher?

Ashish Jain: I think we are expecting the revenue to be slightly grow over the previous year. That's the view as of now.

Moderator: Next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: Ayush, we were investing in regional rice as a growth area, okay, in last few years, okay? Can you update on that?

And secondly, why not one venture what we have started, let us make it a sizable business beyond INR 500 crores and then go into other businesses like oils and all that things. Any thoughts on that will be helpful.

Ayush Gupta: Can you please repeat your second question? I did not get that properly.

Himanshu Upadhyay: So we entered edible oil business, So my question is why not first let the regional rice become a large part of business and focus on that particular business where a large opportunity was there or we still believe is there and we have invested to make it large and then we enter other businesses. Just some thoughts on that.

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Ayush Gupta: Yes, yes. Thank you for the question. See, the regional rice business came about to us as an opportunity because the South and East markets, which are primarily the rice growing and eating regions of India, our market shares were extremely high in the basmati space.

We are enjoying market shares of upwards of 65% at an aggregate level in the South and East.

And given that strong equity that India Gate enjoyed in the market and given the households who are primarily rice eating, Basmati obviously has a restriction because it's a biryani kind of a consumption, right?

Regional rice is where we thought it was an untapped opportunity for KRBL because the brand India Gate was synonymous to quality and trust. We thought it will be a good opportunity for us to enter. In the 2.5 years now that we've entered, we've gained significant ground. We've done, I would say, a revenue of about INR 200 crores in the last financial year and we are close to about INR 250 crores in this financial year. What we've evaluated and realized regional rice is vastly an unorganized market with lot of regional unbranded players. And a lot of varieties are available in the market.

So what we've realized as we've entered that a lot of the varieties that are available in the market, the margin potential for the company is very less. We've experimented, we've tested a lot of varieties in the past 2 years. And now we've consolidated our focus on 2-3 varieties where we've seen that margin potential and value creation for the brand is possible.

So Gobindobhog from Burdwan region, also called jeera rice or kaima rice in the South, Wada Kolam and Sona Masoori in the Gangavathi area are a few of the varieties that we've seen good traction, and we've seen a healthy gross margin profile as

well.

So these are some varieties that we've consolidated our efforts to right now and we are expanding its presence in regions and putting more focus here.

While we continue to grow this segment, we are also evaluating more regional rice varieties along the way because it's a huge diverse market and understanding many of these varieties takes a lot of insights from the field and from the ground.

So it's a journey. So we're doing that. But as I mentioned in my comments as well that we are committed to delivering a 1 lakh metric ton kind of a business in the next 3 years with this. But our main objective is that any business that we deliver in regional rice, we don't want it to dilute our gross margins. We want to have at least the equal gross margin of basmati rice, if not better. So with that cautious consideration, we are expanding this business of regional rice.

On the front of launching edible oils, it's not just a launch of edible oils, but it's a creation of a health platform that India Gate sees as an opportunity in the Indian market. The health and wellness platform in India is at a rapidly growing pace.

And with quick commerce and modern trade increasing in saliency, at least in urban and metro towns, we see that as a brand, India Gate, we are missing that segment of consumers.

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India Gate, because it doesn't stand for health. So we plan to launch another brand Uplife, which will resonate to the health and wellness segment. So healthy edible oils because of its penetration, because of its association with commodity as well as health and wellness seem like the first probable option for us.

As we've entered healthy edible oils, our focus is to enter many other categories in the health and wellness space along with edible oils in the coming years.

Also, healthy edible oil or Rice Bran Oil came as a natural fitment for us because we were making it as a byproduct in our facility already. So our know-how with the product and the pricing and commodity trends, we were more comfortable with this launch. And it hence made a very suitable extension for us.

Himanshu Upadhyay: Okay. And second question was on the inventory. And you said that the price of paddy has come down this year versus last year. But what do you expect? So Jan, Feb, we have been buying and we expect to continue to buy further in this year. So are the prices still low at the low level of what were there in November, December or price for paddy has started increasing? Some thoughts on that will be helpful.

Anoop Kumar Gupta: Prices have come down drastically. From November also, the prices in the season have come down by at least 10% to 12%. So we are buying now the crop 90%, 95% of the crop has already come, but the remaining 5% crop will come till February end, but we are buying in the market at the current prices, which is lesser by 10% to 12% of the season.

Himanshu Upadhyay: So you are saying that what the price of the product is in the market or the remaining paddy, which is coming is lower by 10% from November what the price was for the paddy?

Anoop Kumar Gupta: Yes.

Moderator: Next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Sir, my first question is on export. I think you mentioned that in Q4 and going beyond, we will continue this run rate and build on to that. So should we assume this INR 500 crores as a base run rate from here on? That is one. And especially on export, you said that a large part of Saudi Arabia market that we are currently tapping is on the wholesale side of it. So how should we think about the margin profile? Because I think retail was yielding much better margin for us. So how should we think about that?

Anil Kumar Mittal: See, as far as Saudi is concerned, we are satisfied looking at our results on the Q3 turnover and the margins. As far as exports is co

ncerned and even in domestic also, India Gate brand, we have been aging the rice for more than 1 year and certain varieties for 2 years. So up to June -July, this old crop will be supplied in the export market to Saudi and other places. And the margins of profits are intact.

They are not gone because old-aged rice is hardly seldom available in the market. They are with 1 or 2 players, only those who are in export market, but primarily it is with KRBL Limited.

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So therefore, if you ask for the demand, the demand is for aged rice, not for the current crop. So we are getting a premium prices as far as exports are concerned.

As far as our turnovers are concerned, I'm quite sure that as far as Saudi is concerned, we are going to further improve what we have done in quarter 3. And overall, also, we expect now our thrust will be to ensure that our revenues doesn't go down.

They are improved on a quarter-over-quarter basis. This is our expectation.

Dhwanil Desai: Got it, sir. And sir, second question on margin. I think, Ashish, you mentioned that a couple of percentage points impact because of the freight part of it, we expect some improvement in gross margin. So going into FY '2026, are we looking at kind of mid-teens, 14%, 15% kind of a margin? Is this the expectation with which we should work with?

Anil Kumar Mittal: Definitely. you are right. We will be having better margins.

Dhwanil Desai: Got it. And one question on the domestic side of it. We are entering into this edible oil category.

Now one thing that we have observed is that whenever any company wants to create a new category, it requires a long gestation period. A lot of money needs to be invested upfront in terms

of building distribution, brand, etcetera?

We already have the distribution channel open. But how do you see the amount of money that you need to invest before we start making profit in some of the new categories? Do you see there a gestation period of 2- 3 years? And is there a number that we are looking at which we are willing to put in, in terms of investment or loss for the new categories?

Ayush Gupta: See, as I mentioned that we are looking at a INR 300 crores top line by the end of 3 years. And as per our current plans of investments to build this category for us, we see that we will start making profit by end of second year . On exactly how much we plan to spend, I would not like to disclose that on the call here.

But given that the competition on this category is quite fierce and it's also it's a health kind of a platform as a product, we will be investing significantly in advertising and communication because that will become the foundation and bedrock for creating this brand. So significant money will go in creating brand value and communicating with our targeted consumers. And by second year , we start looking at positive P&L on this product.

Moderator: Next question is from the line of Yas h from Dante Equity.

Yash: So I think you posted a great set of numbers, but I just wanted clarity on the domestic volume year-on-year. Have your domestic volumes de -grown year -on-year?

Ashish Jain: Yes. So I think I should have touched on it. But from a branded business point of view, our basmati volume was lower by 1% on a year -on-year basis. Non -basmati volume was lower by a larger number.

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Yash: Right. And you just said that the margins are going to kind of trend upwards, right? One thing I just want s ome clarity on is year -on-year, your exports went up by almost 100% and your domestic business was a little lower year -on-year. but your margins are almost flat year -on-year, right? So going forward, what I'm able to understand the numbers is exports are n ot as profitable as they were. Is that trend a short -term trend? And is that going to change?

Anil Kumar Mit

tal: No, I think so it's a misconception. Exports have got higher profit or margin compared to domestic. And there is a good difference between the pricing between exports and domestic market, a big difference.

Ashish Jain: Yes. And just to add to what Anil ji said, I think 2- 3 things will play out. See, I think Anoop ji had mentioned and Anil ji also , that we should see our old inventory, which has been purchased in earlier years coming to a reasonable level by July. So that's the time our average cost will start reflecting the paddy cost declines that have been mentioned. That's number one.

Number two, also the domestic , the whole price decline, I t hink that should also settle down hopefully over the next 1 or 2 quarters. So both these things combined, along with improving export revenue should lead to margin improvement, which is why we had said that next year should be far better from a margin poi nt of view.

Yash: But on whatever you said, I'm not sure if that is going to play out if next monsoon is again very good, right? If we have a very good monsoon next year also and if the prices fall further, then your this year inventory will again become m ore expensive than next year, right? So I mean, we are playing the inventory game, right? And it will mostly depend on the monsoon next year, if I'm not mistaken . like is that a good assumption or not?

Anil Kumar Mittal: Let me add something. First of all, this year, the carry -forward stocks will be too much because the crop size is bigger and the production of rice , we are expecting to be not more by about 1 million tons over last year. So the carry -forward stock would be there. The farmers are not getting the right price what they are supposed to get.

So next year, the production according to our estimate, would be lesser by 10% over this year. So this is the right price. We feel that this price in basmati rice will not come again. This is our feeling. But we say always the man proposes, God disposes, we can't say anything.

Yash: But does the price depend on the farmers' inventory? Or does it depend on the monsoon? Because I I assume it depended on the monsoon. So nex t year, if the monsoon is again great, like how it was this year, right, then the prices should not come down substantially because like you said, they're already sitting on inventory that they're not able to sell, right? As you said that by June or July, our inventory should narrow down quite a bit, right, last year's high-cost inventory. But then your next monsoon starts playing in, right?

So let's assume even if your high-cost inventory is run down by June, July. And then if this calendar year's monsoon is great again, like last year and the production again is high, then what do we see with the sort of inventory that you're sitting on? Will your margins be able to go up as you are sort of commenting? Or will they sort of stay right here?

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Anil Kumar Mittal: See, if the monsoon is good, then the farmer is going to grow more of parmati rice than the basmati rice. He has to look ultimately what are the returns on his farming. That is the main object.

This year, the total rice production will be around 9 million tons. And we do not see these 9 million tons, the exporters or the millers would be able to consume. That is not the demand. If you look at the demand, the total demand today is around 8 million tons, 5 million in exports and 3 million tons domestically. So there is a surplus of 1 million ton, and that is why the prices are coming down.

Next year, if you say the monsoon is good, definitely, then the farmer is going to grow PR106, PR12, PR14, which is parmati rice because government, MSP is also increasing year-over-year.

So he has to see that whether they make more money in cultivating parmati or in basmati rice.

Moderator: Next question is from the line of Kaushal Sharma from

Equinox Capital.

Kaushal Sharma: Yes, sir. As you said that we are sitting a very good inventory like INR 4,027 crores and INR 1,000 crores for paddy and the paddy price has significantly dropped. So are we expecting any inventory loss in Q4 or going forward?

Anoop Kumar Gupta: No, there is no inventory loss. We are regularly buying. There's no question, 95% of paddy has already come. And we are selling on the basis of our inventory valuation only. There's no question of any inventory loss.

Moderator: Next question is from the line of Naitik from NV Alpha Fund.

Naitik: Sir, my first question is I wanted to know if you could give the breakup of the export sales, how much of it has come from private label or bulk sales and how much is branded? And also what has led to this increase year-over-year, which region has led to this increase?

Anil Kumar Mittal: See, as far as export figures are concerned, that we can get in touch with us later to discuss on how much is bulk and how much is branded.

Naitik: Okay. Sir, can you share the reason which has led to this growth?

Anil Kumar Mittal: Reason of growth is that we have started exporting to -- Saudi Arabia. Then other destinations have showed a promising demand. And third is that even our private label also, we got a good business out of the private label. So all 3 together gave us this growth.

Naitik: Okay, sir. Got it. Also next question is what was the impact of freight rate exactly? And what percentage of margin

Ashish Jain: Yes, a total of 2 percentage point impact on the EBITDA margin. So which I had explained is for 3 reasons actually. One is higher export volume. Second is higher freight rates. And on the domestic side, we've shifted some quantum of the sale on CIF basis, which is why there is a higher freight on the domestic side also.

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Naitik: All right. And sir, my last question is in terms of our domestic sales, if you could call out how much was regional and how much was basmati branded rice?

Ashish Jain: We generally don't give this breakup separately, but it is predominantly basmati at this point.

Moderator: Next question is from the line of Krushi Parekh from BugleRock PMS.

Krushi Parekh: So my question is that for the domestic business, do we have differentiation in the gross margins across channels, the modern trade, the e-commerce and the general trade? And if yes, then how are we planning to optimize the sales?

Ayush Gupta: No, definitely, we have a split of different channels. E-commerce, modern trade operate at a higher gross margins compared to traditional trade. But overall investments in e-commerce modern trade are also demanding because it's a consumer-first platform and it's brand agnostic from that perspective. So a lot of investment goes.

Net-net, traditional trade tends to be a couple of percentage points more profitable compared to Modern Trade e-commerce from a P&L perspective. However, as I mentioned, there are various projects that we are implementing in terms of supply chain and in terms of packaging cost optimizations that we are doing to enhance our gross margin profiles.

Also, we are looking at portfolio optimization. Certain premium portfolios tend to be underleveraged in certain markets, in certain channels. So that effort is also on. And I think that's more of a journey. Quarter-on-quarter, we keep on evaluating and enhancing this work on how we can improve our gross margin profiles in the India market.

Krushi Parekh: Okay. Got it. My second question is that we have about 4 lakh plus touch points right now on the retail side. What is our target over the next 3 to 4 years on how much we want to penetrate within this particular channel?

Ayush Gupta: Yes. So packaged basmati rice as a category is currently sold in about 6.5 lakh to about 6.75 lakh outlets in

India. And we are available in a

bout 4.15 lakh outlets. Our objective is to reach at least a 70% numeric distribution, which will yield at least 85%, 90% coverage in terms of weighted distribution. So that will be about 1 lakh-1.2 lakh outlets more coverage that we'll be aiming.

Krushik Parekh: And this will be over how many years?

Ayush Gupta: I mean, it's very difficult to put down the time line for it. We would love to do it in a year, but these are highly cost-draining activities. So basis market and competition intensity and landscape and distribution, there are a lot of things that goes into expanding. But I would say it's a journey.

We've been doing it for the past 3 years. I would say an 18 to 24 months would be an ideal time line to achieve the balance.

Moderator: Next question is from the line of V.P. Rajesh from Banyan Capital Advisors.

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V.P. Rajesh: Most of my questions have been answered, but just wanted one clarification around the Saudi business. Are we doing it in our own India Gate label? Or is it more in the HoReCa segment where it is bulk pack, et cetera?

Anil Kumar Mittal: 100% in our own brand India Gate.

V.P. Rajesh: Okay. Wonderful. Congratulations. That's a great way to start going back into that business. And then, Ashish, on the EBITDA margin, just one clarification. So some of that 2 percentage point delta is because of the gross margin also because we have the older inventory, which is probably coming out, which was at a higher price. Is that understanding correct? And second, this freight cost that you're talking about, is it going to start coming down now? Or is this more structural in nature?

Ashish Jain: Yes. So first, you are right. Part of it is flowing from gross margin, but there, it is more an other income impact rather than the price movements, number one. Number two, on the freight cost, I think the rate side, we do see that correction happening over the next quarter or so. So overall freight cost should also come down.

Moderator: Next question is from the line of Rohan Patel from Turtle Capital.

Rohan Patel: You just mentioned the volume growth numbers. So I just wanted to clarify, like can you give us again for the 9 months, what was the volume growth in basmati as well as non-basmati?

Ashish Jain: You're talking about overall for the company?

Rohan Patel: For the company, for 9 months for basmati and non-basmati?

Ashish Jain: So the volume growth overall in the 9-month period was around 4% for basmati. And there's a decline on the non-basmati side.

Rohan Patel: Okay. Second question is regarding what we have personally observed is your confidence for the Saudi market like you are being more confident than previous calls that we have participated. And looking at the efforts you are making on the wholesale side, so seeing what you are guys doing, can we reach that to the INR 500 crores to INR 700 crores level that we used to do before pre-issues that we are facing like in a year or 2?

Anil Kumar Mittal: No, no. I think so in FY '2026, we will reach around INR 500 crores plus through Saudi alone. No problem.

Rohan Patel: Okay. That's great. That's great. And looking into this INR 500-plus crores that you are going to do, how much that will be coming from, say, general trade, modern trade and HoReCa? If you just give us a broad explanation like how you're pushing the sales through different distribution?

Anil Kumar Mittal: Tell you that I can't give you, but I can give you the broad idea of the Saudi market. Saudi market, 55% to 60% is wholesale, 20% is HoReCa and 20% is modern retail.

Rohan Patel: Okay. So right now our efforts are going through wholesale. So we will be capturing the largest market sooner?

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Anil Kumar Mittal: we have given to some of the stores also directly because we didn't have any distributor. So we have given

to, some of them, we given Full 2-3 containers to them directly.

Moderator: Next question is from the line of Manoj Dua from Geometric Securities.

Manoj Dua: Okay. So we are major share in domestic and we are trying new things in domestic also. How much year we can take -- if we take 12 years for 12% growth, then sales doubles in 6 years. So how much we can take in growth as assumption?

Ashish Jain: Is your question around the growth potential on the domestic side?

Manoj Dua: Yes.

Ayush Gupta: If I talk about some general trends of what we've seen in the past 2, 3 years, we are currently at about 38% -

39% market share. We are at a 38 %-39% market share and we see healthy tailwinds in the category because we are seeing good growth rates in the packaged basmati rice category. Consumers are moving from loose to packaged. That's one transition that we're seeing. Saliency of e-commerce modern trade are fueling that trend of move from loose to packaged. So overall, packaged basmati rice from a consumer pack segment seems to be a positive trend for us. In the next 2 to 3 years, we also plan to expand market share, like we've done in the past, 450 basis points in this financial year. We want to maintain that trajectory and our objective is to reach a 50 %-55% market share in years to come. So with that kind of aspiration, I would say, a healthy double -digit growth in consumer pack is to be seen. In the bulk pack business, we have been posting good 10% to 12% growth year -over -year. And we continue to see that trend going on. There are certain white spaces that we've identified for bulk pack segments and we continue to tap them. So overall, a healthy growth rate in the basmati segment is to be seen in the future years.

Moderator: Next question is from the line of Shubham Jain from NV Alpha Fund.

Shubham Jain: My question was again on the domestic front. If you look at the 9 -month number, our growth seems to be in single digits. I believe some of this is due to pricing pressure. But what's our volume growth in the first 9 months in the domestic business?

Ashish Jain: Yes. On the basmati branded side, the volume growth is at 6%.

Shubham Jain: Okay. Got it. So following up on the previous question, right, we've seen in the last, say, 5 years, we've doubled this business. So we're growing at about 15% - 17%. How much more penetration do we see at a distribution level that we can increase that can help us get to like a 15% growth going forward? And my second question on the domestic business was, do we need to do a similar amount of aging that we do across our international business or it's relatively lower? And is this like a better ROCE business that way?

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Ayush Gupta: Yes. So in terms of how much growth we can see, as I told you, we are at about 4 lakh outlets, close to about 35% of the outlets in the packaged basmati rice continue to be untapped for the brand. So that's a huge ocean of opportunity in terms of growth. Second, we see positive winds in terms of the packaged basmati rice as a category growing because consumers are moving from loose to packaged. And a lot of this trend is happening in the Tier 2, Tier 3 towns of India. So basmati was primarily centered across metro and Tier 1 towns, but in the last 4- 5 years, the saliency of the category has moved to Tier 2, Tier 3 towns. So overall size of the category is increasing. So those are the 2 real, I would say, tailwinds which give us promising of the future. We remain promising for the future that growth rates will come. Also, e -commerce and modern trade platforms are increasing saliency, which are more brand -centric and consumer forward. So that's, again, a good news for a brand like us to grow. In terms of your other question, is aging an important factor? That continues to remain a differentiating factor for the brand in a cluttered category like this. While we have certain products which are 2 years aged, there are certain products in the India market, which are 1 year aged. So that kind of a bifurcation between export and domestic remains. But aging is, I would say, a core competency and a core advantage that KRBL enjoys and we would always be known for that.

Shubham Jain: Okay . So if in India, we're still the better product because we are doing, 1 -year aging, does this show up in our pricing? Do we get to charge a premium to the customer or we're still at par with the other players?

Ayush Gupta: No, we definitely charge a premium to the customers. India Gate today would easily charge a 10% to 12% premium over unbranded and regional brands available in the market.

Shubham Jain: Okay. And on the distribution front, where you mentioned that we have 4 lakh outlets or touch points versus 7 lakh opportunity. Is this more geographic penetration in Tier 2, Tier 3? Or is it just that areas in terms of, say, we're more prominent hypothetically in the North than South is not that? Is this more to do with different regions or just like different tier of cities that we need to keep going down?

Ayush Gupta: No, it's actually more geography. I would not segregate it to a particular tier. In certain parts of the country, specifically West, we tend to be under penetrated. So that's an opportunity for us. The under penetration in West spreads across metro, Tier 1, Tier 2. Both North and West are highly penetrated for basmati rice and there are a lot of regional local brands that are prevalent in the market. It's also kind of a gross margin dilution when we fight those brands. But we are working up a strategy, where penetration of the brand trumps pricing. So as we enter more and more outlets, as our GTM becomes stronger, we feel because of sheer availability in the outlets, we will gain market share. So that remains the fundamental of our strategy as we move forward.

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Shubham Jain: Got it. So the reason West was, relatively under penetrated is because there's like more competition and more margin pressure that is potentially happening over there?

Ayush Gupta: Right. West is also more economy segment dominated and there are a lot of local regional brands and it's a very price-sensitive market. But we are still working our way in there. If we want to gain market shares up to 50 %-55%, West has to be on our charts in terms of gaining penetration.

Shubham Jain: Got it. And just one follow-up on the ROCE. So you mentioned that we do see relatively lesser aging in a basket of products in India. So at a ROCE level, do we hit the 18% -20% ROCE despite doing lower margins in India?

Ashish Jain: See, we don't compute it separately for each business. But overall, the return would be slightly lower, I mean, largely because of the margin profile is totally different from exports.

Moderator: Ladies and gentlemen, we'll take that as the last question. Thank you very much to the members of the management team. On behalf of KRBL Limited, that concludes this conference call.

Thank you all for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 3 FY25 Earning Conference Call.

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"KRBL Limited
Q1 FY'26 Earnings Conference Call "
August 08, 2025

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD, DOMESTIC DIVISION –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KRBL Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, sir.

Ashish Jain: Thank you, and welcome everyone and thank you for joining us. Today, we have Mr. Anil Kumar Mittal, Chairman and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director. He's going to join us in some time; and Mr. Ayush Gupta, Head of the India Business as key speakers on the call.

To kick off the call, Mr. Mittal will provide updates on the business industry and our overall strategy. Following that, Ayush will delve into the domestic business. Finally, I will present the financial overview of the Company for the quarter ended June 30, 2025. Once the management has concluded their opening remarks, we will open up the floor for Q&A.

Please note that some of the statements made during this call may contain forward-looking information, and actual results may vary from these statements. You can refer to KRBL's investor presentation available on Stock Exchange websites and our own website.

Now, I would like to invite Anilji to share his views.

Anil Kumar Mittal: Good afternoon, everyone. Thank you for joining us today for the Q1 FY 2026 earning call of KRBL Limited. I hope you and your families are safe and in good health. It gives me great pleasure to share our performance update for the quarter and speak about key developments in the global rice market, India's positioning, and our roadmap ahead.

Let me begin with the global rice outlook. As per the USDA's latest forecast, global rice production for the marketing year 2025-'26 is estimated at 542 million metric tons, which is broadly flat compared to last year. However, global consumption is expected to increase to 541 million metric tons, up from 534 million metric tons in the preceding year. This increase is largely given by India, where consumption is projected to rise by 4.5 million metric tons.

Even with consumption catching up, the market continues to maintain a comfortable balance. India's competitive pricing and consistent quality remain our key advantage, further solidifying our leadership in global rice trade.

Focusing now on India, our Country is once again expected to achieve a record rice production, with the USDA estimating a total of 151 million metric tons for '25-'26, up from 149 million metric tons in the previous year.

Since last year, India has surpassed China to become the world's largest rice producer. This historic milestone is a result of expanded cultivation, attractive price realization for farmer, and favorable climatic conditions.

On the Basmati front, we expect production in FY ' 2025-'26 to remain strong, supported by increased sowing of new pest resistant seed varieties. Varieties such as Pusa 1885, a substitute of 1121; Pusa 1847, a substitute of 1509; 1886, a substitute of 1401; and 1637, a substitute of Pusa have performed well in the previous season delivering better yields, improved disease resistance, and superior grain quality. These developments are encouraging as they help improve farmer incomes, while ensuring higher consistency in quality and supply. As we move into FY 2026, Basmati paddy prices are expected to stay stable, with a slight softening in certain regions due to strong output and balanced inventories. India's export performance in FY 2025 was

exceptional. Basmati rice export reached approximately 6 million metric tons, a 16% increase over the previous record of 5.2 million metric tons in FY 2024. Non-Basmati exports were equally strong, rising by 27% year-over-year to reach 14 million metric tons. These numbers reflect robust demand for Indian rice globally, supported by favorable pricing and strong government backing for trade. This positive momentum has continued into a new financial year. During the first 2 months of FY 2026, India Basmati export have grown by 27% year-on-year, while non-Basmati exports have increased by 20%. These trends underscore India's pivotal role in the global rice value chain. Geographical and trade developments continue to shape the operating environment. India's stance on the Indus Waters Treaty is expected to create long-term implication for Pakistan Basmati production, potentially reducing its competitiveness in export markets. This could shift additional demand towards India benefiting Indian exporters like KRBL. The recent signed India-UK Free Trade Agreement marks a pivotal moment in the economic partnership between the 2 countries. While the agreement does not currently extend different tariff concession or preferential treatment, especially for milled Basmati rice, it opens up several broader avenues that are expected to benefit the Indian ethnic food sector significantly. One of the key provision of the FTA includes enhanced mobility for Indian professionals along with streamlined business travel and visa frameworks. This is expected to result in a growing Indian diaspora and professional base in the UK, thereby expanding the consumer base of Indian food products, including Basmati rice. From our previous perspective, at KRBL, the FTA enhances the long-term growth potential of Indian ethnic products in the UK. It expands our addressable market strengths, distribution opportunities, and position us well to capitalize our rising consumption trend for authentic premium Indian food products, among both diaspora and mainstream consumers. We will continue to monitor the regulatory landscape for future tariff revisions, while leveraging this enhanced market environment to deepen our presence in the UK. Regarding the United States, it is important to update you on the recent development impacting Indian rice exports. The U.S. government has recently imposed reciprocal tariff with India facing a 25% duty on its exports, including Basmati rice. While this presents a short-term headwind, KRBL Limited
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we broadly expect that the ongoing dialogue between India and U.S. will lead to a negotiated settlement in the near future. As both countries have historically worked together resolving such trade frictions in long run, we believe these issues will be stabilized. However, if the 25% tariffs were to remain in place over the extended period, it could impact the overall competitiveness of Indian Basmati rice in the U.S. market. Notably, Basmati rice from Pakistan currently faces a lower tariff of around 19%, which gives it a 6% pricing advantage, potentially shifting some market share in their favor. That said, KRBL's business exposure to the U.S. remains relatively limited. Therefore, the financial impact on our Company is expected to be minimal. On the logistics front, while the Israel-Iran conflict has added uncertainty in the region, there has been no material impact on our shipments or freight costs thus far. Our diversified distribution network and strong relationship with logistics providers has helped us maintain reliable delivery timelines even in challenging times. Now turning to KRBL's performance in Q1 FY 2026. Our export revenue for the quarter stood at INR 489 crores compared to INR 247 crores in Q1 2025, reflecting a growth of 98%. Total revenue came in at INR 1,584 crores led by the strong m

omentum in our export business.

We reported an EBITDA of INR 225 crores and a profit after tax of INR 151 crores. This number reflects our operational strategy, procurement planning, and product positioning across key international markets. Saudi in this quarter has remained a little slow after Ramadan. Orders are coming, but not with the same pace as it was expected.

KRBL has received all necessary Indian approvals to establish a subsidiary in the Kingdom of Saudi Arabia. This marks a critical step towards deepening our presence in this region, where India Gate is already a household name. We look forward to sharing further updates in the coming quarter as we move ahead with on-ground operations.

Looking forward to rest of the FY 2026, we remain confident of maintaining our growth trajectory in both export and domestic markets. With demand continuing to rise, global supply remaining stable, and strong support from farmers and government policy, we see multiple tailwinds for the rice industry and for KRBL. Our focus remains on premiumization brand-led growth, expanding distribution, and maintaining the highest standards in quality and sustainability.

I would like to close by thanking all our shareholders, business partners, and employees for their continued support. Your trust in KRBL drives our commitment to deliver excellence and sustainable value. Thanks to everybody.

And I will now hand over to Ayush ji.

Ayush Gupta: Good afternoon, ladies and gentlemen. It is my privilege to address you today as we open a new chapter in KRBL's journey, the quarter one of Financial year 2026. This quarter's performance

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demonstrates not just momentum, but the depth of transformation that is taking root in our India business.

At the outset, I want to reaffirm KRBL's unwavering commitment to becoming a future-ready, multi-brand, multi-category FMCG leader. Our strategy remains focused on deepening consumer connections, strengthening our distribution muscle, and expanding into high-potential, high-margin categories.

It's a strong start to the year. Domestic sales, excluding power, for Quarter 1 (Q1) Financial year '2026 stood at INR 1,063 crores, up by 15% versus Quarter 1 (Q1) FY '2025. This growth was driven by robust volume gains across both Basmati and non-Basmati portfolio.

Branded Basmati sales grew by 16%. Branded non-Basmati sales surged by 77%, driven by a focused regional rice play and strong attraction in core markets. This performance underscores that our portfolio choices made over the past 2 years are paying off. We are seeing profitable growth across the categories we have chosen to lead.

Our retail reach now stands at 3.6 lakh outlets in Q1, up from 2.9 lakh outlets in Q1 FY2024, reflecting steady expansion in last 2 years. Numeric distribution has improved to 58%, up by a 120 basis points. Weighted distribution is up by 360 basis points. These gains are not just about coverage, they are about depth. Our push into semi-urban and rural Bharat continues to pay dividends with higher throughputs per store and a sustained market share leadership in general trade, holding steady at 37.9%.

E-commerce remains a star performer. Market share is at 44% at the June exit of 2025, up by 200 basis points. Volume offtake in e-commerce channels is at 34% year-over-year with nearly 70% growth in quick commerce. The modern trade channel faced category headwinds with packaged Basmati segment, declining 22% in the quarter versus same time last year.

Additionally, we are seeing the rise of private labels in select retailers, which is putting the channel market share under stress. Our new India Gate packaging, which was launched in January of 2025, with the intent of educating and empowering consumers is resonating strongly across with 95% of consumers finding it significantly more appealing, informa-

tive and distinct.

Taking the brand agenda further, we have identified key elements of value to drive equity and growth for brand India Gate. This is in line with our goal of moving the brand from a functional role to a more evolved, emotional and social role in the lives of our consumers.

This quarter saw this getting translated into brand building. One of the core value elements identified was transmitting Indian values through food. With Mr. Amitabh Bachchan, we launched a 360-degree national campaign, Taste of Indian values, with a 5-week national presence in the month of June and July. This campaign has garnered positive response and high engagement, and we expect this to translate into strengthening our brand equity further in the coming times.

The core element is that of social impact, and we embarked on this journey last year with our powerful initiative, Grains of Hope, aimed at building a hunger-less world by empowering

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Indians to pledge towards feeding underprivileged children across the nation. This was very well appreciated, and also brought us recognition, winning a prestigious Abby's Gold Award, reinforcing our leadership in purposeful brand communication.

On the media side, brand India Gate kept a healthy 6 -week presence on TV and digital platforms in the quarter one, in line with our annual operating plan of 32 weeks on air for the full year. Our brand initiatives have led to our top of mind recall significantly rising by 400 basis points. And this has also helped move the needle on household penetration, which now stands at approximately 10%, up by 480 basis points year -over-year.

One of the most exciting stories this quarter has been the launch of Uplife's healthy Edible Oils, Uplife Weight Watchers for weight management, Uplife Gut Pro for gut health . The journey so far has been immensely rewarding in terms of capability building, strategic learning and organizational maturity. The applied platform taps into real underserved consumer needs and gives us a clear right to win in the health space.

Our right to win is built on 3 factors. First, brand trust, leveraging India Gate credibility; second, differentiated positioning, functional health benefits backed by clear science; and third, execution excellence, rapid distribution in top category outlets.

We have captured 5% market share in launched modern trade platforms in cities. We have executed a general trade launch in core markets, which is Delhi NCR, Mumbai, Madhya Pradesh and Punjab, covering 8,000 -plus top category outlets. And we have achieved repeat orders of approx 35% of our launch volumes in just 45 days , proving product acceptance and demand. With gross margins in the range of 25% to 30% and rising consumer awareness, we are confident of crossing approximately INR 40 crores in revenue in financial year ' 2026 from this launch alone, in a category which is INR 1,800 crore s segment and growing at a 20% year -over-year. I would like to emphasize that we are looking at Uplife as a comprehensive health and wellness platform, and that we will soon be expanding our portfolio with more innovative products spanning multiple categories.

Our goal is to reach INR 300 crore s revenue milestone in this segment over the next 3 to 5 years. Meanwhile, our ready -to-cook Biryani Masala continues to gain traction and scale up profitably with a quarterly growth of 33% in revenue.

Looking ahead, Quarter One, Financial year '2026 has set a strong foundation for the year. We will continue deepening penetration in Bharat, use data -led decision -making to sharpen sales and marketing execution, scale Uplife as our health and wellness pivots with the pipeline of new innovations and drive premiumization and SKU mix optimization to strengthen gross margins. In closing, I want to reiterate, this is not growth for growth's sake . It is g

rowth with discipline,

with focus and with a clear view of long -term value creation. KRBL is not just selling rice. We are building brands, expanding categories and reshaping the way India thinks about packaged foods. With the momentum of Q1, the strength of our brands and the clarity of our strategy, I'm KRBL Limited

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confident that financial year ' 2026 will be a landmark year in KRBL's transformation journey. Thank you.

I will now hand it over to Ashish Jain for comments on the financial statements.

Ashish Jain: Thank you, Ayush. I will now take you through the performance for the quarter ended June 30, 2025. All figures mentioned by me would refer to the consolidated financials of KRBL Limited.

For the quarter under question, total income was at INR 1,617 crores, higher by 32% over the corresponding quarter last year. Export revenue, as Anil ji mentioned, grew by 98% on account of growth in private label business, while domestic revenue, excluding power, grew by 15%. Other income in the quarter was higher on account of incremental interest income of around INR 10 crores on account of higher treasury investments during the quarter. Our gross margin for the quarter stood at 25.7% compared to 23.2% in the same quarter last year, higher due to lower average Basmati COGS.

EBITDA margin for the quarter was also higher at 13.9% versus 11.4% due to higher gross margin. Finance cost for the quarter was lower at INR 1.4 crores as against INR 4.8 crores due to lower borrowings during the quarter. Profit after tax for the quarter was at INR 151 crores, or 9.3% in margin terms as against INR 87 crores or 7.1% in the corresponding quarter.

I will now share a comparative analysis of first quarter of current financial year versus the preceding quarter, which is the quarter ended March 31, ' 2025. We delivered a healthy sequential performance as well with revenue from operations rising 10% quarter -on-quarter, driven by a 6% increase in domestic sales and a 17% increase in export sales.

The growth in domestic revenue was due to both volume and realization growth, while export saw expansion in the private label export. Other income for Q1 includes higher interest income as compared to the preceding quarter by INR 6 crores, while it also includes INR 16 crore s gain on sale or mark -to-market gain on investments.

Gross profit in Q1 is lower in comparison to that in Q4, primarily due to change in sales mix. In other words, we have a higher proportion of export bulk sales, which tend to give lower margin as compared to the br anded export sales. EBITDA in quarter one followed the trend in gross profit, partially benefiting from lower proportionate employee costs as well as optimization in other expenses.

Moving on to inventory. Our total inventory as of June 30, ' 2025 stood a t INR 2,953 crores. This includes INR 354 crores in paddy inventory, which was at INR 596 crores at the same time last year and INR 2,438 crores of rice inventory versus approximately INR 2,936 crores as of June 30, 2024.

On a volume basis, as of June 30, paddy and rice inventory stood at 91,000 tons and 392,000 tons, respectively, compared to 141,000 tons of paddy and 425,000 tons of rice as of June 30, '2024. The decline in inventory is due to both lower per unit cost as we ll as lower volume.

Moving on. Cash and cash balance, which includes treasury investments was at INR1,281 crores as of June 30, increased from INR349 crores at the same time last year.

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With that, I come to the end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A. I will just like to mention that as the ED matter is sub -judice, we will not be in a position to respond to queries on that matter . So over to the operator now.

Moderator: Thank you very much. We will now begin with the questio

n -and-answer session. Our first

question comes from the line of Himanshu Upadhyay from Bugle Rock PMS.

Himanshu Upadhyay: Congrats on good set of numbers. See, there is on exports, we have stated at one place that good growth is because of private labels and at another place, it has written good growth because of growth in bulk sales, okay? Can you give the bifurcation between n how much of our business was to our own brand, private label and bulk sales in this quarter? And what really led to the growth? Because I'm referring one is Slide 8 and the other is Slide 33.

Ashish Jain: Yes. So I'll clarify. See, private label and bulk export are the same thing. It basically same segment where we supply bulk volume on a private label basis to importers overseas. In terms of the breakup between the 2 side, which is branded and bulk that we generally don't share, but bulk business tends t o be bulky. So, these are large B2B orders as and when that sale happens, it leads to a bump up in export revenue.

Himanshu Upadhyay: And one thing a follow -up on this. So, when we are selling the bulk sales what we are doing, are we also doing packaging a nd everything for the other person in their own brand and selling it out, let's say, 1 kg bulk, 5 kg packs for their brand, and then we are selling or it is just a pure volume?

Ashish Jain: So the pack size is usually 10 kilos and above in private label.

Anil Kumar Mittal: 10 kilo into 4, 40 kilo s.

Himanshu Upadhyay: But is the customer's brand and everything written on that package?

Ashish Jain: Yes.

Himanshu Upadhyay: We do the packaging and then export it?

Ashish Jain: Yes.

Ashish Jain: So sourcing, processing, packaging, all of it is done by us.

Himanshu Upadhyay: Okay. And secondly, just one observation, okay? The last few years, we have gone into regional rice before that into one other category also, cereal breakfast cereal category and then oil category. But all the time, we have seen that we have been very optimistic and have not gone into that category or grown that category. How confident are we on the oil segment? An d what have been our learnings okay? And is regional rice still focused or it is now out of focus for us? So, some thoughts on that.

Ayush Gupta: Yes. Thank you for the question, Himanshu. So, on the breakfast cereal, we primarily entered into quinoa a lot of years ago. And quinoa, while we entered mostly from an export perspective, but domestic, we are still retailing the product.

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But the demand for a product like quinoa, which is also an export -oriented , it's a foreign product for India and a ve ry high - priced product, the demand remains a little bit minimal. But we are

kind of trying our hands more at Quinoa , trying some more innovative categories to bump up the demand, but that remains on the smaller side.

However, if I talk about regional rice, we've put in an estimate 2 years ago of 1 lakh metric ton by the end of 2028 or '2029, I'm not sure. But we are still determined to deliver on that commitment. Having said that, regional rice has performed exceptionally well in this quarter. We've grown by about 77% in value in this quarter on regional rice.

Regional rice had slowed down a year before because there are many regional rice varieties available in the Country . And choosing the right one, which is margin accretive, choosing the right one which has a branded play, which can give long -term value for the organization was very critical.

So, while we expanded rapidly into many varieties and categories, we found success only in few because the industry dynamics allowed us to do that. But we are now slowly again filtering out the right kind of varieties, which makes sense for KRBL's ways of operation.

And we are adding more and more regional varieties in our portfolio. But we continue to be determined to deliver growth on regional rice

e. And I think that's a segment which is one of the most positive tailwinds for us going forward.

Lastly, on the oil segment, as I mentioned in my comments, we are committing to INR 40 crore s revenue in the first financial year of our launch. We also see this scaling up to INR 300 crore s portfolio within the Uplife brand within many categories that we'll be launching within Uplife brand. But again, oil, especially healthy edible oil is a INR 1,800 crore s category today and growing at a 20% year -on-year growth trend.

So, I think potential is there and the category size is there. And we have just stepped into it in the quarter one. It's a new category for us with a new brand as well. We are learning every day, and we are moving forward. I think so far, what we have done is really, really positive for us.

And I think it looks like that we will be committed and we will deliver on our commitments.

Moderator: Our next question comes from the line of Amit Aggarwal from Leeway Investments.

Amit Aggarwal : My question is regarding Saudi Arabia exports. This is good news that we are opening our own office there soon. But the idea of hiring our distributor or wholesaler, is that a drop down forever?

And you also mentioned that you are already facing a slowdown in Saudi Arabia export market.

So to what extent do we think that we will be able to achieve that turnover in Saudi Arabia this year?

Anil Kumar Mittal: See, as far as Saudi is concerned, we will be very new as far as our direct distribution will be concerned by opening the office. And I do not know it will take a year or 2 years to remove the current distributors to whom we are working. It is too difficult to answer that question at this moment.

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If we get a momentum and we just start doing at early times very well, then definitely one -by-one, we will remove the distributors , because definitely, our profits will also increase and our revenue will also increase. So that is the prime thing as far as Saudi is concerned.

Amit Aggarwal: But you also mentioned that, you are already facing a slowdown after the Ramadan. So to what extent we will be able to achieve this year in Saudi? What turnover we are expecting to achieve?

Anil Kumar Mittal: After this quarter, we'll let you know what would be the turnover. But let me tell you, it is not only the whole India after the Ramadan, the next preceding month is always very slow. And after Ramadan and the preceding month, most of the people, they leave the country and go for holidays and vacation. So therefore, the quantity has come low, but now the orders have started coming. And I think so August, September should prove to be good in Saudi.

Amit Aggarwal: But because we are already facing a distributor issue, so will that be a challenge? Or I think for this year, that issue has been sorted out for this particular year?

Anil Kumar Mittal: No, we are still looking out for the distributor for the retail outlet. But as far as our wholesale business is concerned, what we are going to start doing initially when we open an office, we will only supply to the wholesalers.

Amit Aggarwal: Okay. And my second question is regarding oil business. Sir, as far as my information goes that basically, we have been outsourcing the product to some third -party. So, will it be a low -margin business? and how much investment has already been given to the oil product?

Ayush Gupta: Okay. Yes. So yes, we are outsourcing it to a third party only for processing. Since we already have a backward integration in terms of crude oil manufacturing for rice bran oil, the raw material still remains ours, but refining processes and packaging processes is currently outsourced. Coming to your second part that is this is a low -margin business. We are actually getting into the healthy edible oil space, which connotes more of the functional

I benefits and talks

about a lot of consumer inciting.

So this particular segment, while relatively smaller in the overall category, remains a higher - margin business compared to the larger category. And as I mentioned, we are looking at a 25% to 30% gross margin from this category in the financial year. In terms of investments, there are not many investments at the back end, which is the production part. We continue to invest in brand building and distribution as we scale up our launch.

Moderator: Our next question comes from the line of Jatin Chawla from RTL Investments.

Jatin Chawla: My first question is, I think in the results release, you also talked about your foray into real estate. So, if you could just kindly tell us what are the plans there?

Anil Kumar Mittal: As far as real estate is concerned, let me tell you, we have around 150 acre land in our Ghaziabad plant, which is valued today around INR4,000 crores, and we intend to shift this plant about 50 or 80 kilometers away from Ghaziabad, somewhere near Meerut. And that land by the time we shift to Meerut, by that time, it will become about INR7,500 crores. We want to monetize on that land and shift our plant to Meerut side. That is all.

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Jatin Chawla: Got it. So, what are the time lines here?

Anil Kumar Mittal: It might take 2 -2.5 years.

Jatin Chawla: Got it. My second question is on the decline in gross margins on a quarter -on-quarter basis. So partly, I understand this is driven by much higher bulk sales, which are at a lower gross margin.

Any other factor because the gross margin decline on a quarter - on-quarter basis is quite sharp?

Ashish Jain: There are no other significant factors. It's really driven by the sales mix during the quarter. So, no other factors.

Jatin Chawla: And when I look at year -on-year, your inventory even in tonnage is lower. One would have thought that given that the Basmati prices are significantly lower this year, you would probably be stocking up more. So are you expecting prices to remain low going forward as well?

Anil Kumar Mittal: We think ourselves to be fortunate because till the time March, the prices were quite high. It was not lower as was expected. But from March to June, the prices came tremendously down and the whole industry was under panic.

From June onward in July, August, it has started going upward trend and markets have shown a reasonable rise in the market. Because of this roller coaster behavior in Basmati pricing, it is not too advised to have big stocks rather than we should have a limited stock and look at the market and then create stocks.

Jatin Chawla: Got it. So our benefit on lower Basmati prices on gross margins, is that largely come through?

Or do you expect some more benefit in the next 3 quarters?

Ashish Jain : No, I think overall, if you look at the inventory, we would expect the overall average cost to come down over the next, I would say, 2 quarters.

Jatin Chawla: So there should be some more benefit in the next 2 quarters?

Ashish Jain: Correct.

Moderator: Our next question comes from the line of Soumen Choudhury from Mansarovar Financials.

Soumen Choudhury: My first question was on the U.S. tariff issue. Our competitor exports a very large quantity to the U.S. Now post this 50% tariff, which has been done, if they were to pose any problems in exports, is it likely that part of this gets shifted to India or the Middle East, which are our large markets, creating problems in terms of lower realizations and margins?

Anil Kumar Mittal: See, let me tell you, creating a new market is not so easy. India Gate brand being so strong for us, it is also challenging many times because our prices are very high compared to the competitors. So let us keep one thing in focus that at the moment, definitely, exports to America are under worry, because 50% is too high a tariff

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As far as we are concerned, we have a very limited exposure in America compared to the competitors, but it will not be too good for me to talk about competitors. It is not advisable to talk about competitors.

Soumen Choudhury: No. What I meant was that excess rice gets sold in the domestic market and the demand comes off a little bit, creating problems for realizations here?

Anil Kumar Mittal: No. I feel -- see, if all of that rice which has to go to America or to other places, and if it is sold in domestic market, definitely, the market will crash, it will come down. But nobody, see, let me tell you, people will keep the rice in stock. The prices are not going to fall to the extent what we are thinking. Yes, definitely, there would be an impact on the pricing, no doubt about it.

Soumen Choudhury: Okay. And I had a couple of questions on the financial side. Mr. Jain, is it possible to share the quarter -on-quarter volume growth for the current quarter?

Ashish Jain: Yes, I can.

Soumen Choudhury: Overall or exports and domestic separately, whatever.

Ashish Jain: I'm sharing the overall rice sale growth in terms of volume.

Ashish Jain: So year-on-year growth in quarter one is 38%.

Soumen Choudhury: Okay. Quarter -on-quarter?

Ashish Jain: And quarter -on-quarter is 19%.

Soumen Choudhury: Okay. Okay, fine. And just one last thing on other expenses. Other expenses went up quite a bit in the last couple of quarters. This quarter, we see a big drop despite turnover increasing so much. So just if you could throw some color on this?

Ashish Jain: Yes. So I think if you look at the preceding quarter, there were some one-offs and also, like Ayush had mentioned, there was a packaging relaunch. So advertisement expenses were also higher. If you look at the current quarter, those 2 factors are not there, so which is why you see a fall.

Soumen Choudhury: Okay. So should we assume this to be a more reasonable rate going forward?

Ashish Jain: Yes. Subject to any freight rate changes driven by geopolitical events, otherwise, you can look at this at the run rate.

Moderator: The next question comes from the line of Hitesh Goel from Aurigin Capital.

Hitesh Goel: Congratulations on a good set of results. So basically, I just wanted to understand there's a lot of volatility in the gross margin, right, because of the bulk exports. So basically, can you give us some sense on how this gross margins will pan out in this particular year?

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Ashish Jain: Yes. So you are right. See, like I mentioned, the private label or the bulk sale tends to be lumpy. And because it's a B2B business where we are sourcing and packaging in somebody else's brand, the margins carry a different profile.

So as and when the sale happens, the gross margin does get impacted. But overall, I think earlier, maybe in the last call, we had mentioned that for financial year '2026, we are expecting an improvement in gross margin, driven largely by higher exports as compared to last year.

Hitesh Goel: Yes. So basically, your gross margin on 25%, right? So basically, this year, actually, in FY '2026, you're expecting higher exports versus last year and mostly driven by bulk?

Ashish Jain: Also branded.

Hitesh Goyal: And domestic basically, the pricing is holding up quite well, right? So domestic from your perspective?

Ashish Jain: Yes, that's right. So I mean, if you look at the market, and this is just EBITDA export numbers, if you look at quarter -on-quarter ended June 30, I mean, average Basmati rice price is down by roughly 15%. While if you look at our domestic realization, that's actually up by 1% on a year -on-year basis.

Hitesh Goyal: Yes. So domestic margins are going up, right, from that perspective?

Ashish Jain: Yes.

Hitesh Goyal: So we can assume that it will be higher

than 25% in terms of gross margins for next year, right?

Ashish Jain: Yes. That's our expectation at this point. Yes.

Hitesh Goyal: And other expenses, you said will be maintained at this kind of run rate of around INR 145 crores on a quarterly basis. And any view on freight rates because that is on a spot basis for you guys, right, versus competitors, which are making contracts for 6 months a year. So any color on the freight rates near-term what is happening and what has happened in this quarter?

Anil Kumar Mittal: As far as our understanding is concerned, freight rates are not going to increase because of geopolitical changes. And I'm quite confident with our experience that freight rates will not increase. They will remain constant like what they are at present.

Hitesh Goyal: Okay. And sir, my final question on this land of Ghaziabad, which you have talked about. We are going to develop in Ghaziabad or what are we going to do with this land, sorry? I didn't get that.

Anil Kumar Mittal: No, definitely, we are going to develop it because that size of land from our factory or from Ghaziabad up to 60, 70 kilometers, there is no such land in up to 70 kilometers, and it comes into the township only. So we are going to develop the township only.

Hitesh Goyal: So we are going to tie up with the developer or we are going to develop it ourselves?

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Anil Kumar Mittal: No. We will tie up with the developer definitely. We will not take that risk of starting ourselves, but majority will be us and the developer will have a small share out of it.

Moderator: Our next question comes from the line of Ishant Lalwani from Ashika Institutional Equities.

Ishant Lalwani: Congratulations on a good set of numbers. So what is our total installed capacity in our rice business? And what is our current capacity utilization level?

Ashish Jain: Yes, total installed milling capacity is 207 metric tons per hour. Now see, rice industry, because it's a seasonal industry, so you can't look at it in terms of capacity utilization. But given that factor, we operate at an optimum level.

Ishant Lalwani: Okay. And any capex going forward?

Ashish Jain: No significant capex. We have adequate capacity.

Ishant Lalwani: Okay. And also, how did our A&P spend in Q1 compared with the Y-o-Y basis?

Ashish Jain: I mean, it's comparable to the corresponding quarter last year. It's just that in the preceding quarter, it was higher, like I explained earlier. But otherwise, on a year-on-year basis, it's comparable.

Ishant Lalwani: In percentage terms?

Ashish Jain: I don't have that number right now. I can share it with you later.

Ishant Lalwani: Sure. Also, how do you see your EBITDA margins in our Uplife brand in Edible Oil business going forward? How do you see in 2 to 3 years?

Ayush Gupta: As I mentioned, see, we are looking at a 25% to 30% gross margin. Obviously, because it's a launch and there will be heavy investments, both in terms of expanding distribution, branding, marketing because it's also health proposition, there are going to be significant advertising and promotional expenses. So we don't see it coming as a positive EBITDA for at least the first 3 years. Post 3 years, we have planned a positive EBITDA from the launch of oil in the category.

Moderator: Our next question comes from the line of Pawandeep Bhatia from NV Alpha.

Pawandeep Bhatia: I also had questions around the land in Ghaziabad. Everything is answered.

Moderator: Our next question comes from the line of Gursidak Sen from Prudent Equity.

Gursidak Sen: So my question is regarding the land in Ghaziabad. What is the timeline for the monetization for the same?

Anil Kumar Mittal: It's around 2.5 years.

Gursidak Sen: And by what time do you plan to shift your production.

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Anil Kumar Mittal:

It is too early to comment. It's too early to comment anything, but we have a plan of 2.5 years to maximum 3 years.

Gursidak Sen: Okay. And my second question was regarding the expansion towards new markets. Is there a plan for FY 20'26 towards new markets like Australia and maybe other places?

Anil Kumar Mittal: We are already doing. We are market leaders in Australia. Australia, we are doing very fine. Other places, we are doing fine. Only we are weak in Saudi Arabia, which we intend that after opening the office, the things should streamline.

Moderator: Our next question comes from the line of Krushi Parekh from BugleRock PMS.

Krushi Parekh: So my question is again related to inventory, which was answered earlier, but just trying to get some sense what led to the volatility in the raw material prices. And based on our experience, how are we looking to build up inventory during this year now in terms of volumes?

Anil Kumar Mittal: Yes. As far as inventory is concerned, it will depend upon what prices the new crop opens up. If the new crop -- let us say, we look at last 4 years, the pricing pattern and we find that the prices have opened up 15% to 20% lower than the previous 3 years, definitely, then for us to build up an inventory is not problematic because rather putting money into bonds and here and there, we can put into inventory.

We don't have any problem of the funds. The inventory creation is not a problem. The problem is to evaluate whether it is the right pricing or not. That is the main concern. And looking to the present crop, which has been sown, and which is going to come from 1st of October 2025, I believe if the prices open 5% or 10% lower than this year, we are going to have a huge inventory.

Krushi Parekh: Right. So, the question was again, because even last year, we saw the acreage for Basmati increasing and -- but we were hoping that the prices would decline and in some ways based on the data even in -- based on your presentation as well, the prices of Basmati have declined to an extent. So, I was just trying to understand volatility is one thing that you mentioned, but what are the factors for that volatility? And I get your point, 2026 may be the year where we may want to build up some inventory.

Anil Kumar Mittal: That's a very good question. Let me tell you. We never anticipated that ending '2025, we'll have an export volume of about 6 million ton plus. First of all, we were expecting 5.25 million ton instead of 5.25 million ton, it stood at 6 million ton. That is number one.

Secondly, even domestic market has increased by 10% to 12% this year, there has been a very

good demand in the domestic market. So there was these 2 failures on the part of KRBL to evaluate the total quantum in export market and the total quantity in domestic market.

Moderator: Our next question comes from the line of Raman KV from Sequent Investments.

Raman KV: Sir, sorry if this question is repetitive as I joined a little late. So, can you just explain during the quarter how -- like the reason for 32% sales growth as well as 200 basis point margin improvement?

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Ashish Jain : Yes. Sure. So, you see, the year -on-year sales growth is led by our export business. So, during the quarter, our export business almost doubled in terms of revenue. And the growth in this was led by the private label side of the export business. So that's what drove, while the domestic business also grew by about 15%. Higher revenue along with lower average cost of goods sold has led to the higher margin during the quarter.

Raman KV: And my second question is with respect to the cooking oil segment. Sir, from what I can see from the presentation, it's more like a healthier oil, which has 40% less fat retention and stuff like that. So, I just want to understand how is our oil different from other established healthy oil brands?

And basically, what's our right to win in this crowded segment of cooking oil?

Ayush Gupta: Yes. Thank you, Raman, for the question. So, we've launched 2 variants in the segment. And this segment, as we all know, is dominated by Marico's Saffola brand. And it's almost INR 1,800 crore s category, which is growing at a 20% year -over-year.

And mainly in the healthy Edible Oil segment, everyone is just talking about one thing, which is heart health. So, when we launched Uplife, we wanted to create a differentiated positioning for ourselves. And hence, Uplife was launched with a value proposition to a younger India, the 25 to 35 India, which is now the mass population in the urban countries and have more spending power.

And the 2 variants that we launched were Uplife Weight Watchers and Uplife Gut Pro. Weight Watchers being for weight management and Gut Pro for your healthy gut. Both these variants are backed by science and clinical studies in the aspects that they provide as benefits. And we feel our brand India Gate credibility will be a great leverage for us to enter the consumer households.

As I said, in the last 4 months of our launch, we've been able to get a very clear view from consumers that our positioning has been well accepted. So, we feel that's a great win in a category which is owned by legacy players for so long that we were able to create a white space, identify a white space and launch a product.

Lastly, our execution excellence in terms of distribution in top category outlets and lastly, the marketing efforts that we are putting behind the brand. I think this gives us the right to win in this category.

Raman KV: Sir, a follow -up on this segment itself. Sir, one, I just want to understand what's the difference between your 2 oil which you launched. One is with respect to Gut Pro and another with respect to Weight Watchers. One is that.

And second part of that is, you said you will do roughly about INR 40 crores this year from your cooking oil segment. How much growth are you expecting from this segment in next year, like FY '2027? And will it be EBITDA positive?

Ayush Gupta: Yes. So, the 2 variants, Weight Watchers and Gut Pro have different blends. Gut Pro is a blend of rice bran oil and soybean oil, and Weight Watchers is a blend of rice bran oil and sunflower oil. In terms of revenue growth, as I mentioned, it will be INR 40 crores is what we have planned

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this year. In the next year, it's about close to INR 150 crores. And EBITDA positive, we plan to be EBITDA positive by the mid of third year or by the end of third year.

Raman KV: Sir, can you give any growth guidance with respect to the entire Company for FY 20'26 and '2025?

Ashish Jain : Yes. Ashish here, our expectation at this point is that revenue of more than INR 6,000 crores for current financial year.

Moderator: The next question comes from the line of Chetan Doshi from TM Financial.

Chetan Doshi: Congratulations for good set of numbers. After a long time, we are seeing quarter -on-quarter jump as far as the top line is concerned and even bottom line is much better. Now my first question is that this real estate thing, will it be a separate entity or it gets added to the top line of our company because in next 2 years, we'll be a INR 10,000 crore s company if that gets added

to it?

Ashish Jain: Yes. So see, all what we've done is that we've put in place an enabling resolution, which is also subject to shareholder approval. In fact, in terms of structuring, we are looking at all options in terms of whether to do in the main entity or a subsidiary. And we'll update you, I think, as and when that's concluded.

Moderator: Thank you. We take this as the last question. Thank you very much, members of the management team. Ladies and gentlemen, on behalf of KRBL Limited, that concludes this conference call.

Thank you

for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q 1 FY26 Earning Conference Call

Call: Sep 2025

Ref: KRBL/SE/2 025-26/56 September 17 , 202 5

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Investor Conference Call held on Tuesday, September 16 , 202 5

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Investor Conference Call of KRBL Limited held on Tuesday , September 16, 2025 at 04:00 P.M. onwards on the recent developments in the Company.

The same is also available on the Website of the Company at [https://krblrice.com/investor - relations/financial -information/](https://krblrice.com/investor-relations/financial-information/)

This is for your kind information and record.

Thanking you,

Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: A21328

Encl: As above

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Investor Conference Call"
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MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING

DIRECTOR – KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Investor Conference Call of KRBL Limited. As a reminder, all participant lines will be in the listen-only mode. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded and the duration of this call will be 30 minutes.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you and over to you, sir.

Ashish Jain: Thank you and good evening to each one of you. Thank you for joining the call at short notice.

This call is being scheduled to apprise the investors and shareholders with respect to events post the resignation of Mr. Anil Kumar Chaudhary, Independent Director of the company. With me on the call are Mr. Anil Kumar Mittal, Chairman and Managing Director, and Mr. Anoop Kumar Gupta, Joint Managing Director. I will request Anilji for his comments.

Anil Kumar Mittal : Good evening, All the stakeholders. I would just like to share my views. Mr. Chaudhary was appointed on Board on 20th August 2024. However, he decided to step down with effect from 8th September 2025. The contents of the letter required internal board-level deliberation. The letter was submitted to stock exchanges within statutory timelines.

Mr. Chaudhary has mentioned certain concerns in his resignation letter. Mr. Chaudhary has not highlighted any gaps in compliance relating to financial and legal matters and his observations are focused on Board processes. We would like to mention that there are no apparent lapses and the company conforms to the standards as stipulated by the law governing bodies of India to the best of our understanding.

The company has the confidence and support of all Board members, including the other three Independent Directors who are of repute and are standing strong with the company. Mr. Dogra, an existing Independent Director, has stepped into the Audit Committee with effect from yesterday.

Taking cognizance of the observations and as a matter of good corporate governance, separate meetings of Independent Directors and the Board were convened at a shorter notice yesterday, i.e., on Monday, September 15, 2025. The observations were discussed at the said meetings. It was noted that the company has in place systems and processes commensurate with the size of the company's operation to ensure that any kind of financial impact or non-compliances are highlighted to the Board and respect committees with full disclosure to the stock exchange in compliance with applicable laws as and when required, however, the Board and Independent Directors have concurred of taking following actions. An independent reputed third party firm be appointed to conduct a thorough review of the observations as soon as possible but not later than 30 days and present the report to the respective board committees.

The respective Board committees will deliberate on the report to their area of observations and submit recommendations to the board. I will now hand over to Mr. Ashish Jain to share some facts.

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Ashish Jain: Thank you, sir. I would just like to share some facts with respect to some of the observations.

First on the observation with respect to write-off. Coming to this transaction, as disclosed in financial year 2024-25 Annual Report, the company has written off export receivables of approximately INR58 crores relating to financial year 2023 shipments to a customer based in Africa. The customer is not a related party. Details of the transaction are as under.

On 7th Feb 2023, KRBL executed a contract to sell around 23,000 metric tons of non-Basmati rice for around 79 crores. This transaction was confirmed by the customer on 8th February

. The

buyer paid approximately INR17 crores in Jan 2023 and the balance INR62 crores fell due by 7th Aug 2023.

Apart from around INR6 crores received across financial year 2024-25 with last payment being received in April 2024, no further payments were made despite sustained follow-up and demand in legal notices sent by the company. KRBL recorded an expected credit loss provision under

Ind AS 109, the value of which was around INR18 crores in FY24 with the first provision being recorded in September 2023 and the remainder value in financial year 2025. This was supported by legal opinion that the counterparty is untraceable and enforcement is unlikely.

With an authorized dealer bank authorization for self-write-off under FEMA and RBI export directions, approximately INR58 crores was written off in FY25, leaving nil outstanding as on 31st March 2025. Related provisions are disclosed in Note 36 of financial year 2024-25 annual report.

This matter including the chronology, the provisioning and the write-off rationale were placed before the audit committee and the Board and the statutory auditors. Separately from the accounting treatment that I have just described, we are finalizing a recovery plan comprising commencing arbitration and appointing a collection fund. Recoveries, if any, will be recognized in the P&L when received.

Moving on to the concerns that have been raised on CSR funds, over the past three years, including the current year till date, the company has spent approximately INR40 crores on CSR and as of date there is an unspent balance including current year's obligation of INR37 crores. The company follows the due process in CSR wherein an annual operating plan is presented and approved. It is ensured that CSR spendings are in line with applicable rules and regulations. Unspent amount is planned for utilization in a phased manner for ongoing projects to ensure that funds are only released based on careful evaluation of the agreed utilization.

Proper due diligence is undertaken before appointing any implementing agency or initiating a project. Utilization certificates and impact assessments are obtained for all projects up to financial year '2025 are in place. Appropriate disclosures are made in financial statements and CSR committee not only approves all spends but also monitors the spends closely.

Moving on to the subject of change in object clause of memorandum of association. This pertains to the I and monetization and real estate projects proposal as discussed in the Board Meeting dated August 07, '2025 and explained in the subsequent earnings call by the management. This

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is meant to be an enabling resolution for the company to engage in real estate business with a view to unlocking shareholder value and to utilize available funds more competently.

As above is intended only as an enabling resolution, any project will be brought before the relevant committee and the board for approval as required before being taken up for execution. Similarly, a detailed plan along with business and financial details will be disclosed in due course. When this proposal was presented, one of the directors recorded dissent which has been duly recorded in the minutes and the resolution was approved by majority in audit committee and the board and is now being put up for shareholder approval at the ensuing meeting as required.

Coming to the fourth point, on the point of variable pay and annual increments to persons holding office or place of profit, I would like to inform that there are currently eight persons that hold office or place of profit. These include four Executive Directors while the other four either Head Businesses or important verticals within the company. Their compensation is recommended by NRC and approved by the Board.

In their review, NRC considers the compensation policy, their p

erformance, industry

benchmarking, underlying reasons and skills and responsibility. Board considers NRC recommendations and decides post deliberation. We would further like to confirm that increments in variable pay are within the limits approved by the shareholders.

With that, I come to an end of my prepared comments. We can now take up a few questions but we need to close the call at 4.30 because of other commitments. So moderator, you can take a few questions now.

Moderator: Our first question comes from the line of Hitesh Goel from Aurigin Capital. Please go ahead.

Hitesh Goel: Thanks for taking my question, sir. This is regarding to the board composition, right? If you look at other companies, they basically have, more than 50% of the board comprising Independent Directors, right? If I look at your Board composition, actually there are three Independent Directors, right? And four related to the promoter family. So what are we doing regarding this to improve the Board composition?

Anil Kumar Mittal: We are already on the lookout for the replacement of Mr. Anil Kumar Chaudhary. Since we have three months' time, we will try to fill this gap as early as possible.

Hitesh Goel: So we are going to have four Independent Directors and four members from the family, right? I mean, from the management team.

Anil Kumar Mittal: Right.

Hitesh Goel: Okay. And sir, the second question is regarding this export receivable. So like Ashish has mentioned, there is no other outstanding as of now export receivable issue right now in the

company except for this, which has been provisioned in FY ' 2025. So we should not see this provision coming in FY ' 2026 as such.

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Ashish Jain: That's correct.

Hitesh Goel : Okay. Okay. And finally, can we ask a business question or is this related to this issue only?

Ashish Jain: No, I think we should focus on this call on the objective of this call for now.

Hitesh Goel : Okay. Okay. Then my question is answered. Thank you.

Moderator: Thank you. Our next question comes from the line of Mohit Saini from Way2Wealth Securities. Please go ahead.

Mohit Saini: Yes, sir. Thank you for the opportunity. I just had a small question. Mr. Anil Kumar Chaudhary has attended two meetings as mentioned in the FY ' 2025 Report. So how is it possible that he found out the governance issue and all within those two and there's dissent and everything going on? Can you just throw some light on that?

Ashish Jain: I didn't get your question.

Mohit Saini: Sir, in the Annual Report, it was seen that he has attended two meetings. Is that correct?

Ashish Jain: Yes, that's fine. I think the annual report is correct, yes.

Mohit Saini: Yes. Sir, so my question was that then how did he found out and he raised questions in the meetings about the governance and all? Still, there was no solution or any further meetings for that?

Anil Kumar Mittal: Mr. Anil Kumar Chaudhary had never ever raised any issues before the Board or within the Committee . If at all any issues were raised by him, they were articulated and settled then and there. But if a person has decided or if he was cooking up some stories within himself, that cannot be answered. Our only desire at this point of time is to wait for the independent auditors to vet the whole allegation and review all the papers on record so that we can ensure that there has been strict compliance of all the regulations . That would strengthen our position.

Mohit Saini: Okay. All right, sir. So we'll wait for the report now. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Yes. Hi, good evening and thanks for the opportunity. So the first question is that on this export receivable, is this the first time that we dealt with this party or have we de

alt with this party
before as well ?

Anil Kumar Mittal: No. We used to deal with this party way back in 1995 till 2005. After 2005, we stopped doing business with them . All of a sudden, in 2022 -23 he requested us for shipment of one vessel of non-basmati rice for African continent on CAD basis. However, that man who is notorious and had some ulterior motive had played a dirty game with us. His intentions were wrong from the beginning, which we couldn't assess initially . I think this is the only issue of bad debt since inception of the business.

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Jatin Chawla: Got it. And the second question was on the kind of audit, the independent audit expert that you are looking to appoint. What sort of organization are we looking to appoint? The stature of the organization?

Ashish Jain: Yes. We are looking for a reputable firm who has the necessary skill. So typically, we are either looking for big four or a firm of that stature or a reputed legal firm.

Jatin Chawla: Got it. Thanks. Those are my two questions.

Moderator: Thank you. We'll take the last question from the line of Niteen S Dharmawat from Aurum Capital. Please go ahead.

Niteen S Dharmawat: Okay. So , my question is the resignation happened on 8th, and it was reported to exchanges on 13th. It might be legally right and within the limits, but the company took so much of time to report to shareholders. So why company took it so long? Don't you think that this is a case of legally right but ethically wrong?

Anil Kumar Mittal: When we received the letter from Mr. Anil Chaudhary, the whole management was under shock since we couldn't dream that he would react in this manner . We could never imagine that he would become so hostile without any reason and would write so adversely about the company where we had been a director for one year . We remained puzzled for 3 – 4 days and that was the reason for the delay in reporting the matter.

Niteen S Dharmawat: So if you think that this is something dirty work has been done, so are you contemplating any legal action against the Independent Director? For the kind of level of allegations, which are

there in the letter?

Anil Kumar Mittal: It would not be appropriate on my part to pass any comment now. We are a part of the Board and we are awaiting the legal report from the independent auditors. Until then we will not be able to answer in a transparent manner. So, let us wait for the audit report for the time being.

Niteen S Dharmawat: I appreciate sir. But I think we should have been more careful in reporting to the exchanges. Thank you.

Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to Mr. Anoop Kumar Gupta for closing comments.

Anoop Kumar Gupta: In the end, I would just like to reiterate that we operate in accordance with the reputable laws and regulations. The Board has moved safely and taken cognizance and set a transparent review process. Where improvements, if any, are identified, we will implement them and inform the market. Meanwhile, the business remains focused on execution. We appreciate your continued trust. Thank you.

Moderator: Thank you. On behalf of KRBL Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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"KRBL Limited
Q2 FY26 Earnings Conference Call"
November 14, 2025

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIRMAN AND
MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA -- HEAD-INDIA BUSINESS – KRBL
LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KRBL Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited.

Thank you, and over to you, Mr. Ashish.

Ashish Jain: Thank you, and thank you to all participants for joining us. Welcome to the Q2 FY '26 Earnings Conference Call for analysts and investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal, Chairperson and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director; Mr. Ayush Gupta, Head of the India Business as key speakers on the call.

To begin the call, Mr. Mittal will share updates on the business, industry and our overall strategy.

Following that, Mr. Ayush Gupta will provide insights into the performance and outlook of our domestic business, while I will present the financial overview of the company for the second quarter (Q2) and half year (H1) ended September 30, 2025. Once the management has concluded their opening remarks, we will open the floor for interactive questions.

Please note that some of the statements made during the call may contain forward -looking information, and actual results may differ from these statements. You can refer to KRBL's investor presentation available on the stock exchange (s) website s and our company's website, www.krbllrice.com.

Now I would like to invite Anil ji to share his views. The floor is yours.

Anil Kumar Mittal: Good afternoon, everyone. Thank you for joining us today for the Q2 FY 2026 earnings call of KRBL Limited. I hope you and your families are doing well. It is my pleasure to share with you our performance for the quarter , provide an update on the global and domestic rice markets and outline the opportunities that lie ahead for the company.

Let me begin with the global rice outlook. According to the USDA's latest Rice Outlook report, global rice production for ' 2025-'2026 marketing year is forecast at 542 million metric tons , broadly unchanged from last year's record level.

Global consumption is projected to rise to 541 million metric tons, up from 534 million metric tons in the preceding year, primarily driven by stronger domestic demand in India, which alone accounts for nearly a 4.5 million ton increase in consumption. This near balance between supply and demand suggests a stable global market with firm trade volumes. India competitive pricing and consistent quality continue to underpin its leadership in global rice trade.

Turning to India. Our country's rice production for ' 2025-'2026 is estimated at around 151 million metric tons compared to 149 million metric tons in ' 2024-'2025 as per USDA. This marked the second consecutive year that India has surpassed China to remain the world's largest rice producer.

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The increase is being driven by higher acreage, attractive price realizations for farmers, government support scheme and generally favorable monsoon rainfall. While overall crop conditions remain healthy, regional variations due to uneven monsoon distribution and localized flooding are visible, especially in parts of Punjab and Haryana.

On basmati, which is the core to KRBL's brand value and margins, the 2025 crop is being harvested now and presents a mixed picture. The overall basmati acreage has held firm in many producing states and the adoption of new pest resistant, better performing varieties continues to support yields and grain quality.

However, the heavy monsoon rains

in late August and early September, coupled with flash

floods in certain low-lying regions of Punjab and Haryana caused localized water logging and higher moisture content in paddy in those belts.

Reports from regional agriculture departments and trade bodies indicate some reduction in head rice recovery and grading challenges for millers buying paddy from those districts. Fortunately, other growing regions notably Rajasthan, Western Uttar Pradesh and parts of Madhya Pradesh experienced normal rainfall and good sunlight during grain filling and harvest periods, resulting in strong yields and quality.

On balance, India's basmati production for crop 2025 is expected to be slightly higher than last year in volume terms through quality segregation, it will be more critical this season. Overall, the availability of export-grade basmati remains comfortable.

Pakistan basmati picture is also important for global availability and price dynamics. In early reporting after the monsoon floods, there were widely circulated concerns about severe crop damage in Pakistan's Punjab.

Some assessments reported localized significant losses in flood in districts, whereas certain official reports indicate that much of the Pakistan basmati area remained resilient and that damage to basmati specifically may be less severe than initially feared. As a result, from a global trade perspective, we foresee a stable to firm basmati export environment over the coming quarters.

With Pakistan supply largely intact and India's crop quality being mixed, but ample, pricing is expected to remain range bound in the near term with premiums of higher grades and marginal softness for lower grades. In terms of pricing and procurement dynamics, APEDA and market dashboards show that basmati price firm in the immediate aftermath of heavy rains and flood reports, reflecting buyers' caution around availability of export grade paddy and rice. That said, the market is bifurcating good quality, low moisture lots and commanding a premium while higher moisture or damaging lots are being discounted.

At KRBL, we have pursued a disciplined procurement strategy, focusing on low moisture, high-quality paddy and utilizing our long-standing supplier network to ensure that we secure the right crop quality at the right time. This positions us well for export fulfilment through the remainder of FY 2026.

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Looking at exports, India rice shipments have been strong in H1 FY '2026. Basmati export rose around 17% year-on-year in the first half to reach approximately 3.2 million tons and non-basmati export expanded sharply by about 51% to roughly 7 million tons during the same period, according to trade data and industry reports. This robust performance highlights India's continued strength in both premium and mass rice segments.

The removal of previous export cuts combined with strong overseas demand from the Middle East, Europe and Africa has contributed to this growth. Going into the second half of the fiscal year, exporters remain optimistic. However, volumes and realizations will depend on how the new basmati crops quality profile settles during post-harvest sorting and on shifting trade dynamics in key destinations.

On the policy front, reciprocal tariff imposed by the United States earlier this year have added temporary friction to India, U.S. trade. While these duties currently include a 50% levy on Indian rice exports, we expect that ongoing dialogue between the two Governments will lead to a negotiated settlement.

Historically, both sides have worked towards resolving such issues. However, should the 50% tariff remain in place for an extended period, it could impact India's competitiveness in the U.S. basmati market as Pakistan export currently enjoys a 19% tariff, which is a much lower level. Having said that KRBL's direct exposure to the U.S. remains li

mitted, and therefore, the financial impact on our business will be minimal.

Our exports revenue for Q2 FY 2026 stood at INR 438 crores compared to INR 252 crores in Q2 FY2025, registering a 70% year-on-year growth. Overall revenue for the quarter was INR 1,511 crores, led by a strong export performance. The Company reported a strong EBITDA of 16.6% and profit after tax of 11.2%. This robust performance underscores our strong operating foundation, disciplined procurement and continued traction for our branded portfolio in key international markets.

In regard to Saudi Arabia, we would like to update that we have engaged a law firm to fulfill our requirement compliance and formalities from the government such as incorporating a company and filing VAT registration, etc.

Once this process is finalized, then we can start with working on ground for operating our office, getting visas and gives the practical shape to the entire operation. Any specific question related to export market can be answered in the Q&A session.

On the industrial front, I would like to update you on the Panipat land acquisition. KRBL was declared a successful bidder for approximately 125 acres of land spread across 71 parcels in Samalkha District, Panipat Haryana at a total bid value of about INR 403 crores.

Built on our strong financial position and healthy internal accruals, KRBL is now set to enter the real estate sector as a strategic step towards long-term value creation. Our core agri-food business continues to generate robust cash flows with minimal future Capex and working capital needs. This gives us the opportunity to deploy surplus funds more effectively moving away from low-yield treasury instruments and leveraging our underutilized bank limits.

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We also hold significant land reserves, particularly in Ghaziabad, which offers substantial value unlocking potential. The company plans to monetize this approximately 110-acre parcel currently valued at about INR 2,500 crores while relocating our existing plant over the next 2 - 3 years.

Post development, the Ghaziabad property value could rise to approximately INR 4,000 crores. In addition, KRBL will explore new real estate projects with a total outlay of around INR 1,000 crores over the next few years. We will focus on NCLT or court or municipal authority land Auctions for acquiring land at attractive rates and then collaborate with reputed developers to develop the same.

We will evaluate whether to pursue this business within the existing structure or through a separate entity. With our proven experience in land acquisition and management, we are well positioned to identify and execute the right opportunities.

Overall, entering the real estate space represents a natural progression for KRBL, broadening our growth avenues and delivering enhanced long-term value for our shareholders. Looking ahead, we look forward that FY 2026 remains optimistic. India's leadership in rice production, strong export momentum and KRBL's well-diversified product and market base provide us with a solid foundation for growth.

With disciplined procurement, premiumization of our product portfolio, expansion into high potential geographies and operational realization, KRBL is well positioned to strengthen its leadership in the global rice industry.

Before I conclude, I would like to express my appreciation to our shareholders, business partners and employees for their continued trust and commitment. Together, we are building a stronger and more resilient KRBL, one of that continues to deliver excellence and value across its market. I will now hand over to Ayush for domestic business update. We will be happy to address your questions thereafter. Thank you.

Ayush Gupta: Good afternoon, everyone. Let me take you through the India business updates. As always, I will keep the narrative b

alanced and focus on how our actions are shaping long-term strength.

Over the last year, we've seen the packaged rice category in India continue on its long-term trajectory, a steady broad-based shift towards trusted hygienic branded and packaged products. Consumers are clearer today about what they want from a food brand, quality, consistency and transparency. For us, this reinforces a simple belief. Leadership is earned through trust and execution, not by chasing volume at any cost. This belief shapes every decision we make. When we compare this year's channel performance to last year, the evolution is intentional and supports our long-term strategy. In H1 financial year 2026, our channel saliency has shifted for the consumer pack business. General trade business contributes 63% of our consumer pack revenues versus 67% last year. Modern trade contributes 14% versus 15% last year and e-commerce has shifted to contribute 23% versus 18% last year to our consumer pack revenue.

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So what does this really mean? It means 2 things. General trade remains the backbone, but it is led by a strong bulk pack business. Bulk has been a consistent driver of general trade growth. It brings stability, long-term relationships and predictable movements in key markets. It is this bulk pack momentum that keeps general trade steady even as consumer behavior shifts across channels.

E-commerce is becoming a genuine engine of household penetration. The growth in e-commerce, especially quick commerce, is being powered by consumer packs. Younger households, urban families and high-frequency buyers are turning to digital platforms for convenience and trust.

Today, almost 3/4 of our e-commerce business comes from quick commerce, making it a strong contributor to trial and repeat. In simple terms, general trade gives us depth, e-commerce gives us new households. Both are growing for different reasons, and that balance is healthy. This year, we made a deliberate and structural intervention on the brand side, the refreshed communication with Amitabh Bachchan. We chose a tone of authenticity, trust and clarity. The campaign strengthened 2 things that matter most for a brand like ours, consumer confidence, reflected in significantly higher search for India Gate brand and stronger positivity in conversations around the brand.

And secondly, usage and repeat, both have grown meaningfully in the months following the campaign. When consumers trust a brand more, they buy it more often. They stick with it longer, and they remain price stable. This is a real business outcome this campaign has delivered. Going forward, I would like to introduce Project Akshat. Project Akshat is a structured 18 to 24 month commercial transformation program we are running internally. It is one of the most important capability investments KRBL is making. The objective is straightforward, build a stronger, sharper and more productive commercial engine for the next decade.

Akshat is focusing on 4 areas: winning more share in general trade and e-commerce with a clear target of improving market share by 500 basis points over the next 18 to 24 months, making every rupee work harder through 2% to 3% efficiency in how we deploy trade and marketing spends.

Thirdly, improving e-commerce economics with a 15% to 20% improve in ROAS, return on advertising spend, driven by better planning and smarter execution; and lastly, strengthening capability and discipline on the ground so that availability, visibility and servicing becomes more predictable and repeatable.

Akshat is not about short-term savings. It is about building capability, the kind that compounds in value. A brief update on Uplife, our health and wellness brand. Uplife continues to make steady progress. Its positioning is sharper, its consumer base is expanding, and it is resonating well in the modern times.

trade channel. We have reached a market share of 5.5% in stores where the product is available. We are taking a slow but deliberate approach, learning consumption patterns, refining the portfolio and scaling responsibly. Uplife is an important part of our long-term diversification story and early signals remain positive.

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To summarize, the India business in Q2, the category remains resilient and favorable for branded leaders. General trade is stable, supported by a strong bulk pack growth. E-commerce is growing strongly through consumer pack momentum. Our brand and packaging work is strengthening trust, intent and repeat.

Project Akshat is going to lay the groundwork for consistent profitable execution and Uplife is progressing thoughtfully as a future-facing wellness brand. Our approach remains to protect value, deepen penetration, strengthen repeat purchase and build capability for long-term leadership. We are moving forward with confidence and a clear strategic compass.

Thank you, and I look forward to your questions. I will now hand it over to Ashish for his comments on the financial statements.

Ashish Jain: Thank you, Ayush. I will now take you through the performance of the quarter ended 30th September '2025 and the Half year ended as on the same date. All figures mentioned by me would refer to the consolidated financials of KRBL Limited. Total income for the quarter stood at INR 1,541 crores, higher by 18% over the corresponding quarter last year. Export revenue grew by 74% on account of growth in both private label business and branded business, while domestic revenue, excluding power, grew by 6%.

Our gross margin for the quarter stood at 29.2% compared to 23.7% in Q2 FY '2025, increased due to lower average basmati COGS. Average basmati COGS is lower by 11% over the

corresponding quarter last year.

EBITDA margin for the quarter was 16.6% versus 12.1% in the same period last year due to higher gross margin, partially impacted by higher proportionate employee costs and other expenses.

Finance cost for the quarter was higher at INR 1.1 crore as against INR 0.8 crores due to higher lease liabilities. PAT for the quarter was at INR 172 crores or 11.2% in margin terms as against INR 103 crores or 7.9% in the corresponding quarter last year.

Let me now share a comparative analysis of Q2 FY 2026 versus the preceding quarter, which is Q1 FY 2026. Revenue from operations declined by 5% quarter -on-quarter. Domestic revenue declined by 2%, while export revenue declined by 11% due to lower export bulk revenue.

Branded export increased from the previous quarter.

Gross profit is higher primarily due to higher basmati realization in export and improved sales mix, which includes higher proportion of export branded sales. EBITDA followed the trend in gross profit, partially impacted by higher proportionate employee cost and other expenses.

Coming to H1. Total income for the period stood at INR 3,155 crores, marking a growth of 25% against the corresponding period last year. In H1' 2026, domestic revenue increased by 10% as branded basmati volume increased by 9%, while export revenue increased by 86% due to higher bulk sales.

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Branded rice export volume also grew by 6%. Gross profit of the company stood at 27.3%, while EBITDA and PAT stood at 15.3% and 10.2%, respectively. Margin improved mainly due to lower input costs, as I mentioned earlier.

Coming to the balance sheet. Our total inventory as of September 30, 2025, stood at INR 2,279 crores. This includes INR 123 crores in paddy inventory, which was at INR 215 crores at the same period last year and INR 1,995 crores in rice inventory as against INR 2,647 crores in September 30, '2024.

On a volume basis, as of September 30, '2025, paddy and rice inventory stood at 33,000 MT and 304,000 MT, respectively,

compared to 60,000 MT and 376,000 MT in the corresponding period. Lower inventory is due to both lower per unit cost and lower quantity.

Cash and bank balances, including treasury investments were at INR 2,157 crores as of September 30, '2025, increased from INR 1,272 crores at the same period last year.

With that, I come to the end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I will just like to mention that as the ED matter is sub judice, we will not be in a position to respond to queries on this matter. So over to the operator now.

Moderator: Our first question comes from the line of Amit Aggarwal from Leeway Investments.

Amit Aggarwal : My question is regarding Saudi Arabia market. Sir, we had INR1,000 crore export to that market 5 years back. Where do you stand right now? And how much have we covered this year? And what are the future growth prospects there?

Anil Kumar Mittal: Saudi market has started showing good results. As you can observe from the export data and the export earnings, there is improvement on a month -to-month basis. Though it will take some time, we have started doing quite well in Saudi. We have already initiated the process of opening our office as well. You will hear the good news in quarters to come.

Amit Aggarwal : Can you throw some numbers how much turnover this year we are expected to do in Saudi Arabia because that was a huge market and that gives us some idea that the future prospects of the market, how much are we covered from there?

Anil Kumar Mittal: It will not be proper to mention any numbers at this point since the predictions should be accurate. It will not be appropriate to guess & quote some arbitrary numbers. In my opinion, things would start clearing up from 3rd/4th quarter and we will get a better picture of our Saudi business.

Amit Aggarwal : Have we picked any distributor orders right now or we are supposed to market other products ourselves?

Anil Kumar Mittal: We have shortlisted 2-3 people and are booking orders directly. No distributor has been appointed as such.

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Amit Aggarwal : And my second question and last question is regarding 2 -3 years back, we were planning to open 3 factories in South and Gujarat, Madhya Pradesh and Karnataka. So Gujarat has been already

there. So, how much production is going in Gujarat? And what is the situation in Madhya Pradesh and Karnataka?

Anoop Kumar Gupta: Gujarat, we have already started. It's more than 1.5 years. We are doing a good job. It's practically a plant of 20 tons per hour, and we are doing exports as well as domestic from Kandla plant. Gangavathi plant got delayed because of the rains and I think it will be completed now by December this year. It is also a processing plant and we'll be doing about 30,000 to 40,000 tons per annum of branded non-basmati rice from there.

And we are also setting up one plant in Mariyalghoda which is in Andhra Pradesh, which will also be a branded non-basmati, which will give us around 10,000 to 15,000 tons of branded non-basmati rice. Madhya Pradesh, it is in the pipeline. Still we have not started.

Amit Aggarwal: So how much turnover should we expect from each and every plant of the coming in South?

Anoop Kumar Gupta: You see non-basmati, at present, we are doing around INR200 crores, and we expect to do about INR500 crores within next 2 to 3 years.

Moderator: Our next question comes from the line of Naitik from NV Alpha Fund.

Naitik: Congratulations on a very good set of numbers. Sir, my first question is we have seen a very significant amount of liquidation in terms of inventory during the first half. So just wanted to understand what is the reason for the same? And two, have we started building in inventory again for the upcoming season?

Anoop Kumar Gupta: Yes. This

year, the paddy prices are quite comfortable, and we hope that we will build up the inventory this year. Last year, we purchased about 0.5 million ton of paddy. This year, I expect to purchase about 700,000 tons of paddy. And you will see quarter-on-quarter. Mr. Ashish Jain has said that our inventory level were lesser by INR700 crores. So I think this year, we'll build up the inventory to that level.

Naitik: Got it, sir. And sir, my second question is, if I heard you right, you are allocating close to INR1,000 crores for getting into real estate. So just wanted to understand what is the reason for getting into real estate where our DNA has been basmati rice since generations. So what is the thought process, sir, I just wanted to understand? And I wanted to confirm this INR1,000 crores is what we mentioned we are going to earmark for real estate.

Anoop Kumar Gupta: The basic reason is we are investing this INR1,000 - INR2,000 crores. You see as on today, 30th September, INR 2,100 crores has been deposited in the mutual funds at a rate of 6% to 7%. We are getting just 6% return on the surplus funds. So it is important to get an ROI.

So we thought of investing INR 1,000 crores in real estate. And as Mr. Mittal has said, to go in NCLT and the courts where the return on the investment is very good. This INR400 crores property parcels what we got from Samalkha, already, the market is up by 10% to 15%. So we see a very upside, and we see investor will definitely appreciate this move.

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Naitik: Got it. So for building inventory and maintaining our inventory, we won't require the INR 2,300 crores that we have. Only INR 1,000 crores -1,500 crores would be good enough to support our business? Is that what you mean, out of the INR 2,300 crores?

Anoop Kumar Gupta: No, Please repeat your question.

Naitik: So what I'm trying to understand is we currently have roughly INR 2,300 crores of cash, give or take, in our balance sheet. And you're saying out of this INR 1,000 crores, you are earmarking for real estate over the next 2-3 years. So INR 1,000 crores, INR1,500 crores would be good enough for building inventory and continuing our business. Is that what you mean?

Anoop Kumar Gupta: We have got a bank limit of approx. INR 2,200 crores, which is unutilized, and the bank limit, we can get at 7%. So to get a better ROI, it's always good to have a bank utilization.

Naitik: Got it. Got it, sir. That's helpful. And sir, my next question is what's our outlook for exports for the coming quarters and next 2 years? How do we expect our exports to do?

Anil Kumar Mittal: Exports are picking up. There are two big markets, i.e. Saudi Arabia & Iran. Both are picking up. We have started doing quite well in Saudi Arabia. We have already started concentrating on Iran business for which we have located an official route via Dubai. Hence, we are confident that our exports will gather momentum in both these markets.

Moderator: Our next question comes from the line of Hitesh Goel from Aurigin Capital.

Hitesh Goel: Congrats to the management for a good set of results. Sir, our business is doing very well. So, I just wanted to have a follow-up question on this real estate move. There are many real estate companies which investors can invest in, right?

So if you think that our funds are not being utilized and the yield is low, it is better to give dividends to investors and they can actually invest in real estate companies because after we don't know incrementally if you keep investing these funds into real estate, 30%, 40% of capital employed will go into real estate. It will become a real estate company. Don't you think so?

Anil Kumar Mittal: It will not become a real estate company. We have observed in last couple of years that there are

many opportunities in auctions in NCLT or through Supreme Court or t

hrough banks for real

estate where the value concluded in the auctions were just 40% as compared to the prevailing market prices.

We are concentrating on these types of properties where there are huge opportunities to make a sizeable profit. We have created a good reserve. It is hard earned money, and we are going to be very cautious and vigilant about how and where we are going to invest each and every rupee of the investors.

Hitesh Goel : And sir, you also in the opening statement said that you may explore putting it in a different company, you want to pursue real estate as well. That would be a much better move, don't you think so, keeping this KRBL as a premium basmati rice company and using a different vehicle to pursue the real estate interest?

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Anil Kumar Mittal: We are articulating within the management to form another company as a 100% subsidiary of KRBL. If agreed, the whole real estate business will be shifted into that subsidiary company.

Hitesh Goel : But sir, subsidiary also the funds will flow from KRBL only, right? I mean can't we do a proper demerger?

Anoop Kumar Gupta: Yes, funds will flow from KRBL, from the principal company only. Yes.

Ashish Jain: I'll just add to that. See, I think the rationale for real estate has been explained. Right now in terms of which entity, subsidiary, etc, I think that is something that we'll evaluate, I mean it's a very early stage. I think that's a question for a little later right now, but your point is noted.

Moderator: Our next question comes from the line of Anubhav Mukherjee from Prescient Capital.

Anubhav Mukherjee: Sir, will it be possible to break up both the export revenue growth and domestic growth into volume and realization?

Ashish Jain: See, we generally don't share that data separately. But I have given a trend in terms of what's happened between on a year-on-year and quarter-on-quarter basis.

Anubhav Mukherjee: Okay. And sir, what is the current trend of basmati realization in both domestic and export market? Because some of your competitors were mentioning that in export market, there was pressure on realization. But going forward, like what's your view on that?

Anil Kumar Mittal: There are two ways of doing basmati business, i.e. with our own brand or under private label. We sell aged rice which is 1 or 2 years old at a decent premium with better export realisation.

Normally private label business fetches low prices. Brand owners abroad exploit the situation and rice millers/exporters offer quite cheaper prices based on current paddy prices. Whereas we are into our own branded business and the realisation is quite high as compared to private label. I would like to add that 90% business these days are pertaining to steamed rice, whereas we might be the only company in India exporting Raw White Aged Basmati at a premium of US\$ 300 – 400 PMT as compared to Steamed Rice New Crop. That's difference between us and the other exporters.

Anubhav Mukherjee: Get that. So, but given that, like you were also mentioning, paddy prices are low and you will be like building inventory. So can you give a perspective on like the next year or next 1 or 2 years? Will we see a further improvement in gross margin? Some view on that would be helpful.

Ashish Jain: No, I think, see, difficult to predict for the next 2 years, but what we had mentioned at the beginning of this year is that in FY '2026, we were expecting an improvement in gross margin for the last year.

I mean if you look at H1 performance that is evident. And overall, for the year also, we should definitely see an improvement in margins. Now next year, probably, let's wait for a quarter once the season settles down, then we'll have a view.

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Anubhav Mukherjee: Okay. And sir, last question is, can you share like the

export revenue split between branded and bulk or white label in this quarter?

Ashish Jain: I just mentioned that, I had given the trend overall, but we will not be able to share the split.

Moderator: Our next questions come from the line of Viraj from SIMPL.

Viraj: Just two questions. First is on the export for basmati for Saudi Arabia. Compared to the peak, where would we be, I mean, indicatively? And if I have to understand next 1 year, you think we will be able to reach similar kind of volumes or there is much more longer time period in terms of one should expect for the business to normalize?

Anil Kumar Mittal: Saudi is the second largest market for Basmati rice in the world importing 95% of its requirements from India. It imports about 1 million metric tonnes a year. Our prices are highest in Saudi Arabia and India Gate is mainly consumed by highly quality conscious elite populace there. A time was there when we used to hold a market share of about 15% from 2001 to 2012. But that was a mixed basket of premium and low qualities.

We are confident that it will take 3 -4 years to reach around 1.5 lakh tonnes. However, since India Gate is consumed by only the elite section of the market, it will be difficult to achieve a big volume out of India Gate alone. We are trying to penetrate the market like earlier times, i.e. a mixed pack of high & low qualities.

Viraj: I mean, what will drive that? I mean, we appointed distributors in HoReCa. We kind of set up our own office now. But just generally, if you can dwell deeper, how are we looking to ramp up volumes on a sustainable basis?

Anil Kumar Mittal: We have already created a team over there, since finding a loyal & good distributor is becoming difficult. There are about 15 – 20 big distributors but we don't fully trust their loyalty. We don't want to get stuck up in a situation like how we were two years ago. We are quite satisfied with our team and are going to further improvise till such time we are able to locate a distributor as the one with whom we were working for 25 years.

Viraj: Okay. Second question is, see, apart from rice, a few years back, we had shared an aspiration that we want to also move to adjacent categories in FMCG branded space. We did try some initiatives, but we were not that successful.

Now with this kind of cash, which we are realizing from the real estate, would it not be right to kind of deploy more in the business or the adjacencies which we have a knowledge on, where we have a core strength rather than get into something which may give you an optically slightly higher ROI, but it's not a space where we have strength. So why not just double down on the spaces or adjacencies where we always had an aspiration kind of?

Anil Kumar Mittal: We have already entered into three, four new products. Presently we are into Quinoa, Chia Seeds, Flax Seeds and recently entered the edible health oil segment under the name Uplife.

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We have also got into Spices such as Biryani Masala in three variants, i.e. Hyderabad Biryani, Kolkata Biryani and Lucknow Biryani. Other than these, we have also come out with various masalas for daily consumption in Mughlai cooking style.

Our domestic team is working on development of various masala pastes and as we succeed we are going to add more items into the spice category. We have not done any exports of spices so far. We will start exporting spices after we are successful in the domestic market.

Viraj: No, I understand that. Where I was coming from is, if you look the initiatives on new products adjacencies we are taking, sustainably, we're not able to have a sizable tangible impact yet.

I understand it takes its own journey, but with the kind of cash you now have at your disposal, one would logically think that you can back it up with a much more sizable maybe acquisitions, a couple of ac

quisitions in the similar adjacencies where we want to make a tangible impact.

So -- but I think that you will have probably a better ROI than getting into real estate where there's no core DNA of the company. That's my only feedback or suggestion to probably think over.

Anil Kumar Mittal: It has taken almost 40 years for KRBL to create impressive reserves which shows the strength of your company. We are always open for acquisitions or any good opportunities that will further strengthen our company.

We have to be wise on making investments keeping in mind the interest of the investors. In the last 10 – 12 years, many rice companies doomed due to wrong investments into NCLT and other areas. We do not want to replicate them. So, we are being cautious about when & where to invest the money. I assure you that whatever investments we make, it will be in the interest of the company & our investors.

Anoop Kumar Gupta: And plus all, you don't require cash for entering into a new product.

Moderator: Our next question is from the line of Chirag Singhal from First Water Fund.

Chirag Singhal: Yes. First, on the real estate front, you spoke about opportunities through NCLT. So you mentioned that you want to invest INR 1,000 -odd crores in the next few years. So are you planning to acquire land parcels via NCLT and then partner with developers under JDA or we are also evaluating to become a full -scale developer?

Anoop Kumar Gupta: So it depends upon the situation, we can partner with the developers, we can develop our own also. It depends upon the situation. It's not decided. It's a question if the land parcel is cheap, you can do anything you like. It is the question if you get the land at 40%, you can do whatever you like..

Chirag Singhal: I'm specifically asking about the INR1,000 crore utilization, the INR1,000 crores that you

mentioned, is that primarily going to go in acquiring land parcels via NCLT? Is that the primary goal?

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I mean, since you've come up with a number, you would have come up with some tentative plan as to what will be the key investments. Is it going to be like full-fledged projects? Like you are going to become a full scale developer? Or it's more going to be like a participation only via -- in JDA via land parcel?

Anil Kumar Mittal: We lost many good opportunities in the past where the land parcels were sold at 30% value of the market rates, because we didn't have a mandate. If we are able to get the land at a cheap price, the real estate business is a sure success since the main cost is the land value.

There can be two probabilities. One is to buy a land and sell it if you get a hefty profit of 100%. The second option is to go to RERA for developing the land and then make a profit. It is still too premature. Neither we have taken the land nor have gone to RERA as well.

When we plan to buy the land, it will be presented to the Board to evaluate various possibilities. Moreover, in next 4-5 years, looking at our current PAT of Rs. 500 -600 crores. We are going to invest in the real estate out of such accruals. The management has decided to go up to Rs. 1000 crores only. It all depends upon the opportunity & price.

Chirag Singhal: Got it. Right. So I think we'll wait for further clarity. Now coming to the revenue growth. So in domestic segment, I think we have grown close to 10% in H1. So what is your full year growth outlook?

And also on the export side, you mentioned that healthy growth from Iran via the Dubai route and even from Saudi markets, we're expecting good growth in these two markets. So currently, we are doing INR400 crores per quarter roughly on the export side. So what level are you targeting over the next 1, 2 years?

Ayush Gupta : So on the domestic front, our run rate of H1, our plan is to continue that run rate. And we'd like to close

the year at a 10% average growth rate. On the export front, Ashish?

Ashish Jain: So Chirag, on the export side, as you know, the revenue comprises both branded as well as bulk. Now on bulk, the visibility on both these businesses, the visibility that we have right now is around, let's say, INR 400 crores for quarter 3. Q4, we'll have to see depending upon the bulk pipeline.

Chirag Singhal: Okay. Got it. And just one last question on Uplife. So I understand that you have guided for INR 200 crores -300 crores in the edible oil segment over the next couple of years. But what I'm more interested in is how we are positioning this brand. And in the broader health-focused segment, which all product categories are you planning to house under Uplife? What is the kind of opportunity size that we are looking at?

Ayush Gupta: Yes. So the INR200 crores -300 crores that we mentioned on Uplife was for the brand portfolio Uplife, not just oil. Edible oil happened to be the first such category that we entered because of sheer household penetration that it had.

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So healthy edible oil seems to be a great opportunity for us to gain household penetration in the health and wellness space. So, we are looking at functional nutrition as our core differentiator when it comes to Uplife and we are evaluating both staples as well as lifestyle products.

So if you can do some value-added staples products, which is like a low-sodium spice masalas or even value-added rice for that matter, and even in the atta category, if we can, through research, come out with claims which give functional nutrition as an advantage to the consumer, those are some categories that we are looking at.

We are also looking at some other lifestyle products, which are away from the staples, but core in the food category itself. So, that pipeline is still under the works in terms of what kind of categories and products we are looking at. But, our space remains health and wellness with a focus on functional nutrition.

Chirag Singhal: Yes, that was quite helpful. But, if you could please expand on the lifestyle category. So, in staples, you give some examples. If you can give similar examples for lifestyle, which products or something that gives better clarity.

Ayush Gupta: Okay, okay. So, on the Uplife front, as I mentioned, edible oil happens to be only the first category that we enter into this brand. It's a health and wellness portfolio overall. And our vision is to enter with multi-category within this brand with focus on health and wellness.

And even with edible oil, as you've seen, that we've come up with us a very differentiated

positioning compared to the overall industry dynamics. And that's our primary view that how can we add value addition into regular food products, both in staples and lifestyle products. And functional nutrition henceforth becomes our core differentiator for the consumers. So even in, I would say, products like atta, value-added rice, those are some categories that you are looking at in terms of value addition in the staples space. But besides staples, we're also evaluating other food products where functional nutrition can be delivered.

But at the same time, the channel and the GTM remains a very important decision maker for us when we are deciding on these categories and products. And as e-commerce is scaling up so rapidly, it gives us more positivity that we can focus and grow this segment into INR200 crore to INR300 crore category in the next few years.

Chirag Singhal: Got it. Sir, actually, I heard that part. My follow-up question was on the lifestyle products that if you can give some examples which products align with your Uplife brand in the lifestyle category.

Ayush Gupta: So I think it's very early in terms of our thought process, but India is kind of obsessed with protein right now. So sattu, which

is an Indian product, is a great space that we are evaluating.

Makhana is a category, again, full of nutrition, but again very lifestyle in terms of the way it is getting consumed in the urban households.

So these are a few categories that we are looking at. And there are many more. Evaluation with teams and consultants are on, on which ones are going to be feasible for the organization.

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Moderator: Our next question comes from the line of Balaji Vaidyanath from NAFA Asset Managers.

Balaji Vaidyanath: So between the last conference call and this conference call, I feel that there is a change in stance as far as the real estate is concerned, because the last conference call, we had mentioned that the only intention was to move from the Ghaziabad plant to the Meerut plant and unlock value for the Ghaziabad land. And we had also mentioned that there's just going to be a developer involved and KRBL is not going to invest. So has this stance changed in the last quarter?

Anil Kumar Mittal: There is no change in our stand as of now. Shifting of Ghaziabad unit will take 3-4 years. It is a difficult task since we have more than 1.5 million sq. ft of godowns and 5 milling plants having a capacity of 60-70 MT per hour.

We are studying the cost of shifting the unit vis-à-vis putting up a new plant and scraping off the Ghaziabad plant or even shifting part of the machinery. Moreover, the land prices are increasing at our Ghaziabad plant area. In next 3 years, the price may increase from Rs. 2500 crores to Rs. 4000 crores and that will be the right time to monetise on the land parcel.

Our ROI is weak because of our healthy reserves. So, we feel that our reserves should be invested in a proper manner for acquisition or for putting up new plants and utilise bank limits which are available to us at 7.2% per annum.

For example, we have recently purchased a land parcel of 125 acres in Samalkha at a price of INR 402 crores. It costed us around Rs. 3.25 crores per acre. Today nearby lands are being offered/sold @ Rs. 5.5 – 6 crores per acre. Therefore, we got the land cheaper by about 40%.

We need a land for expansion of our Barota (Sonepat) unit which can also be used to part shifting of Ghaziabad unit. Since the Samalkha land which we purchased @ Rs. 3.25 crores per acre can fetch us a huge profit now, we intend to sell 50% of that land to make the other 50% free of cost.

Likewise, we are watching the prices and if we get a cheap land parcel, we are going to invest Rs. 1000 crores. We will invest only if we get a good opportunity, otherwise we will continue doing our business as we are doing now.

Balaji Vaidyanath: Sir, how much of management bandwidth will now move towards this real estate? Because as it is, as shareholders, we have to put up with the risky ups and downs of the rice business. So how much of management bandwidth will now move towards real estate? I mean, how much of your time will now get allocated to real estate business rather than the rice business?

Anoop Kumar Gupta: No. Actually, our new generation has come into the business. So it's not that we'll spend some time. There's not much -- I mean, spending 2, 3 hours in a day is sufficient. I don't think it is much. It is not disturbing to our rice business at all.

Balaji Vaidyanath: Sir, frankly, it's a little unfortunate because just when the core business was looking up and shaping up nicely, this foray has been a bit of a kill joy to be very honest, sir.

Anoop Kumar Gupta: No, this is just an investment thing. We are into core business only. We are looking at our core business only. And it is only a question of spending INR1,000 crores only, nothing else. Our whole family is into rice business only.

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Moderator: Thank you. We take that as our last question. Thank you very much, members o

f the

management. Ladies and gentlemen on behalf of KRBL Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

We do hereby confirm that no Unpubl ished Price Sensitive Information was shared or discussed during the Q 2 FY26 Earning Conference Call

Call: Feb 2026

Ref: KRBL/SE/2 025-26/105 February 26, 202 6

The General Manager
Department of Corporate Services
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Scrip Code: 530813 National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL Series: Eq.

Sub: Transcript of the Earnings Conference Call held on Thursday, February 19, 2026 on Unaudited Financial Results of KRBL Limited for the Third Quarter (Q 3) ended December 31, 2025.

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Thursday, February 19, 2026 at 04:00 P.M. (IST) onwards on the Unaudited Financial Results for the Third Quarter (Q 3) ended December 31, 2025.

The same is also available on the Website of the Company at <https://krblirice.com/investor-relations/financial-information/>

This is for your kind information and record.

Thanking you,

Yours Faithfully,
For KRBL Limited

Piyush Asija
Company Secretary & Compliance Officer
M. No.: A21328

Encl: As above

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"KRBL Limited
Q3 FY '26 Earnings Conference Call"
February 19, 202 6

MANAGEMENT : MR. ANIL KUMAR MITTAL – CHAIR PERSON AND

MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA – HEAD, INDIA BUSINESS – KRBL
LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KRBL Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t his conference call, please signal an operator by pressing “*” then “0” on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Jain , Chief Financial Officer of KRBL Limited.

Thank you, an d over to you, sir.

Ashish Jain: Thank you. Thank you to all participants for joining us. Welcome to the Q3 FY '26 Earnings Conference Call for analysts and investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal , Chairperson and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director; and Mr. Ayush Gupta , Head of the India Business as key speakers on the call.

To begin the call, Anil Ji will share updates on the business, industry and our overall strat egy.

Following that, Ayush will provide insights into the performance and outlook of our domestic business. Finally, I will present the financial overview of the company for the third quarter and Nine months ended December 31, ' 2025.

Once the management h as concluded their opening remarks, we will open the floor for an interactive question -and-answer session. Please note that some of the statements made during the call may contain forward -looking information, and actual results may differ from these statem ents. You can refer to KRBL's investor presentation available on the stock exchange (s) website and our company's website.

Now I would like to invite Anil Ji to share his views.

Anil Kumar Mittal: Yes. Good afternoon. Thank you for joining us today for KRB L's Q3 FY 2026 Investors Call. I sincerely appreciate your continued trust and interest in our company. I will take you through the current global rice landscape, the outcome of the 2025 basmati crop season in India and Pakistan, price movements over the l ast quarter and how these developments shape our outlook.

Let me begin with the global rice outlook. According to the latest USDA rice outlook released in February 2026, global rice production for ' 2025-'2026 remains around the mid -540 million metric ton level, while global consumption has strengthened and is now broadly aligned with production. This tightening consumption -production balance reflects stronger demand in Asia and Africa and a pickup in domestic consumption in India. The global rice market, t herefore, remains stable, but the limited surplus cushion a dynamic that supports continued export opportunities for reliable suppliers.

India continues to consolidate its position as world's largest rice producer. Production for ' 2025-'2026 is estimated at a record high, supported by increased acreage, favorable farm economics and continued productivity gains. While overall production is strong, regional weather pattern played a significant role in determining crop quality.

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On basmati, the 2025 harvest, which concluded recently can best be described as adequate in volume, but uneven in quality across regions. Acreage remained broadly stable across Punjab, Haryana and Western Uttar Pradesh, Rajasthan and parts of Madhya Pradesh. Adoption of pest -resistant and higher -yield Pusa varieties continued to improve agronomic resilience. However, heavy monsoon spell and localized flooding in parts of Punjab and Haryana during the great filling stage resulted in higher moisture content and in some pockets, reduced he ad rice recovery. At the same time, other producing belts experienced normal condition s and delivered strong grain length and aroma characteristics.

Turning to Pakistan, the basmati crop outcome has been mixed

rather than severely damaged.

While early flo od reports indicated potential losses, subsequent assessment suggests that impacts

were localized with several growing regions delivering good grain quality and aroma. Since October 2025, Pakistan Super Basmati has traded at a premium to Indian 1121 with F OB offers broadly in the \$1,180 to \$1,220 per metric ton range, higher than comparable Indian quotes. This reflected tighter premium availability in Pakistan and India's larger overall supply, enabling more competitive pricing.

However, higher prices did not translate into stronger volumes. Pakistan export shipment faced pressure amid India's renewed competitiveness following normalization of its state policies.

From an Indian exporter perspective, the fact that Pakistan basmati prices have been trading at a premium has reinforced India's competitiveness in several destination markets. This has had sustained export growth even amidst geopolitical uncertainty.

On the geopolitical front, the recent concluded U.S. -India trade understanding, which sets an import duty of 18% on Indian rice export to the United States provide greater clarity and stability compared to the earlier reciprocal tariff uncertainty. While the duty remains higher than the historical levels and may influence pricing dynamics in that market, it has brought predictability to trade flows and has not materially disturbed India's overall basmati export trajectory.

Shipping disruption previously seen in the Red Sea corridor have eased compared to last year's peak volatility, although freight markets remain sensitive to broader geopolitical developments in the Middle East.

Now turning to KRBL's performance. Our export revenue for Q3 FY 2026 stood at INR357 crores compared to INR563 crores in Q3 2025 as the volume in bulk export segment was restricted owing to geopolitical tensions. For the 9 months ended, export revenue reached INR1,276 crores, reflecting a 21% year-on-year increase. Consolidated revenue of Q3 was INR1,476 crores with EBITDA of INR250 crores and PAT of INR170 crores for the quarter.

These results reflect strong operational momentum and strategic resilience.

We are encouraged by our performance in Q3 and are excited about the opportunities ahead. Our balance sheet strength, disciplined procurement strategy and deep sourcing network position well to build on this performance and capture value as global demand continues to evolve.

Strategically, our focus remains clear. First, we will continue to prioritize procurement of low-moisture, high-recovery paddy to protect margins and brand quality. Second, we will expand KRBL Limited

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our branded and premium portfolio presence in key international market as reflected in the third quarter. Third, we will leverage India's pricing competitiveness relative to Pakistan to deepen relationship with large global buyers. And fourth, we remain committed to operational efficiency and disciplined capital allocation, including our long-term consolidation plans at Panipat to enhance scalability and cost optimization.

In summary, the 2025 basmati season presenting regional challenges, but not structural shortages. Global rice demand remains firm and India's production strength supports export continuity.

Thank you once again for your continued trust and support. Now I hand it over to Ayush, who is in Colombo at the moment, for the domestic business update and detailed financial review.

Thank you.

Ayush Gupta: Thank you. Good afternoon, everyone. I will walk you through the performance of our India business for quarter 3 and 9 months for financial year 2026. For 9 months financial year 2026, domestic revenue, excluding power, stood at INR3,215 crores, growing 6% year-over-year, driven largely by higher value. Branded basmati grew by 6%. Branded non-basmati grew strongly at 35%. This value-led growth vali

dates the strategic direction we have taken in widening our portfolio and improving distribution reach.

In Q3 financial year 2026, our domestic revenue, excluding power, stood at INR1,104 crores, staying broadly flat year-on-year. Branded basmati sales remained flat, while branded non-basmati sales grew by 9%. The quarter performance reflects stability rather than acceleration.

The basmati category saw increased competitive intensity from loose and regional players, specifically in general trade and modern trade channels. Lower raw material prices put downward pressure on demand and margins. However, KRBL delivered robust margin expansion while maintaining volume stability.

Despite competitive intensity, we remain the clear market leader across channels. Our market share in general trade stands at 37.8%. In modern trade, it is at 39.3% and e-commerce, we enjoy a leading market share of 41.2%. Flat top line with strong margin reflects disciplined portfolio management and pricing power.

Our domestic strategy continues to be anchored around 4 clear pillars. First, democratizing distribution, our presence across 3.2 lakh retail outlets and reaching to 1.2 crores urban Indian households. We are focused on strengthening presence in better quality stores and increasing

penetration in urban households. Our distribution expansion is becoming more granular, especially in underpenetrated towns. Second, remodelling our supply chain. We are building a more robust and healthier GTM structure.

Now with 16 C&Fs and 8 super stockist points, we are moving towards a stronger FOR model. We have a tighter governance to safeguard against channel infiltration and improve servicing and cost efficiency in modern trade and e-commerce. This transformation is enabling wider and deeper supply, better serviceability and cost optimization. This will progressively improve service discipline and operating margins over time.

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Our third pillar, investing in the brand. During the Diwali festive season, we launched a high-impact campaign featuring Mr. Bachchan for India Gate Classic. Roughly 4,200 GRPs, 60% reach across TV, digital and out-of-home. The campaigns reinforced emotional positioning around make every moment Classic and strengthened premium brand saliency. Additionally, we executed high-intensity pan-India activations in modern trade outlets, demonstrating category leadership and improving in-store visibility. We continue to invest in our brands as we believe it supports long-term premiumization and market share recovery.

Our last pillar, foraying into new products and categories. Under the Uplife brand, we are expanding into value-added rice for proactive health goals. We now have brown rice for weight management, basmati brown rice for gut health and low GI everyday rice for active health. Additionally, edible oil sales stood at INR9 crores in 9 months financial year '26, and we expect this to scale further in this financial year as our distribution deepens.

To summarize, quarter 3 was stable domestically despite competitive pressures. 9-month growth reflects healthy volume expansion. We remain market leaders across channels. Structural initiatives in distribution and supply chain are underway. Brand investments are reinforcing premium positioning and pricing power. Portfolio expansion through Uplife and adjacencies opens new growth vectors.

Our focus remains clear: strengthen the core, premiumize the portfolio, widen distribution and build adjacencies, all while protecting margins and long-term brand equity. Thank you. I will now hand it over to Ashish for his comments.

Ashish Jain: Thank you, Ayush. I will now take you through the performance for the quarter ended 31st December 2025 and also the 9-month period ended the same date. All figures mentioned by me would refer to consolidated financials of

of KRBL Limited.

Coming to the quarter, total income for the quarter stood at INR1,502 crores, lower by 11% over the corresponding quarter last year. Export revenue in the quarter is lower due to high private label revenue in the same quarter last year. Export revenue, however, increased by 21% in the 9-month period ended December 2025. Domestic revenue, excluding power, remained flat for reasons which Ayush has just explained.

Gross margin for the quarter stood at 30.2% compared to 24.0% in Q3 FY '25, higher due to lower average basmati COGS and higher other income during the quarter. EBITDA margin for the quarter was at 16.9% versus 12.0% in the same period and is higher due to higher gross margin, but was partially offset by higher proportionate employee costs, including a 0.6% additional gratuity cost provision.

PAT for the quarter was at INR170 crores or 11.3% in margin terms as against INR133 crores or 7.8% in the corresponding quarter. Let me now share a comparative analysis of Q3 vis-a-vis the preceding quarter. Revenue for operations declined by 2% quarter-on-quarter. Domestic revenue increased by 6%, while export revenue declined by 18% due to lower bulk export revenue during the quarter. Branded exports increased marginally by 2% over the preceding quarter. Other income is lower mainly due to lower forex gain in the current quarter.

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Gross profit was higher primarily due to improved sales mix, basically higher proportion of branded sales. EBITDA followed the trend in gross profit, partially impacted by higher proportionate employee costs, including the additional gratuity provision I had mentioned earlier.

Coming to 9 months. Total income for the period was at INR4,572 crores, higher by 10% against the corresponding period last year. Domestic revenue in the period grew by 6%, mainly driven by branded rice volume growth, while export revenue increased by 21%. Gross profit of the company stood at 28.3% in margin terms, while EBITDA and PAT were at 15.8% and 10.6%,

respectively.

Margin improved mainly due to lower input costs. Average basmati cost declined by 9% in the 9-month period as paddy prices were lower in last procurement season and also the margin is higher because of higher other income.

Moving to the balance sheet. Talking about inventory first, our total inventory as of December 31, 2025, stood at INR3,941 crores. This includes INR1,322 crores in paddy inventory versus INR1,239 crores as of December 31, '2024, and INR2,450 crores in rice inventory versus INR2,877 crores as of the same date last year.

On a volume basis, as of December 31, '2025, paddy and rice inventory stood at 3,58,000 tons and 4,11,000 tons, respectively, compared to 3,41,000 tons of paddy and 4,58,000 tons of rice in December 31, '2024. The decline in inventory value is due to both lower per unit cost and lower inventory carrying cost.

Net bank borrowings, net of treasury investments were at a negative INR388 crores as of December 31, '2025, as against INR102 crores last year. Lower inventory, coupled with higher cash profit generated in the 9-month period resulted in lower net bank debt.

With that, I come to an end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A. I would just like to mention that the ED matter is subjudice, so we will not be in a position to respond to queries on this matter.

Over to the moderator now.

Moderator: Thank you very much. We will take the first question from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead.

Anubhav Mukherjee: So my first question is that both in the export and the domestic market, what are the current realizations like compared to like Q3 past quarter?

Ashish Jain: Yes. Talking about the domestic branded business, the Q3 realization was around INR1,16,000 per MT. And on the expo

rt branded side, it was about INR1,40,000 per MT. Sorry, one correction. Yes, one correction. On the domestic side, it was about INR77,500 per ton. And on the export side, like I mentioned, it was about INR1,42,000.

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Anubhav Mukherjee: And sir, just a follow-up, how are the realizations currently in both the markets? Like did you witness any uptrend or down?

Ashish Jain: So your question is around post the quarter, how has the prices moved? Is that the question?

Anubhav Mukherjee: Yes. Currently. Yes.

Anoop Kumar Gupta : Present, if you talk of present in the last 15 days, the prices have gone up by practically 7%, 8% in last 15 days. In last 15 days, the prices have gone up quite much. But if you see the domestic market, the effect will come in the first quarter of the next year. Definitely, our prices will increase in the first quarter of next year.

Anubhav Mukherjee: Okay. And sir, given the lower cost of rice inventory and given these price hikes, so sir, will we witness further gross margin improvement for the coming financial year, if you can share some perspective on that?

Anoop Kumar Gupta : Definitely, definitely. Even I tell you our fourth-quarter EBITDA will definitely grow by minimum 200 to 250 basis points more. And for the next financial year, since we are holding stocks for more than 1 year, 1.5 years, for next financial year also looking at the market, our EBITDA is going to be intact.

Anubhav Mukherjee: And sir, we were trying to set up our own distribution setup in the Saudi market, and there was some progress in the previous quarter as well. So sir, can you share what is the current status of that?

Anil Kumar Mittal: The Saudi business is progressing well, and we are seeing consistent volume demand with regular shipment taking place. Our current approach of working directly with wholesaler is working effectively in the interim and helping us maintain strong market visibility.

We are still evaluating the right long-term distributor structure and have not finalized a distributor yet. Given the strategic nature of this market, we would prefer to share further specifics through direct investor interactions.

Moderator: We will take the next question from the line of Amit Aggarwal from Leeway Investments.

Amit Aggarwal: My question is regarding Saudi Arabia and Iran. Sir, you said your shipments to Saudi Arabia are doing pretty well. Sir, can you quantify the amount of exports we have in Saudi Arabia right now for the whole year? And same, what about Iran? Sir, Iran currency has collapsed in last 2 months. So how do you think that will be affected as a company regarding the Iran exports?

Ashish Jain: Yes. So see, just to answer your first question, we typically don't get into country-level revenue details, right? So I'll not be able to share specific country-level numbers.

Amit Aggarwal: This is fine. Earlier I was told 5, 6 years back that we were doing around about INR1,000 crores of exports to Saudi Arabia. So I just want to know how much have we regained the market again?

And what about the Iran? Iran currency has collapsed. So how do you think materially this is going to affect us as a company in the coming quarters?

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Ashish Jain: No. So I think 2 points. One is on Saudi, like Anil Ji had mentioned, I think that business is progressing well through the distributors. I think that's what he had touched on, through the wholesalers. And I think on Iran, if you look at our revenue, I mean, the bulk revenue, that has shown significant growth over the last year. So both markets, Saudi as well as Iran are working well for us right now.

Amit Aggarwal: Any effect because of Iran and U.S. tensions?

Ashish Jain: Sorry, your voice is not very clear. Can you repeat?

Amit Aggarwal: My question is regarding Iran only. Any ef

fect because of the Iran and U.S. tensions going on right now?

Anil Kumar Mittal: There is still tension going on, and that is why we are quite restrictive in concluding any new business in Iran. So therefore, it will take some time. Till some conclusion takes place, it will be difficult for me to comment. At the moment, we are also very cautious in exporting anything to Iran or getting new orders.

Amit Aggarwal: So how much is our exports to Iran in the previous years? So that if tensions continue, how much is going to affect for our export business?

Ashish Jain: See, I think I clarified earlier. If you look at the business conducted so far with Iran, that has shown growth over the same period last year. Now like I said, future business, like Anil Ji mentioned, it depends upon how the whole geopolitical situation shapes up, which we are on a close watch of.

Amit Aggarwal: Okay. And my last question is regarding oil business. Sir, I have seen that our gulf oils are not really available on e-commerce business, right? So how much turnover are we expected to do?

Moderator: Sorry to interrupt in between, Amit. Your voice is not audible. I request you to please rejoin the queue again. We will take the next question from the line of Chirag Singhal from First Water Fund.

Chirag Singhal: Yes. A few questions from my end. First, on the regional rice. So can you provide the total packaged or branded regional rice market size for the varieties that we are selling?

Ashish Jain: Ayush, do you want to take that?

Ayush Gupta: Yes, I'll take that. Yes. So as I've mentioned in my earlier calls as well, we entered multiple regional rice varieties in the past. However, as we've understood the market, as we operated in these markets, we've kind of settled down with 3 large varieties, which is Gobindobhog from West Bengal, Wada Kolam from Gujarat and Sona Masoori from Karnataka. And all 3 varieties, we primarily do aged rice varieties and aged rice segment.

So these segments independently are very large. And the market size, if I have to estimate, could be in the range of INR3,000 crores to INR4,000 crores. Did I answer your question?

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Chirag Singhal: Yes, so just to confirm INR3,000 crores to INR4,000 crores is the total market size for this rice, these three. And this would be expanding, I believe, as the shift happens from the loose rice to packaged rice?

Ayush Gupta: See, in the regional rice business, most of the business happens in bulk packs only, 30 kg bags. So there isn't the loose to package conversation in regional rice. The conversation rather is it's very fragmented. There are many, many brands available in the market. So it's a fragmented market, but it's all a bulk pack business.

Chirag Singhal: Okay. Got it. My second question is on the Ghaziabad land. So any updates on the monetization plan?

Anil Kumar Mittal: At the moment, we have postponed it because we calculated that the cost of transferring the unit to other place is quite high. So for at least minimum 2 to 3 years, we have postponed the decision. We have delayed the decision.

Moderator: We will take the next question from the line of Krushi Parekh from Bugle Rock PMS.

Krusha Parekh: So if my calculations are correct, it appears that December 2025 inventory are a bit lower than the previous December, I mean December 2024. So how are we placing ourselves during Q4 for procurement? And I'm asking especially considering that the basmati prices have been declining. Over the last couple of years, it has declined by about 20 -odd percentages. So will we see some more procurement in terms of volumes or we are likely to maintain at a steady pace as compared to the last year?

Anoop Kumar Gupta : As far as our sales numbers are concerned, we are comfortable. And our stock levels are okay. December ' 2023, we had overstocking, but now we are

at level. I should not say we are overstocked, but we are at level. At these levels, we cannot buy more, but our stock levels are at okay level.

Krushik Parekh: Okay. So broadly flattish volumes is what we are expecting versus last year?

Anoop Kumar Gupta : No, we'll be 10% plus, 10% to 12% plus over last year.

Krushik Parekh: Okay. Okay. And second, Ayush, just one clarification. You mentioned that in your opening remarks, we have retail outlets of 3.2 lakhs now. And if I kind of check the June call, we had mentioned that it is at about 3.6 lakhs. So is it -- I mean, my understanding correct? Or are we seeing some kind of a strategic decision when it comes to the retail outlets?

Ayush Gupta: Yes, thank you. I'll answer this in 2 parts. So yes, our retail outlets have kind of diminished in the past 4 to 5 months. And broadly, there are 2 reasons. One is there's a lot of shift of branded basmati business happening from general trade to quick commerce, right? So there are a lot of outlets, especially in the metro and Tier 1 cities, which are reducing their position on branded basmati rice. And that's one of the reasons that we've seen a reduction of outlets over the course. Second reason is we engaged in certain co-branding activities with other FMCG companies in the past, which had given us an uplift in retail expansion. So because those co-branding activities

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are now at a hold and they have not concluded, we've seen a little bit of a reduction in outlet count.

However, if you kind of see this data regularly, there tends to be a 10% to 15% volatility in the retail outlet count as the year progresses. So it's not a very big dip that we've seen. We tend to gain back these volumes. Also depends on the market prices and trade prices of unbranded and overall commodity rather.

Krushik Parekh: Okay. I mean, as a follow-up to this particular thing, how are we taking when we have one of our pillars as expanding our reach? So how are we looking at general trade now versus modern trade in the overall scheme of things?

Ayush Gupta: So general trade, as I told you, there's saturation in the metro and Tier 1 markets. Also, we see general trade business moving to quick commerce and modern trade more in metro and Tier 1. Hence, our focus in the past year, and it continues to be, is to expand distribution in Tier 2 and Tier 3 cities. And as India's consumption power and purchasing power is increasing, we are seeing basmati's presence increase in Tier 2, Tier 3 cities. And as a brand, as a leading brand, our distribution reach first will give us a first-mover advantage in gaining market share in those markets.

Moderator: We will take the next question from the line of Kaushal Sharma from Equinox Capital Venture Private Limited.

Kaushal Sharma: So my question is on your Ghaziabad project. You said that you have postponed your Ghaziabad property monetization. But in addition to that, we have a plan to develop a real estate project by acquiring land over there. So what is the progress or what is our plan in that sense?

Anil Kumar Mittal: Regarding the Panipat land parcel of approximately 125 acres, the registry process is currently underway. We are evaluating opportunities to monetize a portion of that land at attractive valuation based on strong market interest, while retaining roughly 50 to 60 acres for future expansion of our Barota operations. This approach allows us to balance capital efficiency with long-term capacity planning.

Kaushal Sharma: We'll do the real estate project in Panipat?

Anil Kumar Mittal: It is in Samalkha, which is in district Panipat. It is near to our Sonipat plant. We have a plant in Sonipat in a place called Barota.

Kaushal Sharma: What kind of outlay are we expecting in the revenue potential out of that?

Anil Kumar Mittal: It has been planned. But , if we go through, I think

that investment will be to the tune of around INR100 crores.

Kaushal Sharma: And what will be expected revenue ?

Anil Kumar Mittal: It is too early about revenue /.

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Anoop Kumar Gupta : It is going to be a packaging plant. Directly, it is whatever manufacturing and there is some packaging. So we'll be doing packaging there at that plant. So , it will increase the packaging

capacities of our units.

Kaushal Sharma: My question relating to the real estate project that in addition to Ghaziabad property we are planning to develop with INR 1,000 crores of outlay, I guess, in the last call, you have mentioned?

Anil Kumar Mittal: No. But still we have done an investment of INR425 crores. But if we will get the opportunity, if we have said that we will be entering the real estate does not mean that we have decided that minimum we have to put it. It all depends upon the opportunity.

As we got the opportunity in Samalkha, let me tell you the price at which we got this land is much cheaper what today is in the market. So therefore, we are looking at the opportunity. If opportunity comes where the prices we get the land at 50%, 60% of the price, we'll definitely invest another INR500-600 crores.

Kaushal Sharma: Any time line, sir, that we are expecting?

Anil Kumar Mittal: No, there is no time line. It may not be that we may not enter also. Till the time the right opportunity comes where we can make a minimum of 40% - 50% profit, we will not enter into any land parcel.

Moderator: We will take the next question from the line of Viraj from SIMP.

Viraj: Yes. Just 2 questions. So one is on the real estate. So the monetization, which we are planning, shifting off the existing plant to another, can you just explain a little bit in detail what is the reason why we have postponed it for 2, 3 years?

Anil Kumar Mittal: Actually, we were of the opinion that it will hardly take INR200 crores, INR250 crores to shift the plant from Ghaziabad to another site. But when we went into detail, we analyzed it's a very huge amount which would be spent while shifting the present industry from Ghaziabad to other place. So for the time being, for minimum 2-3 years, we have postponed it. We do not want to spend that type of a big investment.

And let me add also in further 2 years, the prices at Ghaziabad, what they are prevailing today, will further rise by minimum 20% - 25%.

Viraj: Okay. Second question is, if you look at the cash right now, what will be the cash on the balance sheet?

Ashish Jain: Yes. As of December 31, 2025, it was around INR400 crores.

Viraj: Right. So I think post this budget announcement, buyback window is attractive from 1st April.

So is there any thoughts in terms of increasing payouts maybe through buyback or similar routes?

Anoop Kumar Gupta : Yes. In this budget, it has been quite attractive. So we are thinking about it. We'll think about it. KRBL Limited

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Moderator: We will take the next question from the line of Yash Dantewadia from Dante Equity.

Yash Dantewadia: Yes. I just wanted to clarify one statement. Did you say in quarter 4, the margins are going to go up by 200 to 250 basis points?

Anoop Kumar Gupta : Yes, because I think the realization would be better. However, the realization per ton because of the market, it would be better. So the EBITDA is going to increase by 200%.

Yash Dantewadia: Okay. I just have 2 questions. First question is regarding what you said about Ghaziabad. You said you'll sell some of the land and you'll retain 70 or 80 acres, right?

Anoop Kumar Gupta : It is not Ghaziabad.

Yash Dantewadia: Panipat?

Anoop Kumar Gupta : Panipat. Yes. Go ahead.

Yash Dantewadia: So are you going to shift after 2 years or after 3 years or whenever it becomes more feasible?

You said initially you thought it would be INR200 crores - IN

INR250 crores to shift the plant. Could

you share the current number that is coming up to shift the plant?

Anil Kumar Mittal: Let me clear you. There are 2 proposals. One is we have already a plant in Ghaziabad. And there, we have around 115 acres of land. That value today is around INR2,500 crores. We believe in next 2, 3 years, this INR2,500 crores might become INR3,500 crores. That's number one.

While we had decided that we will shift our plant and monetize on the Ghaziabad land, we later on when we made out the details, we came to know it is not a question of INR200 crores, INR300 crores. It might be more than INR500 crores to INR600 crores in shifting a plant. So for the time being, we have postponed that planning of shifting Ghaziabad plant.

As far as Samalkha, Panipat project is concerned, the total land over there is around 125 acres, out of which we want to sell half of the land because it is not a single land there. It is in patches of 20 acres, 10 acres, 15 acres. And the other side of the land is 50-acre 1 patch. On those 50 acres, we want to develop and extend our Barota plant because we are facing a problem of space, and we are taking godowns and other thing outside the factory area, whereas we will sell 50% of the land, which is around 50, 60 acres and where we will get good price. That is the proposal.

Yash Dantewadia: Right. Coming to my second question, I really want to know the trajectory of exports from here on. As you shared during this call that your realizations are almost 2x in exports versus

domestic, right? So currently, the run rate that's t here, I think it's around INR1,300 crores to INR1,400 crores per year in exports, right?

So for the next financial year, where do we see this trajectory sort of heading? Could you throw some light on that? And also, your domestic numbers were sort of flat year -on-year this quarter. what kind of volume growth do you see because of regional rice and because of all the other value -added products that you're trying to sell? basically, I wanted to understand the trajectory of sales or volumes in domestic and export market, both for the next financial year?

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Ashish Jain: I think that will probably need some explanation. Maybe we can get in touch offline. I'm happy to discuss it with you offline. I think your question is more on a multiyear outlook.

Yash Dantewadia: Not multiyear. at least on the export, if you could share it now, that would be great.

Anil Kumar Mittal: Exports, we are doing quite fine. And I believe that next financial year, our exports should jump by minimum 15%. This is our idea because the prices what we take from the market are much higher compared to our competitors.

Taking a price realization of INR1,40,000 a ton, I don't think anybody else is taking in the market this type of realization. So we do not compromise on pricing. Therefore, we expect that minimum 15% rise should be there next year.

Yash Dantewadia: So just to conclude, 15% rise in export volumes next financial year, right? That's what we stated?

Anil Kumar Mittal: Right.

Yash Dantewadia: We should take that domestic question offline later.

Ashish Jain: Sure. No problem.

Moderator: We will take the next question from the line of Soumen Choudhury from Mansarovar Financials.

Soumen Choudhury: I just wanted to come back on the domestic volume issue. This quarter, we saw a flat number Y - o-Y, and Ayush was talking about some increased competition. So how do we look at this segment going forward, say, for this quarter and next year? Can we still maintain a mid -single - digit kind of growth that we have seen over the last few years?

Ashish Jain: Ayush, do you want to take that?

Ayush Gupta: So, Soumen, see quarter 3 tends to be the highest -grossing quarter for the company. And what happened last year in bulk pack was the market was more bullish d

uring the quarter 3. So a lot

of bulk pack business got preponed in quarter 3 last year.

Similarly, this year, it has been postponed into quarter 4. So January, February is when a lot of that bulk pack business, which got preponed in quarter 3 last year is happening in Jan, Feb. So because of that, we are seeing a little bit of a flattish growth or maybe a 0 growth in quarter 3 this year. That's on the bulk pack side. But bulk pack demand remains very strong for us. Bulk pack is actually growing very, very strong, both on margin as well as volumes. That's point number one.

Point number two, on the consumer pack, there are a couple of reasons. One, as I told you, there's a lot of interchannel competition happening. So general trade business is moving to e -commerce and modern trade. So a lot of that disturbance in terms of price, a lot of omnichannel demand from consumers is happening there.

Added to that is because of low prices this quarter, a lot of regional and local brands have taken the opportunity to kind of enter the market at a very low price. At KRBL, we took a conscious

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call of not reducing our prices for short -term volume gain because once we reduce prices to gain volume, then increasing pricing in the market takes a couple of months and a lot of energy in terms of getting that momentum back.

So yes, we sacrificed certain volumes, I would say, in quarter 3. But to the extent that it was, I would say, a more calibrated call of what we did. We didn't want to lose market share, but we didn't want to gain short -term volume on the expense of margin. So we decided to expand margin and keep volumes kind of stable.

Soumen Choudhury: Okay. So now that since the paddy prices have increased a little bit, as you were saying, so this competition should be somewhat lower now?

Ayush Gupta: Yes. So in quarter 4, definitely, we have taken calibrated price increases in a lot of markets. But I would still say in certain markets where we still face stricter competition, we will decide to go with an aggressive price and gain market share. So that kind of a play will happen on a daily basis, and that's more of an operational and strategic call of how we want to run the show. But largely, we remain margin focused in terms of gaining margin and maintaining our pricing power

in the market.

Soumen Choudhury: Okay. So next year also, it will be difficult to say as of now whether we can still maintain that mid-single -digit kind of growth?

Ayush Gupta: I think we are very positive that we can maintain mid -single -digit growth or maybe even early double -digit growth because, as I said, bulk pack business continues to remain strong. The good thing is e -commerce, quick commerce channel, which is a brand forward channel, is gaining salience for the category, right? Almost 30%, 35% of consumer pack business has started to contribute from the e -commerce and quick commerce channels.

So as the salience and as the number of dark stores keep increasing, our sales from this channel increases. And there, we have a very, I would say, a competitive advantage compared to the overall category because there, there are no loose players, there are no regional brands operating. We are competing with national brands. And there, India Gate has a very, very strong brand equity.

Moderator: We will take the next question from the line of Naitik from NV Alpha Fund.

Naitik: Just to harp a little bit more on the domestic revenue that we are doing. If I look at the past 4 to 5 quarters, you've sort of been stuck in the INR1,050 crores, INR1,100 crores quarterly sort of number. And now given that we are also losing market share in both MT and GT. So GT, I understand some share might be shifting to e -comm/quick comm. But even in MT, we are losing market share. So do we think now this market share loss we will be able to arrest it or t

o continue

to fall? What are we doing to sort of stop this loss of market share?

Ayush Gupta: Thank you for that question. See, December, January and Feb ongoing, we have seen a good run rate in market share regain in modern trade. And as I had mentioned, I think earlier also in my earlier calls, that market share loss in modern trade is primarily on the back of private label play increase at one of the major retailers in modern trade. However, there has been some changes

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again in the strategy at the modern retail chain end. And now that private label play is again going down. So we see a regain in market share happening in modern trade as well.

Naitik: Got it. And so we do maintain that we might start growing at, say, high single digit or maybe early double digit in the domestic market?

Ayush Gupta: Yes, yes.

Naitik: Right. Sir, my second question is just a bookkeeping question. We've seen the employee cost rise sharply if I look at Y -o-Y or if I look at Q -o-Q. I understand there might be some effect of the gratuity. But what's the sort of steady -state employee cost that we expect per quarter? And if you can just give some clarification why it jumped so high Y -o-Y. Even if I look at last quarter, the jump was very sharp. So apart from the gratuity onetime provision, if you could clarify why is it increasing that sharply?

Ashish Jain: Other than the gratuity provision, which is at about INR9.5 crores, reflecting in quarter 3, the other year -on-year increase that you see is largely on account of increase in headcount. So when we look at December '25 versus December '24, total on -roll employee headcount is up by about 160 people. Most of this is coming from increase in capacity that we've done at Ghaziabad and at Barota plants, right? So it is linked to higher production capacity and a little bit on the sales side.

Naitik: Got it. So this INR55 crores, INR60 crores would remain, right, the run rate per quarter?

Ashish Jain: Yes. I think you can say that. But other than the gratuity provision, what you see now should now only be increments related increase and not disproportionate.

Naitik: But -- sorry to harp on, but INR60 crores will remain per quarter. And apart from that, whatever annual increments are there?

Ashish Jain: Correct.

Moderator: We have the next follow -up question from the line of Krushi Parekh from BugleRock PMS.

Krushi Parekh: Just on that real estate piece, we are continuing with the development of Panipat. So who from our team is involved in the development of that particular land parcel and maybe even ongoing basis? And have we onboarded some people to look into this particular segment?

Anoop Kumar Gupta : You see there is no question of development. As Mr. Mittal has said, out of 125 acres, about 50 acres we are going to develop of our own. We are going to build our own warehouses, our own packaging pre -plant processing unit. And balance, we will sell as it is at a better price. So there is no question of any development in it.

Krushi Parekh: Okay. And secondly, on that distribution side itself for Ayush, when we are looking at the modern trade rising, we are clearly selling it to a smaller set of people versus when it comes to general trade. So how do you see ourselves placed in terms of the bargaining power or how competitive we need to be especially with regards to them, especially when we mentioned that

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the private brands had taken hold in one of the large organized players? So how do you see this thing panning out over longer term for our business?

Ayush Gupta: See, that's definitely, I would say, a negative when dealing with organized trade. Private labels do have an equal opportunity to kind of retail and sell their brands. But however, when it comes to an organized trade, the biggest advantage that comes

is it's a branded play. And that's where

all our investments, all our efforts that we've been doing for all these years really come into play.

In a general trade ecosystem, because it's unorganized, we fall back to competition, which is unfair to a loose to a regional, which is much more driven by price and retailer advocacy. On a modern trade and an e-commerce platform, it's the end consumer who's making a decision. And price often is not the supreme, I would say, reason why a consumer will choose you or not choose you.

There are many other factors that come into play. And I think, inherently, in a modern trade and e-commerce environment, branded players or leading branded players have an advantage. So more and more industry category as it moves to an organized trade, branded players will always win and lead.

Having said that, I understand the fact on general trade of -- general trade contracts, then the size of the category kind of shrinks. But as I told you, more of this play happening in the metro and Tier 1 cities. General trade is continuing to expand in the Tier 2, Tier 3 cities when it comes to basmati. And that's a new market that is opening for us. And we are ahead of the curve in terms of building our distribution there and catering to the consumers.

Moderator: Thank you. We take that as the last question. Thank you, members of the management team.

Ladies and gentlemen, on behalf of KRBL Limited, that concludes this conference call. Thank you all for joining us today, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

We do hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the Q3 FY26 Earning Conference Call .

Call: May 2026

Ref: KRBL/SE/2026 -27/18 May 22, 2026

The General Manager
Department of Corporate Services
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

Scrip Code: 530813 National Stock Exchange of India
Limited
"Exchange Plaza", C -1, Block -G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051

Symbol: KRBL
ISIN: INE001B01026

Sub: Transcript of the Earnings Conference Call held on Monday , May 18 , 2026 on
Audited Financial Results of KRBL Limited for the fourth quarter (Q 4) and
financial year ended March 31, 202 6.

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call of KRBL Limited held on Monday , May 18 , 2026 at 12:00 Noon (IST) onwards on the Audited Financial Results for the fourth quarter (Q4) and financial year ended March 31, 202 6.

The above information will also be available on the Company's website at www.krblice.com under the head 'Investor Relations '.

You are requested to kindly take the same on r ecord.

Thanking you,

Yours Faithfully,

For KRBL Limited

Anoop Kumar Gupta
Joint Managing Director
DIN: 00030 160
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"KRBL Limited
Q4 FY26 Earnings Conference Call"
May 18, 2026

MANAGING DIRECTOR – KRBL LIMITED
MR. ANOOP KUMAR GUPTA – JOINT MANAGING
DIRECTOR – KRBL LIMITED
MR. AYUSH GUPTA - HEAD-INDIA BUSINESS –
KRBL LIMITED
MR. ASHISH JAIN – CHIEF FINANCIAL OFFICER –
KRBL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KRBL Limited Q4 FY26 Earnings Conference Call. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Jain, Chief Financial Officer of KRBL Limited. Thank you, and over to you, sir.

Ashish Jain: Thank you, and thank you for joining us. Welcome to the Q4 FY26 Earnings Conference Call for analysts and investors of KRBL Limited. Today, we have Mr. Anil Kumar Mittal, Chairperson and Managing Director; Mr. Anoop Kumar Gupta, Joint Managing Director; and Mr. Ayush Gupta, Head of India Business as key speakers on the call.

To begin the call, Mr. Anil Kumar Mittal will share updates on the business, industry and our overall strategy. Following that, Mr. Ayush Gupta will provide insights into the performance and outlook of our domestic business. Finally, I will present the financial overview of the company for the fourth quarter and year ended March 31, 2026. Once the management has concluded their opening remarks, we will open the floor for an interactive question-and-answer session.

Please note that some of the comments made during the call may contain forward-looking information, and actual results may differ from these statements. You can refer to KRBL's investor presentation available on the stock exchange website and our company's website.

Now I would like to invite Anilji to share his views. The floor is yours.

Anil Kumar Mittal: Good afternoon, everybody. Thank you for joining us today for KRBL's Q4 and FY 2026 earning call. I sincerely appreciate your continued trust and confidence in the company.

Today, I will take you through the global rice market environment, developments in the basmati industry, the impact of recent geopolitical events on trade and logistics and KRBL's performance for the quarter and the full financial year.

Let me begin with the global rice outlook. As per the latest USDA estimates, global rice production in the upcoming 2026-27 marketing year is expected to

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moderate to approximately 538 million metric tons. Compared to around 543 million metric tons in the previous marketing year. The decline is primarily expected from the lower production in key exporting regions, including India, Myanmar and the United States.

At the same time, global rice consumption is expected to increase to approximately 541 million metric tons compared to around 538 million metric tons in the previous year. This increase is largely being driven by higher consumption in India, where domestic demand alone is expected to rise by nearly 4 million metric tons.

As a result of lower production and higher consumption, global rice stocks are expected to decline in the coming marketing year, which may keep overall rice market relatively firm. Despite this tighter global balance sheet, India continues to remain highly competitive in international market and today commands close to 40% share of global rice trade.

In fact, USDA forecast India's total rice export in the '26-'27 marketing year at approximately 25 million metric tons, which is higher than the previous year

despite lower domestic production. This clearly demonstrates India's strong structural position in the global rice industry.

Turning to India, USDA estimates rice production for the coming marketing year at approximately 150 million metric tons compared to 152 million metric tons in the previous year. While production is expected to moderate slightly due to weather-related concerns and early monsoon

uncertainty, India is

expected to comfortably retain its position as the world's largest rice producer.

At the same time, domestic consumption is projected to increase significantly from approximately 124 million metric tons to nearly 128 million metric tons.

This continued rise in domestic demand, coupled with lower production expectation globally could support stronger rice pricing trend in the coming year.

On the basmati front, the 2025 crop season has now largely played out in the market and we have much better visibility on the actual crop outcome. Overall, acreage remained healthy across Punjab, Haryana, Western Uttar Pradesh, Rajasthan and parts of Madhya Pradesh. Adoption of newer pest resistance and higher-yielding seed varieties continued to improve farm productivity and disease resistance.

However, weather condition during the later part of the monsoon created regional quality variations. Localized flooding and heavy rains in certain parts of Punjab and Haryana affected moisture levels and milling recovery in some

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pockets. At the same time, other producing regions delivered very good grain characteristics, aroma and length.

As a result, the crop can be characterized as adequate in quality, but mixed in quality. This has led to greater segmentation between premium export grade material and lower grade supply in the market. Pakistan Basmati crop also experienced similar weather-related disruptions. While early reports pointed towards severe flood-related damage, subsequent assessments indicated that the overall impact was more localized.

Certain district did face losses, but several producing regions delivered satisfactory grain quality and aroma. As an important development this season has been pricing dynamics between India and Pakistan. Since October 2025, Pakistan Super Basmati export codes have consistently traded at a premium to comparable Indian 1121 offers.

Pakistan FOB prices in many cases remained in the range of approximately USD1,180 to USD1,220 per metric ton, while Indian prices remained relatively more competitive due to larger availability and greater export volumes. This pricing differential has reinforced India's competitiveness in global markets. While Pakistan achieved higher realization on select grades, India continued to benefit from stronger overall export momentum, diversified buyer relationship and large supply availability. As a result, FY2026 has been a record year for Indian rice exports. Basmati exports grew by approximately 8% year-on-year to 6.5 million metric tons, the highest ever basmati export volume achieved in the financial year. Non-basmati exports also remained strong at approximately 15 million metric tons, reflecting a growth of around 6% over the previous year. India's ability to supply both premium and mass market rice categories at competitive prices have helped maintain its dominant global position. At the same time, the second half of the financial year saw a sharp rise in geopolitical uncertainty, particularly following the escalation of tension involving Iran, the United States and Israel.

These developments significantly disturbed shipping and logistics across the Middle East region during March 2026. A considerable amount of cargo remains stuck at Indian port as well as Middle Eastern destination ports during this period. However, with proactive coordination between governments, port authorities, shipping lines and importers, a large part of the shipment issues were gradually resolved during April and May.

And cargo have now largely reached their destination. KRBL, like the broader industry was also impacted by this disruption across multiple Middle Eastern

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markets. However, through close coordination with the buyer and support from authorities, the operational challenges were managed effectively.

tively.

One of the biggest consequences of the geopolitical situation has been the sharp increase in logistics and freight costs across the Middle East. Shipping routes have become concentrated through a limited number of operational ports. For example, Khor Fakkan has emerged as a major transshipment hub for UAE bound cargo.

Jeddah for Saudi Arabia, Salalah for onward movement into Qatar, Kuwait and Bahrain, while Jordanian routes are increasingly being used for Iraq-related trade flows. Marine insurance coverage continues to remain available, which has been critical for continuity of trade. However, war's premium charged by insurance companies has increased materially and are now being applied to shipments by shipment depending on destination and route exposure.

Despite this elevated logistics and insurance cost, buyers across the Middle East have broadly accepted the higher freight environment, largely because there are currently limited alternatives available to maintain continuity of food supplies in the region. Looking ahead, we believe that as geopolitical tensions stabilize, supply chains and freight market should gradually normalize.

Inventory levels in several Middle Eastern markets have reduced over the last few months due to shipment disruptions and therefore, we expect demand replenishment as logistical stability improves. There have also been recent discussions around concerns of a potentially deficient monsoon in India for the upcoming 2026 crop season.

At this stage, it is still early to make definitive conclusions. Reservoir levels showing progress and monsoon disruptions over the next few months will be critical indicators. However, any meaningful weather disruption could tighten paddy availability and support stronger price realization in the coming season. Now turning to KRBL performance. Our export revenues for Q4 FY2026 stood at INR279 crores compared to INR450 crores in Q4 FY2025. The decline was primarily due to lower export to the Middle Eastern region during the peak of geopolitical disruptions and logistic bottlenecks.

For the full financial year, FY2026, export revenue stood at INR1,555 crores, representing a growth of approximately 6% on a year-on-year. Overall revenue for Q4 FY2026 was INR1,526 crores, supported by strong domestic branded sales, which partially offset the temporary decline in exports.

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The company reported an EBITDA of INR237 crores and a PAT of INR155 crores during Q4 2026. Despite the external disruption witnessed during the quarter, we are pleased with the company's overall operational performance during FY2026. The resilience of our branded portfolio, disciplined procurement strategy, strong balance sheet and diversified market presence have allowed us to navigate a highly volatile global environment effectively.

Looking ahead into FY2027, we remain optimistic about the medium-term outlook for the rice industry and for KRBL specifically. India continues to enjoy structural advantage in rice production, export competitiveness and global buyer relationships. Provided geopolitical conditions in the Middle East stabilize over the coming months, we expect export demand and shipment flow to improve meaningfully.

Our strategic priorities remain clear, maintaining leadership in premium branded basmati rice, strengthening procurement quality and supply chain efficiency, expanding our global market reach. On the real estate side, I would also like to reiterate that our primary objective remains treasury optimization and long-term value creation.

The core rice business continues to remain our primary focus. We will evaluate real estate opportunities selectively and only where they are value accretive and strategically beneficial for the company. Regarding the Samalkha District Panipat land parcel, we continue to assess various monetization and development options.

Our approach remains flexible, prudent return focused and any major

development decision will be undertaken only after detailed evaluation and necessary approvals. In closing, I would like to thank all our shareholders, customers, partners and employees for their continued support and confidence in KRBL.

The past year has demonstrated both the resilience of the rice industry and the strength of our business model. We remain committed to delivering sustainable long-term growth while maintaining the quality, trust and leadership associated with the India Gate brand. I will now hand over to Ayush for domestic business update and detailed financial review. Thank you once again.

Ayush Gupta: Good afternoon everyone. I will walk you through the performance of our India business for quarter 4 financial year 2026 and the full year financial year 2026.

It has been a strong year for our domestic operations and quarter 4 was a quarter we are particularly proud of. Let me start with the headline. Quarter 4 financial year 2026 was our best ever quarter for domestic revenue.

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Revenues of INR1,230 crores in quarter 4 financial year 2026 is a 22% growth year-on-year, the highest ever quarterly domestic revenue for KRBL. Growth was driven by 16% rice volume growth and 5% rice realization growth, a healthy combination of volume expansion and value improvement.

Branded non-basmati revenues of INR78 crores in quarter 4, up from INR54 crores in quarter 4 financial year '25 is a growth of 44% year-on-year. Our non-basmati portfolio continues to grow at a meaningfully faster rate, validating our strategic thrust to widen the rice portfolio beyond basmati.

Together, these numbers reflect both strength in our core and growing momentum in our adjacencies within rice. Full year domestic revenue, excluding power, stood at INR4,444 crores, a 10% growth over financial year 2025. The portfolio breakdown for the full year tells a compelling story.

Branded basmati full year business grew by 9% year-on-year, driven by consistent volume growth and improving realizations. Branded non-basmati business for the full year grew by 38% year-on-year. This is now a INR271 crores category business in just a few years and growing rapidly.

It represents an expanding share of our domestic mix and a meaningful new growth engine for the organization. The non-basmati trajectory is particularly noteworthy from INR197 crores to INR271 crores in a single year, growing at nearly 4x the rate of the overall domestic business. This validates the consumer opportunity in branded quality non-basmati rice and our ability to compete and win in this segment.

Despite competitive intensity in some channels, we have defended and extended our market leadership position across the board. For financial year 2026, our channel-wise market share in packaged basmati rice stands as follows, general trade, we have a market share of 36.9%, which is a leading market share for the organization in the channel; modern trade, our market share is 38.7%, which is again the leading market share for KRBL in the channel; e-commerce, we have a market share of 40.1%, which continues to grow and is a dominant market share in the fastest expanding channel in the category.

We are the undisputed market leader across every channel in which we operate. That is a position we have worked hard to build, and we are investing deliberately to protect and expand it.

Our domestic strategy continues to be anchored around four clear pillars. Let me update you on the progress on each. Pillar 1, democratizing our

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distribution. Our retail footprint has grown to 3.4 lakh retail outlets across all channels, the strongest outlet presence in the packaged basmati category.

We are reaching 1.2 crore urban Indian households, a key metric for our lo

ng -

term brand penetration goals. Our focus has sharpened on deepening presence in better quality stores and increasing penetration in underpenetrated towns.

Distribution expansion is becoming more granular and targeted, particularly as we invest in direct coverage in towns previously served indirectly.

Pillar 2, remodeling our supply chain. Our supply chain transformation is ongoing and is a critical enabler for our distribution ambitions. We have established 16 C&Fs and 8 super stockists to ensure wider and deeper supply across geographies.

Our move towards a stronger FOR model, a structured go-to-market framework is driving better serviceability and cost discipline. Key focus areas include safeguarding against channel infiltration, tighter governance on GTM practices and driving servicing and cost efficiency in modern trade and e-commerce.

These structural changes are designed to progressively improve service quality and operating margins over the medium term.

Pillar 3, investing in the brand. Brand building remains a cornerstone of our domestic strategy.

In quarter 4, we executed several high-impact campaigns that reinforced our brand equity and cultural relevance. Three notable ones that I would like to talk about is our campaign around New Year's called the Quitter Day for our new brand called Uplife. Built on the Uplife health philosophy, encouraging consumers to keep it up on their wellness journey, featuring Smriti Mandhana, Lakshya Lalwani and Ashneer Grover, the campaign delivered 139 million views, 113 million reach and 2.1 million engagement. Also, the contest garnered 300,000-plus participation.

Our next campaign that I'd like to talk about is a campaign that we did on Women's Day, #NotYourBiryani. India Gate turned everyday food language into a powerful cultural conversation, challenging casual sexism, a bold values-led campaign that generated 36 million views, 410,000 shares, 600 stories and wide editorial coverage.

Lastly, but not least, our campaign on Eid, we did a strategic partnership with Zepto and Blinkit which placed India Gate Classic Biryani Masala and India Gate Classic Rice at the heart of Eid celebration, delivering 28 million reach

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and 59 million impressions. Our brand investments are building narratives that make India Gate culturally resonant, not just a product on the shelf. This supports long-term premiumization and household penetration.

Pillar 4, foraying into new products and categories. Our category adjacency initiatives are gaining traction and quarter 4 saw meaningful new launches.

India Gate Classic Masala meal mixes, we launched four new variants, Kashmiri Dum Aloo Masala, Patiala Paneer Tikka Masala, Purani Dilli Butter Chicken Masala and Chettinad Chicken Masala. These extend the India Gate Classic premium promise into the ready-to-cook segment with differentiated positioning rooted in regional culinary authenticity.

Edible Oil. Full year financial year 2026 revenue of the Edible Oil business was INR12 crores. This is early stage, but the distribution architecture is being put in place. We expect this to scale in financial year 2027 as distribution deepens and consumer trials build.

Further in the Uplife category, we have the Uplife Health rice range in the brown rice, the basmati brown rice and the low GI rice segments. This segment continues to build brand salience amongst the proactive health consumers. Brand investment and digital campaigns are driving both awareness and trial in this emerging segment.

For context, quarter 3 financial year 2026 domestic revenues were INR1,104 crores, broadly flat year-on-year, reflecting competitive intensity and pricing headwinds in the market at that time. The strong sequential acceleration in quarter 4 to INR1,230 crores total reflects a recovery and acceleration in branded volume growth from

quarter 3 to 16% overall rice volume growth in quarter 4.

Price stabilization supporting improved realizations, distribution and brand investments translating into tangible top line outperformance. Non-basmati maintaining its strong growth trajectory regardless of the broader category cycle. The market leader invariably rebounds faster when category conditions improve. Quarter 4 is a clear demonstration of that.

To summarize, financial year 2026 was a year of record domestic revenue, INR4,444 crores, driven by consistent branded volume growth and disciplined premiumization. Quarter 4 was our best ever quarter domestically at INR1,230

crores, validating the strength of our brand, distribution investments and consumer preference for India Gate. Branded basmati growing 9% for the full year.

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Branded non-basmati delivered INR271 crores, growing 38%, a business that is scaling fast and diversifying our domestic mix. We have defended and grown market share across every channel, general trade at 36.9%, modern trade at 38.7% and e-commerce at 40.1%, all at market leader levels.

Our four strategic pillars are advancing in tandem, deeper distribution, supply chain restructuring, cultural resilience, brand investment and category adjacency initiatives. Our focus remains unwavering, strengthening the core, premiumize the portfolio, widen distribution and build adjacencies, all while protecting margins and the long-term equity of the India Gate brand. We are confident in the trajectory of our India business and look forward to building on this momentum in financial year 2027 as well.

Thank you. I'll now hand it over to Ashish for his remarks.

Ashish Jain: Thank you, Ayush. I will now take you through the performance for the quarter and financial year ended March 31, 2026. All figures mentioned by me refer to the consolidated financials of KRBL Limited.

For the quarter, the total income was at INR1,526 crores, higher by 6% over the corresponding quarter last year. Domestic revenue witnessed robust growth of 22%, while export revenue declined by 33% due to lower exports to the Middle East region. Gross margin for the quarter stood at 29.6% compared to 31.5%, lower due to higher COGS and lower other income.

EBITDA margin for the quarter was at 15.5% versus 16.2% in the same period last year due to lower gross margin, partially impacted by MTM movements on the investments and also partially benefiting from lower other expenses. PAT for the quarter was at INR155 crores or 10.1% in margin terms as against INR154 crores or 10.6% in the corresponding quarter.

For the year as a whole, total income stood at INR6,168 crores, higher by 9% against FY25. In FY26, domestic revenue grew by 10%, mainly driven by branded rice volume growth of 8%, while export revenue grew by 6%. Gross profit of the company in terms of margins was at 28.3%, while EBITDA and PAT margin stood at 15.8% and 10.5%, respectively. Margin improved mainly due to lower input costs and higher other income.

Moving to the balance sheet. Our total inventory as of March 31, '26 stood at INR3,714 crores. This includes INR879 crores in paddy inventory, which was at INR791 crores at the same point last year and INR2,667 crores in rice inventory as against INR2,934 crores at the same point last year.

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On a volume basis, as of March 31, paddy and rice inventory stood at 230,000 tons and 427,000 tons, respectively, compared to 217,000 tons and 476,000 tons of rice in March 31, '25. Lower inventory is due to both lower per unit cost and lower quantity. Net bank borrowings, including treasury investments was at a negative INR789 crores as of March 31, '26, as against a negative INR405 crores last year.

Lower inventory, coupled with higher cash profit generated in FY26 will result in lower net bank debt.

ebt. A dividend of 450% of face value translating into INR103 crores has been approved by the Board and is subject to shareholder approval in the upcoming AGM.

With that, I come to an end of my prepared remarks. I would now like to hand over to the moderator for opening the Q&A session. I would just like to mention that as the ED matter is sub judice, we will not be in a position to respond to queries on this matter. So over to the moderator.

Moderator: Thank you very much. We will now begin with the question and answer session.

We have the first question from the line of Chirag Singhal from First Water.

Please go ahead.

Chirag Singhal: Congrats on very good performance as growth in India and the overall results.

My first question is on India, the India business. What market share gains did

we see in Q4 across all the channels?

Ayush Gupta: Actually, we don't have Q4 market share levels. What I shared was the full financial year market share levels. But -- I just have to tell you from experience, the trend has improved in the latter half of the year. So while the overall whatever I shared with you as overall market share levels, Q4 would be higher 100 to 200 basis points across each channel.

Chirag Singhal: Versus last year Q4?

Ayush Gupta: Yes.

Chirag Singhal: Okay. The reason I'm asking is because the overall financial year numbers suggest a decline in market share.

Ayush Gupta: Versus last year -- sorry, not versus last year Q4. I meant versus sequential market share level across quarters versus last year Q4, I really don't have the numbers at hand right now.

Chirag Singhal: Okay. No worries. I'll take it offline. Second question is on the exports. So if you take Q4 as the base, how much further drop do you expect in Q1?

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Anil Kumar Mittal: As far as exports is concerned, it mainly depends upon geopolitical situation. It is difficult to comment. But one thing is definitely we can foresee that there is a huge gap as far as food storage or food surplus is concerned, whenever this Iran issue will be solved, I'm quite sure there will be a huge pressure on shipments and orders as far as exports are concerned.

Chirag Singhal: Okay. But let's assume that the current conditions continue in June, like basis that. I'm just trying to understand if there is any improvement on a month-on-month basis. So like for Q1, if you were to like just give me a trend versus Q4, is there a reduction -- like further reduction versus Q4?

Anil Kumar Mittal: See, let me give you a broad outcome as far as Middle East business is concerned. The ongoing geopolitical tensions in the Middle East have impacted the overall trade flows and shipment volume across several countries in the region due to disruptions in logistics, shipping and port operations.

However, we believe the current situation is temporarily in nature. And over the coming weeks, there should be a greater clarity on how the region stabilizes. In the interim, shipments are continuing through alternate ports and through -- alternate ports and routes, although this has resulted in higher freight cost, elevated insurance premiums, and longer transit time.

Despite these challenges, buyers have broadly remained supportive as there are limited alternatives available for maintaining the food supply continuity in the region. So as far as we are concerned, we are expecting that this geopolitical tension is not going to remain for months together. It is now a matter of days only any time it can come to a settlement.

Chirag Singhal: Okay. Any clarity on timeline for appointing the...

Moderator: Sorry to interrupt Chirag -- sorry to interrupt in between Chirag. I would request you to please rejoin the queue again as there are participants in the queue. Thank you. We will take the next question from the line of Amit Aggarwal from Leeway Investments. P

lease go ahead.

Amit Aggarwal: Hi, Good afternoon. My question is regarding Uplife oil. What is the run rate of the -- for the oil? And what is the expectation from the production because nothing much has been said about the oil market?

Ayush Gupta: So Amit, thank you for the question. I mentioned in my remarks that in this financial year, we have done about INR12 crores of revenue in the edible oil business. While the category of blended edible oil today is at about INR1,600 crores to INR1,700 crores. And the reality of the category is almost 85% to 90% market share rest with one single brand, right?

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So the edible oil or the blended edible oil category has been created by that brand. And while it's an enticing category and a health forward category, I think it's a little bit of a long-term journey that we are looking at in building brand equity.

So while we are at INR12 crores this financial year, we are re-evaluating our GTM in the general trade market specifically, while MTE-com continues to

show positive signs, our general trade distribution needs to get a little ramped up. And this financial year, we are working on that diligently. So we'll see a healthy double-digit, I would say, growth in the category this financial year.

Amit Aggarwal: Do we have any supply chains also on this product or no?

Ayush Gupta: No. Frankly, supply chain for us is quite stable and sorted. Yes, obviously, because of the volatility emerging from geopolitical situations, the price volatility has been quite significant in this financial year. But since our volumes are quite minimal right now, I don't see that as a risk in the early journey of the category.

Amit Aggarwal: And my second question is regarding exports. There's a devaluation in the currency in the last two, three months. So how much that thing has benefited our exports? And do we expect to have a better number I'm talking about compared to the last quarter, export size?

Anil Kumar Mittal: No. As far as the devaluation of the currency is concerned, we have a policy in the company to book 80% whatever we sell. So normally, we get a profit of even 0.5% on the foreign exchange side, we cover we forward hedge the dollars. So we don't take a risk because it could be other way also.

But still, let me tell you, at the moment, we have to still cover around \$5 /\$6 million. And in that, we will be definitely making a profit of 2% or 1.5% as far as foreign exchange is concerned. Our future, definitely, as far as future is concerned, so whatever we sell in the current market, we take the today's dollar price.

Amit Aggarwal: And my question is regarding the exports. We understand that Iran market has been affected. So our exports to Saudi Arabia and Dubai or Oman or Iraq, are they also affected or just the Iran part is affected? This is my last question.

Anil Kumar Mittal: No. Let me tell you the Saudi business continues to progress well, and we are seeing consistent demand with regular shipment movement under our current model of working. But there is still because of the logistic constraints and shipment problems, that area is affected, but we are making shipments via Jeddah.

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The Saudi Arabian business is continuing via Red Sea side. So there is a problem, but not to that extent compared to Kuwait, Bahrain, UAE and all because I tell you, as far as Dubai is concerned, we are doing exports via Salalah, but as far as quantities are concerned, they are affected. They are small.

Amit Aggarwal: Okay. Okay, thank you.

Moderator: Thank you. We will take the next question from the line of Krushi Parekh from BugleRock Capital. Please go ahead.

Krusha Parekh: Yes. Hi, sir. My first question is, I mean, wherever the situation currently is and the inventory levels that we have, how are we approaching FY27 when it

comes to our volume for buildup for inventory?

Ashish Jain: Yes. This is Ashish. So see, as far as the inventory is concerned, we are placed very comfortably. So in rice equivalent terms, as of March 31, we were carrying about 530,000 tons of inventory. This is paddy converted into rice and rice altogether.

Now if you look at our volume sales in last financial year, domestic business did about 5,60,000 MT and the export business, we did about 1,60,000 MT. So compared to the volumes, we are very well placed in terms of inventory.

Similarly, in terms of pricing, we -- I mean, we've locked in a price where regardless of where the price moves in FY27, we are very comfortable. So we don't see any challenges on the inventory side.

Krusha Parekh: No, no. Sorry, Ashish, my question was how are we looking to build up our inventory going forward? Because we have seen a decline as such in the last year. So for this particular year, how are we looking to build it up?

Anoop Kumar Gupta : Yes, it depends on the season, what is the pricing and all. It is too early to say. But actually, we'll build up our inventory in the coming season. And definitely, looking at the export demand, and we think this year, the export demand would be quite heavy, we'll build up our inventory quite good.

Krusha Parekh: Okay. Okay. And my second question is considering how -- I mean, it's being a balance sheet business, how is the competitive scenario shaping up in the exports market? Do you see any stresses when it comes to the competitors or the peers? And how are we looking to play on the other side of the war whenever

it ends.

Anil Kumar Mittal : See, let me tell you, there has been a big gap built up over the whole of Middle East because whatever stock s they were having, there are -- there is a vacuum,
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there's a big vacuum created, and I'm quite confident that they -- any type of settlement which takes between the Americans and the Iranians and this war settles down or conflict settle down, definitely, the demand will be just double than the normal demand. For example, we understand that every country has come out with a big tender at the government level to build up surplus food security stocks. So therefore, demand is going to be phenomenal demand, there's no doubt. And the stocks which are lying with us, which are unsold. So I do not talk about the unsold, there is a very good margin. There is a margin of around 8% to 9% as far as the prices are concerned. So therefore, we expect a good year ahead.

Krushik Parekh: But the competitive pressure, do you feel it will remain the same as it was pre-war or it is likely to be different going forward?

Ashish Jain: No, we are not worried of the pressure. I give you, for example, I'll not be very specific. We have got about 35 to 40 tons of rice lying at Kandla port, out of which about 13,000, 14,000 tons is already packed. We do not know and that pricing fee, if I talk about that, it is at today's prices, it is around 20% cheaper. Now if we cancel that contract because it has been lying at the port for more than 2 months, we might cancel it. So that 20% margin can come. There has been several buyers at the port itself who are asking us, but because it is meant for export, we want to do export. If I have to sell it domestically, I will get that 20% margin.

Krushik Parekh: Okay, got it. Thank you. All the best, sir.

Moderator: Thank you. We will take the next question from the line of Soumen Choudhury from Mansarovar Financials. Please go ahead.

Soumen Choudhury: Good afternoon, sir and thank you for the opportunity. On the export front, I just wanted to know what is our current run rate? Like how much would we have done in April, let's say?

Anil Kumar Mittal : We don't have. April number, we don't.

Ashish Jain: Soumen, this is Ashish. We'll not be able to share month-wise numbers.

Soumen Choudhury: Okay. Can we maintain the Q4 numbers in this quarter? Or would it be even lower than that?

Ashish Jain: See, as of now, I mean, if you look at April, it seems to be in the same trajectory, but May and June is something that we need to see.

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Soumen Choudhury: Okay. Okay. And secondly, on the domestic front, this quarter has been a really great quarter. So what is the outlook going forward? Like can we maintain this level of domestic run rate for the next 2, 3 quarters? And secondly, what would have been the volume growth in the domestic market Y-o-Y?

Ayush Gupta: So on the domestic business, we are working towards the 10% volume growth year-over-year. That includes general trade, modern trade, e-commerce, while volume growth will vary across the channels, but at an organization level in the domestic markets, we are looking at a 10% volume growth. In terms of how much we've grown.

Ashish Jain : Quarter 4 is 16% volume growth.

Ayush Gupta : 16% volume growth in quarter 4.

Soumen Choudhury: Okay. Okay. And lastly, since we are sitting on close to INR1,000 crores in cash, are we looking at an extraordinary dividend or a buyback or something?

Ashish Jain: So Soumen, on dividend, I had covered it in terms of what the Board has approved, and we'll place it in the AGM. In terms of other measures, nothing - no specific update right now.

Soumen Choudhury: Okay. Okay, fine. That's it from my side.

Moderator: Thank you. We will take the next question from the line of Nooresh Merani from Analyse India. Please go ahead.

Nooresh Merani: Good afternoon, sir. My simple question is the company is looking to buy real estate at a 30%, 40% discount. If the company is available at a 30%, 40 %

discount and the promoters do not tender in a buyback, isn't that a better option?

Ashish Jain: If you want a real estate update, let me tell you one thing.

Management: No, he is asking the buyback [inaudible 0:48:16].

Ashish Jain: On the real estate front, we have taken one opportunity in Samalkha land parcel. The total land area is approximately 130 acres and is divided into two separate portions of our road. The main GT road is passing from the center. There are two sides of that requirement. One side is around 60 acres and other side is about 70 acres. The 60-acre parcel is strategically located and is currently intended for KRBL's own warehousing.

We have a plant near Sonipat in Barota where we are having a very big severe problem of the space. So we intend to develop warehousing over there. But we
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have a question mark that if we today sell that land, we have a much bigger profit than developing a warehouse, but business is more important. So we are not caring to monetize that piece of parcel, but to develop our own warehousing.

So in our mind, as far as real estate is concerned, we intend to develop our own business. That is in mind as far as real estate is concerned. You will not believe in last three months, we have got so many opportunities, but we are not very clear whether we should invest in real estate or not till time we have a very big opportunity where we feel we can double our investment.

Nooresh Merani: Yes. My second question is regarding the basmati price rise, which has happened in the last three, five months. And what is the management's view for the next 1 year for the rice price?

Anil Kumar Mittal : It is too premature to comment anything on the price. We have already given a contract when I say we means on behalf of all India Rice Export Association for mapping the total crop right from Punjab up to MP, Rajasthan everywhere of the crop size. And once we know about the crop size, then only we can discuss more on FY27.

Nooresh Merani: Thank you.

Moderator: We take the next question from the line of Shashwat Jain from

NV Alpha.

Please go ahead.

Shashwat Jain: Hi, thank you for the opportunity. I just had a couple of questions on the export side. Firstly, can you quantify the channel inventory that we have in the export market? And secondly, have you made any progress on appointment of distributor in -- for the Saudi market?

Anil Kumar : See, let me tell you as far as the Saudi business is concerned, we continue to progress well, and we are seeing consistent demand with regular shipment movement under our current model of working directly with the wholesaler. We are being extremely selective in this process, and we believe the Saudi market is strategically important and the financial implication of appointing the wrong partner can be significant. Therefore, our priority is long-term alignment and operational stability rather than speed up of the execution of any distributor. Now Saudi orders are coming. We are there in the market.

Shashwat Jain: Understood. And sir, regarding the channel inventory, if you can quantify for the export market?

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Ashish Jain: I think difficult to comment on channel inventory, but I think Anil Ji in his speech had mentioned that if you look at the broad Middle East markets, most of them are sitting at lower inventory than their own normal levels at a country level.

Shashwat Jain: Understood. Thank you.

Moderator: We will take the next question from the line of Bhavik Shah from Invexa Capital. Please go ahead.

Bhavik Shah: Sir, can you help me with the price realization in domestic and price realization in export in Q4.

Anil Kumar Mittal: Yes, that can be discussed.

Ashish Jain: Yes. If you look at the basmati branded realization on the domestic side, that

was around INR79,000 to INR80,000 per MT. And on the export side, the same number was about INR1,38,500 or INR1,39,000 in Q4 basmati realization.

Bhavik Shah: Yes. And sir, how it has changed, say, for example, going ahead in Q1, how will it change, in terms of domestic price realizations and international price realizations? And say, when you say your shipping costs and freight costs have increased in international, so how much it has impacted your gross margins over there?

Ashish Jain: I think the question is that what do we expect -- how do we expect the realization to change in Q1 for the domestic market and the export market in Q1?

Ayush Gupta: So domestic business, the realizations of 80,000 are going to remain upwards positive only. I think another 2% to 3% improvement in average realization will be seen in quarter one in the domestic front.

Bhavik Shah: Understood. And sir, any guidance for FY27 in terms of volume or in terms of overall guidance or margin?

Ayush Gupta: Domestic business, we spoke about domestic business, we are working at an average 10% volume growth. And export, we've already spoken a lot about the conditions that are prevailing. So really putting down a number is not possible.

Bhavik Shah: Right. And in terms of inventory, we have around INR3,700 crores of inventory. If I just take the current quarter, that is around INR1,500 crores. So, we have around two quarters of inventory. So like how do we see the latter half of the year?

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Anoop Kumar Gupta: See, the crop comes in the month of September, October. So naturally, it is not that we sell everything old. It is a mixture of old and new. We carry this crop of INR3,700 crores are about -- we carry it down to more than one year, one and half year. It is a mixture of old and new. In September, we start selling new crop also.

Anil Kumar Mittal: Those are two things, let me tell you. One is the aged rice, which is right from 15 months to 2 years. One is steam rice, which is sold out of the new crop. So what Anoop is saying that when we sell, there are various different variants which are sold as a

age rice, which are 2 years, 15 months and like this. And there are certain variants which are steam rice, which is sold out of the new crop or the new manufacturing.

Bhavik Shah: Understood. All the best. Thank you.

Moderator: Ladies and gentlemen, we will take that as the last question. And with that concludes the question-and-answer session. I now hand the conference back to the management for the closing comments.

Anil Kumar Mittal: See, let me tell you, as far as basmati business is concerned, the total country is passing through difficult times, leaving Europe and America, rest all of the world has come in the clutches of this Strait of Hormuz crisis. We were confident that this Trump going to China might settle this issue. But I think so this issue has to be settled because it's not dependent only on basmati exports, but the whole country inflation and economics are now dependent on this settlement of war.

So once the war is settled, I think the exports will double up in next six months because there has been a big gap as far as food reserves are concerned. And Middle East is consuming basmati rice in all the three meals, whether it is breakfast or lunch or dinner.

So, I'm quite hopeful even at the buffer stock level or strategic food reserve level, the governments will also buy and the private trade will also buy. And we are hopeful that whatever setbacks we had in the last three, four months will be covered up in next three, four months, but we are waiting for the settlement. And we are once again thank you to the investors and to everybody to always support us and always being with us with the company. Thank you so much for that.

Moderator: Thank you, members of the management. On behalf of KRBL Limited, we conclude this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.